General Ledger Accounting

Generated on: 2026-07-07 17:45:32 GMT+0000

SAP S/4HANA Cloud Public Edition | 2602 Latest

Public

Original content: https://help.sap.com/docs/SAP_S4HANA_CLOUD/0fa84c9d9c634132b7c4abb9ffdd8f06?locale=en-US&state=PRODUCTION&version=2602.500

Warning

This document has been generated from SAP Help Portal and is an incomplete version of the official SAP product documentation. The information included in custom documentation may not reflect the arrangement of topics in SAP Help Portal, and may be missing important aspects and/or correlations to other topics. For this reason, it is not for production use.

For more information, please visit https://help.sap.com/docs/disclaimer.

Closing Operations

The features and functions within General Ledger Accounting allow you to perform your period-end closing in a timely manner.

As a general ledger accountant, you can do the following:

- For closing operations at period-end closing, you can use the apps available for analyzing, valuating, and reclassifying the posting data.
- With these closing operations, you create a financial statement and a profit and loss statement (P&L).
- There are different apps available for sales/purchases tax declarations and tax payable postings.

Preparation Activities

Manage Posting Period Variants

App ID: F2581

Using the **Manage Posting Period Variants** app, you manage account ranges, which you use to open and close posting periods according to your business requirements. You can also mass-edit, copy, and delete items of a posting period variant. The app also enables you to split and merge variant items.

Key Features

Depending on the role to which you're assigned, you can perform the following tasks:

- Search for and view posting period variants and variant items
- View the company code and ledger information that is connected to each item
- Copy, merge, split, edit, and delete variant items
- Change the authorization group of a posting period variant item

ℹ Note

This app contains in-app help for key fields and concepts. To display the help while working in the app, press F1 or choose the question mark displayed in the app header.

Supported Device Types

Desktop

Information for Key Users

The SAP Fiori apps reference library has details about the content necessary for giving users access to an app on the **SAP Fiori launchpad**. To see this app's Fiori content, go to the SAP Fiori apps reference library and search for the app. Then select the product. On the **Implementation Information** tab, select the correct release. The details are in the **Configuration** section.

Related Information

Posting Periods
Posting Period Variants
Manage Posting Periods
Manage Posting Periods – Cost Accounting

How to Create an Authorization Group in the Manage Posting Period Variants App

Learn how to create an authorization group for special periods (adjustment periods) in the **Manage Posting Period Variants** app. When you create an authorization group, the system automatically assigns the authorization group for your adjustment periods to the selected posting period variant. You can also create authorization groups in the **Manage Posting Periods** app. The values are synchronized, no matter in which app you create your authorization group. For more information, see **How to Create an Authorization Group in the Manage Posting Periods App**.

Prerequisites

The authorization to define authorization groups is controlled by the restriction type `FAGL_OPVAR_FAGL_BRG` (**Manage Posting Periods: Authorization Groups**). It's part of the business catalog `SAP_FIN_BC_GL_PER_MGMT_PC` (**General Ledger - Posting Period Management**) and needs to be assigned to your user.

Context

You can restrict authorizations for posting in special periods (adjustment periods) by using authorization groups. First, you need to create an authorization group.

ℹ Note

This procedure is based on default content and UIs. Depending on your configuration settings, the procedure may be slightly different.

Procedure

1. Open the **Manage Posting Period Variants** app.
2. Enter a posting period variant, press `ENTER` and choose **Go**.
3. Select the posting period variant or a posting period variant item (combination of posting period variant, account type, and account range) and choose **Set Posting Periods** > **Open Periods**.
4. Choose the **Adjustment Periods** tab, open **Authorization Group Settings** and select **Change To**.
5. Enter any name for the authorization group and choose **OK**.
6. You´ve now created an authorization group which is assigned to the selected posting period variant (item).

Results

The name of the authorization group is displayed in the **Authorization Group** field.

A system administrator can now use this authorization group in the **Maintain Business Roles** app. For more information, see How to Use Authorization Groups for Posting Period Variants.

Related Information

[How to Use Authorization Groups for Posting Period Variants]
[Example: How to Set Up Authorizations for Posting Periods]
[Manage Posting Period Variants]
[Posting Period Variants]
[How to Create an Authorization Group in the Manage Posting Periods App]

How to Use Authorization Groups for Posting Period Variants

Learn how to use authorization groups for special periods (adjustment periods) in the **Maintain Business Roles** app.

Prerequisites

If you want to use authorization groups, the following prerequisites must be met:

- Authorization groups are created and assigned to a posting period variant (item) in the **Manage Posting Periods** app or the **Manage Posting Period Variants** app. For more information, see:
  - How to Create an Authorization Group in the Manage Posting Periods App
  - How to Create an Authorization Group in the Manage Posting Period Variants App
- The restriction type **Authorization Group for Posting in Adjustment Periods** (BEGRU_BKPF_BUP) needs to be part of the business catalogs assigned to the role. Use the **Display Restriction Types** app to check whether this is the case. For more information, see Display Restriction Types.

Context

As an administrator, you can use authorizations groups to restrict authorizations for posting in special periods (adjustment periods).

Note

This procedure is based on default content and UIs. Depending on your configuration settings, the procedure may be slightly different.

Procedure

1. Open the **Maintain Business Roles** app.
2. Select the **GL_Accountant** role and choose the arrow at the end of the row.
3. Choose **Edit** and **Maintain Restrictions**.
4. Set the value for **Write, Read, Value Help** to **Restricted**.
5. Search for the **Authorization Group for Posting in Adjustment Periods** entry and choose **Edit** (the pencil button) at the end of the line.
6. Enter the name of the authorization group which you´ve previously created in the **Manage Posting Periods** or the **Manage Posting Period Variants** app and choose **OK**.
7. Save your changes.

Results

You can now assign the **General Ledger Accountant** (`SAP_BR_GL_ACCOUNTANT`) business role to users that are allowed to post in the adjustment periods of the posting period variants that are assigned to this authorization group (in the **Manage Posting Periods** app or the **Manage Posting Period Variants** app).

Related Information

Maintain Business Roles
Manage Posting Periods
Manage Posting Period Variants
Posting Period Variants
How to Create an Authorization Group in the Manage Posting Period Variants App
How to Create an Authorization Group in the Manage Posting Periods App

Example: How to Set Up Authorizations for Posting Periods

Use this specific example to learn how to set up authorizations for posting periods in the **Manage Posting Periods**, **Manage Business Business Roles** and **Manage Business Business Users** apps.

Context

You want to set up the following authorization for account type S (**G/L Accounts**) for the current fiscal year:

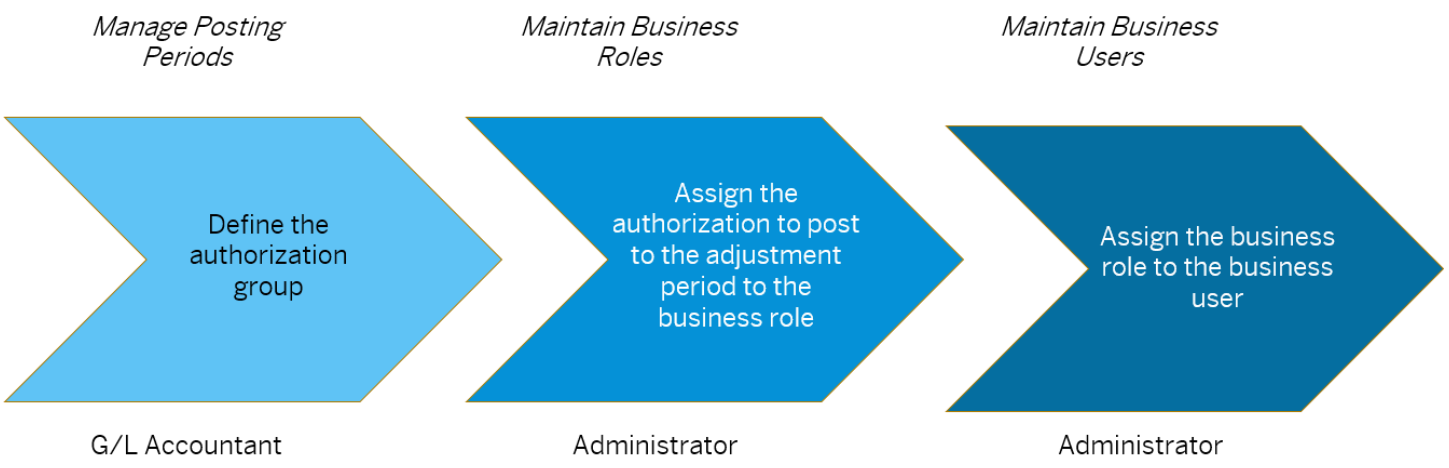
- User 1 is allowed to post to periods 1 and 2.
- All other users are only allowed to post to period 2.

Period 2 of the current fiscal year is a normal period; period 1 is an adjustment period.

The example consists of the following three tasks:

1. In the **Manage Posting Periods** app: A general ledger accountant defines the authorization group.
2. In the **Maintain Business Roles** app: An administrator assigns the authorization group to post to the adjustment period to the **SAP_BR_GL_Accountant** business role.
3. In the **Maintain Business Users** app: An administrator assigns the business role to the `User 1` business user.

The process is illustrated by the following graphic:



ℹ Note

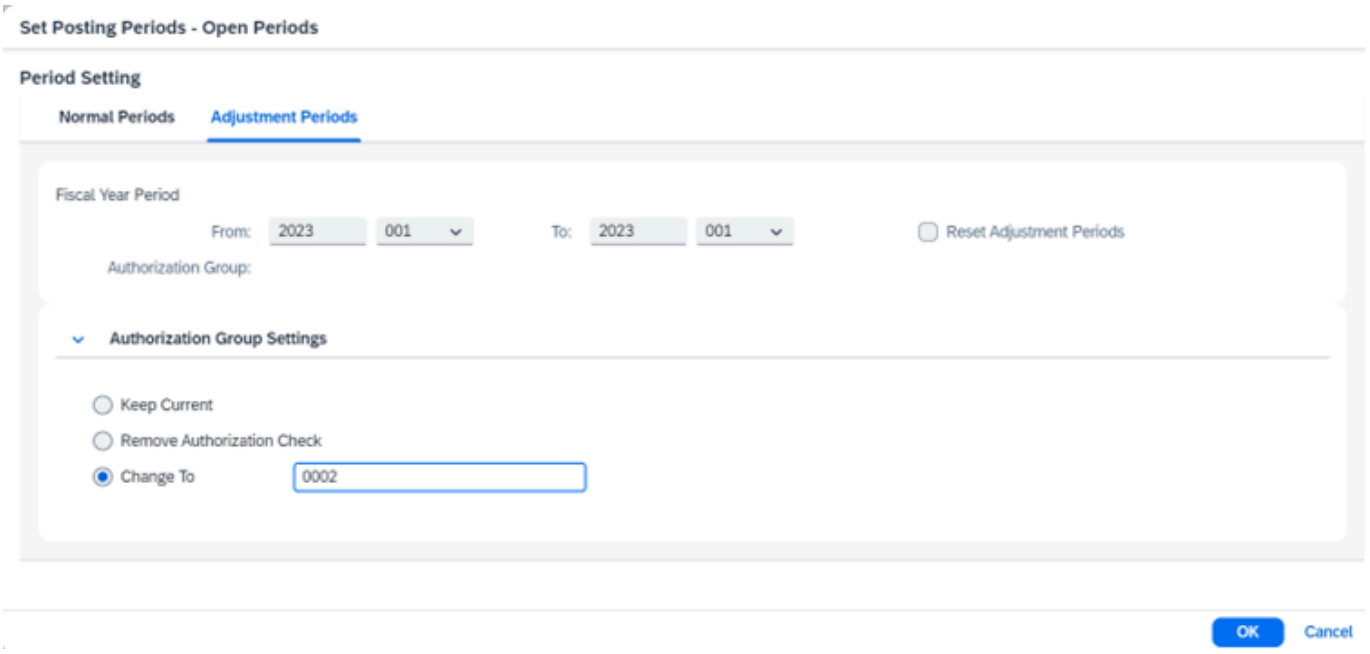
This procedure is based on default content and UIs. Depending on your configuration settings, the procedure may be slightly different.

Open the posting periods 1 and 2 for account type S (G/L Accounts)

As a **general ledger accountant**, in the Manage Posting Periods app, do the following:

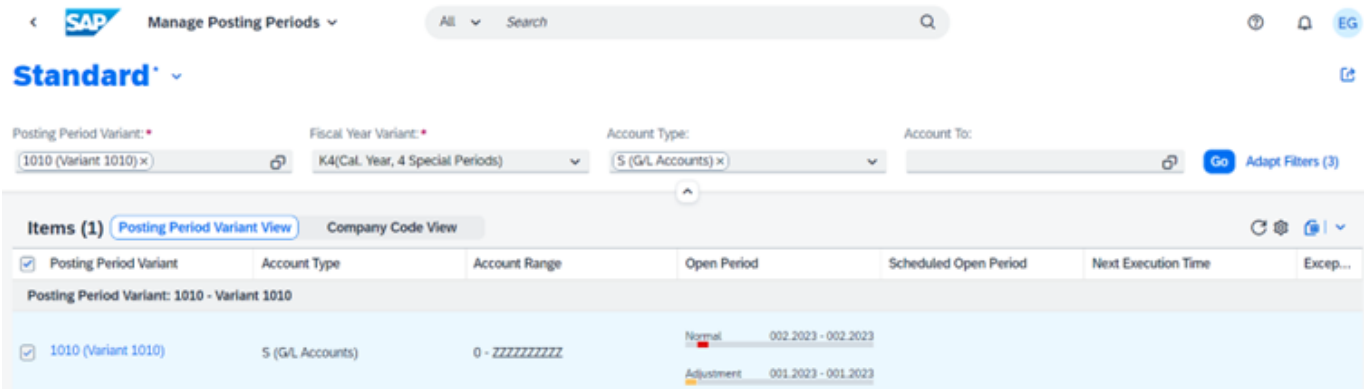
1. In the filter fields, enter a posting period variant and a fiscal year variant, then select account type S (G/L Accounts)and choose Go.
2. In the table, select the line item for account type S and choose Set Posting Periods and Open Periods.
3. On the Normal Periods tab, select the fiscal year period `002` of the current year.
4. On the Adjustment Periods tab, select the fiscal year period `001` of the current year.
5. Under Authorization Group Settings and Change To, enter a name for the authorization group (for example `0002`), or choose Keep Current.

   The following graphic (English only) shows you what the screen looks like:



6. Choose OK.

   You have opened posting periods 1 and 2 for account type S and assigned an authorization group to adjustment period 1, as you can see in the following graphic (English only):

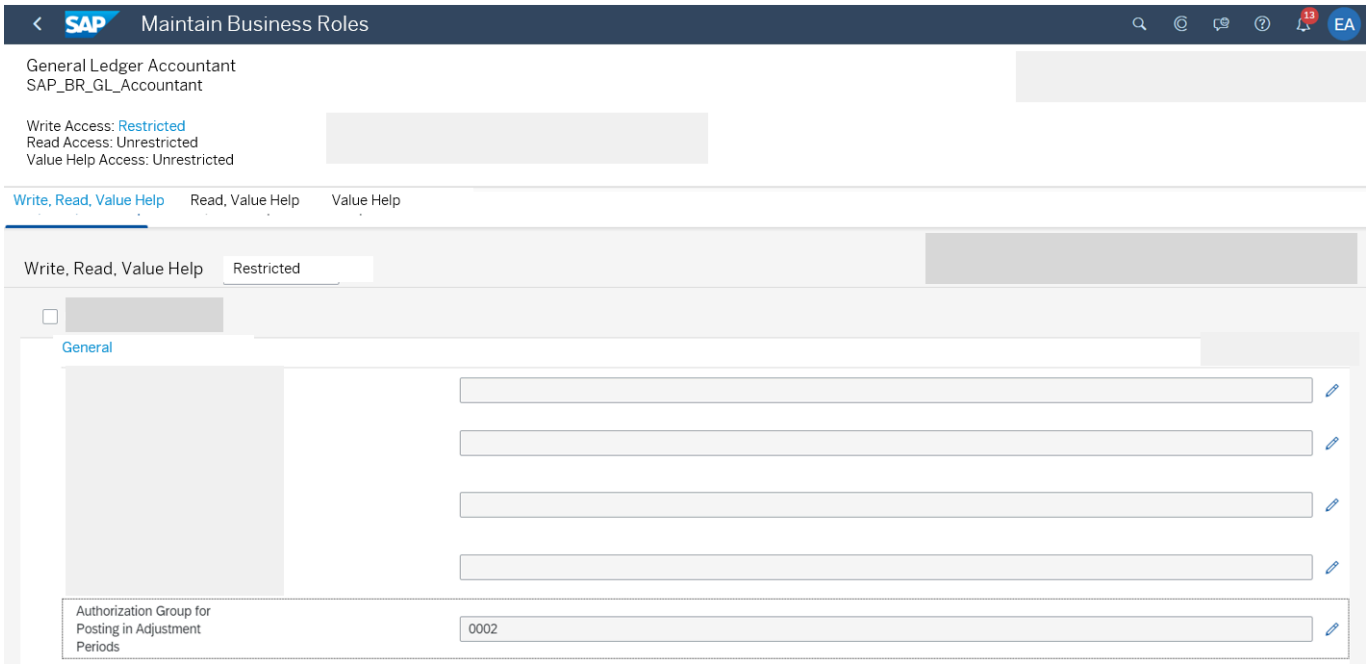


Assign the Authorization to Post to an Adjustment Period

As an **administrator**, in the Maintain Business Roles app, do the following:

1. Select the SAP_BR_GL_Accountant business role and choose the arrow at the end of the row.
2. Choose Edit and Maintain Restrictions.
3. Set the value for Write, Read, Value Help to Restricted.
4. For the Authorization Group for Posting in Adjustment Periods restriction, choose *(Edit)*.
5. Select the authorization group that you created in the previous step and choose OK. Then choose Save.

   You have assigned the authorization to post to an adjustment period to the business role. The following graphic shows you what the result of this step looks like:



Assign the Business Role to User 1

As an **administrator**, in the Maintain Business Users app, do the following:

1. Select the `User 1` business user and choose Add Business Roles.
2. Search for the SAP_BR_GL_Accountant business role and choose OK.

   The business role is added to the business user.

Result

User 1 and all other users who are assigned to the role can now post to the adjustment period. All other users are only allowed to post to normal periods.

Test the result in "Post General Journal Entries"

You can check the authorization assignment in the Post General Journal Entries app. As user 1, do the following for the company code assigned to the posting period variant in question:

Enter the posting date 01.01.[current fiscal year] or 02.02.[current fiscal year] for the relevant G/L account.

This should work because user 1 is allowed to post in normal period 2 and in adjustment period 1.

If there's no error, everything is ok.

Additional Information

- If other users with **Read and Write** restrictions and a blank **Authorization Group for Posting in Adjustment Periods** try to post in period 1 for the relevant G/L account, the following error is displayed: "No authorization for posting period & &" (error code F5A094).
- Other users are only allowed to post in period 2 of the current fiscal year for account type S **(G/L Accounts)**.
- If no authorization group is specified for a user, for example **Read and Write Access Unrestricted** for the role with **Authorization Group for Posting in Adjustment Periods**, the user can post in both periods 1 and 2.
- If a user is assigned two roles, one for which **Read and Write** access is restricted and **Authorization Group for Posting in Adjustment Periods** is blank and a second role for which there's no **Read and Write** restriction for **Authorization Group for Posting in Adjustment Periods**, then the user can post in both periods 1 and 2.

Related Information

Manage Posting Period Variants
Manage Posting Periods
Authorizations for Posting Periods

Manage Posting Periods

App ID: F2293

Use

With the **Manage Posting Periods** app, you can open and close posting periods to make sure that postings to the accounts happen in proper posting periods. You can also choose to schedule the opening to run once or multiple times according to your business requirements.

Only a few normal periods should be open at a time. A normal period range typically consists of the current and the next period or the previous and the current period.

Your adjustment period must never overlap with your normal period. Typically, an adjustment period ranges from 013 to 016.

You can restrict authorization for posting in special periods (adjustment periods) by using authorization groups. For more information, see:

- How to Create an Authorization Group in the Manage Posting Periods App
- How to Create an Authorization Group in the Manage Posting Period Variants App

ℹ Note

Make sure that you assign only one fiscal year variant (FYV) to your posting period variant (PPV). For more information about how to use alternative fiscal year variants, see Alternative Fiscal Year Variant.

You can change the assignment of FYV to PPVs in the **Assign Fiscal Year Variants to Ledgers and Company Codes** configuration activity. For more information, see the documentation of the configuration activity.

If you need multiple FYVs, contact your SAP customer facing role to get additional PPVs.

Key Features

Depending on the role to which you're assigned, you can perform the following tasks:

- View open posting periods from the posting period variant (PPV) view and the company code view
- View the latest open year of a company code maintained by a posting period variant
- Shift open intervals manually
- Reset adjustment periods; the periods for adjustment are then no longer open.
- Reset CO periods; the periods for postings from Controlling (CO) to Financial Accounting are then no longer open.

  Note

  When you want to open and close fiscal periods for cost accounting transactions, you can use the Manage Posting Periods – Cost Accounting app. You can access the app on your SAP Fiori Launchpad or by selecting the **CO Period Status** tab in the footer bar.

- Schedule background jobs to open posting periods

  Note

  Background jobs are assigned to the user who schedules the jobs. So, if this user is locked or deleted, the jobs don´t run. In this case, please check the user and user status for your scheduled background jobs by proceeding as follows:

  - In the **Manage Posting Periods** app, select a **Posting Period Variant** from the **Items** section.
  - Choose **Manage Scheduled Jobs**.
  - Select a **Job Type** and choose **Go**.
  - The **Scheduled by** (user) and **User Status** columns are now displayed in the **Items** section.

- View and correct failed scheduled jobs
- Delete scheduled jobs one by one

  Note

  - On the **Normal Periods** tab page, if you specify a fiscal year period that crosses calendar years, the adjustment period of the fiscal year is still open for manual posting. For example, if you choose an item with fiscal year variant K4 and specify a fiscal year period from 2016012 to 2017001, you can post journal entries into any open periods that fall in your selected range, including 2016012, 2016013, 2016014, 2016015, 2016016, and 2017001.
  - It might take some time if you schedule multiple jobs to run. Please wait for a while to view the changes by refreshing the page, or you can choose to set periods manually so that you can view the changes immediately.

- Display a change log that shows the details of changes made to the selected posting period variant. For more information, see How to Display the Change Log in the Manage Posting Periods App.

Note

This app contains in-app help for key fields and concepts. To display the help while working in the app, press F1 or choose the question mark displayed in the app header.

Supported Device Types

- Desktop

Information for Key Users

The SAP Fiori apps reference library has details about the content necessary for giving users access to an app on the **SAP Fiori launchpad**. To see this app's Fiori content, go to the SAP Fiori apps reference library and search for the app. Then select the product. On the **Implementation Information** tab, select the correct release. The details are in the **Configuration** section.

Related Information

Manage Posting Periods – Cost Accounting
How to Use Authorization Groups for Posting Period Variants
Example: How to Set Up Authorizations for Posting Periods
Opening and Closing Posting Periods
How to Create an Authorization Group in the Manage Posting Periods App

Opening and Closing Posting Periods

You need to open and close posting periods at the beginning of each period to make sure that journal entries are posted to proper posting periods. This is necessary periodically (for example, monthly) to continue posting transactions to the ledger.

Prerequisites

Ensure that a fiscal year is closed first in Asset Accounting and then in General Ledger Accounting.

For more information about closing fiscal years in Asset Accounting, see Year-End Closing Asset Accounting (Cross-Company Code and Ledger) and Year-End Closing for Individual Depreciation Areas.

Procedure

Follow the steps to change the default settings and open a new period where your journal entries will be posted.

1. In the **Manage Posting Periods** app, do a search to display posting period variants.
2. Select a posting period variant item that you want to change, and choose **Set Posting Periods** > **Open Periods**.
3. Change the fiscal year period to open a posting period.
4. Save your changes.

Aspects to Consider

When implementing this process, mind the following aspects:

- The process can be scheduled to avoid manual periodic intervention. To schedule background jobs, choose **Set Posting Periods** > **Schedule Recurrence**.

  ### ℹ Note

  Recurrent jobs can only be scheduled as of the next posting period. You can check the recurrent jobs under **Next Execution Time**.

Recurrent jobs cannot be scheduled for the current posting period. For current posting periods, you can only schedule jobs that run once or you can open/close your posting period manually.

- Opening a posting period will automatically close the previous period.
- In addition to normal periods, you can change adjustment periods and CO periods to meet your needs:
    - Adjustment Periods: Period control for all journal entries triggered in Financial Accounting (FI), as well as most postings coming from Management Accounting and Margin Analysis and Sales and Distribution (SD), for authorized users (by the authorization group field), such as provision booking for bad debts.
    - CO Periods: Period control for journal entry posting triggered from controlling (CO) business transactions or processes, such as allocating or distributing expense from one department to another. You must manage journal entry triggers from CO business transactions in CO-Related Periods. If you make an entry for CO-Related Periods, the check on journal entry postings is only made against CO-Related Periods. If you do not maintain any values in CO-Related Periods, the check on journal entry postings is made against Normal Periods and Adjustment Periods.

      Note

      When you want to open and close fiscal periods for cost accounting transactions, you can use the Manage Posting Periods – Cost Accounting app. You can access the app on your SAP Fiori Launchpad or by selecting the **CO-Related Periods** tab in the footer bar.

- The same information, as well as additional information regarding the change log, can be found in the **Manage Posting Periods** task of SAP Activate Methodology for SAP S/4HANA Cloud.

Related Information

Example: How to Set Up Authorizations for Posting Periods
Posting Periods

How to Create an Authorization Group in the Manage Posting Periods App

Learn how to create an authorization group for special periods (adjustment periods) in the **Manage Posting Periods** app. When you create an authorization group, the system automatically assigns the authorization group for your adjustment periods to the selected posting period variant. You can also create authorization groups in the **Manage Posting Period Variants** app. The values are synchronized, no matter in which app you create your authorization group. For more information, see **How to Create an Authorization Group in the Manage Posting Period Variants App**.

Prerequisites

The authorization to define authorization groups is controlled by the restriction type FAGL_OPVAR_FAGL_BRG (Manage Posting Periods: Authorization Groups). It's part of the business catalog SAP_FIN_BC_GL_PER_MGMT_PC (General Ledger Posting Period Management) and needs to be assigned to your user.

Context

You can restrict authorizations for posting in special periods (adjustment periods) by using authorization groups. First, you need to create an authorization group.

Note

This procedure is based on default content and UIs. Depending on your configuration settings, the procedure may be slightly different.

Procedure

1. Open the **Manage Posting Periods** app.
2. Enter a posting period variant, press ENTER and choose **Go**.
3. Select the posting period variant or a posting period variant item (combination of posting period variant, account type, and account range) and choose **Set Posting Periods** > **Open Periods**.
4. Choose the **Adjustment Periods** tab, open **Authorization Group Settings** and select **Change To**.
5. Enter any name for the authorization group and choose **OK**.
6. You´ve now created an authorization group which is assigned to the selected posting period variant (item).

Results

The name of the authorization group is displayed in the **Authorization Group** field.

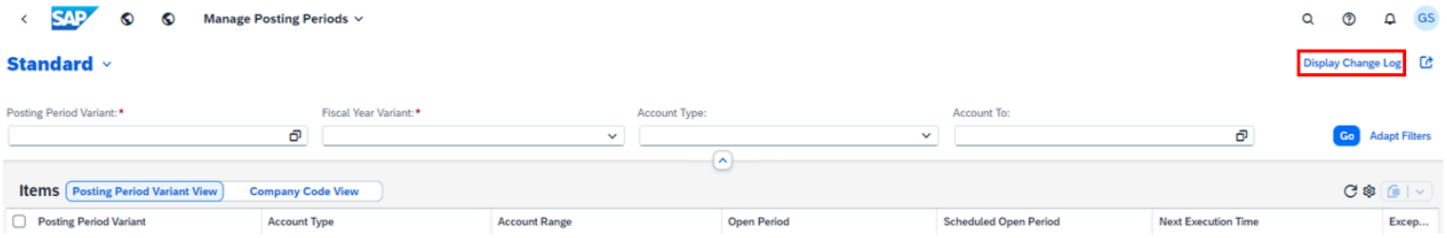
A system administrator can now use the authorization group in the **Maintain Business Roles** app. For more information, see How to Use Authorization Groups for Posting Period Variants.

Related Information

Manage Posting Periods
How to Create an Authorization Group in the Manage Posting Period Variants App
How to Use Authorization Groups for Posting Period Variants

How to Display the Change Log in the Manage Posting Periods App

The **Display Change Log** feature is available in the **Manage Posting Periods** app (App ID: **F2293**).



You can use the **Display Change Log** feature to display details of changes made to the selected posting period variant. Whenever posting period data is created, changed, or deleted, these actions are automatically recorded. The **Display Change Log** feature enables you to display these records directly in the **Manage Posting Periods** app.

Note

You can display the change log for one posting period variant at a time. If you select more than one posting period variant, the change log won´t display.

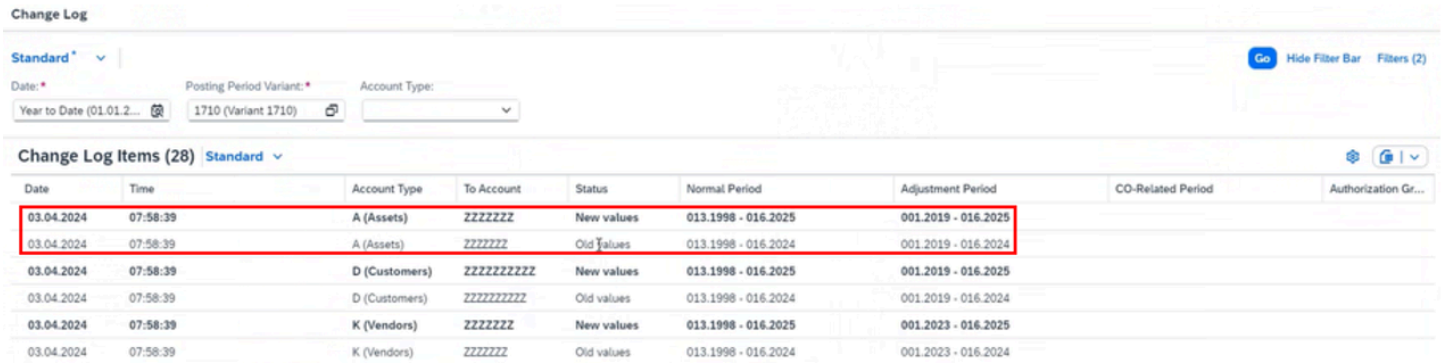
Procedure

1. Select a **Posting Period Variant** and enter all other required data.
2. Choose **Display Change Log**.
3. Enter the date or the date range for which you want to display the change log.
4. Choose **Go**.

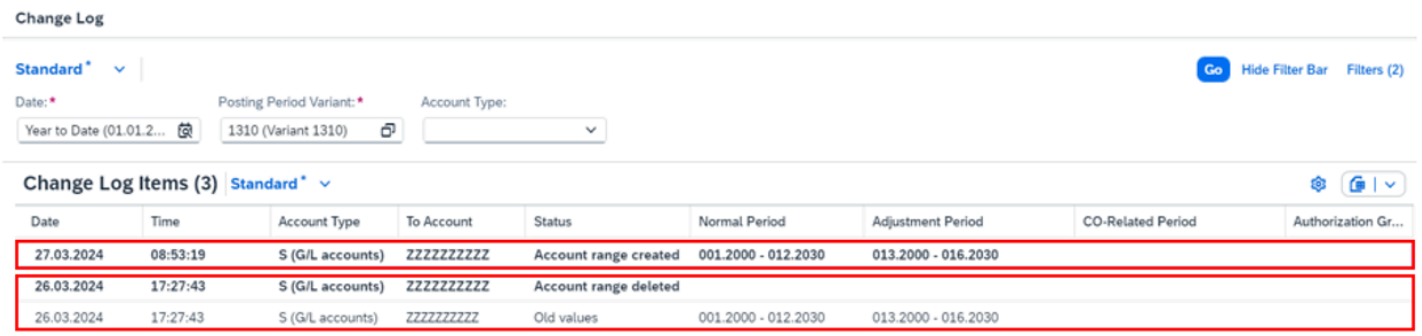
Results

The change log items are displayed in value pairs:

- The first record shows the **new values** after the change was made to the selected posting period variant
- The second record shows the **old values** before the change was made to the selected posting period variant



If you create a new account range in the **Manage Posting Periods Variants** app, then the change log displays only one item for this change, because no previous record of this account range exists. If you change or delete an account range, then the change log displays the results as usual in value pairs – one item which shows the status before the change/deletion and one item which shows the status after the change/deletion.



You can export your results to an Excel file by choosing **Export Table** ( ).

Note

The screenshots on this page are available in English only. Interfaces may differ slightly depending on the version of your apps or on your configuration settings.

Related Information

Manage Posting Periods
Manage Posting Period Variants

Manage Posting Periods – Cost Accounting

App ID: F4684

With this app, you can open and close fiscal periods for cost accounting transactions. This allows you to ensure that postings are made in the correct fiscal periods.

Key Features

You can use this app to:

- Display the status of fiscal periods.
- Open or close fiscal periods by company code.
- Open or close fiscal periods for specific business transactions types by company code.
- Open or close fiscal periods by filtered criteria.
- Display a change log of changes made to posting periods.
- Schedule background jobs to open and close posting periods.

Supported Device Types

- Desktop
- Tablet

The SAP Fiori apps reference library has details about the content necessary for giving users access to an app on the **SAP Fiori launchpad**. To see this app's Fiori content, go to the SAP Fiori apps reference library and search for the app. Then select the product. On the **Implementation Information** tab, select the correct release. The details are in the **Configuration** section.

Related Information

Manage Posting Periods

Manage Recurring Journal Entries

You can use this app to manage your recurring journal entries.

App ID: F1598

You can use this app to create, display, edit, and delete recurring G/L journal entries. It also lets you trigger due postings, and to review the posting status and planned postings for recurring journal entries.

A recurring journal entry is a business transaction that is repeated regularly. An example would be the deferral of costs or revenues for an invoice where the same amount is posted over a period of 12 months. It consists of a template journal entry and a recurrence rule attached to it. A recurring journal entry by itself is not a journal entry; rather, you trigger the posting of journal entries from it. In other words, a recurring journal entry is comparable to a standing order at a bank.

You can also copy an existing journal entry to use as a template. You can then use this template to create other recurring journal entries to which you want to apply the same rules.

To make your work more efficient, you can personalize the layout of the table, predefine recurring queries, and save your settings as variants.

ℹ Note

- If you want to activate negative posting for automatically created items for posting, you can select **Negative Posting** in the **Edit Options for Journal Entries** app. For more information about the option, see Edit Options for Journal Entries.
- For information about scheduling a posting job in the **Schedule General Ledger Jobs** app, see Post Recurring Journal Entries.
- It isn't supported to post intercompany recurring journal entries with this app.

Your **G/L Accountant** can perform the following tasks.

Key Features

- Create, display, edit, and delete recurring journal entries
- Create and modify recurrence rules for journal entries to be posted
- Find recurring journal entries using a range of search criteria
- Trigger postings of journal entries when due
- Review the posting status and planned postings of recurring journal entries
- Copy a recurring journal entry to use as a template for other recurring journal entries
- Personalize the layout of data in the table
- Export data to a spreadsheet
- Share recurring journal entry data and other information by email

Please note that this app only supports G/L postings.

ℹ Note

This app contains in-app help for key fields and concepts. To display the help while working in the app, press F1 or choose the question mark displayed in the app header.

Supported Device Types

- Desktop
- Tablet

Information for Key Users

The SAP Fiori apps reference library has details about the content necessary for giving users access to an app on the **SAP Fiori launchpad**. To see this app's Fiori content, go to the SAP Fiori apps reference library and search for the app. Then select the product. On the **Implementation Information** tab, select the correct release. The details are in the **Configuration** section.

Closing Functions

Balance Carryforward

Balance carryforward (BCF) involves carrying forward account balances for all currencies into the new fiscal year. The balance carryforward is automatically scheduled to run two weeks before the start of a new fiscal year and opening balances for a fiscal year are made available. Furthermore, balances are automatically updated whenever postings are made to the previous fiscal year. To handle postings that are made while a balance carryforward run is in process, balances are carried forward one day after the automatic balance carryforward is activated. For more information about technical details, refer to SAP Note 3014633.

If you'd like to manually schedule the balance carryforward, you can use the **Balance Carryforward** job template in the **Schedule General Ledger Jobs** app.

Features

The system performs the balance carryforward as follows:

- Balance sheet accounts

  The balances on the balance sheet accounts are carried forward to the same accounts.

- Profit and loss accounts

  Profit and loss accounts are carried forward to one or more retained earnings accounts. When balance carryforward is performed, the balance of the profit and loss account is set to zero.

- Retained earnings accounts

  The opening balance on a retained earnings account is as follows:

  Opening balance = Closing balance of the previous year + Retained earnings from profit and loss accounts

Balance Carryforward Details

You can use the following apps to view balance carryforward details:

- In the **Balance Carryforward Status** app, you can view details about the balance carryforward, such as the status, when it was run, and more.
- In the **Journal Entry Analyzer** app, you can display the balance that was carried forward from the previous fiscal year. You can also compare the ending balance of one fiscal year with the starting balance of the next fiscal year. For more information, see View Details in the Journal Entry Analyzer App.
- You can compare totals for the complete profit and loss accounts with retained earnings account. For more information, refer to SAP Note 3071770.

Note

For open-item-managed accounts, the account assignments considered in the balance carryforward are restricted to those, which balance to zero during the clearing process.

Related Information

Schedule General Ledger Jobs
Balance Carryforward
Balance Carryforward Status

Balance Carryforward Status

App ID: F4683

You can use this app to view details about the balance carryforward, such as the status, when it was run and more.

The balance carryforward involves carrying forward account balances for all currencies into the new fiscal year. The balance carryforward is automatically scheduled to run two weeks before the start of a new fiscal year and the opening balances for a fiscal year are made available.

Furthermore, balances are automatically updated whenever postings are made to the previous fiscal year. To handle postings that are made while a balance carryforward run is in process, balances are carried forward one day after the automatic balance carryforward is activated.

Key Features

You can use this app to:

- View details about the balance carryforward, such as the status, when it was run, and more.
- Select a status in the **Balance Carryforward Status** table to navigate to the **Log Details**.
- Search for a balance carryforward with a specific status.
- Search for a balance carryforward based on the **Run Date** or a specific **Time Period**.

Supported Device Types

- Desktop
- Tablet

Note

This app contains in-app help for key fields and concepts. To display the help while working in the app, press F1 or choose the question mark displayed in the app header.

Information for Key Users

The SAP Fiori apps reference library has details about the content necessary for giving users access to an app on the **SAP Fiori launchpad**. To see this app's Fiori content, go to the SAP Fiori apps reference library and search for the app. Then select the product. On the **Implementation Information** tab, select the correct release. The details are in the **Configuration** section.

Related Information

Balance Carryforward

View Details in the Journal Entry Analyzer App

View details about the balance carryforward in the **Journal Entry Analyzer** app

In the **Journal Entry Analyzer** app, you can display the balance that was carried forward from the previous fiscal year. You can also compare the ending balance of one fiscal year with the starting balance of the next fiscal year. To do so, proceed as follows:

- Specify the **Ledger** and **Company Code**.
- Specify the **Fiscal Year Period**. For example, from 000/YYYY (the current fiscal year) to 000/YYYY (the next fiscal year).
- Specify any **Key Date**. (The key date isn't relevant for this use case.)
- Select **GO**.
- Open the **Navigation Panel** and under **Available Fields**, add **Ledger Fiscal Year** to the columns axis.

  In the resulting table, columns are included, which show the ending balance for the current fiscal year and the starting balance for the next fiscal year.

If you want to compare the starting balance of the retained earnings account to the ending balance of profit and loss (P&L) and retained earnings accounts for the previous fiscal year, you must also:

- Specify the P&L account in the **G/L Account** field and select **GO** to view the ending balance for the previous fiscal year. (The starting balance is always zero.)
- Specify the retained earnings account in the **G/L Account** field and select **GO** to view the starting balance for the current fiscal year.
- To view the breakdown of starting balances in the retained earnings account, open the **Navigation Panel** and under **Available Fields**, add **Offsetting Account** to the rows axis.

  The starting balance of the retained earnings account is broken down between the corresponding P&L accounts (and retained earnings account). You can use this information to compare the breakdown of starting balances in the retained earnings account to the ending balance of P&L accounts (and retained earnings accounts).

ℹ Note

- The balance carryforward only considers the balance transaction currency.

  Generally, the transaction currency and the balance transaction currency are the same. However, if a transaction invoice is in EUR and the payment is in USD, for example, then EUR is used as the balance transaction currency for the payment. As a result, amounts in the balance transaction currency balance to zero after clearing.
- If the **Only Balances in Local Currency** field is **Yes** for a G/L account, then the balance transaction currency (and the transaction currency) is set to the local currency for the balance carryforward (period 000). In the **Manage G/L Account Master Data** app, you can see the **Only Balances in Local Currency** field in the **Company Code View**.
- To view balances in the balance transaction currency, open the **Navigation Panel** and under **Measures**, select **Amount in Balance Transaction Currency**. If any other currencies are selected, deselect them.

Related Information

Balance Carryforward
Journal Entry Analyzer
Manage G/L Account Master Data
Display Line Items in General Ledger

Reconcile GR/IR Accounts

App ID: F3302

In an ideal scenario, invoice amounts and quantities perfectly match the corresponding purchase orders and goods receipts. However, discrepancies often occur, leading to open balances on the Goods Receipt/Invoice Receipt (GR/IR) account. This app helps you reconcile your GR/IR accounts by reducing open items, improving the accuracy of your financial statements, and allowing early detection of potential issues, such as discrepancies with suppliers.

! Restriction

Scheduling agreements are not supported.

Prerequisites

Configuration Options for Key Users

In your configuration environment, use the search function to access the following activities:

- **Define Root Cause of GR/IR Clearing Process**

  Define the root causes for unbalanced GR/IR accounts that align with your goods and invoice receipts reconciliation process. The default configuration includes a set of root causes, such as **Incorrect Invoice (Goods Amount too High)** and **Invoice Error (Wrong Goods Amount Entered)**.

- **Define Status Management for GR/IR Clearing Process**

  Define statuses that best match your goods and invoice receipt reconciliation process. The default configuration includes statuses, such as **Check Goods Movement**, **Request Completion of Delivery**, and **Write-Off Completed**.

For more information, see Configuration Environment of SAP S/4HANA Cloud Public Edition.

To adapt the process of reconciling goods receipts and invoice receipts that do **not** match to your requirements, you have the following options:

Information for Key Users: Authorizations

In the **Maintain Business Roles** app, key users can manage access by assigning business users to appropriate roles and catalogs.

You can either:

- Copy the **General Ledger Accountant** business role template (`SAP_BR_GL_ACCOUNTANT`), which contains all relevant business catalogs, and remove any that are not needed, or
- Start with a blank template, add only the required catalogs, and assign your business users to the business role containing the necessary catalogs.

To use the **Reconcile GR/IR Accounts** and **Monitor GR/IR Account Reconciliation** apps, business users must be assigned to the **Finance - Account Reconciliation** business catalog (`SAP_FIN_BC_ACC_RECON_PC`). This allows them to process purchase order items where goods receipts and invoice receipts values differ.

As a key user, you can also restrict access based on company codes, purchasing organizations, purchasing groups, plants, and GR/IR process status.

¡ Note

Restricting access to specific statuses ensures users can only view and process items that are assigned to them and have a certain status.

ℹ Note

Valid Processors in the Assign Dialog

When you click **Assign** to assign processors to purchasing document items, only users with write authorization or object assignment rights are displayed in the dialog. Users must have at least the minimum authorization equivalent to the `SAP_BR_GL_ACCOUNTANT` (**General Ledger Accountant**) business role template, along with write authorization for the **GR/IR Account Reconciliation** restriction type.

As a key user, you can copy the `SAP_BR_GL_ACCOUNTANT` (**General Ledger Accountant**) business role template, adjust it by removing any unnecessary business catalogs, and save the updated role. The business role must contain the **Finance - Account Reconciliation** (`SAP_FIN_BC_ACC_RECON_PC`) business catalog, and grant write authorization for the **GR/IR Account Reconciliation** restriction type. Then, assign the relevant users to this role. Only users with these specific authorizations are displayed in the **Assign** dialog.

For more information about how to grant access, see Maintain Business Roles.

Key Features

This app provides the following key features:

- **Compile a Worklist with Open Items Needing Clarification**

  You can create a worklist of purchase order items with differing amounts and/or quantities in goods receipts and invoice receipts, which need urgent attention. The open items, to be clarified and processed, are displayed in a results table. To get a worklist, you can select from filter criteria, such as company code, supplier, purchasing document, and posting date of the latest open item or smart fact.

- **Display Items to Be Processed as a Chart or Results List**

- **Smart Facts**

  Smart facts describe the business situation for the items to be clarified. This facilitates your work because you don't have to analyze the figures and conclude the business situation yourself. You can select the worklist for the items to be clarified by smart facts, such as items where no goods receipt or invoice has been posted yet, or items where the amounts or quantities differ in goods and invoice receipts. The smart facts are also displayed for each purchase order item, with open items in Financial Accounting (FI), that needs clarification.

- **Display Purchasing Document Details**

  You can view the following details of the purchasing document to be processed:

  - **Overview** that shows smart facts, the quantity of received goods and the invoiced quantity, and amounts of ordered and invoiced goods
  - **Financial Accounting Open Items** that shows the journal entries (goods receipt and invoice)
  - **Purchasing Document History**
  - **Processing Log** where processors can create notes that document the progress in clarifying any outstanding issues

- **Use Filters to Create and Save a Worklist Variant**

- **Display Purchasing and Financial Accounting Information Simultaneously**

  This app allows you to view both purchasing and financial accounting information side by side.

- **Reduce Purchasing Document Items with FI Open Items Continuously**

You can select one or more purchasing documents for processing and assign a status, such as **Check Goods Movement**, **Request Completion of Delivery**, or **Request Correction of Invoice**. You can also assign a priority, processor, processing department, and root cause, such as differing quantity in invoice or missing goods receipts. Comments can also be entered. To write-off an open item, you can select the respective purchasing document item and choose **Perform Write-off**.

- **Write-off of Differences**

  You can write off differences for goods amounts, delivery costs, or both for one or more selected purchasing document items. The **Perform Write-off** button is only active when you select purchasing document items with one of the following status values assigned:

  - Perform Write-off
  - Perform Write-off of Goods
  - Perform Write-off of Delivery Costs

  By choosing one of these status values, you specify whether to write off only the differences on the goods account, the delivery costs account, or both.

- **Access**

  Depending on your authorization, you can navigate from within this app to the apps listed in Access Other Apps from Reconcile GR/IR Accounts.

In addition, the app supports the following technical features and options:

- SAP Jam integration
- Sending emails

Intelligent GR/IR Account Reconciliation

The app helps reduce open items with differing values in invoice receipts and goods receipts. However, investigating, clarifying, and classifying each item takes time. To make GR/IR account reconciliation smarter and save time, you can use it with machine learning. The machine learning service learns from past decisions, applies this knowledge to new business situations, and suggests the next steps, along with the priority and root cause for each item.

For details on how to configure and use machine learning with GR/IR Account Reconciliation, see Intelligent GR/IR Account Reconciliation.

Data Aging

The app can only access the current data. Therefore, the relevant data must not be moved to the historical area before being used in the **Reconcile GR/IR Accounts** app.

Situation Handling

This app uses situation handling to automatically inform responsible users about matters that require their attention. The following situation templates are available for use in this app:

- GR/IR Clearing Processor Was Changed

  Using the `FIN_GRIRPROCESSORCHANGED` situation template, you can inform a user that they've been assigned as a processor for a purchasing document item that needs clarification.

- GR/IR Deviation Exceeds Threshold

Using the FIN_GRIRDEVIATIONEXCEEDSTRHSLD situation template, you can inform a user that they've been assigned as a processor to resolve discrepancies in quantity or amount between goods receipts and invoice receipts for purchasing document items, which are either long overdue or exceed a certain threshold.

You can copy these situation templates for different scenarios and adapt them to display custom notifications based on your specific criteria. The notifications can be displayed directly after logging into the app. They can also be displayed on the launchpad, for example, when a requisitioner logs in. Situation handling ensures that the appropriate action is taken to resolve different situations as efficiently as possible.

Configuration for Situation Handling for Key Users

To copy a standard situation template, you must have a user with the same minimum authorizations as the **Configuration Expert - Business Process Configuration** (SAP_BR_BPC_EXPERT) business role template. To copy one of the standard templates for the GR/IR reconciliation scenario and adapt it to your needs, proceed as follows:

1. Log on to the SAP Fiori launchpad and open the **Manage Situation Type** app.
2. Search for the FIN_GRIRPROCESSORCHANGED or FIN_GRIRDEVIATIONEXCEEDSTRHSLD template.
3. Select the template and then, choose the **Copy** button to copy the template to a new situation type.
4. In the new situation type, define the settings according to your needs. Then, save and enable the situation type.

For more information, see Situation Handling.

Supported Device Types

- Desktop
- Tablet

Information for Key Users

The SAP Fiori apps reference library has details about the content necessary for giving users access to an app on the **SAP Fiori launchpad**. To see this app's Fiori content, go to the SAP Fiori apps reference library and search for the app. Then select the product. On the **Implementation Information** tab, select the correct release. The details are in the **Configuration** section.

Related Information

Access Other Apps from Reconcile GR/IR Accounts
Reconcile GR/IR Accounts: Business Background
Working with Reconcile GR/IR Accounts
Destroying GR/IR Reconciliation Processing History Using FINS_DEST_GRIRPROCHIS
Intelligent GR/IR Account Reconciliation
GR/IR Clearing Processor Was Changed
GR/IR Deviation Exceeds Threshold
All About Purchase Scheduling Agreements

Access Other Apps from Reconcile GR/IR Accounts

In the following areas within the app it is possible to navigate to other apps, depending on your authorizations:

- Purchasing Document Table

For all items in the table you can access all available apps for purchasing documents. You can either additionally access

- all available apps for purchase orders, if the purchasing document category of the item is F, or
- all available apps for purchase scheduling agreements, if the purchasing document category of the item is L.

For all items in the table you can access all available apps for company code and material.

For the purchasing document item and the supplier you can access the details popover.

For the processor, the proposed processor, created by and last changed by you can access the user contact card popover.

- Purchasing Document Details: Object Page

  In the **Financial Accounting Open Items** table, you can navigate to all available apps for:

  - Journal entry, such as the Journal Entry Analyzer or Manage Journal Entries (Old Version)
  - Company code
  - Purchasing document
  - Purchasing document item
  - Supplier
  - G/L account, such as Display G/L Account Balances (Deprecated) or Display Line Item Entry

  For the posting view item you can access the details popover.

  For created by you can access the user contact card popover.

  In the **Purchasing Document History** table, you can navigate to all available apps for:

  - Company code
  - Purchasing document
  - Purchasing document item
  - Material
  - Supplier

  For the document item you can access the details popover.

  Depending on the history category of the purchasing document, you can navigate to the following:

Purchasing Document History: Categories

Category	Category Name	Access to Apps
E	Goods Receipt	By clicking on the document number, you can access all available apps for Material Movement, such as Material Documents Overview.
Q, R	Invoice Receipt	By clicking on the document number, you can access all available apps for Supplier Invoice, such as Supplier Invoice.

Reconcile GR/IR Accounts: Business Background

Business background for reconciling GR/IR (Goods Receipts/Invoice Receipts) accounts.

GR/IR Accounts in Balance

For each goods receipt (GR) and invoice receipt (IR), a corresponding FI document is posted to a GR/IR account. If the quantities and prices for the goods receipt matches those in the invoice, the clearing run clears the FI open items on the GR/IR account. If, for example, there are missing goods receipts or invoice receipts or differing quantities or amounts, the items remain open on the GR/IR account. These items then need to be processed separately.

Understanding the Business Situation and Smart Facts

The GR/IR account reconciliation process is an exception handling process for all purchase order items with differences between goods receipts and invoice receipts. Typically, at the end of the fiscal period, when the general ledger accountant detects major discrepancies and they are not aware of the logistic details to resolve the issue, other parties, such as purchasers, warehouse managers or the supplier need to be involved. The general ledger accountant and other involved parties, need to understand the business situation on the level of a purchase order item and decide how to solve the situation. The purpose of the **Reconcile GR/IR Accounts** app and the **Monitor GR/IR Account Reconciliation** app is to support all involved parties, such as the general ledger accountant, the buying agent and the warehouse staff, with the following:

- Understanding the root cause of issues as quickly as possible

  There is a variety of reasons why differences in invoice receipts and goods receipts occur, such as:

  - The goods are not delivered completely.
  - The wrong goods are delivered.
  - There is an error in the invoice so you might request a new invoice from your supplier.
  - A calculation error happened with delivery costs.
  - The goods receipt or the invoice receipt is **not** entered in the system.

- Take the right series of steps to solve the issue

  Depending on the reason of differences, the involved parties might want to write-off differences, to request an invoice for goods delivered or, if the amount on the invoice was just too high, want to have that corrected by the supplier. The accounting department when looking at the open items, involves other parties, such as logistics, the buying center or the supplier to solve the issues to get GR/IR accounts in balance.

The general ledger accountant would determine steps based on the level of a purchase order item. The sequence of steps taken will solve the issues and reduces the number of open items and open balances of the GR/IR accounts continuously. The apps support you as the conclusions for the issues are presented directly in the **Reconcile GR/IR Accounts** app as smart fact. A smart fact describes a characteristic of the condition of a respective purchase order item. The condition of a purchase order item can be described by one or several smart facts.

Examples for Smart Facts:

- Invoice Amount Surplus (Goods)
- Invoice Quantity Surplus (Goods)
- Amount Surplus in Goods Receipts for Delivery Costs
- Quantity Surplus in Goods Receipts for Delivery Costs
- No Invoice Posted

- No Goods Receipt Posted

Root Cause and Status in the GR/IR Clarification Process

When working with the **Reconcile GR/IR Accounts** app and during the GR/IR clarifying process, the general ledger accountant assigns a processor or processing department, a status, a priority and a root cause to a purchase order item.

Some Examples for Root Causes in the GR/IR Clarification Process

Document Type	Root Cause
Goods Receipt	Incomplete goods receipt
	Missing goods receipt
	Wrong assignment of goods receipt to purchase order item
	Differing quantity in goods receipt
	Differing quantity unit in goods receipt
Invoice	Incomplete invoice
	Missing invoice
	Wrong assignment of invoice to purchase order item
	Differing quantity in invoice
	Differing unit price in invoice
Delivery Costs	Wrong distribution of delivery costs
	Other issue with delivery costs
	Other issue with delivery

In the following some examples for status are listed:

- Initial

  Purchase order items that were **not** processed yet, are displayed with the **Initial** status.
- Check Goods Movement
- Check Invoice Receipts
- Request Completion of Delivery
- Request Correction of Invoice
- Write-off Goods Amounts
- Write-off Delivery Costs

Working with Reconcile GR/IR Accounts

How to process purchasing document items with amounts and/or quantities in goods receipts and invoice receipts that do **not** match.

An example of how you work with the **Reconcile GR/IR Accounts** app to request changes for purchasing document items.

The main steps in this example for analyzing the GR/IR accounts and start and manage the clarification process for eye-catching documents are as follows:

1. You analyze the open items and decide which items need your most urgent attention.
2. You create a worklist for those items that should be clarified and processed.
3. You select the purchasing document items for analysis and process them.

Prerequisites

- To perform the following activities, you must log on with a user that has the same minimum authorizations as the **General Ledger Accountant** (`SAP_BR_GL_ACCOUNTANT`) business role template.
- The business role is assigned to the **Finance - Account Reconciliation** (`SAP_FIN_BC_ACC_RECON_PC`) business catalog.

How-To

Step	Where?	What?	Additional Comment
1	Your home page on the SAP Fiori launchpad	Open the **Reconcile GR/IR Accounts** app under **Periodic Activities**. The **Intelligent Goods and Invoice Receipt Account Reconciliation** screen is displayed. You can see all purchase order items for all company codes.	You logged on to the SAP Fiori launchpad as a **General Ledger Accountant**.
2	On the **Intelligent Goods and Invoice Receipt Account Reconciliation** screen of the **Reconcile GR/IR Accounts** app	You decide for example to check on the purchase order items in company code **1710** first, because this company code shows the highest number of items with the **Initial** status. This status indicates that these items have **not** yet been worked on. Enter the respective selection criteria and press `Enter`. For example: Company code: `1710` The purchase order items with unbalanced goods receipts and invoice receipts for the combination of company code and status are displayed, for example both as column chart and as a results list in table format.	You can compile your worklist for purchase order items to be processed by entering the following selection criteria: • Company code • Supplier • Purchasing document • Posting date of latest open item • Smart fact You can add additional selection criteria by choosing **Adapt Filters**. The purchase order items can be displayed both, as a chart and as a results list in table format. Or, you can change the view and only show the chart or the results list table only. For the chart you can choose different chart types, such as

Step	Where?	What?	Additional Comment
			column chart, pie chart or heat chart to name only a few.
3	In the **Purchasing Document Items** table	You select the purchase order item that you want to process by clicking the checkbox in front of the respective item, ☑. Then you click on the **Details** at the end of the row (>). The details of the purchase order item are displayed on the right part of the screen, but you can still see the selection criteria, chart view and the results list of items on the left part of the screen.	You can also select several items and request the same change for several items at once. You can display details of the following: • purchasing document item, such as material, order quantity, plant and price. • supplier, such as address
4	In the **Details** of the chosen purchase order item	To process the purchase order item, click on **Process Item** and enter a status, priority, processing department, processor and a root cause and click **OK**. You can also enter a note, if you want to give more details.	**Examples:** • For status: **Check Goods Movement**, **Request Correction of Invoice** or **Perform Write-Off**. • For priority: **Medium** or **High**. • For department: `Purchasing` • For root cause: Missing invoice, incomplete invoice, differing unit price in invoice In the **Financial Accounting Open Items** table, you can navigate to all available apps for: • Journal entry, such as the Journal Entry Analyzer or Manage Journal Entries (Old Version) • Company code • Purchasing document • Purchasing document item • Supplier • G/L account, such as Display G/L Account Balances (Deprecated) or Display Line Item Entry For the posting view item you can access the details popover. For created by you can access the user contact card popover.

<table>
<tr><th>Step</th><th>Where?</th><th>What?</th><th>Additional Comment</th></tr>
<tr><td></td><td></td><td></td><td>In the Purchasing Document History table, you can navigate to all available apps for:
Company code
Purchasing document
Purchasing document item
Material
Supplier
For the document item you can access the details popover.

Depending on the history category of the purchasing document, you can navigate to the following:

Purchasing Document History: Categories<table><tr><th>Category</th><th>Category Name</th><th>Access to Apps</th></tr><tr><td>E</td><td>Goods Receipt</td><td>By clicking on the document number, you can access all available apps for Material Movement, such as Material Documents Overview.</td></tr><tr><td>Q, R</td><td>Invoice Receipt</td><td>By clicking on the document number, you can access all available apps for Supplier Invoice, such as Supplier Invoice.</td></tr></table></td></tr>
</table>

GR/IR Clearing Processor Was Changed

Technical Name: `FIN_GRIRPROCESSORCHANGED`

Delivered for App: Reconcile GR/IR Accounts

Situation Template for situation handling that informs the processor that he or she is entered to clarify differences in amounts or quantities between the posted deliveries and invoices for a certain purchasing document item.

For more information, see Situation Handling and Key Concepts.

Business Value

You can use this standard template for the following situation: You want your business users, such as requisitioners, purchasers or general ledger accountants to be informed automatically when a new purchasing document item arrives that needs clarification.

The reconciliation scenario for goods receipts (GR) and invoice receipts (IR) deals with purchase order items which have differences in quantities and amounts between the posted deliveries and invoices. When amounts in goods receipts and invoice receipts match, the system can automatically clear the GR/IR accounts. As, latest at period end, differences need to be resolved, business users, such as requisitioners, purchasers or G/L accountants can work with the **Reconcile GR/IR Accounts** app to clarify and resolve any discrepancies for such kind of purchase orders.

In the app the business users get assigned to these types of purchasing document items that need to be clarified and processed. These business users typically do not work regularly with the app.

Using the situation template enables you to inform your business users automatically about these types of purchasing document items. You can make them aware automatically of certain purchasing document items that need immediate action or quick clarification. With the corresponding situation message, you can inform business users which actions are expected and send along all the information that is needed to solve the issues. Automatically sending notifications to business users helps you to speed up this GR/IR account reconciliation scenario.

Default Settings

In the following sections, you find information about how this standard template for situation handling is preconfigured: The fundamental technical settings such as the trigger object and the trigger type, and the settings that you can edit and need to configure in the Manage Situation Types app when you copy the standard template to create your own ready-to-use situation type.

Situation Trigger and Anchor Object

The situation is triggered when a user assigns a different processor in the **Reconcile GR/IR Accounts** app.

The anchor object is a purchasing document item listed in the app for which the processor is assigned.

Conditions

Conditions belong to the core settings of the Situation Type because they define under which circumstances the situation occurs.

The condition in this template defines that a situation is created if a processor is assigned that differs from the user that does the assignment.

You can also extend the condition to use this feature only for certain organizational units, such as specific company codes, purchasing groups or plants.

The predefined condition in this template is defined for processing:

Condition	Condition Description
1	Condition **Processor was Changed** is true

Situation Display

When a Situation Instance occurs, users are informed through different channels. You can change all predefined texts in this section, as well as other display settings for notifications.

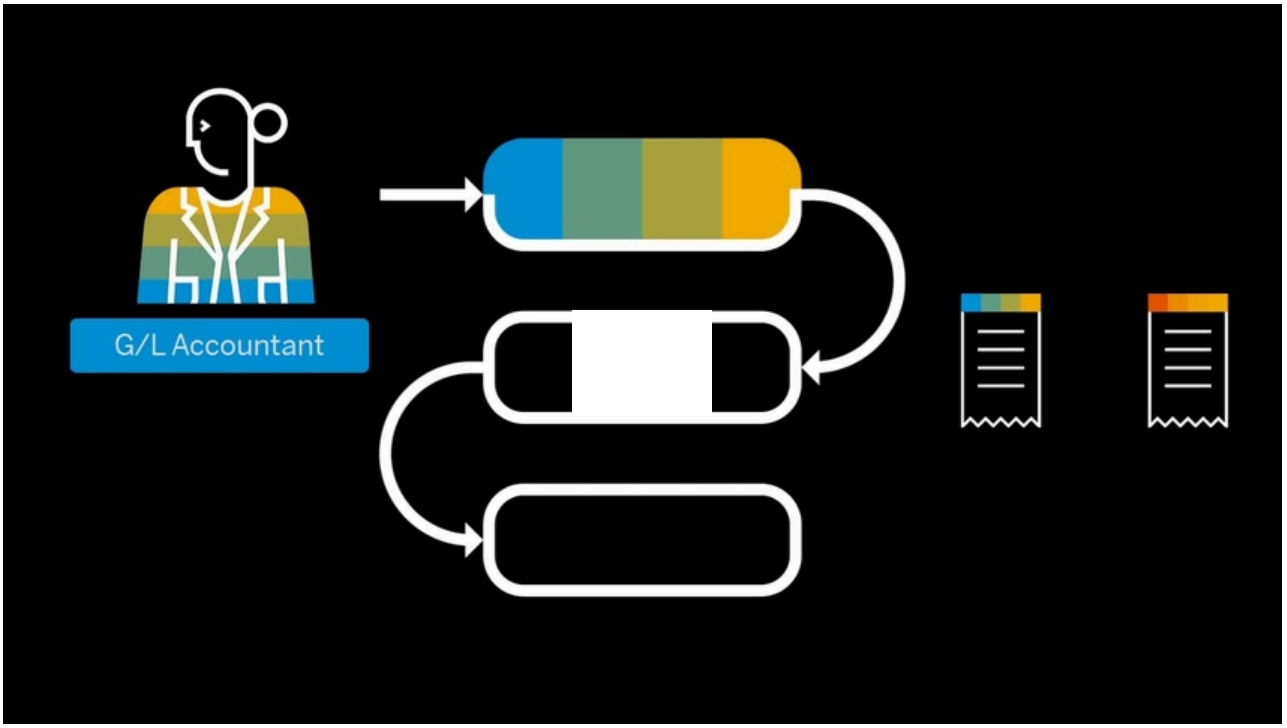
> **Note**
>
> After making the changes in the original language, do not forget to translate these changes into the other languages that you want to use. The standard template comes with translations that can be changed directly when you copy or edit the template. For more information, see Translate Situation Types.

For more information, see Situation Display.

Notification Recipients

The determination of the notification recipients is predefined by a rule for this template. The rule is that the processor that is assigned will get the notification.

Situation Handling: GR/IR Processor was Changed (English Only)



> **Note**
>
> Captions are available for **multiple languages**. Use the **CC** (Closed Captions) button in the video player to check which languages are supported.
>
> You can also use the **Search within video** field to search for specific text in the English or German captions.

GR/IR Deviation Exceeds Threshold

Technical Name: `FIN_GRIRDEVIATIONEXCEEDSTRHSHLD`

Consuming App: Reconcile GR/IR Accounts

Template used for Situation Handling that informs the processor that he or she is supposed to research and resolve differences between the quantity or amount in goods receipts and invoice receipts for purchasing document items that either exist since a long time or which are above a certain threshold.

As your business users might **not work daily** with the **Reconcile GR/IR Accounts** app to resolve differences in amounts or quantities between invoice receipts and goods receipts for purchasing document items, you can use situation handling to automatically make your business users directly aware of purchasing document items with such high deviations that require immediate attention.

For background information about the Situation Handling framework, see the Product Assistance for Situation Handling.

Business Value

As a configuration expert for business processes (SAP business role SAP_BR_BPC_EXPERT), you can use this template for the following situation:

You want your business users (such as G/L accountants, purchasers or requisitioners) to be informed automatically and immediately when an amount deviation on the GR/IR account for a purchasing document exceeds a certain threshold and needs immediate action or amount differences in invoice receipts and goods receipts for a purchasing document item exist since a long time.

The business users might not work daily with the **Reconcile GR/IR Accounts** app to resolve differences on GR/IR accounts for purchasing document items and therefore might **not** detect these issues quickly enough.

At the end of the fiscal period, your G/L accountants need to reconcile any differences on GR/IR accounts between goods receipts and invoice receipts for purchasing document items. When the goods receipts and invoice receipts match, the clearing run clears the FI open items on the GR/IR accounts, but if there are differences in quantities and amounts between the posted deliveries and the invoices, these FI open items need to be processed manually.

Typically, the G/L accountant detects major discrepancies and as he or she is **not** aware of the logistics details to resolve the issue, he or she needs to involve the colleagues from requisitioning or purchasing.

That is where situation handling comes in - you can use the situation template **GR/IR Deviation Exceeds Threshold** to inform a processor, or a team of processors of such items that need quick clarification because of high amount deviations or items with differences which exist since a long time and need to be taken care of at once.

Default Settings

The template comes with predefined settings. For the settings that aren't visible or self-explanatory, you can find information in the following sections. For generic information about how to configure situations based on this template, refer to the documentation of the Manage Situation Types app with which you can display and use the template.

For more information, see Manage Situation Types.

Situation Trigger Object and Anchor Object

These technical settings define for which object a situation is displayed (anchor object) and the object based on which a situation is triggered (trigger object):

Trigger Object: Purchasing Document Item

Anchor Object: Purchasing Document Item

Description: The situation is triggered when an amount deviation on the GR/IR account for a purchasing document item exceeds a certain threshold. This event initiates the processing of conditions that check for the amount threshold, if the criteria specified are met by the purchasing document item in question.

Conditions

The condition in this template defines that a situation is created when an amount deviation on the GR/IR account for a purchasing document exceeds the defined threshold.

You can also extend the condition to use this feature only for certain organizational units, such as for specific company codes, plants, purchasing groups or purchasing organizations.

For more information, see Conditions.

⚠ Caution

Please be aware of the following for company codes with currencies which have no decimals or which have more than two decimal places:

Amounts for currencies without decimals or with more than two decimal places are stored shifted on the database. For example for japanese yen:

Amount in Company Code Currency on the App User Interface	Amount Stored on Database and to be Used for Filtering
595 JPY	5. 95

This means: If you want to get a notification for a situation, that a threshold of 1,000,000 was exceeded, you had to enter 10,000 for the currency JPY and 1,000,000 for all other currencies.

Situation Display

When situations occur, users are informed about them by various texts, such as in-app situation messages or notifications on SAP Fiori launchpad. In this section, you can see all preconfigured texts.

For more information, see Situation Display.

ℹ Note

When you copy the template and adapt it to your needs, you can define the notification settings and change all text elements in this section. After making the changes in the original language, please remember to translate these changes into the other languages that you want to use. The template comes with translations that can be changed directly when you copy the template.

For more information, see Translate Situation Types.

Notification Recipients

In this section, you see the predefined settings for determining who is responsible for a situation instance. Based on these, you can define who receives a notification when a situation instance is triggered (if enabled) or who sees the instance in the My Situations app.

Responsibility by Teams

The predefined settings in this template determine that notification addresses only members of the **GR/IR Account Reconciliation** team category. You can also use the predefined filters Company Code, Plant, Purchasing Group, Purchasing Organization, and Supplier to narrow down the recipients. For instance, if a specific team is only responsible for clarifying differences on GR/IR accounts in a specific company code `1010`, only team members assigned to this company code are notified.

For more information, see Recipients.

Situation Monitoring

Monitor Instances: Monitoring (the tracking of changes to situation instances) isn't enabled by default for situation templates. When you copy the template to create a situation type, you need to enable this option if you want to capture data for this situation type and enable the creation of business situation events. You can view the data in the Monitor Situations app.

Capture Data Context: You can capture the data associated with the situation type that you define with this template. You can use the Business Situation – Read API to extract the context data to another platform. It lets you capture the data listed below.

From the trigger object CDS View `C_GRIRDEVIATIONSITUATION`:

Field Name	Description
`NUMBEROFDAYSSINCELASTPOSTING`	Number of Days Since Last Posting

From the anchor object CDS View `C_GRIRACCOUNTRECONCILIATION`:

Field Name	Description
`ACCOUNTASSIGNMENTCATEGORY`	Account Assignment Category
`BALAMTINCOMPANYCODECRCY`	Balance Amount in Company Code Currency
`BALANCEABSOLUTEAMTINCOCODECRCY`	Absolute Balance Amount in Company Code Currency
`BALANCEABSOLUTEQUANTITY`	Absolute Balance Quantity
`BALANCEQUANTITY`	Balance Quantity
`BASEUNIT`	Base Unit of Measure
`COMPANYCODE`	Company Code
`COMPANYCODECURRENCY`	Company Code Currency
`GRIRCLEARINGPROCESSPRIORITY`	Processing Priority of GR/IR Clearing
`GRIRCLEARINGPROCESSROOTCAUSE`	Root Cause of GR/IR Clearing
`GRIRCLEARINGPROCESSSTATUS`	Processing Status of GR/IR Clearing
`GRIRCLRGPROCESSPRPSDROOTCAUSE`	Proposed Root Cause of GR/IR Clearing
`GRIRCLRGPROCESSPRPSDSTATUS`	Proposed Processing Status of GR/IR Clearing
`GRIRCLRGPROCPRPSDPRIORITY`	Proposed Processing Priority of GR/IR Clearing
`GRIRPROPOSEDPRIOMAXCLPROBLTY`	Maximum Confidence Level for Proposed Processing Priority
`GRIRPROPOSEDSTATUSMAXCLPROBLTY`	Maximum Confidence Level for Proposed Status
`GRIRPRPSDROOTCAUSEMAXCLPROBLTY`	Maximum Confidence Level for Proposed Root Cause

Field Name	Description
ISFINALLYINVOICED	Is Final Invoice
LASTCHANGEDAYS	Days Since Last Change
LATESTOPENITEMPOSTINGDATE	Posting Date of Latest Open Item
MATERIAL	Material
MATERIALGROUP	Material Group
NUMBEROFGOODSRECEIPTS	Number of Goods Receipts
NUMBEROFINVOICERECEIPTS	Number of Invoice Receipts
NUMBEROFOPENITEMS	Number of Open Items
OLDESTOPENITEMPOSTINGDATE	Posting Date of Oldest Open Item
PLANT	Plant
PURCHASINGDOCUMENT	Purchasing Document
PURCHASINGDOCUMENTDELETIONCODE	Deletion Code of Purchasing Document
PURCHASINGDOCUMENTITEM	Purchasing Document Item
PURCHASINGGROUP	Purchasing Group
PURCHASINGORGANIZATION	Purchasing Organization
PURGDOCORDERQUANTITYUNIT	Unit of Ordered Quantity in Purchasing Document
VALUATIONAREA	Valuation Area

Enable Situation Automation: If you enable this feature, you can use your own automation solution to handle situation instances on another platform. Please note that if a situation instance is handled automatically, the end user is not informed about it. If you haven't implemented an automation solution, do not select this option.

ℹ Note

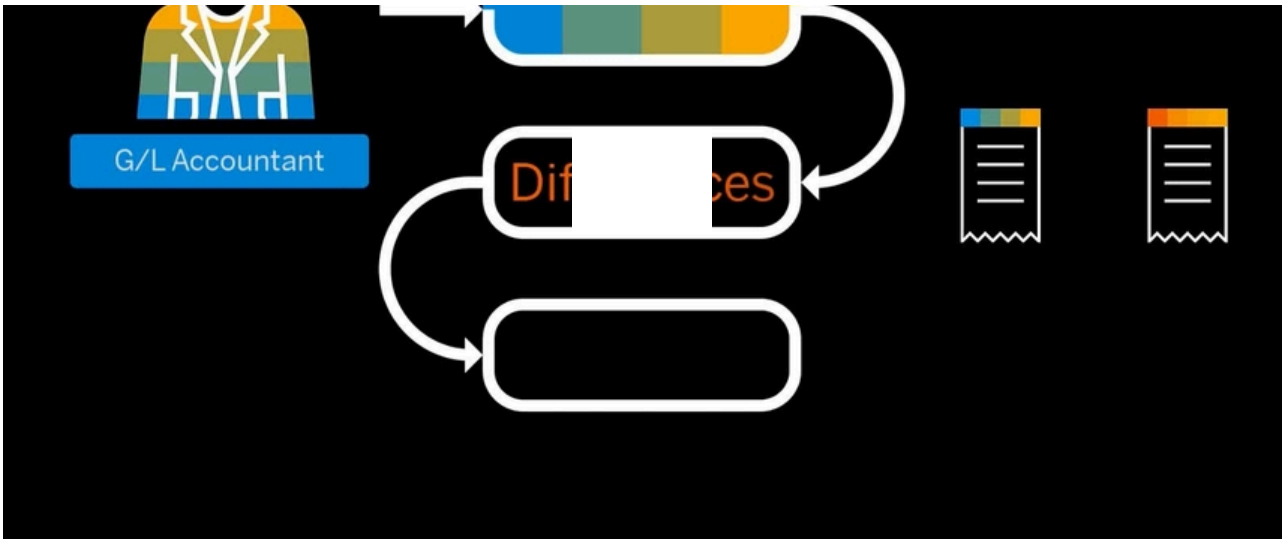
There's an extension available for Situation Handling on SAP Business Technology Platform. The **Intelligent Situation Automation** service uses business rules to automatically resolve situations that occur in Situation Handling. It requires a separate software license. For more information, see Intelligent Situation Automation.

ℹ Note

Customers are responsible for the data, including the adherence to legal restrictions in their judicial area. Neither SAP nor its associated companies assume any responsibility for the adherence to authorizations or data protection rules for data captured and processed by its customers. This means that customers alone must ensure adherence to these rules and regulations.

How to Manage Major Deviations in GR/IR Account Reconciliation (English Only)





Open this video in a new window

ℹ Note

Captions are available for **multiple languages**. Use the **CC** (Closed Captions) button in the video player to check which languages are supported.

You can also use the **Search within video** field to search for specific text in the English or German captions.

More Information

- Test script for this situation template in the 2V7 scope item in the SAP Best Practices Explorer
- How to Create a Custom Situation Template for GR/IR Deviation Exceeds Threshold

Related Information

Situation Handling
Key Concepts

How to Create a Custom Situation Template for GR/IR Deviation Exceeds Threshold

Find out how you can create a custom template for the **GR/IR Deviation Exceeds Threshold** situation template by copying the standard situation template.

Use

With this procedure you can define a certain threshold and get the attention of business users, such as the general ledger accountants who are working with the **Reconcile GR/IR Accounts** app to clarify differences, for the purchase order items which are either very old, that is, no one worked on them since quite some time, or where the difference amount is quite high.

So, users are automatically notified about purchase order items which need immediate action because of high amount deviations or purchase order items which haven't been looked at for a long time.

Create Ready-to-Use Situation Type with the Manage Situation Types App

<table>
<tr><th>Step</th><th>Decsription</th></tr>
<tr><td>1</td><td>On the SAP Fiori Launchpad log on with the user BPC_EXPERT.</td></tr>
<tr><td>2</td><td>Call up the Manage Situation Types app.</td></tr>
<tr><td>3</td><td>Search for the FIN_GRIRDEVIATIONEXCEEDSTRHSHLD (GR/IR Deviation Exceeds Threshold) template.</td></tr>
<tr><td>4</td><td>To copy this standard situation template, choose it and click Copy.</td></tr>
<tr><td></td><td>The system is creating a new situation type.</td></tr>
<tr><td colspan="2">Admin Information</td></tr>
<tr><td>5</td><td>In the New Situation Type screen on the Admin Information tab, enter an ID for the new situation type, for example Z1_GRIRDEVIATION.</td></tr>
<tr><td></td><td></td></tr>
<tr><td colspan="2">Conditions</td></tr>
<tr><td>6</td><td>Under Conditions, you can set the filters for the threshold, for example:

Condition 1
<table><tr><th>Name</th><th>Value</th></tr><tr><td>Company Code</td><td>1010</td></tr><tr><td>Balance Amount</td><td>Choose the value help for the balance amount and choose the value help for the operator, such as less than or equal and as a value enter for example -3,000,000 and choose OK.</td></tr></table>
To add the second condition, click on the + sign.

Condition 2
<table><tr><th>Name</th><th>Value</th></tr><tr><td>Company Code</td><td>1010</td></tr><tr><td>Balance Amount</td><td>Choose the value help for the balance amount and choose the value help for the operator, such as greater than or equal and as a value enter for example 3,000,000 and choose OK.</td></tr></table></td></tr>
<tr><td></td><td></td></tr>
<tr><td colspan="2">Situation Display</td></tr>
<tr><td>7</td><td>Make sure that the Send Notification is ticked for both conditions.</td></tr>
<tr><td></td><td></td></tr>
</table>

<table>
<tr><th>Step</th><th>Decsription</th></tr>
<tr><td>Batch Job Scheduling</td><td></td></tr>
<tr><td>8</td><td>In a customer system, the job might run for example once a day and it will check, whether there are items which exceed the threshold and create situations and notifications for those items.

You can enter a time zone and a start time for the batch job, for example:

<table><tr><th>Field Name</th><th>Value</th></tr><tr><td>Time Zone</td><td>UTC</td></tr><tr><td>Start Batch Job At</td><td>15:00</td></tr></table></td></tr>
<tr><td></td><td></td></tr>
<tr><td colspan="2">Situation Display</td></tr>
<tr><td>9</td><td>Under Notification you can decide whether you want to do the following:

• Resend Notifications

If you tick Resend Notifications, notifications are resent every day.

• Aggregate Notifications

If, for example 6 purchase order items exist where the threshold amount is exceeded, 6 notifications are sent. If you tick Aggregate Notifications, then for these 6 purchase order items only one notification is sent.

Under Notification Recipients in the Member Function enter GR/IR Account Reconciliation.</td></tr>
<tr><td>10</td><td>Save and choose Yes for enabling the situation type.</td></tr>
<tr><td colspan="2">Result: You created the Ready-to-Use Situation Type Z1_GRIRDEVIATION.</td></tr>
</table>

Define a Team with the Manage Teams and Responsibilities App

Step	Description
1	Call the Manage Teams and Responsibilities app from your SAP Fiori launchpad. You can search for it by choosing the magnifier icon.
2	Choose Create to create a new team.
Team Information	
3	Under Team Information > General Information enter a name and a descrition, such as:

<table>
<tr><th>Step</th><th>Description</th></tr>
<tr><td></td><td>
<table>
<tr><th>Field</th><th>Value</th></tr>
<tr><td>Name</td><td>Z1_GRIR_Team</td></tr>
<tr><td>Decsription</td><td>GR/IR Team</td></tr>
<tr><td>Type</td><td>Select the value help and the Go and click on FIGRIR.

Wit this team type, it is automatically connected to the situation type.</td></tr>
</table>
</td></tr>
<tr><td></td><td></td></tr>
<tr><td colspan="2">Responsibility Definitions</td></tr>
<tr><td>4</td><td>To restrict this team to the same company code for which you have also restricted the situation, choose Team Information › Responsibility Definitions and enter company code 1010, as you also set the condition (the threshold amount) when creating the situation type for this company code.

If, for example, you would create different situation types for different company codes, you can also make sure in the team settings that the notifications are sent to the right team, if you assume that each team is responsible for a certain company code, plant or purchasing group.</td></tr>
<tr><td></td><td></td></tr>
<tr><td colspan="2">Team Owners</td></tr>
<tr><td>5</td><td>Under Team Information › Team Owners enter the details of the team owner.</td></tr>
<tr><td></td><td></td></tr>
<tr><td colspan="2">Team Members</td></tr>
<tr><td>6</td><td>Under Team Information › Team Members add team members by choosing Create and using the value help to search for users that should belong to the team, pick them and choose Ok to add the users in question as team members.</td></tr>
<tr><td>7</td><td>Choose Save and make sure that the situation is ready to use.</td></tr>
<tr><td>8</td><td>Under Team Information › General Information set the status to Ready to Use.</td></tr>
<tr><td>Result: You can now wait for the batch job to run or start the batch job immediately with the Manage Situation Types app. Search the situation type you just created (Z1_GRIRDEVIATION), choose it and click on Trigger Now. After that the system creates situations and automatic notifications are sent to the team members.</td><td></td></tr>
</table>

Check Sent Notifications for a Situation Type

Step	Description
1	Log on with a user that you have added as a team member.
2	On the SAP Fiori launchpad, simply clock on the notification icon to see that notifications have been send. You can click on each of them and you can instantly see which purchase order item exceeds the threshold defined and needs immediate action. You can click on the notification which navigates you directly to the **Reconcile GR/IR Accounts** app which users would probably **not** check daily.

Destroying GR/IR Reconciliation Processing History Using FINS_DEST_GRIRPROCHIS

Procedure for destroying the processing data and the processing history data of the GR/IR account reconciliation when using the **Reconcile GR/IR Accounts** app.

You use data destruction objects to destroy data for which the extension period has expired and there is no legal hold. You can delete data from the database by scheduling a data destruction run for a corresponding data destruction object. You can use the data destruction object `FINS_DEST_GRIRPROCHIS` for destroying the processing data and the processing history data of the GR/IR account reconciliation. In the GR/IR processing history is recorded the root cause, status, follow-on status, processor and more for purchasing document items, such as purchase orders, that have not matching amounts and/or quantities, in invoice receipts or goods receipts. If you use the **Reconcile GR/IR Accounts** app with machine learning, then also the root cause, status, processor and so on that the machine learning service proposes, is recorded in the processing history. The data destruction object `FINS_DEST_GRIRPROCHIS` is assigned to the ILM object FINS_GRIR as part of SAP Information Lifecycle Management. You destroy the data from the tables FINS_GRIRPROC and FINS_GRIRPROCHIS when their retention period that you defined has expired.

Checks

The following application-specific check is carried out on the processing history for purchasing document items before it can be destroyed:

- It is checked whether the retention period has expired.

Prerequisites

The following prerequisites need to be fulfilled before the processing history for purchasing document items can be destroyed:

- The ILM object has been assigned to an existing ILM audit area, for example `GENERAL` (see the **Assign ILM Object to Audit Area** configuration actvity in ILM Configuration).
- An ILM policy and the required retention rules for the ILM object `FINS_GRIR` have been defined (see the **Maintain ILM Policies and Rules** configuration activity in ILM Configuration).
- One or more policies with the policy status **Live** are available for the ILM object.

ILM-Based Information for the Data Destruction Object

You create policies and rules for the related ILM object of this data destruction object.

The following fields for the ILM object are defined in the ILM policy and are visible when processing the **Maintain ILM Policies and Rules** configuration activity:

- Available **Condition Fields**
  - `COMPANYCODE` (Company Code)
  - `RESPONSIBLEPERSON` (Processor of GR/IR Reconciliation Processing)

How-To

Assign an Audit Area to ILM Object `FINS_GRIR`

Depending on your configuration environment for SAP S/4HANA Cloud you access the configuration activities in a different way. For a description of how to access the ILM configuration activities in your configuration environment, see ILM Configuration.

1. To create a new assignment of ILM object to audit area, open the **Assign ILM Object to Audit Areas** configuration activity.
2. Choose an appropriate audit area, for example `GENERAL` (with policy category `RTP`) and choose **Run**.
3. On the next screen, choose **Edit** and choose **New Entries**. Enter the ILM object `FINS_GRIR`, and set **Status** to **Active** and save your entry.

Define a Policy and Retention Rules for ILM Object FINS_GRIR and Set the Policy Live

1. Open the **Maintain ILM Policies and Rules** configuration activity.
2. Choose policy category **Retention Rules**, an appropriate audit area, for example **GENERAL** and ILM object **FINS_GRIR** and choose **Run**.
3. On the next screen, choose **Edit** and choose **New Entries**.
4. Enter a policy name, such as `GRIR_POL1`, and enter the following details, if you want data to be deleted that is between 5 and 10 days old:
   - **Minimum Retention Period**: `5`
   - **Maximum Retention Period**: `10`
   - **Retention Time Unit**: `Day`
   - **Time Reference**: `LAST_CHANGE_DATE`
5. Choose **Save** and change the policy status to **Live**.

Schedule Job for Destroying GR/IR Reconciliation Processing History

1. Open the **ILM Data Destruction** app.
2. In the **Destruction Objects** tab, search and select the destruction object `FINS_DEST_GRIRPROCHIS` from the **Items** list under **Not Scheduled**.
3. Check the item **FINS_DEST_GRIRPROCHIS** and click **Schedule**.

   The job which will destroy the GR/IR reconciliation processing history for items that are within the given retention period is scheduled to run every 7 days.

   You get a message that you need to confirm, if you want to run the job that deletes data permanently from the database.
4. Once the job is finished, in the **Scheduled** tab, choose and double click the destruction object **FINS_DEST_GRIRPROCHIS**.

5. To view the job logs and further details, go to the details of the job.

Verify Whether Data Are Deleted As Expected in the Back-End System

1. Log on to the respective back-end system using your credentials.
2. Enter transaction `SE11` and database tables `FINS_GRIRPROC` and `FINS_GRIRPROCHIS`.
3. Click on the **Contents** icon and choose **Execute** (F8).
4. Check, whether the items that were, as in this example, between 5 and 10 days old, have been deleted.

See Also

- Information Lifecycle Management
- ILM Data Destruction

Intelligent GR/IR Account Reconciliation

You can use a machine learning service to make the process of goods and invoice receipt account reconciliation intelligent.

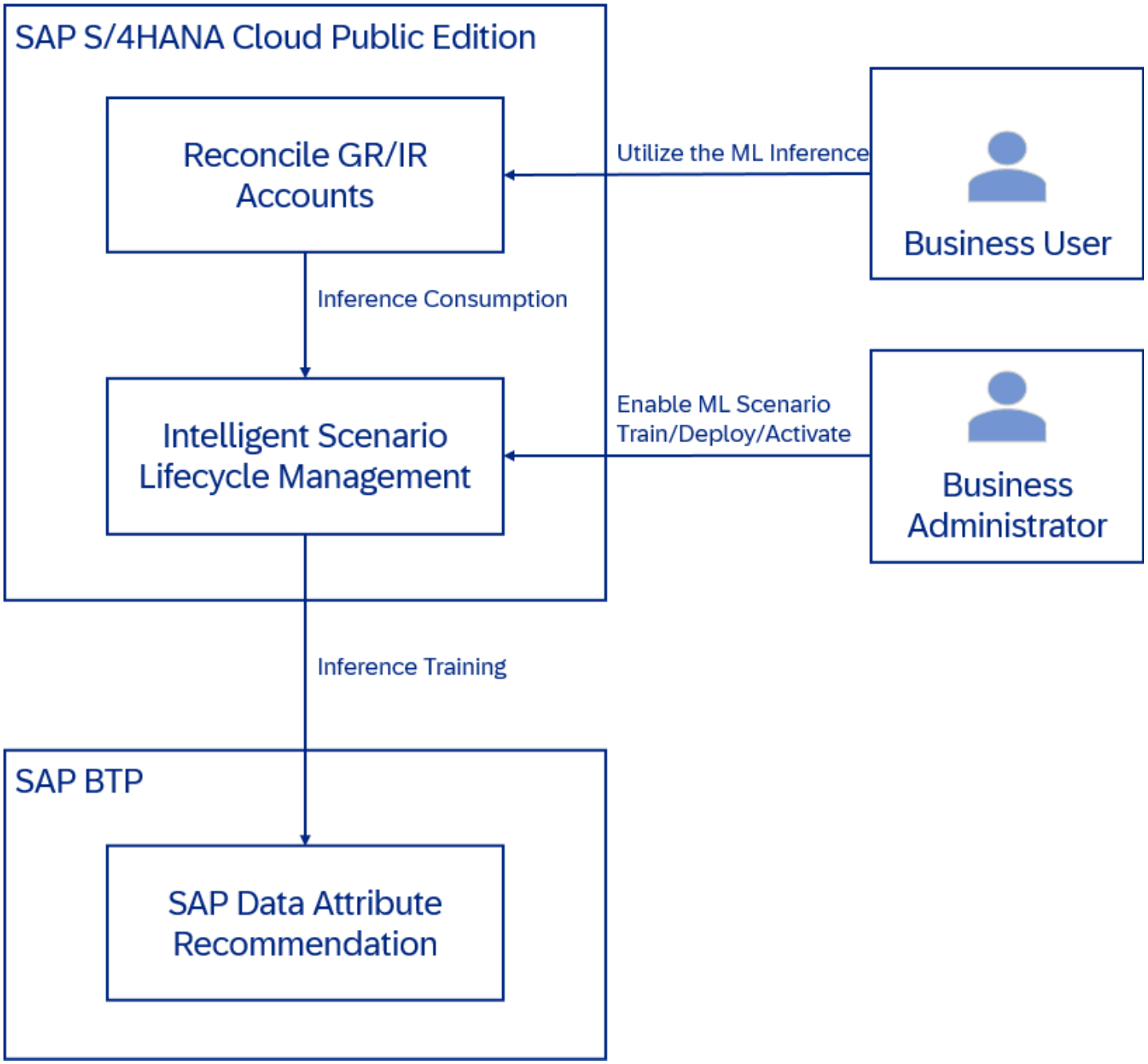
Related Information

Architecture of the Machine Learning Service for Reconcile GR/IR Accounts
Machine Learning Service
Machine Learning Concepts
Configuration Information

Architecture of the Machine Learning Service for Reconcile GR/IR Accounts

Check out this page for the technical system architecture of the machine learning service for the **Reconcile GR/IR Accounts** app.

Architecture of the Machine Learning Service for the Reconcile GR/IR Accounts App



The machine learning service communicates with the SAP S/4HANA Cloud Public Edition backend via Intelligent Scenario Lifecycle Management (ISLM) and the Fiori app **Reconcile GR/IR Accounts** which is running on the SAP Fiori launchpad in SAP S/4HANA Cloud Public Edition. The machine learning service itself is running on **SAP Business Technology Platform (SAP BTP)**. All communication is based on REST APIs over HTTPS, protected by the OAuth 2.0 mTLS protocol. For more information, see Data Attribute Recommendation.

In the SAP S/4HANA Cloud Public Edition backend, the ISLM is interacting with the machine learning Data Attribute Recommendation (DAR) service on SAP BTP. Furthermore, business data and the process history are both needed for the machine learning inference. For more information about the data, see Data Flow and about data privacy, see Data Privacy and Protection.

Business Services

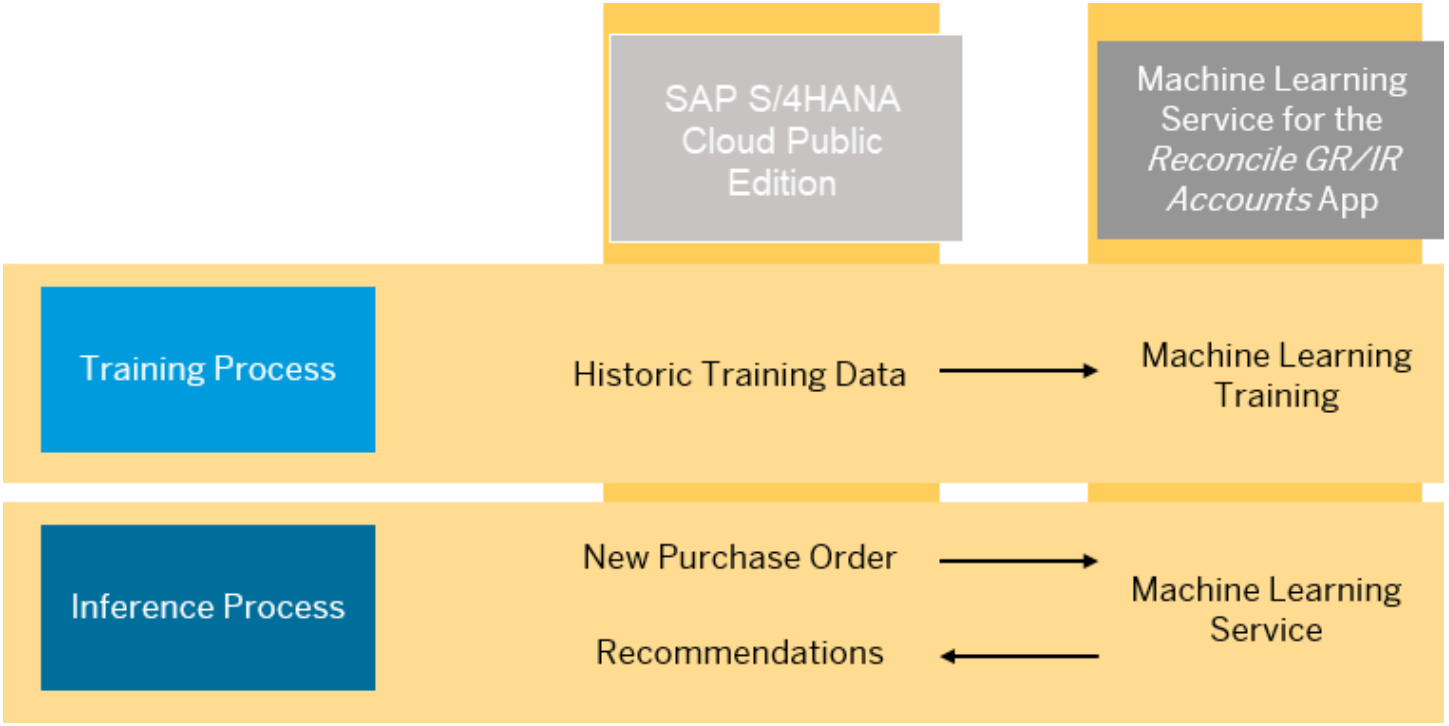
These are the two business services as part of the machine learning service:

Business Service	Description
Inference	During the inference process, data is exchanged from the back-end system and the machine learning service, in order to generate proposals for purchase order processing.

Business Service	Description
Training	In the training process, historic data from the backend is used to train a machine learning model to achieve the results for inferencing.

Data Flow

See here the data interaction between the machine learning service of the **Reconcile GR/IR Accounts** app and SAP S/4HANA Cloud Public Edition.



Data Processed by the Machine Learning Service of the Reconcile GR/IR Accounts App

Data	Purpose
Training Data	Historical records of purchase order items, invoices and/or supplier information, that are used to create the machine learning model. This data is stored in a dedicated repository that is managed by the Data Attribute Recommendation (DAR) service.
Purchase Order Data	Consists of data on purchase order items, for example their related goods receipts and invoice receipts and past user actions, and is used for creating machine learning proposals. This data is send to the DAR service and not stored after the machine learning results are generated.

Data Privacy and Protection

Data protection is associated with numerous legal requirements and privacy concerns. In addition to compliance with general data privacy regulation, it is necessary to consider compliance with industry-specific legislation in different countries. SAP provides specific features and functions to support compliance with regards to relevant legal requirements, including data protection. SAP does not give any advice on whether these features and functions are the best method to support company, industry, regional, or country-specific requirements. Furthermore, this information does not give any advice or recommendation in regards to additional features that would be required in particular IT environments; decisions related to data protection must be made on a case-by-case basis, under consideration of the given system landscape and the applicable legal requirements.

ℹ Note

In the majority of cases, compliance with applicable data protection and privacy laws will not be covered by a product feature. SAP does not provide legal advice in any form. Definitions and other terms used in this document are not taken from any given legal source.

ℹ Note

The machine learning service of the **Reconcile GR/IR Accounts** app uses both SAP data centers in Germany and Amazon Web Services (AWS) as sub processors. The current global support model cannot be limited to the EU or the EEA. Thus, we cannot guarantee EU-only access for our support model.

The machine learning service of the **Reconcile GR/IR Accounts** app processes accounting data for the training and inference process that might contain personal data. However, the application provides a functionality to delete this data. See below the *Deletion of Data* section.

The machine learning service of the Reconcile GR/IR Accounts app generally processes these types of data:

Data Required by the Machine Learning Service for the Reconcile GR/IR Accounts App

Data	Purpose
Training Data	Historical records of purchase order items, invoices and/or supplier information, that are used to create the machine learning model. This data is stored in a dedicated repository. The data repository is managed by the Data Attribute Recommendation (DAR) service.
Purchase Order Data	Consists of purchase order information, for example invoices, and is used for creating machine learning proposals. This data is send to the DAR service and not stored after the machine learning results are generated.

Read Access Logging

The machine learning service of the **Reconcile GR/IR Accounts** app does not log read access to personal data.

Information Retrieval

The machine learning service of the **Reconcile GR/IR Accounts** app does not provide any functionality to retrieve information on personal data.

Deletion of Data

Data	Deletion
Training Data	There are two options to have training data deleted: 1. Offboarding option in SAP Business Technology Platform If you remove the GR/IR service instance from your SAP Business Technology Platform cockpit, the offboarding API call is triggered and all training data is completely removed from the service. 2. Automatic deletion The training data is automatically deleted every time the model is trained. You can schedule the frequency of the model training when scheduling the training. For more information, see Train.

Data	Deletion
Purchase Order Data	The client system sends purchase order data every day. Therefore, the data retention period is 24 hours. Every time, the data is replaced with new data and thus deleted.

Change Log

There are no means provided to change data as part of the service's functionality.

Machine Learning Service

The machine learning service used for reconciling goods and invoice receipt (GR/IR) accounts is a cloud service that uses machine learning technology to enable a thorough and dynamic observation of the reconciliation of GR/IR accounts providing recommendations for further processing.

Context

The machine learning service is used within the **Reconcile GR/IR Accounts** app.

Overview

All goods and invoice receipts are collected on GR/IR accounts. If amounts and prices match, they are automatically cleared by the system. However, not all items can be cleared automatically, for various reasons:

- Invoice or goods receipt is missing.
- Amounts do not match.
- Purchase order item was created with an outdated price list.
- Delivery costs were posted on the wrong GR/IR account.

The GR/IR account reconciliation process is an exception-handling process for all purchase order items with differences between goods receipts and invoice receipts. This is a highly manual process that delays the period-end closing.

The machine learning service improves the process by displaying all necessary data on one screen so that the processing steps and statuses can easily be documented in the app. The proposal service with machine learning automatically proposes next steps for items that could not be matched, based on the status and situation of a purchase order item. Furthermore, it recommends a priority value for the action, indicates an estimated root cause of the difference, and suggests a processor.

Functionality

When processing a purchase order item, you can have recommended values for the below items displayed.

Proposed Item	Description
Priority	**High**, **Medium**, or **Low**.
Processing Step (Status)	The current processing step for (the status of) the purchase order item.
Root Cause	The root cause for an unbalanced GR/IR account.

Proposed Item	Description
Processing Department	The processing department to be assigned to this purchase order item.
Processor	The specific processor to be assigned to this purchase order item.

Business Benefits

- Increase the GR/IR matching rate
- Lower manual efforts
- Increase efficiency of end users
- Accelerate the period-end closing

Machine Learning Concepts

This is a glossary of the machine learning concepts specific for intelligent GR/IR account reconciliation.

Concept	Description
Training Model	A machine learning algorithm that learns patterns from a given set of training data to accomplish a certain task. For intelligent GR/IR accounts reconciliation, this involves identifying the most common status, priority, and root cause for an assignment of a purchase order item.
Training	A procedure whereby the machine learning model learns matching patterns from training data.
Training Data	Training data is generally used for training the machine learning model. For intelligent GR/IR accounts reconciliation, this consists of historical records of reconciled GR/IR accounts, and specifically manual assignments of purchase order items.
Proposal	A suggested value tagged with the addition *Recommended* that is based on the results of the machine learning training model trained with historical datasets. For intelligent GR/IR accounts reconciliation, proposals are made for **Priority**, **Status**, **Root Cause**, **Processor**, and **Processing Department**.

Configuration Information

This section is to describe the steps to configure the machine learning scenario with intelligent GR/IR accounts reconciliation.

Related Information

Prerequisites
Set up Intelligent Scenario
Schedule Inference Job

Prerequisites

These are the prerequisites for configuring the machine learning service:

- The scope items *Goods Receipt/Invoice Receipt Monitor (2V7)* and *Machine Learning App for Goods Receipt/Invoice Receipt Monitor (2ZS)* are both active.

  You can check this in the **Manage Your Solution** app under **View Solution Scope**.

  If the scope item is not active, please request the activation by creating a ticket on component: `XX-S4C-OPR-SRV`.

- After the activation of the scope items *Goods Receipt/Invoice Receipt Monitor (2V7)* and *Machine Learning App for Goods Receipt/Invoice Receipt Monitor (2ZS)* is successfully completed, please request the activation of the SAP managed communication scenario **SAP GR/IR Account Reconciliation Status Proposals Integration** (`SAP_COM_1042`). To do this, create a ticket on component: `XX-S4C-OPR-SRV`.

  Create a separate incident for SAP-managed communication scenario activation for each system.

- To access the **Schedule General Ledger Jobs** app on the SAP Fiori launchpad, you require a user with the same minimum authorizations as the General Ledger Accountant (`SAP_BR_GL_ACCOUNTANT`) business role template.

- To set up the training, you require a user with the same minimum authorizations as the Analytics Specialist (`SAP_BR_ANALYTICS_SPECIALIST`) role template. For more information, see **Access the Intelligent Scenario Apps**.

Set up Intelligent Scenario

Steps for setting up the intelligent scenario `FI_GRIR_RECONCILE` in Intelligent Scenario Lifecycle Management (ISLM). For more information, see Intelligent Scenario Lifecycle Management.

Context

For the machine learning in the **Reconcile GR/IR Accounts** app, you need to set up the intelligent scenario `FI_GRIR_RECONCILE`. To do this, please perform the following steps:

Procedure

1. To create a training, proceed as described in Train using the version/model of the intelligent scenario called `FI_GRIR_RECONCILE` and follow the steps for the data-managed scenario.
2. To deploy a training, proceed as described in Deploy and Undeploy using the intelligent scenario `FI_GRIR_RECONCILE`.
3. To activate the training, proceed as described in Activate and Deactivate using the intelligent scenario `FI_GRIR_RECONCILE`.

Schedule Inference Job

Steps for scheduling the machine learning model to run the inference with the **Data Attribute Recommendation** service, that is to update the predictions for process steps (statuses). For more information, see Data Attribute Recommendation.

Procedure

1. Log on to the SAP Fiori launchpad with a user that has the same minimum authorizations as the **General Ledger Accountant** (`SAP_BR_GL_ACCOUNTANT`) business role template.
2. Open the **Schedule General Ledger Jobs** app.
3. Choose **Create**.

4. As a job template, choose Prepare GR/IR Status Predictions (DAR ML Model).
5. Under **Scheduling Options**, set the running schedule according to your requirement. The default frequency is set to one day.
6. Choose **Schedule** and monitor the background job.

Accruals Management

With Accruals Management, you can calculate, check, and post accruals.

Use

As soon as a liability to a business partner arises, for example to a supplier, for which the related costs have not been posted yet, you need to post accruals.

If you calculate accruals in the system, the associated costs are assigned to the fiscal period in which they are incurred or probably will be incurred.

Accrual postings belong to the typical period-end closing activities, since the amount of the necessary accruals is not usually known until the end of the period.

Accruals Management offers different accrual functions for handling accruals. The system calculates the accrual amounts that you can post at the end of the period.

You have the option of setting up a review procedure for the accrual amounts calculated and proposed by the system. In this way, you can check amounts before posting and adjust them manually if necessary.

Accrual Engine

From a technical point of view, the Accruals Management functions build on the ***Accrual Engine***, which calculates the accruals that are posted in Financial Accounting.

Accruals do not need any separate journal entries, but are saved as line items in the Universal Journal.

To calculate and post accruals, you need to activate the application using the Accrual Engine and, if required, make additional configuration settings to adjust the accruals functions further to your needs.

The following applications are available to use the Accrual Engine:

- Purchase Order Accruals

  In purchase order accruals, the basic data is taken from the **Materials Management** component, transferred to the ***Accrual Engine***, and automatically converted to accrual items. The system calculates the amounts to be accrued.

- Service Entry Sheet Accruals

  In service entry sheet accruals, the basic data is taken from the service entry sheets that are connected with a purchase order. The amounts of unapproved service entry sheets are posted as accruals for a period and then they are automatically reversed at the end of the next period.

Key Concepts for Accruals Management

Here you get more details about key concepts that are central to Accruals Management.

Accrual objects, accrual subobjects, and accrual item types are basic entities for calculating accrual amounts. They're used in both of the **Purchase Order Accruals** and **Service Entry Sheet Accruals** applications.

Related Information

Accrual Objects and Accrual Subobjects
Accrual Item Types

Accrual Objects and Accrual Subobjects

Definition

An accrual object contains all the required data to accrue a business transaction. The data is for controlling the following processes for this business transaction:

- Calculating accruals
- Posting accruals
- Managing accruals

> **Note**
> For accruals for purchase orders or service entry sheets, the accrual object always corresponds to a purchase order.

Structure

An accrual object contains all the data for an **individual** business transaction. Its structure resembles purchase order. In the same way that a purchase order contains order items, the accrual object contains one or more accrual subobjects.

A subobject contains data types depending on the application you use. In the **Purchase Order Accruals** application, an accrual subobject contains the account assignment for the respective purchase order item. In the **Service Entry Sheet** accruals application, an accrual subobject contains the account assignment for the service entry sheet item.

> **Note**
> It could be possible that a purchase order contains multiple service entry sheets, and each service entry sheet corresponds to a purchase order item that has multiple account assignments.

Various accruals can be calculated and posted from this data:

- Total **amount** to accrue
- Total **quantity** to be accrued (as optional additional information for purchase order accruals only)
- **Life** over which the amount is to accrue

> **Note**
> In the same way as a purchase order item, you can't delete an accrual subobject if you've posted accruals with this subobject. You can only preselect a purchase order item for deletion. Then the system sets the status of the accrual subobject to **Obsolete** and the associated amount to zero.

In the system, an **accrual object** is depicted in the following way:

- **Runtime**

  The runtime is the period between the start of the run and the end of the run. Additionally, this tab page displays the status of the accrual subobject.

- **Item Data**

  In the item data, an accrual object is divided into individual accrual items. This means that the accruals connected to the accrual object are divided according to topics and define. For example, an accrual item defines how the cost and revenue sides of the accruals are to be dealt with, and how the accruals are to be defined according to the different accounting principles defined in the respective ledger settings. You define a separate accrual item for each combination of Accrual Item Types and ledger group.

See the following table for the structure of an accrual object for purchase order accruals and service entry sheet accruals:

Application	Accrual Object	Accrual Subobject	Accrual Item
Purchase Order Accruals (POAC)	Corresponds to a purchase order	Corresponds to a purchase order item and its account assignment	Amount to be accrued and calculation formula
Service Entry Sheet Accruals (SSAC)	Corresponds to a purchase order	Corresponds to a service entry sheet item and its account assignment	Amount to be accrued and calculation formula

Posting Data of an Accrual Object

For each accrual object, the item data is saved in the universal journal.

Lifecycle of an Accrual Object

The lifecycle of an accrual object is defined by its start and end of life settings, with statuses including In Process, Paused, Prematurely Finished, and Closed.

Life of an accrual object is the period over which the amount specified for this object is accrued.

It's defined by the **Start of Life** and **End of Life** settings.

Throughout its life, each accrual object changes its status. This status determines the scope of actions available for the accrual object.

Lifecycle Status

The lifecycle status of an accrual object can be one the following:

Status	Description
P (In Process)	No postings or not all postings have been made yet for this accrual object.
U (Paused)	This accrual object is put on hold, so that no further accruals can be posted.

Status	Description
	When the status is set to **Paused**, the system doesn't post any more accruals after the pause date. Accrual amounts that have already been posted are kept, that is, they aren't released when you change the status to **Paused**.
F (Prematurely Finished)	The accrual object has been finished before the planned end of its lifetime. If the accrual item type is configured to make release postings, the system posts the remaining amount as soon as the status is changed to **Prematurely Finished**. When the status is set to **Prematurely Finished**, the system doesn't post any more accruals after the premature finish date.
C (Closed)	The accrual objects should no longer be involved in any accruals transfers, proposals, simulations, or postings. They are excluded from system processing. You decide whether to close an accrual object to improve the performance of running accruals jobs. To do this, select the **Purchase Order Accruals - Close Accrual Objects** job template in the **Schedule Accruals Jobs** app. You can also reopen accrual objects if needed.

ℹ Note

When you mark a purchase order item for deletion, the corresponding accrual object item becomes obsolete in the **Display Purchase Order Accruals** app.

Related Information

Conversion of Purchase Orders into Accrual Objects

Close Accrual Objects

Close accrual objects that are not in use to improve system performance.

Use

This functionality is available in the **Schedule Accruals Jobs** app. Select the **Purchase Order Accruals - Close Accrual Objects** job template.

When accrual jobs are scheduled to run, the system processes all accrual objects, except for archived ones. This can cause a performance slowdown. To improve performance, close accrual objects that are no longer in use by creating a **Close Accrual Objects** job. Before closing them, analyze and decide which accrual objects aren't needed for accruals transfers, proposals, simulations, or postings. For example, when a purchase order is completed or the accrual object balance is zero, you can close the corresponding accrual objects. This ensures that only active objects are included in subsequent job runs. Additionally, you can reopen accrual objects if needed.

ℹ Note

Accrual objects are required in the job. To close multiple accrual objects, we recommend preparing a list with each accrual object on a separate line beforehand. Then, follow these steps:

- In the **Accrual Object** field, use the search help, select **Define Conditions**, and choose **equal to**.
- Copy the list of accrual objects you've prepared. The system automatically converts your input to a formatted list.

System Check

To close an accrual object, ensure the following conditions are met:

- The balance of accruals for this accrual object is zero.
- If the review process is active and you have future periodic accruals, make sure you haven't modified accrual amounts by adjusting revised costs or added any attachments for periodic accruals that aren't posted yet in the **Review Purchase Order Accruals - For Cost Accountant** app.

> **Note**
>
> If you've made changes to future periodic accruals but still want to close the corresponding accrual objects, remove the attachment and revert the revised cost to the planned cost proposed by the system. After you confirm and save changes for the review, close the accrual objects again.

After You Close an Accrual Object

After you close an accrual object, which means the accrual object is not needed any more, all jobs exclude this accrual object when scheduled to run. The system automatically deletes periodic accruals for future periods. As a result, it also cancels any workflows associated with these unposted periodic accruals.

You can view the status of accrual objects as Closed in the **Display Purchase Order Accruals** app.

Related Information

Schedule Accruals Jobs
Review Purchase Order Accruals - For Cost Accountant

Accrual Item Types

Definition

The accrual item type controls the calculation and posting of accruals according to different business views. It defines **how** to calculate and post accruals.

Structure

For purchase order accruals, the accrual item type represents the business meaning of the accrual items, that is, the planned costs, the actual costs, and the accruals. SAP provides the following **accrual item types** for purchase order accruals:

- **SCSTPLN** for planned costs
- **SCSTACT** for actual costs
- **SACCRL** for accruals

You can use these item types to calculate and post accruals. In the standard calculation approach, the **accrual amounts** (SACCRL) are calculated by subtracting **actual costs** (ACTCST) from the **planned costs** (PLNCST). The actual costs include the invoices or valuated goods receipts that have already been posted. The planned costs, on the other hand, are the costs that are assumed to have been incurred already, that is, goods or services that are assumed to have been received already from the supplier. The difference between the planned costs and actual costs represents the accrual amount, that is, the liabilities against the supplier.

For service entry sheet accruals, the accrual item type represents the business meaning of the accrual items, that is, the unapproved service entry sheets and the posted service entry sheets. SAP provides the following **accrual item types** for service entry sheet accruals:

- **SCSTACT** for actual costs
- **SACCRL** for accruals

You can use these item types to calculate and post accruals. In the standard calculation approach, the **accrual amounts** (SACCRL) are calculated by the **SACCRL** accrual item type. The **SCSTACT** accrual item type is for collecting posted costs from approved service entry sheets.

Use

You use the accrual item type to control which types of posting are performed for an accrual item. Usually, you only assign periodic postings to accrual types.

In a periodic posting of purchase order accruals, the total amount to be accrued is distributed over the individual periods according to the configured accrual method. If you start a posting run in a given period, the system calculates and posts the respective partial amount to be accrued. The other types of postings (opening entry postings and closing entry postings) are rarely needed for accrual postings and therefore not active in the standard configuration.

In a posting of service entry sheet accruals, the accrual amount is determined by the total amount of unapproved service entry sheets. At the end of the each period, the system checks the status of service entry sheets and calculates accrual amount for this period based on all the unapproved service entry sheets.

You can specify whether the accrual item type triggers full postings or only delta postings. For complete postings, at the end of the period, the system makes an inverse posting of the amounts from previous periods and then posts the entire newly determined accrual amount. For delta postings, the system only posts the differential amount since the last posting from the previous period. In both cases, the posting date is always the last day of the current period. It is recommended to use full postings.

Related Information

Define Accrual Item Types and Methods for Purchase Orders of Service

Purchase Order Accruals

Purpose

The **Purchase Order Accruals** application enables you to calculate and post accruals in General Ledger Accounting automatically.

The relevant data is transferred from the **Materials Management** component to the **Accrual Engine** and automatically converted from purchase order items into accrual items. On the basis of this data, the system calculates the amounts to be accrued for each purchase order item. You can also simulate these amounts. In each period, you can start an accrual run, which posts all accruals for the various business transactions.

The functions in **Purchase Order Accruals** support Parallel Accounting. This means that you can calculate and post accruals simultaneously according to different ledger groups.

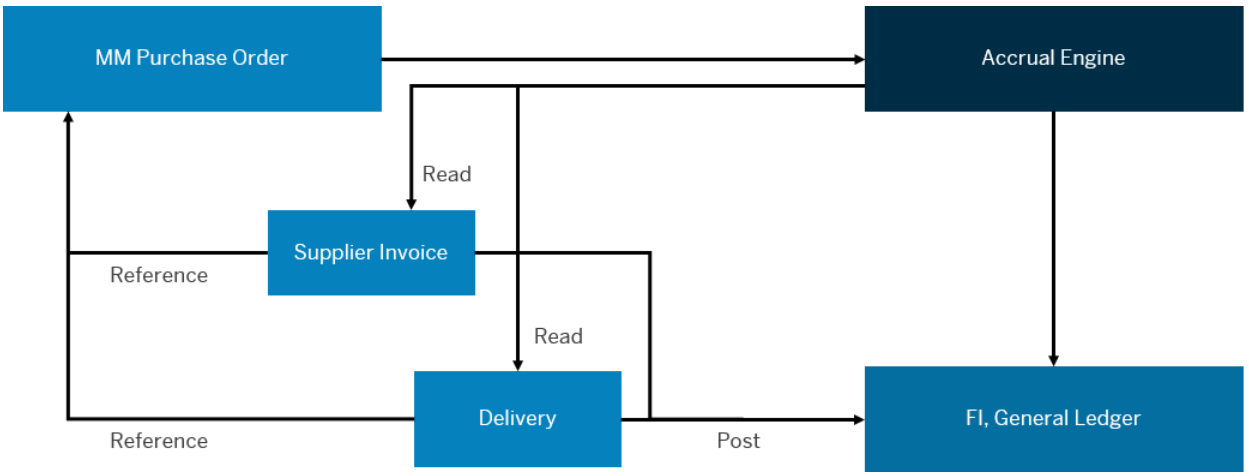
From a technical point of view, the **Purchase Order Accruals** application is built on the **Accrual Engine**. The purchase order items to be accrued are managed in **Purchase Order Accruals**. The processes for calculating and posting accruals, on the other hand, are managed in the **Accrual Engine**.

Transfer from Purchase Orders to Accrual Engine

After a purchase order is created, for example, in the **Manage Purchase Orders** app, the transfer occurs in the following cases:

- The purchase order is automatically transferred into the **Accrual Engine**. It happens depending on the configuration settings controlling whether and how accruals are posted. In the **Accrual Engine**, an accrual object is created for each purchase order.
- When implementing the **Purchase Order Accruals** application, you want to transfer your existing purchase orders to the **Accrual Engine**. To do this type of data transfer, you can use job template **Accrual Engine for POs - Transfer Purchase Orders to Accrual Engine** in the **Schedule Accruals Jobs** app.

The following graphic shows how a purchase order is transferred from the MM component to the Accrual Engine:



To post purchase order accruals, perform the following steps:

1. In MM component, create a purchase order.

   > **Note**
   > The purchase order is then transferred to the Accrual Engine offline or online, and monthly accrual amounts are calculated and displayed in the Accrual Engine.

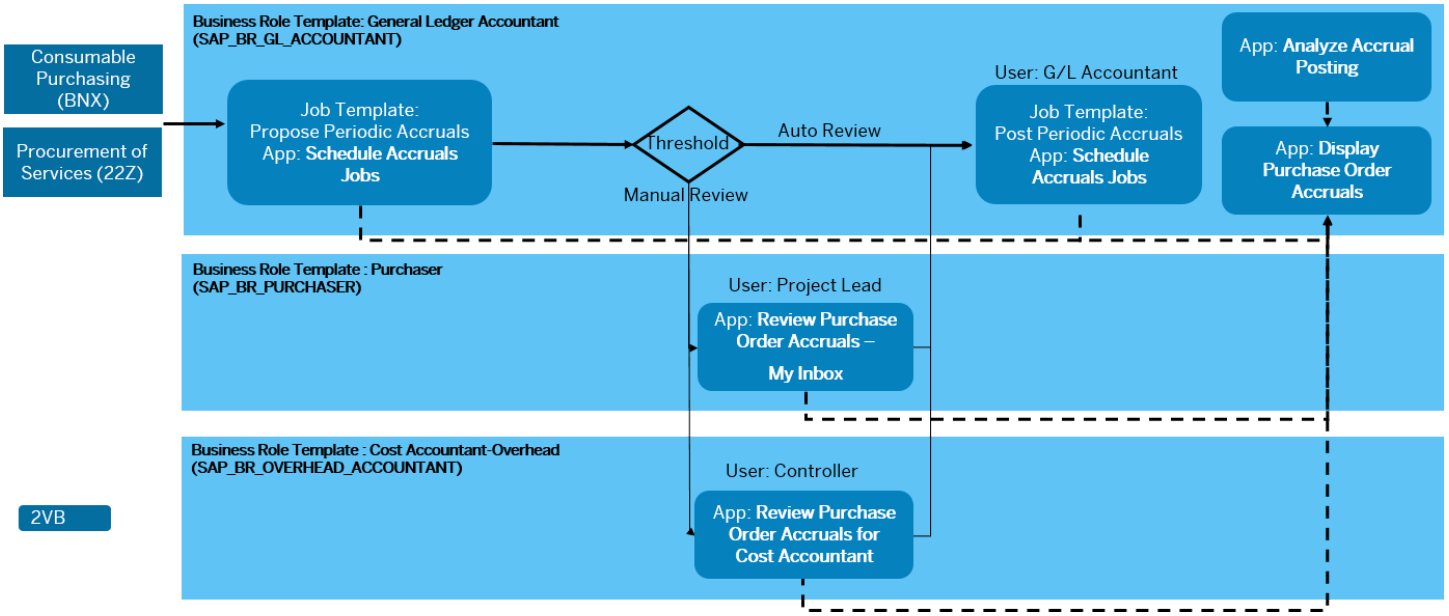
2. (Optional) Review and approve, or just approve the monthly accrual amounts.
3. Post the accrual amounts.

Accruals Process

The purchase order accruals process involve the following job templates and apps:

- The **Propose Periodic Accruals** job template in the **Schedule Accruals Jobs** app
- The **Post Periodic Accruals** job template in the **Schedule Accruals Jobs** app
- **Analyze Accruals Posting**

- Display Purchase Order Accruals
- Review Purchase Order Accruals - My Inbox
- Review Purchase Order Accruals - for Cost Accountant



Implementation Considerations

Before you can use the purchase order accrual functions, you have to activate the Purchase Order Accruals application (that is, the relevant scope item), if required, make further configuration settings to adapt the functions to your needs.

A number of configuration settings also allow you to tailor the functions to your individual requirements. For example, you can edit the settings controlling for which purchase order items accruals are posted and how they're posted. Or you can add a review procedure or add Business Add-Ins (BAdIs) to the functions.

You can find the configuration activities for Purchase Order Accruals in your configuration environment. For more information, see Configuration Environment of SAP S/4HANA Cloud Public Edition.

Benefits

In Financial Accounting you can also post accruals with the Manage Recurring Journal Entries app. In contrast to manual accrual postings, the functions in Purchase Order Accruals offer you the following benefits:

- Automatic accrual calculation based on purchase order data;
- Availability of a review process where you can review the accrual amounts proposed by the system before posting them;

Configuring Purchase Order Accruals

Use

Before you can use the functions in **Purchase Order Accruals**, you have to make sure that the application (that is, the relevant scope item) is active. The technical ID for Purchase Order Accruals scope item is `<country ID>_2VB`, for example, `DE_2VB`. After activation, the functions are ready for use from a configuration point of view.

If you need to make further settings to tailor the functions to your requirements, you can do this using the optional configuration activities. These settings control, for example, the purchase orders or purchase order items to be accrued, the algorithms to be used for a particular purchase order item, and the accounts to be used for accruals postings.

If you want to make use of the procedure of manually reviewing accrual amounts, you can do this using a proposal run without any further configuration effort. You can then review the accrual amounts proposed by the system.

You can find the configuration activities for **Purchase Order Accruals** in your configuration environment. For more information, see Configuration Environment of SAP S/4HANA Cloud Public Edition.

Features

As soon as the **Purchase Order Accruals** application is activated, the system creates accrual objects when a purchase order is created or changed in materials management.

To make sure that the standard configuration for working with the purchase order accruals functions meets your requirements, you can check the following optional configuration settings:

- Define Accrual Item Types and Methods for Purchase Order Items

  In this configuration activity, you can edit the settings that control for which purchase orders or purchase order items accruals can potentially be posted. The system calculates accruals for each combination of purchasing document type and item category you enter here.

- Create and Edit Account Determination

  In this configuration activity, you can edit the accrual account used by the system to make accrual postings.

- **Define Threshold Variants**

  If you are using the review process, you can can define a lower and an upper threshold for accrual amounts in this configuration activity. Accrual amounts below the lower threshold will not considered for postings at all. Accrual amounts above the upper threshold will go through the review process before being posted.

- **Define Reasons for Adjusting Periodic Accrual Amounts**

  If you are using the review process, you can define the reasons that reviewers can enter during the review of accruals in this configuration activity. When reviewers change proposed accrual amounts, they have to enter a reason on the review screen.

- Define Accrual Item Types

  In this configuration activity, you can deactivate the review process or assign threshold variants to company codes.

Conversion of Purchase Orders into Accrual Objects

As soon as a purchase order is created in Purchasing (application component **Materials Management**), the system determines whether accruals can be relevant, on the basis of the relevant configuration settings. If all the purchase order items contained in the purchase order are relevant for accruals, the system generates an accrual object from the purchase order, and an accrual **sub**object from each account assignment of a purchase order item.

If the system has created an accrual subobject from a purchase order item, it calculates the accruals for each period, which you can then post using the periodic posting run.

Changes in the purchase order item relevant for accruals – for example, the change of the purchase order item net value or of the delivery schedule – lead automatically to a corresponding change of the accrual subobject.

The conversion of purchase order items is ready for use in the standard configuration. However, you might want to check the configuration settings or adapt them to your specific needs using configuration activity Define Accrual Item Types and Methods for Purchase Order Items.

Related Information

Manage Purchase Orders

Define Accrual Item Types and Methods for Purchase Order Items

In the **Define Accrual Item Types and Methods for MM Purchase Order Items** configuration activity, you can edit the settings controlling which purchase orders will be converted into accrual objects, or, more specifically, which purchase order data is transferred to the **Purchase Order Accruals** application. In addition, you can edit the calculation formulas the system will use to calculate accrual amounts. You can also deactivate the automatic conversion of purchase orders into accrual objects if you need to do the conversion manually.

In the standard configuration, the system only creates accrual objects for standard purchase orders with standard purchase order items:

- **Document Type**: **NB**
- **Item Category**: < Standard PO***blank***>

For this item category (and for most of the other item categories), the system uses accrual method `SPLN_DELSL`. This accrual method calculates the planned costs using the dates and quantities given in the delivery schedule.

For purchase order items representing the purchase of services or an enhanced limit item, the system uses accrual method `SPLN_LIN_P`. This accrual method calculates the planned costs according to a linear approach, that is, the system distributes the amount equally between the start and end date given in the purchase order item. To check those dates, go to the Manage Purchase Orders app.

Procedure

To check and edit the settings of this configuration activity, proceed as follows:

1. In the **Variants for Purchase Order Data Transfer** view, check whether the default transfer variant that applies to all company codes, meets your requirements. You can also assign the variant to those company codes only that make use of accruals. To do this, deselect the **Dflt Var PO Transfer** checkbox. Then select your variant and call the **Assign Company Code to Transfer Variant** view by double-clicking it. In the line of the respective company code, enter the variant you want in the **PO Transfer Variant** field or select it from the input help.
2. Check whether the **Online Integ Active** Standard checkbox is selected. This setting ensures that the system automatically generates the accrual objects automatically as soon as a purchase order is created.

   ### ℹ Note

   If you want to deactivate the automatic creation of accrual objects from purchase orders, you can deselct the checkbox. To manually transfer the purchase order data to the Accruals Management application, you can run a transfer job. To do this, go to the **Schedule Accruals Jobs** app and run the job template Transfer Purchase Orders to Accrual Engine.

   When you activate the automatic creation of accrual objects again, you should run this job template to catch all purchase orders that were created in the meantime.

3. To check and define which purchase order items are to be converted into accrual subobjects, select your variant in the Variants for Purchase Order Data Transfer view and call the Define Accr. Item and Method Based on PO Item view by double-clicking it. Now create entries valid for combinations of purchase order document type and purchase order category of the purchase order. On the basis of this combination, the system can determine which purchase order items are relevant for accrual. If there is no suitable entry for a purchase order item in this configuration view (that is, no combination of document type and item category matches the purchase order item), the system does not generate an accrual subobject and hence no accruals are calculated for it.

ℹ Note

In the table, item category Standard is represented as an empty entry.

4. So the system can recognize how accruals are to be calculated for the relevant purchase order items, you must specify a classification in the Accrual Classif. field. Here you specify, for example, whether the system is to calculate accruals according to a delivery schedule or in a linear procedure within a start and end date. The following accrual classifications are available:

   - **SDELS - Lifetime dates from delivery schedule**

     The system uses this classification as the default for calculating planned costs by accessing the delivery data contained in the delivery schedule. It calculates the planned costs for a delivery date on the basis of the quantity specified in the delivery schedule and the net price specified in the purchase order item. The first and last date of deliveries define the lifetime of an accrual subobject. If the creation date of the purchase order is before the date of the first delivery, the system uses the creation date of the purchase order as the start of lifetime. In the standard configuration, this classification is used in combination with the accrual method for planned costs SPLN_DELSL.

   - **SPERP - Lifetime dates from performance period**

     The system uses this classification when the purchase order item is a lean service or an enhanced limit. In those cases, users specify a start and end date when entering the purchase order. These make up the timeframe in which the receipt of the goods or service from the supplier is expected. The system calculates the planned costs by distributing the total amount equally between the start and end date. The lifetime of the accrual subobject corresponds to the period between the start and end date. In the standard configuration, this classification is used in combination with the accrual method for planned costs SPLN_LIN_P.

5. Check the accrual item type for accruals (SACCRL), that is, the combination of purchase order document type and purchase order item category to which you assigned an accrual classification, for your entries. The system automatically fills the fields for planned costs (SCSTPLN) and actual costs (SCSTACT) in accordance with the settings you made in the Define Accrual Item Types Customizing activity.

6. For accrual item type SACCRL, as well as for SCSTPLN and SCSTACT enter an **accrual method** (that is, the calculation formula). The following methods are used in the standard configuration:

   - For accrual item type SACCRL, method SPLN-ACT, because this method subtracts actual costs from planned costs;
   - For accrual item type SCSTACT, method SACT_COSTS, because this method determines the actual costs already posted for the purchase order item up to a particular key date;
   - For accrual item type SCSTPLN, the same method that corresponds to the accrual classification. For classification SDELS, you can use method SPLN_DELS, and for classification SPERP, method SPLN_LIN_P.

Example

Accrual Type & Method Based on PO Item Definition

Docu-ment Type	Item Category	Accrual Classification	Accruals Item Type	Accrual Method	Planned Costs Item type	Planned Accrual Method	Actual Costs Item Type	Actual Costs Accrual Method
NB		SDELS	SACCRL	SPLN-ACT	SCSTPLN	SPLN_DELSL	SCSTACT	SACT_COSTS
NB		SPERP	SACCRL	SPLN-ACT	SCSTPLN	SPLN_LIN_P	SCSTACT	SACT_COSTS

Note that the **Standard** item category is represented as an empty entry.

7. If you want to exclude purchase order items with a too low net amount from being converted into accrual objects, you can do this by entering suitable threshold amounts in the **Threshold POItm Val.** field. In the **Thrld Crcy** field, enter the currency for the threshold amount. If a user creates a purchase order in a currency differing from the threshold amount currency, the system converts the currency to the threshold amount currency to be able to determine whether the purchase order item is above or below the threshold and in doing so, determine whether it will create an accrual object.

Result

When you have checked these configuration settings, the system generates accrual subobjects from purchase order items and calculate the accrual amounts in accordance with the specified calculation formulas.

ℹ Note

The system generates the accrual objects automatically as soon as you have activated the **Purchase Order Accruals** application and, if required, when you have adapted the standard configuration settings according to your needs. For purchase order items that already exist in your system, you can transfer them manually in the application. To do this, go to the **Schedule Accruals Jobs** app and run the Transfer Purchase Orders to Accrual Engine job. You can also use this function to update existing accrual objects, for example, if you have changed configuration settings.

Create and Edit Account Determination

The system uses account determination to determine automatically the accounts for accrual postings. In the **Create and Edit Account Determination** configuration activity, you can edit the accrual account used by the system to make accrual postings.

You can assign the appropriate G/L accounts to the symbolic accounts. To do this, enter the symbolic account `PER_ACCR_ACCNT` for your company code and purchase order type. In the **G/L Account** column, select the corresponding accruals account for this symbolic account.

The offsetting account for this posting is an expense account. The system uses the account from the expense account defined in the purchase order item. In the event of no expense account being assigned to the purchase order item, specify the `PER_OFFSETTING_ACCNT` entry in account determination and specify an appropriate G/L account for it.

Accruals Calculation for Purchase Order Accruals

Accrual amounts can be calculated in different ways. For the calculation of accruals, the system uses accrual methods that contain suitable calculation formulas.

The standard delivery contains the most important methods for calculating planned costs.

Accrual methods for calculating planned costs:

- **SPLN_DELSL - Planned costs based on delivery schedule**

  In this method, the system uses the delivery schedule of the purchase order item as the basis. It calculates the amounts for a delivery date on the basis of the net price specified in the purchase order item and the quantity (amount) specified in the delivery schedule.

- **SPLN_LIN_D - Planned costs with linear distribution per day**

In this method, the system distributes the net amount of the purchase order item equally between the number of days between the start and end date.

- **SPLN_LIN_P - Planned costs with linear distribution per period**

  In this method, the system distributes the net amount of the purchase order item equally on the basis of a fiscal period.

  > **Note**
  >
  > Methods SPLN_LIN_D and SPLN_LIN_P are intended for the Lean Services and Extended Limit categories, that is, for cases where a period of performance applies to the purchase order item. The system uses the start and end date from the purchase order item for the accrual subobject and specifies these dates as the respective lifetime start and end dates for the accrual subobject.

Accrual methods for calculating actual costs:

- **SACT_COSTS - actual costs (without parked invoices)**

  In this method, the system uses the purchase order history of the purchase order item as the basis for determining which costs were already posted by vendor invoices or valuated goods receipts.

Accrual methods for calculating accruals:

- **SPLN-ACT - planned costs minus actual costs**

  The system uses this method in the procedure described below, in which actual costs are subtracted from planned costs. To be able to use this method, in the **Define Accrual Item Types** Customizing activity, you must first have assigned an accrual item type for planned costs PLNCST and an accrual item type for actual costs SCSTACT to accrual item type SACCRL, which uses this method.

These methods let the system calculate the actual accrual amounts in the following sequence:

1. The system calculates the **planned costs**. The planned costs are assumed to be the costs for goods or services already provided by the supplier. These can be, for example, goods that a supplier has delivered for a purchase order item up to a specific key date. To calculate this amount, the system uses the delivery schedule of the purchase order item by default. The system therefore assumes that the deliveries actually took place in accordance with the key dates in the delivery schedule. It saves these amounts in the **Planned Costs** (SCSPLN) accrual item type when the Propose Periodic Accruals job is run.
2. The system calculates the actual costs already posted. For example, for non-valuated goods receipt, the actual costs are posted using the supplier invoice while for valuated goods receipts the actual costs are posted by the goods receipt itself. The system therefore determines the sum of all invoices with posting dates before the key date. It saves these amounts in the **Actual Costs** (SCSTACT) accrual item type.
3. The system calculates the accruals by subtracting the actual costs from the planned costs. The resulting difference is the payables to a supplier, and therefore the amount to be accrued. This amount must always be bigger than zero. If the amount is nevertheless negative, you do not need any accruals and the system sets it to zero. The system saves the accrual amounts in the **Accruals** (SACCRL) accrual item type.

Other accrual methods:

- **ZERO_AMNT – accrual amount set to zero**

  This method is used for setting accrual amount to zero, but you never assign this accrual method to an accrual item type. Instead, the system automatically assigns this method to an accrual item when the accrual item becomes obsolete. For example, when a purchase order item is deleted, the system uses the ZERO_AMNT method so that the accrual amount is set to zero for the next accrual posting run.

- **DERIVED – accrual amounts derived from other accrual item types**

  In this method, the system calculates the accrual amounts from other accrual item types with the defined operators. For example, the + operator adds the amounts of two accrual item types and the - operator subtracts the amount of one accrual item type from another. You assign the DERIVED accrual method to a derived accrual item type.

- **PLN_DSNVGR - planned costs based on good receipt priority**

  In this method, the system uses the purchase document history of the purchase order item as the basis. It calculates the amounts for a posting date based on the net price specified in the purchase order item and the amount specified in the purchase document history.

- **DOWNPAYMNT - actual costs (down payment)**

  In this method, the system uses the purchase order history of the purchase order item as the basis for determining which costs are already posted as down payment by invoices or valuated goods receipts.

In the standard configuration, the accrual methods are assigned to the accrual item types in the following way:

Define Item Types

Accrual Item Type	[...]	Default Accr. Method
SACCRL		SPLN-ACT
SCSTACT		SACT_COSTS
SCSTPLN		SPLN_DELSL

Related Information

Define Accrual Item Types

Define Accrual Item Types

Context

In the **Define Accrual Item Types** configuration activity, you can check the accrual item type settings as well as deactivate the review process or assign threshold variants to company codes.

The following accrual item types are available:

- **Accrual Item Type for Planned Costs (SCSTPLN)**

  The system can calculate the planned costs of a purchase order item on the basis of the delivery schedule, for example. For the accrual of services you can also distribute the net amount equally over a specific period (linear approach).

- **Accrual Item Type for Actual Costs (SCSTACT)**

  Actual costs are either postings from goods receipt (if the purchase order item involves valuated goods receipt) or postings from supplier invoices (if no goods receipt or non-valuated goods receipt is involved).

- **Accrual Item Type for Accruals (SACCRL)**

This accrual item type is defined in a way that it is the result of subtracting actual costs from planned costs. If the actual costs are greater than the planned costs, the system sets the accrual amount to zero.

Procedure

1. To link the three accrual item types for calculating accrual amounts, go to the **Define Item Types** view.
2. The standard configuration settings are as follows: For item type SACCRL, item type SCSTPLN is the default value for the planned costs item type and SCSTACT is the default value for the actual costs item type. The default accrual method SPLN-ACT defines that the values for SACCRL are calculated as difference between the planned costs and actual costs item type. For more information, see Accruals Calculation for Purchase Order Accruals.
3. In the **Accrual Postings** field, you can specify whether the amount of the accrual item type is to be posted or merely be used for display, for example, for reporting purposes. The following standard settings apply:
    - **SACCRL: Only Periodic**

      In each fiscal period, the system posts amounts on the basis of this accrual item type. Only this setting is usually relevant for purchase order accruals.
    - **SCSTACT: None**

      The system does not post these amounts. They are simply used to calculate accruals.
    - **SCSTPLN: None**

      The system does not post these amounts. They are simply used to calculate accruals.
4. To determine the ledger groups, company codes, and types of postings, in the **Define Item Types** view, select an accrual item type and call the **Accrual Item Type Settings for Ledger Group** view with a double-click.

For each combination of ledger group and company code, edit the reversal posting type and the posting relevance. Enter the relevant ledger group. If you leave the field empty, the system posts the accrual amounts in all standard ledgers (extension ledger are not taken into account). You can decide between inverse and negative postings when transferring reversed accrual postings to financial accounting. You can also set entries to inactive to avoid accrual postings for a specific combination of ledger group and company code.

5. To determine ledger-specific settings, such as the currency handling options, or to deactivate the review process, go to the **Settings for Single Ledgers and Crcy Types** view.

a. In the **Currency Handling** field, enter the currency settings that are to apply. For the transaction currency, the default value **By Accrual Engine** value can't be changed.

b. The **Thrshld Var** field contains the lower and upper thresholds for the review process. You can edit the thresholds using configuration activity **Define Threshold Variants**.

c. If you don't want to make use of the review process, make sure the **Review Act** checkbox is not selected.

6. You can set entries to inactive, which means that the system will not make accrual postings for this specific combination of ledger, company code, and currency type.

Manage Workflows for Purchase Order Accruals Review

App ID: F3625

With this app you can configure workflows for reviewing purchase order accruals in the **Review Purchase Order Accruals - My Inbox** app. The app provides several options for determining the approver, such as the approval by the cost center responsible, but you can also assign specific users. If a workflow with one or more steps is activated and the configured start conditions are fulfilled, the approval process is initiated.

Note

Workflows delivered by SAP are active by default.

Key Features

This app provides the following key features:

- Define start conditions for a workflow, such as the company code, and the accounting type **Cost Center**
- Define the order in which the start conditions of existing workflows are checked

  If you have defined several workflows, the start conditions are checked in the order you have defined. As soon as the start conditions for a workflow are met, this workflow is used. This ensures that only one workflow in the list of your defined workflows is started, even if several workflows have matching start conditions.
- Display the details of a workflow
- Activate or deactivate a workflow
- Copy an existing workflow and modify it according to your requirements, or add a new workflow. You can configure the workflow as follows:
  - Define properties such as a description and a validity period
  - Under the section **Preconditions**, choose a company code, for example. These criteria must be fulfilled for the workflow to start.
- Add one or more step sequences. For each step sequence you define recipients and preconditions. You can define the order of the steps, and you can delete unnecessary steps.

Supported Device Types

- Desktop
- Tablet

See Also

- My Inbox
- Workflow Administration
- Review Purchase Order Accruals - My Inbox

Information for Key Users

The SAP Fiori apps reference library has details about the content necessary for giving users access to an app on the **SAP Fiori launchpad**. To see this app's Fiori content, go to the SAP Fiori apps reference library and search for the app. Then select the product. On the **Implementation Information** tab, select the correct release. The details are in the **Configuration** section.

Extensibility for Purchase Order Accruals

If you wish to tailor the standard configuration for **Purchase Order Accruals** further to your needs, you can do this using a number of Business Add-Ins (BAdIs). The following BAdIs are available:

- **Change the selection criteria and fields for purchase order selection**
- **Change the transfer variant for purchase order accruals**
- **Change the accrual classification for a purchase order item**
- **Change the life start and end date of an accrual object**
- **Change the result of the lifetime event check**
- **Change the items of an accrual object**
- **Change parameters of an accrual object**

Related Information

Implement Business Add-Ins for Purchase Order Accruals

Implement Business Add-Ins for Purchase Order Accruals

Context

To enhance your Purchase Order Accruals functions using Business Add-Ins (BAdIs), proceed as follows:

Procedure

1. Open the **Custom Fields and Logic** app.
2. On the **Custom Logic** tab, choose **Create** (***plus*** symbol).
3. Under **Business Context**, select **Purchase Order Accruals**. Under **BAdI Description**, select the BAdI, for example, **Change sel. criteria and fields for PO selection**. Add an implementation description and an implementation ID. Choose **Create**.
4. Now you can modify and test the draft logic.
5. To activate your BAdI implementation, choose **Publish**.

Working with Purchase Order Accruals

When do I need purchase order accruals?

You need to post accruals for costs that have already been incurred but haven't been posted in Accounting yet. This means that accruals are relevant for purchases that involve costs.

Accruals can become necessary in the context of the purchasing of products that are directly consumed, such as office materials, or the purchasing of services have been received over a certain period of time, such as IT consulting.

Purchase order items for these kinds of purchases usually have an additional account assignment, such as a cost center.

For the purchasing of products that are put on stock, such as raw materials to be used for production, or products that represent fixed assets, such as computers or printers, you usually don't need to post accruals. Costs for fixed assets will be incurred at a later point in time during depreciation postings.

How are purchase order accruals calculated?

At the end of each period, the system calculates the accrual amounts for the individual purchase order items by evaluating the plan data contained in the corresponding purchase order item. The basis for this evaluation can be, for example, the delivery schedule with its planned delivery dates. This delivery schedule determines the cumulated planned costs for the purchase order item from the purchase order creation date until the end of the period. At the end of the period, the system assumes that the cumulated planned costs reflect reality. If at period end the cumulated planned costs are higher than the cumulated actual costs, the system proposes the difference as the accrual amount.

Because the system calculates the amount based on the assumptions from the delivery schedule, you can use a review process to check these accrual amounts.

How do I use purchase order accruals in practice?

For purchase order accruals, we can distinguish between purchase order items without valuated goods receipts or with valuated goods receipts. Here's what the different scenarios look like:

Purchase Order Items Without Valuated Goods Receipts

1. ***Purchasing consumable material or services without goods receipts:***

   The relevant goods receipts are not recorded in the system. The system calculates and proposes the accruals either on the basis of the delivery schedule contained in the purchase order item (where all planned deliveries are considered as received) or using a linear approach, that is using a linearization of the total value between the start and end date of the purchase order item.

2. ***Purchasing consumable material with non-valuated goods receipts***

   The quantities of the received materials or services are recorded in the system using non-valuated goods receipts. Non-valuated means that for the entered goods receipt **no** costs have been posted.

   The system calculates and proposes the accruals based on the quantity multiplied by the net price of the purchase order item using a linearization of the total value between the start and end date of the purchase order item.

Purchase Order Items with Valuated Goods Receipts

1. ***Purchasing consumable material with valuated goods receipt postings:***

   When the valuated goods receipt is entered, the system calculates and posts the costs by multiplying the entered quantity by the net price of the purchase order item.

   Please note that in this case accruals are only needed if the valuated goods receipt has not been posted although the material has already been received. In this case, the system calculates the accruals based on the delivery schedule contained in the purchase order item. All planned deliveries are considered as received. The costs that have already been posted by the valuated goods receipt are subtracted from the proposed accrual amount.

2. ***Purchasing services with service-entry-sheet postings:***

   If service entry sheets are used, the system posts the costs in the same way as with a valuated goods receipt. In this case there's usually no delivery schedule contained in the purchase order item and the system calculates and proposes the accruals based on a linear approach, that is, using a linearization of the total value between the start and end date of the purchase order item.

Production Start-Up

Transfer Purchase Orders to Accrual Engine

Use

This functionality is available in the **Schedule Accruals Jobs** app. Select the **Accrual Engine for POs – Transfer Purchase Orders to Accrual Engine** template.

With this job, you can select purchase orders from materials management (MM-PUR) that are relevant for accruals and transfer them to the accrual engine to create or update the corresponding accrual (sub)objects.

You can use this job to transfer existing purchase orders to the accrual engine. This is required, for example, when you want to go live with the **Purchase Order Accruals** application and purchase orders already exist in your system. Those existing purchase orders need to be transferred to the accrual engine. Newly created purchase orders will automatically be transferred to the accrual engine.

In addition, you can use this job also to update the data in the accrual engine if purchase orders have already been transferred to the accrual engine. This could become necessary when configuration settings are changed, for example.

Display Purchase Order Accruals

App ID: F3928

With this app, you can have a comprehensive overview of purchase order accruals. You can also view details of purchase order accruals, for example, lifecycle status, proposed accrual amounts, review history, and so on. An accrual subobject is identified with the combination of the purchase order number, the line item number, and the account assignment. All of key information from accruals generated from purchase orders to accruals posting to ledgers are available for checking in this app.

Key Features

This app provides the following key features:

- Check accruals subobjects after they are transferred from purchase orders
- View proposed and revised accrual amounts by period
- View accrual postings by period
- View the review history of accruals
- View the posting history of accruals and deferrals
- Attach files as supplement to accruals

ℹ Note

This app contains in-app help for key fields and concepts. To display the help while working in the app, press F1 or choose the question mark displayed in the app header.

Supported Device Types

- Desktop
- Tablet

Information for Key Users

The SAP Fiori apps reference library has details about the content necessary for giving users access to an app on the **SAP Fiori launchpad**. To see this app's Fiori content, go to the SAP Fiori apps reference library and search for the app. Then select the product. On the **Implementation Information** tab, select the correct release. The details are in the **Configuration** section.

Review Purchase Order Accruals

Propose Periodic Accruals

Use

This functionality is available in the **Schedule Accruals Jobs** app. Select the **Propose Periodic Accruals** template.

This job creates proposals for accrual amounts for each period. You can then review the proposed periodic accruals.

You can start the job immediately or schedule a job to generate periodic accrual amounts.

The system calculates accruals on ledger level. It makes the accrual postings using a ledger group.

To start or schedule the proposal run, specify the last day of the period for the combination of company code, accrual item type, and ledger group. In addition, you can limit the displayed accrual amounts by entering values on the **Parameters** screen

Review Purchase Order Accruals - My Inbox

App ID: F3517

With this My Inbox app, you can review purchase order accruals and adjust accrual amounts. For purchase order accruals, you can choose to have accrual amounts reviewed before the system posts them. A reviewer can then check the periodic planned costs that the system proposes and adjust them if needed.

The system calculates periodic accrual amounts as follows:

Accrual amounts = Planned Costs - Actual Costs

Planned costs are proposed amounts that are calculated periodically over the lifetime of an item using an accrual method. Actual costs are based on the receipt value or the invoice value of received goods or services.

Key Features

- View total accrual amounts for a purchase order item
- Revise planned costs
- Confirm review of accrual objects before posting them

See Also

Manage Workflows for Purchase Order Accruals Review

Information for Key Users

The SAP Fiori apps reference library has details about the content necessary for giving users access to an app on the **SAP Fiori launchpad**. To see this app's Fiori content, go to the SAP Fiori apps reference library and search for the app. Then select the product. On the **Implementation Information** tab, select the correct release. The details are in the **Configuration** section.

Review Purchase Order Accruals - For Cost Accountant

App ID: F3552

This app enables you to review purchase order accruals, adjust revised costs in transaction currency, and adjust percentage of completion. For purchase order accruals, you can choose to have accrual amounts reviewed before the system posts them. With this option, a reviewer can check the periodic planned costs that the system proposes, and adjust them if needed.

Here's how the system calculates periodic accrual amounts:

Accrual Amounts = Planned Costs (or Revised Costs) - Actual Costs

Planned costs are proposed amounts that are calculated by an accrual method, for example, a straight-line distribution of the total net value of the purchase order item over the lifetime of the item. Therefore, you might want to review the assumption and adjust the accrual amounts by changing the planned costs. Actual costs are based on the receipt value or the invoice value of received goods or services.

ⓘ Note

The review of accrual amounts is optional. You can skip the amounts that the system proposes and post them directly at the end of the period.

Key Features

Depending on the role to which you're assigned, you can perform the following tasks:

- Review purchase order accruals on the cost object level
- View accrual amounts in group currency
- Confirm review of accrual amounts
- Review accrual amounts and mass confirm revised amounts

ⓘ Note

This app contains in-app help for key fields and concepts. To display the help while working in the app, press F1 or choose the question mark displayed in the app header.

Configuration Prerequisites for Reviewing Accruals

Before using the **Review Purchase Order Accruals** app, you can choose to finish some or all settings as prerequisites. See the configuration options as below:

- Define Accrual Item Types

  In this configuration activity, you can activate the review process and configure accrual item types for ledgers. Note that the review process is supported only for the planned costs item type.

- Define Threshold Variants

In this configuration activity, you can define threshold for accrual amounts that needs manual review. To define the lower limit and the upper limit of a threshold, you must create a threshold variant that you can assign to company codes, item types, ledgers, and currency types. When you create a threshold variant, you may specify values for the following fields:

  - Upper Threshold Amount
  - Lower Threshold Amount
  - Threshold Currency

For more information about threshold description, see Threshold Amounts for Reviewing Periodic Accruals.

- Define Reasons for Adjusting Amounts

  In this configuration activity, you can define reasons for adjusting a revised cost (planned cost). If you manually adjust the amount, you must provide a reason of making such changes. It is optional to add comments when you review purchase order accruals.

To configure for reviewing purchase order accruals, you can find all of these configuration activities in your configuration environment. For more information, see Configuration Environment of SAP S/4HANA Cloud Public Edition.

Supported Device Types

- Desktop
- Tablet

Information for Key Users

The SAP Fiori apps reference library has details about the content necessary for giving users access to an app on the **SAP Fiori launchpad**. To see this app's Fiori content, go to the SAP Fiori apps reference library and search for the app. Then select the product. On the **Implementation Information** tab, select the correct release. The details are in the **Configuration** section.

Related Information

Threshold Amounts for Reviewing Periodic Accruals

Review Percentage of Completion

As an alternative to adjusting the planned costs proposed by the system, you can adjust the percentage of completion (PoC) of a purchase order item. This is helpful when the reviewer can provide a closer estimate of the PoC for a purchase order item than of the accumulated cost amounts for the item in a fiscal period. The system calculates PoC as follows:

Percentage of Completion (PoC) = Revised Planned Costs / Total Amount of Purchase Order Item

Example

The total net value of the purchase order item is 12,000 with a lifetime between the order creation day in 01/2018 and the planned final delivery in 12/2018. The accruals amount calculation is shown in this table:

At the end of period 05/2018:
The amount of planned costs calculated by a straight-line approach (linearization) equals 5,000.
The amount of actual costs is 3,000.

PoC = 5,000/12,000 = 41.67% (proposed by the system) Accrual amount = 5,000 – 3,000 = 2,000
After adjusting PoC to 30%: Revised Planned Costs = 12,000 * 30% = 3,600 Accrual amount = 3,600 – 3,000 = 600
Result: The accrual amount has been adjusted from 2,000 to 600.

Threshold Amounts for Reviewing Periodic Accruals

In the **Define Threshold Variants** configuration activity, you can define the lower and upper thresholds for accrual amounts and determines whether it requires the review process. See the following description for each type of threshold amount:

Lower Threshold Amount

If the accrual amount in a given period is below or equal to the lower threshold, the Accrual Engine doesn't post the accrual amount and the review process isn't needed.

If the accrual amount in a given period exceeds the lower threshold, but is below the upper threshold, the accrual amount is automatically set as reviewed by the system. Manual review is not needed.

ℹ Note

If you don't want the system to review accrual amounts automatically, you can enter the same amount for both the upper and lower threshold amounts. It prevents the system from reviewing accruals automatically and makes it required to review accruals manually.

Upper Threshold Amount

If the accrual amount in a given period is either equal to or above the upper threshold, the accrual amount can't be automatically reviewed. The responsible user, who typically is a G/L accountant, can manually review the accrual amount.

See the following table for setting threshold amounts and the corresponding review requirements:

Accrual Amount Compared with Threshold	Automatically Reviewed by System?	Manual Review Needed?
Accrual Amount < or = Lower Threshold Amount Note: No accrual posting	No	No
Lower Threshold Amount < Accrual Amount < Upper Threshold Amount	Yes	No
Accrual Amount > or = Upper Threshold Amount	No	Yes

ℹ Note

- If the accrual amount currency is different from the threshold currency, the Accrual Engine converts the accrual amount currency on the last day of the accrual period.
- The review process is always optional, even if the accrual amount is above the upper threshold. In such a case, the system posts the proposed accrual amounts.

Periodic Posting Run

Use

To be able to post the accruals calculated for a specific key date and to generate the corresponding journal entry line items, you need to carry out periodic accruals postings. You make these postings using periodic posting runs.

The system saves the accrual amount in at least one currency, that is, in the transaction currency.

To set up and start a periodic posting run, go to the **Schedule Accruals Jobs** app and use **Post Periodic Accruals** job template. For more information, see Post Periodic Accruals.

Reversing accrual postings

If you have configured the system to always make full postings, there is no need to perform manual reversal postings. With the full posting option, as soon as you start a periodic posting run, the system first creates an inverse posting that reverses the accruals that have been posted in the preceding periods. After this step, the system posts the accrual amounts calculated for the current period. This means that the system carries out the reversal.

To check whether your system is configured to make full postings, go to the **Define Accrual Item Types** configuration activity. In your configuration environment, use the search function to find and open this activity. For more information, see Configuration Environment of SAP S/4HANA Cloud Public Edition.

Post Periodic Accruals

Use

You can manually start or schedule a periodic posting run for calculating and posting accruals at the period end. This means that accrual postings are made for all accrual objects that are relevant on the specified last day of the period. You must always start the posting run for a specific key date.

Note

If you've activated the review process for periodic accruals, you can use this job after the review process is finished.

Procedure

To start a periodic posting run, proceed as follows:

1. Go to the **Schedule Accruals Jobs** app.
2. Choose **New** (***plus*** sign).
3. In the **Job Template** field, use the value help to select the **Purchase Order Accruals - Post Periodic Accruals** template.

4. Check the proposed date in the **Last Day of the Period** field. You can also overwrite the date. However, you must always specify the **last** day of a period.
5. Enter the **company codes** for which you want the system to perform a posting run.
6. You can start the posting run for a specific ledger group or a specific accrual item type.
7. You can perform the posting run for specific accrual objects, that is, you can restrict the posting run to specific accrual objects or accrual subobjects. Using the value help, you can see in the **Identifier AcrObj** column whether an accrual object exists for a given purchase order item.
8. You can perform the posting run as a test run before you start the update run. To do this, select the **Test Run** checkbox.
9. If you don't want to start the posting run immediately, deselect the **Start Immediately** checkbox and enter your desired start date and time.
10. Choose **Schedule**.

ℹ Note

- If you want to run accruals reversal on the first day of the next period, select the **Reverse on First Day of Next Period** check box. By default, the accruals reversal is scheduled to run on the last day of the next period.
- Accruals reversal doesn't apply to the posting in the last period, no matter whether you select the **Reverse on First Day of Next Period** check box.

Result

The system completes the periodic posting run, thereby posting the periodic accruals and creating the corresponding journal entry line items. If your accruals configuration is set to make full postings (that is, no delta postings), the system automatically reverses existing posted accruals before starting the posting run.

ℹ Note

The accrual posting is made to all ledgers that are assigned to the ledger group.

Analyze Accrual Postings

App ID: F3732

With this app you can display an overview of accrual postings. You can filter the postings by various criteria and navigate to a specific posting in related apps to investigate further.

Key Features

This app provides the following key features:

- Use visual filters to investigate your accrual postings
- Navigate directly to the posting in related apps
- Use the **Details** and **View By** functions for an in depth view of your postings

Supported Device Types

- Desktop
- Tablet
- Smartphone

Information for Key Users

The SAP Fiori apps reference library has details about the content necessary for giving users access to an app on the **SAP Fiori launchpad**. To see this app's Fiori content, go to the SAP Fiori apps reference library and search for the app. Then select the product. On the **Implementation Information** tab, select the correct release. The details are in the **Configuration** section.

Schedule Accruals Jobs

Describes available job options for accruals management in the **Schedule Accruals Jobs** app.

App ID: F3778

With this app you can schedule accruals jobs using the templates provided. For example, you can run jobs to transfer purchaser orders to the Accrual Engine, or propose accrual amounts for review before they are posted.

Key Features

You can use the scheduling options to carry out the following periodic accrual activities for applications:

- Purchase Order Accruals
  - Post Periodic Accruals
  - Propose Periodic Accruals
  - Simulate Accrual Postings
  - Transfer Purchase Orders to Accrual Engine
  - Close Accrual Objects
- Service Entry Sheet Accruals
  - Transfer Purchase Orders to Accrual Engine
  - Propose Periodic Accruals
  - Post Periodic Accruals
  - Simulate Accrual Postings

ℹ Note

This app contains in-app help for key fields and concepts. To display the help while working in the app, press F1 or choose the question mark displayed in the app header.

Supported Device Types

- Desktop
- Tablet

More Information

For more information about Job Scheduling apps, see Application Jobs.

Information for Key Users

The SAP Fiori apps reference library has details about the content necessary for giving users access to an app on the **SAP Fiori launchpad**. To see this app's Fiori content, go to the SAP Fiori apps reference library and search for the app. Then select the product. On the **Implementation Information** tab, select the correct release. The details are in the **Configuration** section.

Display Accrual Object Items

App ID: F4899

With this app, you can display a list of accrual object items filtered by company code, accrual item type, lifecycle status, and so on. You can see full details for each item listed, and check information such as the validity period, start and end of life, or the total accrual amount.

Key Features

This app provides the following key features:

- A range of filters, such as accrual object, subobject, item, lifecycle status and so on.
- Table view showing a full range of details for each accrual object item.
- Navigation to related apps.

Note

This app contains in-app help for key fields and concepts. To display the help while working in the app, press F1 or choose the question mark displayed in the app header.

Supported Device Types

- Desktop
- Tablet
- Smartphone

Information for Key Users

The SAP Fiori apps reference library has details about the content necessary for giving users access to an app on the **SAP Fiori launchpad**. To see this app's Fiori content, go to the SAP Fiori apps reference library and search for the app. Then select the product. On the **Implementation Information** tab, select the correct release. The details are in the **Configuration** section.

Related Information

App Extensibility: Display Accrual Object Items (Key User)

As a key user, you can extend the **Display Accrual Object Items** app according to your business needs.

Custom Fields

With the **Custom Fields** app, you can create and maintain custom fields that you can use to enhance applications. You can add fields to the following UI elements using key user adaptation:

Business Context	UI Technology	Navigation Path	UI Element Type
Accrual Account Assignment	Fiori	Display Accrual Object Items > Adapt Filters	List Report Filters
Accrual Account Assignment	Fiori	Display Accrual Object Items > Table Toolbar > Settings	List Report View Settings

For more information, see:

- Creating Custom Fields
- Adding Extension Fields to Apps with Different UI-Technologies

Related Information

Key User Extensibility
Creating Extension Items and Transporting Them

Display Periodic Accrual Amounts

App ID: `F4900`

With this app, you can display a list of periodic accrual amounts filtered by company code, review type, approval status, and so on. You can see full details for each item listed, and navigate to related apps.

Key Features

This app provides the following key features:

- Table view showing full details of periodic accrual amounts for the specified fiscal period.
- A range of filters, such as accrual object, subobject, lifecycle status and so on.
- Navigation to related apps.

Note

This app contains in-app help for key fields and concepts. To display the help while working in the app, press F1 or choose the question mark displayed in the app header.

Supported Device Types

- Desktop
- Tablet
- Smartphone

Information for Key Users

The SAP Fiori apps reference library has details about the content necessary for giving users access to an app on the **SAP Fiori launchpad**. To see this app's Fiori content, go to the SAP Fiori apps reference library and search for the app. Then select the product. On the **Implementation Information** tab, select the correct release. The details are in the **Configuration** section.

Related Information

App Extensibility: Display Periodic Accrual Amounts (Key User)

App Extensibility: Display Periodic Accrual Amounts (Key User)

As a key user, you can extend the **Display Periodic Accrual Amounts** app according to your business needs.

Custom Fields

With the **Custom Fields** app, you can create and maintain custom fields that you can use to enhance applications. You can add fields to the following UI elements using key user adaptation:

Business Context	UI Technology	Navigation Path	UI Element Type
Accrual Account Assignment	Fiori	**Display Periodic Accrual Amounts > Adapt Filters > Accrual Subobject Item with Periodic Amounts**	List Report Filters
Accrual Account Assignment	Fiori	**Display Periodic Accrual Amounts > Table Toolbar > Settings**	List Report View Settings

For more information, see:

- Creating Custom Fields
- Adding Extension Fields to Apps with Different UI-Technologies

Related Information

Key User Extensibility
Creating Extension Items and Transporting Them

Purchase Order Deferrals

Introduces deferred expense and purchase order deferrals.

Purpose

Deferred expenses or deferrals mean that a posting for actual costs (for example, an invoice or goods receipt posting) is made in advance, but the expenses of services or consumable products are reported in a future fiscal period or in multiple future periods. Before the actual expense is recorded within a period where the service actually happens or the product is received, deferrals are posted as an asset and are released or reallocated when the expense is reported. The deferral expense isn't regarded as an actual expense. This type of prepaid expense normally is posted with the following invoices or receipts:

- Early receipt of consumable products
- Prepaid invoice with purchase order reference
- Prepaid invoice without purchase order reference

As part of Accruals Management, Purchase Order Deferrals are provided by SAP S/4HANA Cloud with the automatic calculation and postings. The deferrals and accruals for purchase orders are seamlessly integrated in the **Purchase Order Accruals** application.

ℹ Note

Purchase order deferrals provide calculation methods based on purchase order types, service invoices, and goods receipts. For more information about how to calculate deferrals, see Deferrals Calculation.

Prerequisites

To use services of purchase order deferrals, you need to finish the required configuration. For more information, see Customizing Purchase Order Deferrals.

Deferrals Process

The deferrals process starts from a purchase order created in Materials Management:

1. Create a purchase order.
2. Post the prepaid invoices or early goods receipts.

   You can post the invoice as Accounts Payable accountant. The receipt of services or goods is posted.
3. (Optional) Transfer the purchase order to the Accrual Engine.

   ### ℹ Note

   If the online integration is active, an accruals object is automatically created after a purchase order is created. If the online integration isn't active, you can manually transfer or define a job to transfer in the **Schedule Accruals Jobs** app. To activate the online integration, see the customizing activity in Transfer Purchase Orders to Accrual Objects.
4. Display purchase order deferrals.

   You can view the accrual item types along with accruals and deferrals amount in the **Display Accrual Objects** app.
5. (Optional) Review accrual and deferral amounts.
6. Post deferrals calculated by the system.

   Deferrals are calculated and posted automatically. Deferred expenses are recognized when prepaid invoices or early goods receipts are posted. The initial recognized expense is defined as opening postings. Deferred expenses are allocated to relevant periods based on calculation methods and defined as periodic postings.

7. View deferral reports in the following apps:
    - **Display Purchase Order Accruals**
    - **Analyze Accruals Postings**
    - **Display Accrual Object Items**
    - **Display Accruals Periodic Amounts**
    - **Manage Journal Entries**

The process of purchase order deferrals involves templates and apps that are the same as purchase order accruals. For information about the process of accruals management, see Purchase Order Accruals.

Purchase Order Types Supported by Deferrals

You can see what purchase orders can be dealt with for deferrals calculation.

Purchase Scenarios

Deferred expenses (deferrals) are connected with how you purchase services and consumable products. If invoices come for prepaid services and products that are to be consumed across multiple fiscal periods in the future, deferrals could be posted to a G/L account based on your configuration. In Purchase Order Deferrals, the following scenarios are supported for deferrals calculation and posting:

- Lean Service with Two-Way Match

  It's a service purchase without goods receipt, and the service expenses to be deferred are distributed by performance period in a linearization way. Prepaid invoices are posted as the actual costs of the deferral base.

- Lean Service with Three-Way Match

  It's a service purchase with valuated goods receipt, and the service expenses to be deferred are distributed by performance period in a linearization way. The service entry sheet is receipted and posted as the actual costs.

- Enhanced Limit with Two-Way Match

  It's a service purchase of the enhanced limit type, with value limits in the purchase order. Prepaid invoice is posted as the actual costs of the deferral base.

- Enhanced Limit with Three-Way Match

  It's a service purchase of the enhanced limit type, with value limits in the purchase order. The service entry sheet is receipted and posted as the actual costs.

- Consumable Products Non-Valuated Three-Way

  It's a consumable product purchase with non-valuated goods receipted and posted. Prepaid invoices are posted as actual costs.

- Consumable Products Valuated Three-Way

  It's a consumable product purchase with valuated goods receipted and posted as actual costs.

Supported Purchase Types in System

Only purchase order items with the following conditions that are defined in Material Management can be replicated to the Accrual Engine for deferrals calculation:

- Lean service
    - Item Category: <blank>
    - Product Type Group: 2
- Enhanced limit
    - Item Category: E
    - Product Type Group: 2
- Consumable product
    - Item Category: <blank>
    - Product Type Group: 1

ⓘ Note

The value of E for Item Category displays when the maintenance language is English in **Sourcing and Procurement**.

Deferrals Calculation

Purchase order deferrals provide calculation methods of calculating deferrals. You can choose to calculate using the planned costs of a purchase order or the lifetime of an accrual object. The common calculation formulas are applied in all the methods.

You can customize how to calculate deferrals to meet your business requirements. The following deferral calculation methods are provided:

- **DCSTPC - Deferred costs based on planned costs.**

  The deferral amount is calculated as invoiced costs minus planned costs (from the purchase order item). This approach neglects the performance periods given in the invoices. Implicitly, portions of each posted invoice are deferred until end of the fiscal period. This approach can be reasonable when the delivery dates are used instead of performance periods in the invoice.

- **DCSTLT - Deferred costs with linear distribution per period based on accrual lifetime**

  Similar to the linearization of the invoice within the performance period, this method assumes that life time of an accrual object is the key for calculating deferrals. The start and end dates of an accrual object are given by the system after the purchase order is transferred to the Accrual Engine. You can check the start of life and end of life when you display the accrual object.

- **DCSTLT_D1 - Deferred costs with linearization per day based on the accrual lifetime**

  In this method, the system distributes the deferred costs equally between the number of days between the number of days of the accrual object lifetime.

- **SPLN-REC - Used specifically for calculating accruals after deferrals are calculated.**

  For an interplay of accruals and deferrals, the accrual amount is calculated as planned costs minus recognized costs. The costs for the past time interval are recognized cost and no deferrals are needed for this part.

You can see some examples explaining how the calculation methods are applied in different situations and how to post deferrals with transactions. The calculation formulas used for purchase order deferrals are listed as follows:

All Invoices = Non-Deferral Invoice + Deferral Invoice

Accruals = Planned Costs – Recognized Costs

Deferred Costs = Invoiced Costs – Recognized Costs

Accruals – Deferrals = Planned Costs – Actual Costs

Related Information

Examples: Calculation Based on Planned Costs in Purchase Order
Example: Calculation Based on Accrual Object Lifetime
Example: Calculation Based on Days of Accrual Object Lifetime

Examples: Calculation Based on Planned Costs in Purchase Order

In the examples, you can see how the system calculates deferrals and post them to accounts based on planned costs in a purchase order.

This method (DCSTPC) calculates deferrals with the formula of total invoiced costs minus planned costs (recognized costs) in a purchase order item. The condition is that the deferrals are never negative because the recognized costs increase up to the total invoiced costs during the performance period. In this method, the performance period given in the invoice is ignored. Instead, if the deferrals are calculated as positive, all invoices with a posting date before the end of the fiscal period contribute with their total or partial invoice amounts to the deferrals. This method can be reasonable if there's no performance period or delivery date available in the purchase order.

In the following examples, you can see how accruals and deferrals are calculated using the planned costs in a purchase order:

Example of 1 Invoice

Prerequisites

- The planned costs of the purchase order item are a straight-line approach: 500 USD for each month with the lifetime from January 2021 to May 2021.
- In January and February, services were received from the supplier as planned.
- In February, a supplier invoice was posted on February 15, 2021 with a net amount of 2,500 USD.

Deferrals Calculation

At the end of each fiscal period, deferrals are calculated:

Period End	Invoiced Costs per Month	Deferrals Balance （Invoiced costs – Recognized costs)
January	0 (No invoice received)	0
February	2,500	2,500–1,000=1,500
March	0	2,500–1,500=1,000
April	0	2,500–2,000=500

Period End	Invoiced Costs per Month	Deferrals Balance （Invoiced costs – Recognized costs)
May	0	2,500–2,500=0

Accruals Calculation

At the end of each fiscal period, deferrals are calculated:

Period End	Invoiced Costs per Month	Accruals Balance (Planned Costs – Recognized costs)
January	0 (No invoice received)	500–0=500
February	2,500	1,000–1,000=0
March	0	1,500–1,500=0
April	0	2,000–2,000=0
May	0	2,500–2,500=0

The following T-account view shows how deferrals are posted with each transaction to G/L ledger accounts:

Transaction	Period	BS - Accruals Debit (+)	BS - Accruals Credit (-)	Balance	Total Balance	BS - Deferrals Debit (+)	BS - Deferrals Credit (-)	Balance	Total Balance	PL - Costs Debit (+)	PL - Costs Credit (-)	Balance	Total Balance	BS – Accounts Payable Debit (+)	BS – Accounts Payable Credit (-)	Balance	Total Balance
Accrual Periodic Posting (PP)	1/31/2021		500							500							
				-500	-500			0	0			500	500			0	0
Invoice Posting	2/15/2021									2,500					2,500		
Deferral Opening Posting(IP)	2/28/2021					2000					2,000						
Deferral Periodic Posting (PP)	2/28/2021						500			500							
Utilization Posting (UP)	2/28/2021	500									500						
				500	0			1500	1,500			500	1,000			-2,500	-2,500
Deferral Periodic Posting (PP)	3/31/2021						500			500							
				0	0			-500	1,000			500	1,500			0	-2,500
Deferral Periodic Posting (PP)	4/30/2021						500			500							
				0	0			-500	500			500	2,000			0	-2,500
Deferral Periodic Posting (PP)	5/31/2021						500			500							
				0	0			-500	0			500	2,500			0	-2,500

Example of 2 Invoices

Prerequisites

- The planned costs of the purchase order item are a straight-line approach: 500 USD for each month with the lifetime from January 2021 to May 2021.
- In January and February, services are received from the supplier as planned.
- Before the end of February, 2 supplier invoices were posted:
    - Invoice 1 with 1,000 USD on posting date of 15 January 2021. This invoice is for the deliveries in January and February.
    - Invoice 2 with 1,500 USD on posting date of 15 February 2021. This invoice is for the future deliveries from March to May.

Deferrals Calculation

At the end of each fiscal period, deferrals are calculated:

Period End	Invoiced Costs per Month	Deferrals Balance （Invoiced costs – Recognized costs)
January	1,000	1,000–500=500

Period End	Invoiced Costs per Month	Deferrals Balance （Invoiced costs – Recognized costs)
February	1,500	2,500–1,000=1,500
March	0	2,500–1,500=1,000
April	0	2,500–2,000=500
May	0	2,500–2,500=0

ⅈ Note

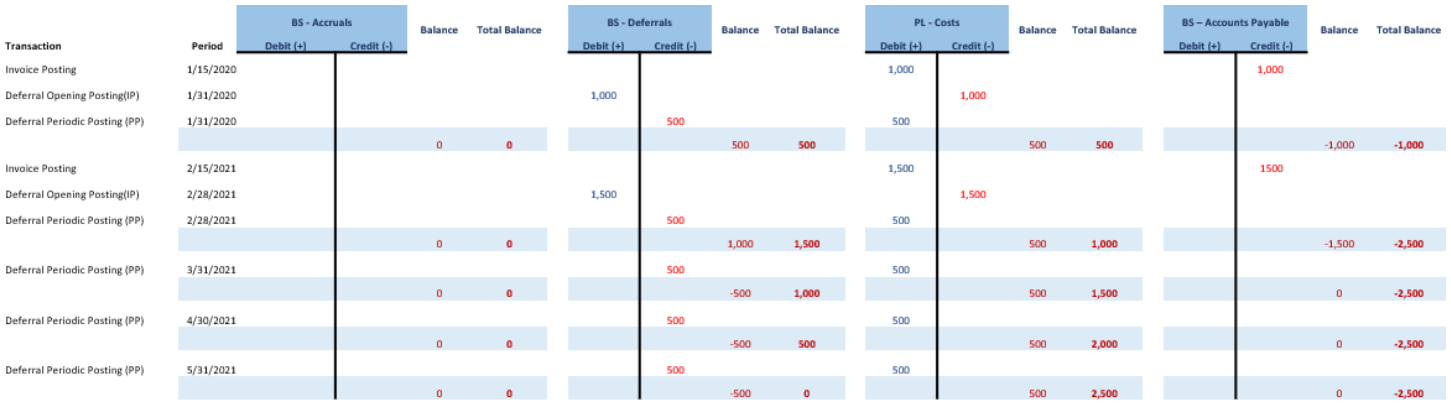
In this example, both invoices contribute to the deferrals of 2,500, despite the fact that the amount in invoice 1 is for deliveries that have been realized.

Accruals Calculation

At the end of each fiscal period, accruals are calculated:

Period End	Invoiced Costs per Month	Accruals Balance (Planned Costs – Recognized costs)
January	1,000	500–500=0
February	1,500	1,000–1,000=0
March	0	1,500–1,500=0
April	0	2,000–2,000=0
May	0	2,500–2,500=0

The following T-account view shows how deferrals are posted with each transaction to G/L ledger accounts:



Transaction	Period	BS - Accruals Debit (+)	BS - Accruals Credit (-)	Balance	Total Balance	BS - Deferrals Debit (+)	BS - Deferrals Credit (-)	Balance	Total Balance	PL - Costs Debit (+)	PL - Costs Credit (-)	Balance	Total Balance	BS – Accounts Payable Debit (+)	BS – Accounts Payable Credit (-)	Balance	Total Balance
Invoice Posting	1/15/2020									1,000					1,000		
Deferral Opening Posting(IP)	1/31/2020					1,000					1,000						
Deferral Periodic Posting (PP)	1/31/2020						500			500							
				0	0			500	500			500	500			-1,000	-1,000
Invoice Posting	2/15/2021									1,500					1500		
Deferral Opening Posting(IP)	2/28/2021					1,500					1,500						
Deferral Periodic Posting (PP)	2/28/2021						500			500							
				0	0			1,000	1,500			500	1,000			-1,500	-2,500
Deferral Periodic Posting (PP)	3/31/2021						500			500							
				0	0			-500	1,000			500	1,500			0	-2,500
Deferral Periodic Posting (PP)	4/30/2021						500			500							
				0	0			-500	500			500	2,000			0	-2,500
Deferral Periodic Posting (PP)	5/31/2021						500			500							
				0	0			-500	0			500	2,500			0	-2,500

Example: Calculation Based on Accrual Object Lifetime

In this example, you can see how the system calculates deferrals and post them to accounts based on the lifetime of an accrual object that is transferred from a purchase order.

The linearization method (DCSTLT) assumes that the total amount of each supplier invoice is distributed over the accrual object lifetime. By default the total amount of the supplier invoice is distributed linearly between start and end date of an accrual object. After this linearization, for each invoice the portion that needs to be deferred can be determined by the system. This method ignores performance periods from invoices when recognized costs are linearized across the accrual object lifetime for accruals and deferrals calculation.

Example

Prerequisites

- The planned costs of the purchase order item are a straight-line approach: 500 USD for each month with the lifetime from January 2021 to May 2021.
- In January and February services were received from the supplier as planned, with a total value of 1,000 USD.
- Before the end of February, 2 supplier invoices are posted:
    - Invoice 1 with 1,000 USD on posting date of January 15, 2021.
    - Invoice 2 with 1,500 USD on posting date of February 15, 2021.

Deferrals Calculation

At the end of each fiscal period, deferrals are calculated:

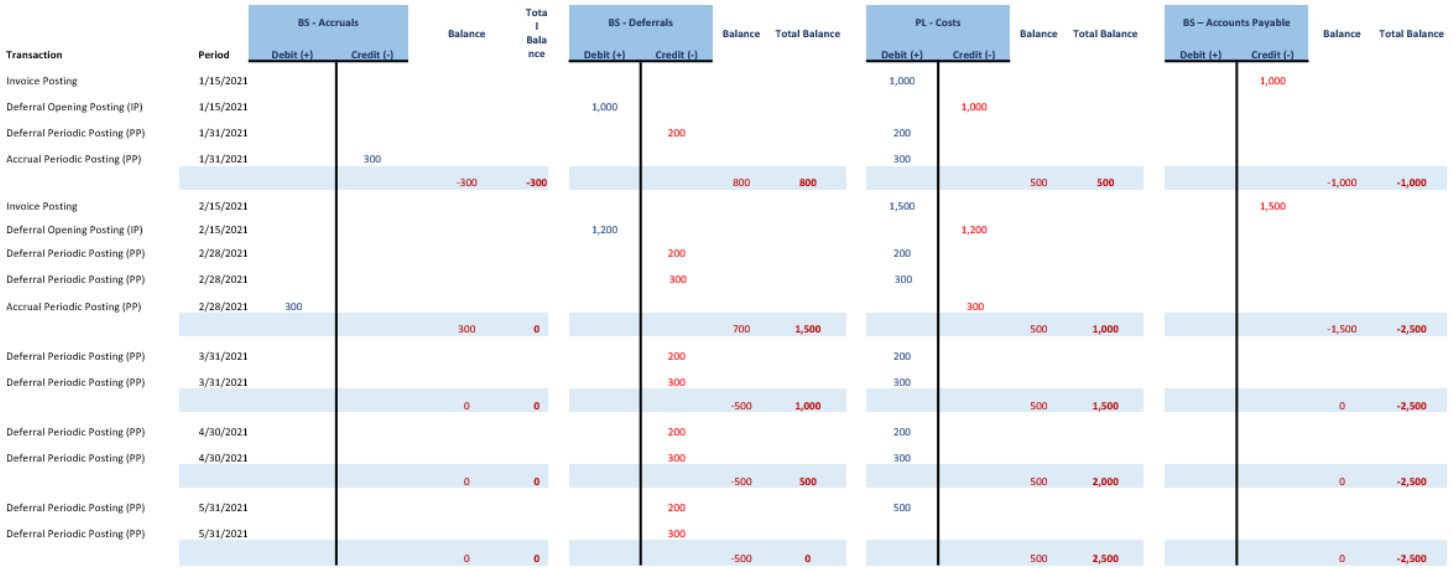
Period End	Invoiced Costs per Month	Deferrals Balance （Invoiced costs–Recognized costs)
January	1,000	1,000–1,000/5*1=800
February	1,500	2,500–2,500/5*2=1,500
March	0	2,500–2,500/5*3=1,000
April	0	2,500–2,500/5*4=500
May	0	2,500–2,500/5*5=0

Accruals Calculation

At the end of each fiscal period, accruals are calculated:

Period End	Invoiced Costs per Month	Accruals Balance （Planned costs–Recognized costs)
January	1000	500–1,000/5*1=300
February	1,500	1,000–2,500/5*2=0
March	0	1,500–2,500/5*3=0
April	0	2,000–2,500/5*4=0
May	0	2,500–2,500/5*5=0

The following T-account view shows how deferrals are posted with each transaction to G/L ledger accounts:



Transaction	Period	BS - Accruals Debit (+)	BS - Accruals Credit (-)	Balance	Total Balance	BS - Deferrals Debit (+)	BS - Deferrals Credit (-)	Balance	Total Balance	PL - Costs Debit (+)	PL - Costs Credit (-)	Balance	Total Balance	BS – Accounts Payable Debit (+)	BS – Accounts Payable Credit (-)	Balance	Total Balance
Invoice Posting	1/15/2021									1,000					1,000		
Deferral Opening Posting (IP)	1/15/2021					1,000					1,000						
Deferral Periodic Posting (PP)	1/31/2021						200			200							
Accrual Periodic Posting (PP)	1/31/2021		300							300							
				-300	-300			800	800			500	500			-1,000	-1,000
Invoice Posting	2/15/2021									1,500					1,500		
Deferral Opening Posting (IP)	2/15/2021					1,200					1,200						
Deferral Periodic Posting (PP)	2/28/2021						200			200							
Deferral Periodic Posting (PP)	2/28/2021						300			300							
Accrual Periodic Posting (PP)	2/28/2021	300									300						
				300	0			700	1,500			500	1,000			-1,500	-2,500
Deferral Periodic Posting (PP)	3/31/2021						200			200							
Deferral Periodic Posting (PP)	3/31/2021						300			300							
				0	0			-500	1,000			500	1,500			0	-2,500
Deferral Periodic Posting (PP)	4/30/2021						200			200							
Deferral Periodic Posting (PP)	4/30/2021						300			300							
				0	0			-500	500			500	2,000			0	-2,500
Deferral Periodic Posting (PP)	5/31/2021						200			500							
Deferral Periodic Posting (PP)	5/31/2021						300										
				0	0			-500	0			500	2,500			0	-2,500

Example: Calculation Based on Days of Accrual Object Lifetime

In this example, you can see how the system calculates deferrals and post them to accounts in a linearization of the days of the accrual object lifetime.

The linearization method (`DCSTLT_D1`) assumes that the total amount of each supplier invoice is distributed over the number of days within the lifetime of an accrual object. By default the total amount of the supplier invoice is distributed linearly between the start date and the end date in the lifetime span. After this linearization, for each invoice the portion that needs to be deferred can be determined by the system. This method ignores performance periods from invoices when recognized costs are linearized across the accrual object lifetime for accruals and deferrals calculation.

In the following example, you can see how accruals and deferrals are calculated using the linearization method:

Example

Prerequisites

- Your company has a purchase order item for purchasing services with the item value 1,510 USD.
- The planned costs of the purchase order item are distributed evenly over the calendar days from January 1, 2021 to May 31, 2021 (151 calendar days in total).
- In February, a supplier invoice was posted on February 15, 2021 with a net amount of 1,510 USD. The performance period is from January 1, 2021 to February 15, 2021.

Deferrals Calculation

The deferral amount is the total amount of the invoice minus the portion of the invoiced amount that was considered for the accrual calculation, that is, minus the recognized invoice costs. When you choose the `DCSTLT_D1` as the deferral method, the invoice is lineared to 151 days (10 USD per day), and the system calculates the recognized costs based on the calendar days for each fiscal period.

At the end of each fiscal period, deferrals are calculated:

Period End	Invoiced Costs per Month	Deferrals Balance （Invoiced costs - Recognized costs)
January	0	0

Period End	Invoiced Costs per Month	Deferrals Balance （Invoiced costs - Recognized costs)
February	1,510	1,510–10*31–10*28=920
March	0	1,510–10*31–10*28–10*31=610
April	0	1,510–10*31–10*28–10*31–10*30=310
May	0	1,510–10*31–10*28–10*31–10*30–10*31=0

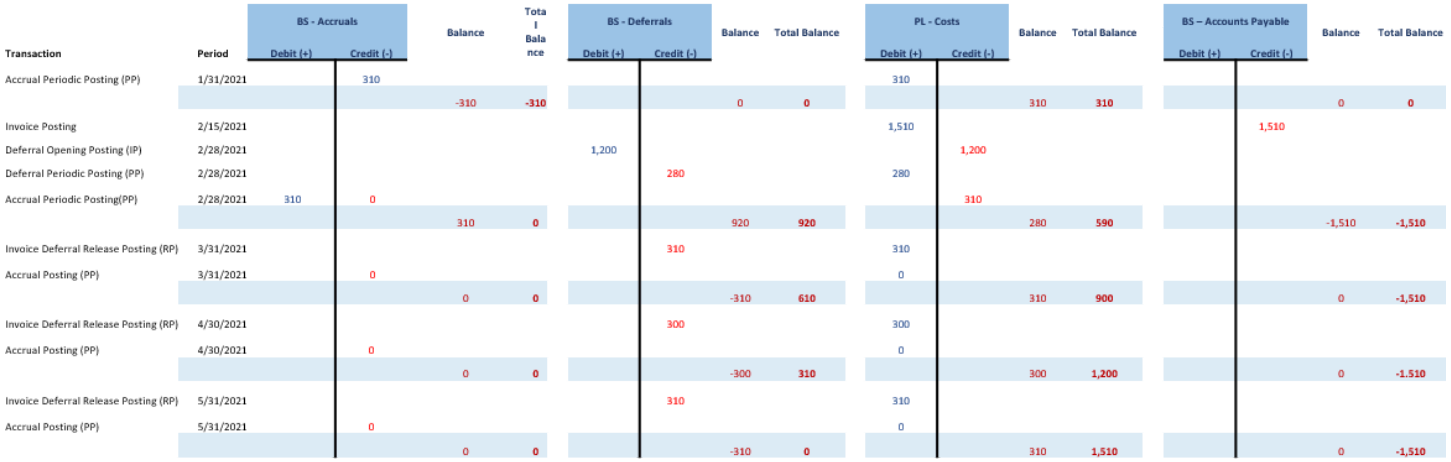
Accruals Calculation

The invoice amount is lineared to 10 USD for each calendar day from January to May. The recognized costs are used as actual costs for calculating accruals instead of the full amount in the invoice.

At the end of each fiscal period, accruals are calculated:

Period End	Invoiced Costs per Month	Accruals Balance （Planned costs–Recognized costs)
January	0	10*31–0=310
February	1,500	10*(31+28)–10*(31+28)=0
March	0	10*(31+28+31)–10*(31+28+31)=0
April	0	10*(31+28+31+30)–10*(31+28+31+30)=0
May	0	10*(31+28+31+30+31)–10*(31+28+31+30+31)=0

The following T-account view shows how deferrals are posted with each transaction to G/L ledger accounts:



Transaction	Period	BS - Accruals Debit (+)	BS - Accruals Credit (-)	Balance	Total Balance	BS - Deferrals Debit (+)	BS - Deferrals Credit (-)	Balance	Total Balance	PL - Costs Debit (+)	PL - Costs Credit (-)	Balance	Total Balance	BS – Accounts Payable Debit (+)	BS – Accounts Payable Credit (-)	Balance	Total Balance
Accrual Periodic Posting (PP)	1/31/2021		310							310							
				-310	-310			0	0			310	310			0	0
Invoice Posting	2/15/2021									1,510					1,510		
Deferral Opening Posting (IP)	2/28/2021					1,200					1,200						
Deferral Periodic Posting (PP)	2/28/2021						280			280							
Accrual Periodic Posting(PP)	2/28/2021	310	0								310						
				310	0			920	920			280	590			-1,510	-1,510
Invoice Deferral Release Posting (RP)	3/31/2021						310			310							
Accrual Posting (PP)	3/31/2021		0							0							
				0	0			-310	610			310	900			0	-1,510
Invoice Deferral Release Posting (RP)	4/30/2021						300			300							
Accrual Posting (PP)	4/30/2021		0							0							
				0	0			-300	310			300	1,200			0	-1,510
Invoice Deferral Release Posting (RP)	5/31/2021						310			310							
Accrual Posting (PP)	5/31/2021		0							0							
				0	0			-310	0			310	1,510			0	-1,510

Currency Conversion for Deferrals

Exchange rates on the date of posting costs are used for deferrals calculation.

Unlike accruals that are posted with the current exchange rate, deferrals are nonmonetary. It tends to have none currency risk related to deferrals because no more payment is expected in future. Deferred costs are recognized with their past exchange rate that is usually the exchange rate of the supplier invoice.

For example, the exchange rates between USD and EUR are different on the single days:

On the supplier invoice, exchange rate EUR/USD = 1: 0.7

At the end of February, exchange rate EUR/USD = 1: 0.9

As a consequence, you calculate accruals and deferrals with the corresponding exchanges rates at the end of the fiscal period:

1. Use the exchange rate on the invoice (0.7) for deferrals calculation.
2. Use the exchange rate (0.9) at the period end for accruals calculation
3. Calculate the netting amount as the deferrals amount by subtracting the deferrals from the accruals, which in this example is, subtracting the deferral amount in step 1 from the accrual amount in step 2.

Customizing Purchase Order Deferrals

You need to make extensive customizing settings before you can use functions in **Purchase Order Deferrals**. The settings control, for example, the purchase order and purchase order items to be deferred, the algorithms to be used for calculating deferrals, and the accounts for deferrals posting.

The required configuration for accruals is basic to settings for deferrals. For information about how to configure for accruals, see Configuring Purchase Order Accruals and Configuration Environment of SAP S/4HANA Cloud Public Edition. After you finish all settings for accruals, you continue to configure for deferrals that meet your business requirements by performing the following activities in your configuration environment:

- Define Accrual Item Types for Purchase Order Deferrals
- Create and Edit Account Determination
- Transfer Purchase Orders to Accrual Objects

ℹ Note

Before you use **Purchase Order Deferrals**, you must create a transfer variant in the **Define Accrual Item Types and Methods for MM Purchase Order Items** configuration activity and assign respective company code to the variant. Alternatively, SAP provides the **SDFR** variant that is specifically for deferrals use and you can assign respective company code to the variant.

Define Accrual Item Types for Purchase Order Deferrals

Describes how to configure accrual item types that are specific to purchase order deferrals.

Use

The accrual item type represents the business meaning of accrual items, that is, for example, the deferred costs, the planned costs, the actual costs, and the accruals (for purchase order accruals). An accrual item type controls calculation and posting of accruals or deferrals according to different business views. It defines how the accruals and deferrals are calculated and posted.

For purchase order deferrals, deferrals are calculated with accruals and you must configure the following accrual item types:

- **SCSTPLN** Accrual item type for planned costs.
- **SCSTACT** Accrual item type for actual costs.
- **SACCRL_D** Accrual item type for accruals. It's defined in a way that is the result of subtracting recognized costs from planned costs.

ℹ Note

The SACCRL_D accrual item type must be used along with deferrals. If it's a pure accruals case, use the SACCRL accrual item type for calculating accruals.

- SDFRL Accrual item type for deferrals. It's defined in a way that is the result of subtracting recognized costs from actual costs.

When you configure the accrual item types, it's required to select an item type category for each item type. An item category determines the use of the item type by the accrual engine. The following categories are available to choose:

- N - Accrual/Deferral for an accrual item type
- P - Plan for an accrual item type for planned costs
- A - Actual for an accrual item type for actual costs
- D - Deferral (with accruals) for a deferral item type for deferred costs

Note

You can create your own accrual item types for purchase order deferrals with corresponding categories. For information about how to configure accrual item types for purchase order accruals, see Define Accrual Item Types and Methods for Purchase Order Items.

Procedure

To configure accrual item types for deferrals, you must use or create a set of 4 accrual item types, and finish configuration for each of them:

1. Open the Define Accrual Item Types and Methods for MM Purchase Order Items configuration activity.
2. Finish configuration of linking the 3 accrual items types for calculating accruals: SACCRL_D , SCSTPLN, and SCSTACT.

   Note

   For detailed steps of linking the 3 accrual item types, see Define Accrual Item Types. In a case where both accruals and deferrals exist, use the SACCRL_D accrual item type instead of SACCRL, but the settings can be the same.

3. Add SDFRL as the deferral item type in the same line with the SACCRL_D. This step links all the accrual item types for calculating deferrals and accruals.
4. Select one of the following standard methods for the SDFRL accrual item type:
   - SDCSTPC
   - SDCSTLT
   - SDCSTLT_D1

   Note

   For more information about the delivered methods of calculating deferrals, see Deferrals Calculation.

5. Save your changes.

Create and Edit Account Determination

Describes how to specify G/L accounts for accruals and deferrals.

Use

The system uses account determination to determine automatically the account for accrual and deferral postings. On the basis of the symbolic account specified in the posting schema, it derives the actual G/L account to be posted to. You can set up account determination or deferral postings by entering at least the symbolic accounts and the G/L accounts to be used for deferrals.

If the account determination delivered in the scope of supply is insufficient for your purposes, you can use the **BAdI: Additional Account Assignments** Business Add-In.

Procedure

1. In your configuration environment, use the search function to open the configuration activity: **Create and Edit Account Determination**. For more information, see Configuration Environment of SAP S/4HANA Cloud Public Edition.
2. For each entry of the accrual item types that have different symbolic accounts, enter a G/L account that is used for accruals and one more G/L account that is used for deferrals.

   For example, you want to enter a G/L account for posting accruals and another G/L account for posting deferrals. Take the **SACCRL_D** and **SDFRL** accrual item types for example:

Accrual Item Type	Symbolic Account	G/L Account
<empty>	PER_ACCR_ACCNT	21725000
SDFRL	INC_ACCR_ACCNT	12561000
SDFRL	PER_ACCR_ACCNT	12561000

   ⓘ Note

   The example gives the minimum configuration for account determination. You can add more entries if you've more accrual item types or symbolic accounts.

3. Save your changes.

If you want to keep the number of table entries to a minimum, you can leave certain columns empty. In this case, entries are valid for all objects referred to in that column. For example, when you create an entry in the table, you can leave the **Company Code** or **Accrual Item Type** columns empty. The value <space> means that this entry is valid for all company codes or accrual item types.

For more information about how to create account determination for purchase order accruals only, see Create and Edit Account Determination.

Transfer Purchase Orders to Accrual Objects

Describes the required settings for transferring purchase orders to accrual objects.

Use

Before you use the service of purchase order deferrals, you need to assign the respective company code to the **SDFR** transfer variant that SAP provides in the system . You can also create your own variant and finish configuration for transferring purchase orders to accrual objects.

After you've made required settings such as defining variants and calculation methods based on accrual item types, the system can generate accrual subobjects from purchase order items and calculate the accrual amounts in accordance with the specified calculation formulas. Accrual objects and accrual subobjects can be used for calculating accruals as well as deferrals. You can see these accrual objects in the **Display Purchase Order Accruals** app.

Procedure

Prerequisite: You've made relevant settings in the **Define Accrual Item Types** (ID: 102501) configuration activity.

To activate the automatic conversion of purchase order items into accrual subobjects (for an interplay case of accruals and deferrals), you can do the following settings:

1. In your configuration environment, search and open the **Define Accrual Item Types and Methods for MM Purchase Order Items** (ID: 102505) configuration activity. For more information, see Configuration Environment of SAP S/4HANA Cloud Public Edition.
2. Create a variant in the **Variants for Purchase Order Data Transfer** view.

   > **Note**
   > You can also choose to use the **SDFR** PO Transfer Variant that SAP provides and finish the rest of the configuration. This variant is specific for use of deferrals along with accruals.

3. Set the **Online Integ Active** indicator.
4. Select your variant and call the **Assign Company Code to Transfer Variant** view by double-clicking it. In the line of the respective company code, enter the variant you want in the PO Transfer Variant field or select it from the input help.

   > **Note**
   > If your variant is valid for all or most of the company codes, you can also indicate it as a standard variant by setting the **Dflt Var PO Transfer** indicator in the **Variants for Purchase Order Data Transfer** view. If there are no other assignments for a company code, the system always uses this variant.

5. Select your variant in the **Variants for Purchase Order Data Transfer** view and call the **Define Accr. Item and Method Based on PO Item** view by double-clicking it.
6. Create entries valid for combinations of purchasing document type and line item in the purchasing document.

   > **Note**
   > Based on this combination, the system can determine which purchase order items are relevant for accrual objects. If there's no suitable entry for a purchase order item in this configuration view, which means that no combination of document type and item type matches the purchase order item, the system doesn't generate an accrual subobject and hence no accruals or deferrals are calculated for it.

7. Specify a classification in the **Accrual Classif.** column.
8. Specify the accrual item type for accruals (**SACCRL_D**), that is, the combination of purchasing document type and item category to which you assigned an accrual classification, for your entries.

   > **Note**
   > If you use the procedure of subtracting actual costs from planned costs when calculating accruals, the system automatically fills the fields for planned costs (PLNCST) and actual costs (ACTCST). This system behavior is in accordance with the settings you make in the **Define Accrual Item Types** configuration activity.

9. Specify the accrual item type for deferrals (**SDFRL**).

10. Enter an accrual method for each accrual item type. Use the following methods as examples:

Document Type	Item Category	Accrual Classification	Accrual Item Type	Accrual Method	Planned Costs Item Type	Planned Accrual Method	Actual Costs Item Type	Actual Costs Accrual Method	Defer Item Type
NB		SDELS	SACCRL_D	SPLN-REC	SCSTPLN	SPLN_DELSL	SCSTACT	SACT_COSTS	SDFRI
NB		SPERP	SACCRL_D	SPLN-REC	SCSTPLN	SPLN_LIN_P	SCSTACT	SACT_COSTS	SDFRI
NB	E	SPERP	SACCRL_D	SPLN-REC	SCSTPLN	SPLN_LIN_P	SCSTACT	SACT_COSTS	SDFRI

i Note

The item category determines whether the material is defined in a purchase order item. It's specified in a purchase order in Sourcing and Procurement (Material Management).

If you want to configure the transfer variants for calculating accruals only, see Conversion of Purchase Orders into Accrual Objects.

BAdIs for Purchase Order Accruals

Use

You edit certain fields of accrual objects and transfer variants for purchase order accruals by creating custom logic for BAdIs. The BAdIs are available for accruals management in the **Custom Logic** app under the **Purchase Order Accruals** business context.

The available BAdIs include the following:

- **POAC_ACCRUAL_OBJECT_ITEMS** - Change the items of an accrual object

  You can use this BAdI to create, change, or delete items of an accrual object.

- **POAC_ACCRUAL_OBJECT_PARAMS** - Change parameters of an accrual object

  You can use this BAdI to create, change, or delete parameters of an accrual object.

- **POAC_LIFETIME_DATES** - Change the life start and end date of an accrual object

  You can use this BAdI to modify the life start and end dates of an accrual object. These dates are important, for example, if the planned costs are calculated by distribution.

- **POAC_LIFETIME_EVENT** - Change the result of the lifetime event check

  You can use this BAdI to change the result of the lifetime event check.

- **POAC_MOD_TRANSFER_VARIANT** - Change the transfer variant for purchase order accruals

  You can use this BAdI to change the transfer variant. The transfer variant defines the item types used to create the items of an accrual object.

- **POAC_PO_ITEM_CLASSIFICATION** - Change the accrual classification for a purchase order item

  You can use this BAdI to change the accrual classification for a purchase order item.

- POAC_PO_SELECTION_FROM_DB - Change selection criteria and fields for purchase order selection

  You can use this BAdI to change the fields that are selected from the database tables EKKO (purchase order header), EKPO (purchase order item), EKKN (account assignments for purchase order items) and EKKN (schedule lines for purchase order items).

- FACRA_ADJMT_TOLERANCE_CHECK - Adjustment tolerance check

  You can use this BAdI to check whether the revised amount is accepted.

- BADI_ACE_DOCUMENT_SCHEMA_CLD - Accrual Engine: Modify Journal Entry Line Items （Cloud）

  You can use this BAdI to modify the line items of these journal entries before they are posted.

- POAC_MOD_TRANSFER_COMPONENT - Change the target transfer component for PO accruals

  The system determines which component to transfer purchase orders based on your configuration. However, you can still change the target component by using this BAdI.

  Note

  To use this BAdI, you need to activate both the 2VB and 63L scope items.

For more information about how to implement the BAdI, read the comments in the sample coding. Also, read the system documentation on the **BAdI Documentation** tab.

Procedure

1. Implement your custom logic using the **Custom Logic** app.
2. Filter by the **Purchase Order Accruals** business context.
3. Use the pre-delivered sample coding, message classes and messages.

Related Information

Custom Fields App and Custom Logic App
Custom Fields for Journal Entries Used in G/L Accounting
Creating Implementations

Service Entry Sheet Accruals

The **Service Entry Sheet Accruals** application integrates with **Service Purchasing and Recording** of the **Materials Management** component and post accruals based on amounts of unapproved service entry sheets.

Purpose

The **Service Entry Sheet Accruals** application enables you to calculate and post accruals automatically. The relevant data is transferred from **Service Purchasing and Recording** of the **Materials Management** component to the Accruals Management and automatically converted from purchase order items into accrual subobjects. On the basis of service entry sheets of which the amounts haven't been approved, the system calculates the amounts to be accrued for each account assignment of service entry sheets. In each period, you can start an accrual posting run, which posts all accruals for the service transactions.

The functions in **Service Entry Sheet Accruals** support Parallel Accounting. This means that you can calculate and post accruals simultaneously according to different ledger groups.

From a technical point of view, the Service Entry Sheet Accruals application is built on the Accrual Engine. The purchase order items to be accrued are managed in Service Entry Sheet Accruals. The processes for calculating and posting accruals, on the other hand, are managed in the Accrual Engine.

Conversion from Purchase Orders to Accrual Objects

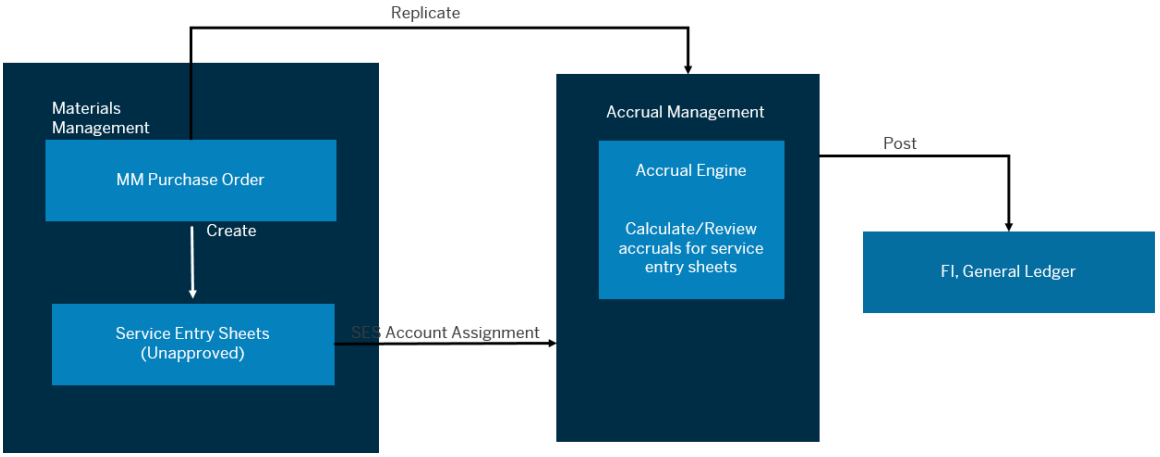
After you create a purchase order, for example, in the Manage Purchase Orders app, the transfer occurs in the following cases:

- The purchase order is automatically transferred into the Accrual Engine. It happens depending on the configuration settings controlling whether and how accruals are posted. In the Accrual Engine, an accrual object is created for each purchase order, with accrual subobjects corresponding to purchase order items.
- When implementing the Service Entry Sheet Accruals application, you want to transfer your existing purchase orders to the Accrual Engine. To do this type of data transfer, you can use job template Service Entry Sheet Accruals - Transfer Purchase Orders to Accrual Engine in the Schedule Accruals Jobs app.

ℹ Note

If you hold purchase orders in the Create Purchase Order - Advanced app, the system can't transfer them to the Service Entry Sheet Accruals application. Instead, these purchase orders are transferred to the Purchase Order Accruals application.

The following graphic shows how a purchase order is transferred from Service Purchasing and Recording of the Materials Management component to the Accruals Management:



To post accruals for service entry sheets, perform the following steps:

1. Create a purchase order of service in the Materials Management component.
2. Create a service entry sheet associated with the purchase order and submit it for approval. Accruals are calculated based on the unapproved service entry sheets.
3. (Optional) View accrual amounts for service entry sheets.
4. (Optional) Run a job to propose accrual amounts for review use.
5. (Optional) Review accrual amounts for fiscal periods.
6. Run a job to post the accrual amounts.

Implementation Considerations

Before you can use the service entry sheet accruals, you have to activate the Service Entry Sheet Accruals application (that is, the relevant scope item), if required, make further configuration settings to adapt the functions to your needs.

You need also finish required configuration settings before using the application. For more information, see Configuring Service Entry Sheet Accruals.

Benefits

In contrast to manual accrual postings, the functions in Service Entry Sheet Accruals offer you the following benefits:

- Automatic accrual calculation based on unapproved service entry sheets
- Availability of a review process where you can review the accrual amounts proposed by the system before posting them

Related Information

Planned and Unplanned Services in Service Entry Sheets – Lean Services
Account Assignment in Service Entry Sheets – Lean Services
Configuring Service Entry Sheet Accruals
Working with Service Entry Sheet Accruals

Configuring Service Entry Sheet Accruals

Use

Before you use the functions in **Service Entry Sheet Accruals**, you have to make sure that the application (that is, the relevant scope item) is active. The technical ID for **Service Entry Sheet Accruals** scope item is `<country ID>_63L`, for example, `DE_63L`. After activation, the functions are ready for use from a configuration point of view.

To make further settings to tailor the functions to your requirements, you need to perform some required configuration activities. These settings control the purchase orders or purchase order items to be accrued, the algorithms used for a service entry sheet, and the accounts used for accruals postings.

To make use of the procedure of manually reviewing accrual amounts, you can run a proposal without any further configuration effort. You can then review the accrual amounts proposed by the system.

In your configuration environment, use the search function to open the configuration activities for **Service Entry Sheet Accruals**. For more information, see Configuration Environment of SAP S/4HANA Cloud Public Edition.

Features

As soon as the **Service Entry Sheet Accruals** application is activated, the system creates accrual objects when a purchase order is created or changed in materials management.

To make sure that the standard configuration with the purchase order accruals functions meets your requirements, you need to check the following configuration settings:

- (Required) Adjust Transfer Priorities for Accruals

  Set the transfer sequences for multiple applications.

- (Required) Define Accrual Item Types and Methods for Purchase Orders of Service

  Edit the settings that control for which purchase orders or purchase order items accruals can be posted.

- (Optional) Create and Edit Account Determination for Service Entry Sheet Accruals

Define the G/L accounts for the system to post accruals.

- (Optional) Define Accrual Item Types for Service Entry Sheet Accruals

  Define additional accrual item types and their ledger group-specific settings.

- (Optional) Check Customizing Settings for Service Entry Sheet Accruals

  Check whether all customizing settings for service entry sheet accruals are consistent.

Adjust Transfer Priorities for Accruals

Define the transfer order for accruals management between components.

In a case of transferring purchase orders for both purchase order accruals and service entry sheet accruals, you need to decide for which component the system transfers data first to the Accrual Engine. For example, if you set the SSAC component with the first priority, that is, data transfer for service entry sheet accruals happens ahead of transfers for other components.

By default, the POAC component is the first priority for data transfer. You can change the predelivered settings in the **Adjust Transfer Priorities for Accruals** configuration activity.

Define Accrual Item Types and Methods for Purchase Orders of Service

You can edit the settings controlling which purchase orders are converted into accrual objects.

In the **Define Accrual Item Types and Methods for Purchase Orders of Service** configuration activity, you can edit the settings controlling which purchase orders can the system convert into accrual objects. To be more specific, this activity controls which purchase order data the system transfers to the **Service Entry Sheet Accruals** application. In addition, you can edit the calculation formulas the system uses to calculate accrual amounts. If you need to do the conversion manually, you can also deactivate the automatic conversion of purchase orders into accrual objects.

In the standard configuration, the system only creates accrual objects for standard purchase orders with standard purchase order items:

- **Document Type**: NB
- **Item Category**: E or <blank>

> **Note**
>
> The Standard item category is represented as blank.

For purchase order items, the system uses accrual method SSES_ACCRL to calculate accrual amounts for unapproved service entry sheets.

Procedure

To check and edit the settings of this configuration activity, proceed with the following steps:

1. In the **Variants for project organization related Data Transfer** view, assign the **SSES** variant to those company codes only that make use of accruals:

a. Deselect the **Dflt Var PO Transfer** checkbox.

b. Select your variant and call the **Assign Company Code to Transfer Variant** view by double-clicking it.

c. In the line of the respective company code, enter or select the variant you want in the **Transfer Variant** field.

> **Note**
>
> If you select the **Dflt Var PO Transfer** checkbox for the **SSES** variant and don't assign any company codes in the **Assign Company Code to Transfer Variant** view, the settings apply to all the company codes that you've configured in the **Define Accrual Item Types for Service Entry Sheet Accruals** activity.

2. To check and define which purchase order items to convert into accrual subobjects, select your variant in the **Variants for PO related Data Transfer** view and call the **Define Accr. Item Type and Method Based on SES** view by double-clicking it.

3. Create entries valid for combinations of document type and purchase order category of the purchase order.

> **Note**
>
> Baed on this combination, the system can determine which purchase order items are relevant for accruals. If none suitable entries for a purchase order item in this configuration view are found(that is, no combination of document type and item category matches the purchase order item), the system doesn't generate an accrual subobject and hence no accruals are calculated for it.

4. Specify a classification in the **Accrual Classif.** field. The system calculates accruals according to a delivery schedule or in a linear procedure within a start and end date.

> **Note**
>
> For Service Entry Sheet Accruals application, the **Accrual Classif.** field is optional. You can leave the field blank. However, if you specify one accrual classification, the system only transfer purchase order items with this classification to accrual subobjects. For more information about available options of accrual classifications, see step 4 in Define Accrual Item Types and Methods for Purchase Order Items.

5. Specify the accrual item types and corresponding calculation methods:

	Item Type	Calculation Method
Accrual Item Type	SACCRL	SSES_ACCRL
Actual Costs	SCSTACT	SSES_ACT

6. Save your configuration changes.

Result

When you finish checking these configuration settings, the system generates accrual subobjects from purchase order items. And then the system calculates the accrual amounts in accordance with the specified calculation formulas.

> **Note**
>
> The system generates accrual objects automatically as soon as you've activated the **Service Entry Sheet Accruals** application and adapted the standard configuration settings. For purchase order items that already exist in your system, you can transfer them manually in the application. To do this, go to the **Schedule Accruals Jobs** app and run the Transfer Purchase Orders to Accrual Engine job. If you have changed configuration settings, you can also use this function to update existing accrual objects.

Create and Edit Account Determination for Service Entry Sheet Accruals

Define the G/L account to which the system posts accruals.

In the **Create and Edit Account Determination for Service Entry Sheet Accruals** configuration activity, you can edit the accrual account used by the system to make accrual postings.

You can assign the appropriate G/L accounts to the symbolic accounts. To do this, enter the symbolic account `PER_ACCR_ACCNT` for your company code and service entry sheet type. In the G/L Account column, select the corresponding accruals account for this symbolic account.

The offsetting account for this posting is an expense account. The system uses the account from the expense account defined in the item of service entry sheet account assignment. In the event of no expense account assigned to the service entry sheet item, specify the `PER_OFFSETTING_ACCNT` entry in account determination and specify an appropriate G/L account for it.

Define Accrual Item Types for Service Entry Sheet Accruals

Define additional accrual item types and their ledger group-specific settings.

In the **Define Accrual Item Types Service Entry Sheet Accruals** configuration activity, you can check the accrual item type settings to company codes and ledger group-specific settings.

You can see the following accrual item types that are predelivered:

- **Accrual Item Type for Accruals (SACCRL)**

  This accrual item type is defined in a way that it's the result of accrual amounts based on unapproved service entry sheets.

- **Accrual Item Type for Actual Costs (SCSTACT)**

  This accrual item type is for collecting posted costs from approved service entry sheets. It doesn't contribute to calculating accruals for service entry sheets.

Procedure

It's recommended to use the standard settings for predelivered accrual item types `SACCRL` and `SCSTACT`. If you wan to create more accrual item types for service entry sheet accruals, perform the following procedure:

1. Go to the **Define Item Types** view, and create and link two more accrual items with the following values:

Fields	Accrual Item Type A	Accrual Item Type B
Type Category	`N Accrual/Deferral`	`A Actual`
Actual Costs Item Type	`SASTACT`	`<empty>`
Default Accrual Method	`SSES_ACCRL`	`SSES_ACT`
Description	`Accrual amounts`	`Accrual costs`

2. To determine the ledger groups, company codes, and types of postings, in the **Define Item Types** view, select an accrual item type and call the **Accrual Item Type Settings for Ledger Group** view with a double-click.

3. To determine ledger-specific settings, such as the currency handling options, or to deactivate the review process, go to the **Settings for Single Ledgers and Crcy Types** view.

4. In the Currency Handling field, enter the currency settings that are to apply. For the transaction currency, you can't change the default value **By Accrual Engine value**.

> **Note**
>
> You can set entries to inactive, which means that the system doesn't make accrual postings for this specific combination of ledger, company code, and currency type.

Check Customizing Settings for Service Entry Sheet Accruals

The system automatically performs an overall check for all settings for the service entry sheet accruals application.

In this **Check Customizing Settings for Service Entry Sheet Accruals** activity, you can view the check result that whether all customizing settings for service entry sheet accruals are consistent. It's recommended to correct errors in the check result before you run other activities for service entry sheet accruals.

Working with Service Entry Sheet Accruals

When do I need service entry sheet accruals?

For service purchasing, you need to post accruals for costs that come from unapproved service entry sheets. A purchase order item could have multiple service entry sheets with different account assignments.

How are service entry sheet accruals calculated?

At the end of each period, the system calculates the accrual amounts for the service entry sheets based on the unapproved service entry sheets. Accruals are posted to accounts with account assignments of a service entry sheet rather than account assignments of a purchase order item. At the end of the next period, all the posted accruals for service entry sheets are automatically reversed so that the amounts to accrue for the next period can be calculated.

The posting date for goods receipt that you enter in a service entry sheet determines the fiscal period to post accruals to. If you haven't provided such a date, the system takes the last changed date of the service entry sheet as the key date to determine a fiscal period for accruals posting.

How to work with service entry accruals?

The process of service entry sheet accruals involves the following job templates and apps:

- The **Service Entry Sheet - Transfer Purchase Orders to Accrual Engine** job template in the **Schedule Accruals Jobs** app
- The **Service Entry Sheet Accruals - Propose Periodic Accruals** job template in the **Schedule Accruals Jobs** app
- The **Service Entry Sheet Accruals - Simulate Accrual Postings** job template in the **Schedule Accruals Jobs** app
- The **Service Entry Sheet Accruals - Post Periodic Accruals** job template in the **Schedule Accruals Jobs** app
- **Display Service Entry Sheet Accruals**
- **Review Service Entry Sheet Accruals - for Cost Accountant**

Transfer Purchase Orders to Accrual Engine

Purchase order items are converted to accrual subobjects for the Accrual Engine to calculate accrual amounts.

As soon as a purchase order is created in Purchasing (from **Service Purchasing and Recording**), the system determines whether accruals can be relevant, on the basis of the relevant configuration settings. If all the purchase order items contained in the purchase order are relevant for accruals, the system generates an accrual object from the purchase order, and an accrual subobject from each purchase order item.

The system calculates the accruals for service entry sheets for each period, which you can then post using the periodic posting run. Changes in the accrual amounts of unapproved service entry sheets lead automatically to a corresponding change of the accrual subobject.

ℹ Note

For service entry sheet accruals, the amount and account assignment of a purchase order or purchase order item is not considered. Accrual subobjects are generated from purchase order items.

To set up and start a periodic posting run, go to the **Schedule Accruals Jobs** app and select the **Service Entry Sheet Accruals - Transfer Purchase Orders to Accrual Engine** template.

Display Service Entry Sheet Accruals

App ID: `F6107`

With this app, you can have a comprehensive overview of service entry sheet accruals. You can also view accruals details, such as lifecycle status, proposed accrual amounts and so on. An accrual subobject is identified with the combination of the purchase order number, the line item number, and the account assignment. All of key information from accruals generated from service entry sheets to accruals posting to ledgers are available for checking in this app.

Key Features

Depending on the role to which you're assigned, you can perform the following tasks:

- Check accruals subobjects after they're transferred from purchase orders
- View proposed accrual amounts calculated based on unapproved service entry sheets
- View posted accruals for each fiscal period

ℹ Note

This app contains in-app help for key fields and concepts. To display the help while working in the app, press F1 or choose the question mark displayed in the app header.

Supported Device Types

- Desktop
- Tablet

Information for Key Users

The SAP Fiori apps reference library has details about the content necessary for giving users access to an app on the **SAP Fiori launchpad**. To see this app's Fiori content, go to the SAP Fiori apps reference library and search for the app. Then select the product. On the **Implementation Information** tab, select the correct release. The details are in the **Configuration** section.

Propose Periodic Accruals

Run a job to propose period amounts for service entry sheet accruals.

Use

This job creates proposals for accrual amounts for each period. You can then review the proposed periodic accruals in the **Review Service Entry Sheet Accruals - For Cost Accountant** app. You can start the job immediately or schedule a job to generate periodic accrual amounts. The system calculates accruals on the ledger group level. It makes the accrual postings using a ledger group.

To propose period amounts, go to the **Schedule Accruals Jobs** app and select the **Service Entry Sheet Accruals - Propose Periodic Accruals** template.

To start or schedule the proposal run, specify the last day of the period for the combination of company code, accrual item type, and ledger group.

ℹ Note

You run this job only for a reviewing purpose. After you run this job, you can view the proposed amounts in the **Review Service Entry Sheet Accruals - For Cost Accountant** app.

Review Service Entry Sheet Accruals - For Cost Accountant

App ID: `F6108`

This app enables you to review periodic accruals of service entry sheets for cost objects that you're responsible for. You can check the proposed accrual amounts and mark your review before the system posts the accruals for service entry sheets.

Here's how the system calculates periodic accrual amounts:

Accrual Amounts = Amounts of Unapproved Service Entry Sheets

Key Features

Depending on the role to which you're assigned, you can perform the following tasks:

- Review purchase order accruals on the cost object level
- View accrual amounts in company code currency and global currency

ℹ Note

This app contains in-app help for key fields and concepts. To display the help while working in the app, press F1 or choose the question mark displayed in the app header.

Supported Device Types

- Desktop
- Tablet

Information for Key Users

The SAP Fiori apps reference library has details about the content necessary for giving users access to an app on the **SAP Fiori launchpad**. To see this app's Fiori content, go to the SAP Fiori apps reference library and search for the app. Then select the product. On the **Implementation Information** tab, select the correct release. The details are in the **Configuration** section.

Post Periodic Accruals

Run a job to post periodic amounts for service entry sheet accruals.

Use

To post the accruals on the last day of a period and to generate the corresponding journal entry line items, you need to carry out periodic accruals postings. You make these postings using periodic posting runs. The system saves the accrual amount in at least one currency, that is, in the transaction currency.

To set up and start a periodic posting run, go to the **Schedule Accruals Jobs** app and select the **Service Entry Sheet Accruals - Post Periodic Accruals** template. You can manually start or schedule a periodic posting run for calculating and posting accruals at the period end. This means that accrual postings are made for all accrual objects that are relevant on the specified last day of the period. You must always start the posting run for the last day of a fiscal period.

Reversing Accrual Postings

Accruals are automatically posted on the last day of a fiscal period. The system makes full postings for service entry sheet accruals at the end of each period and carries out reversal for the last period until the purchase order expires. You don't need to manually reverse accrual postings if some service entry sheets are approved or rejected later. After you schedule a posting run, reversals of accrual postings happen in the following runs of the posting job.

However, you can also choose to reverse accruals on the first day of the next period. You can select the **Reverse on First Day of Next Period** check box the first time you schedule an accrual posting job, or anytime before the last periodic posting is made. It could happen that some periodic postings have been made before you select the check box. In this case, only postings made after you select the checkbox can be reversed automatically on the first day of the next period.

> **Note**
> Accruals reversal doesn't apply to the posting in the last period, no matter whether you select the **Reverse on First Day of Next Period** check box.

Accrual Reporting

An overview of reporting and analysis features in Accruals Management.

Accruals Management provides you with reports that show all relevant accrual objects with accrual amounts. Not only the accrual objects, you can drill down to view all kinds of relevant master data, such as accrual items, account assignment, accounts, and accrual amounts.

For purchase order accruals and service entry sheet accruals, the following reporting apps give you a detailed view of accrual amounts for actual and simulated postings:

- **Accrual Postings - With Simulation**
- **Accrual Postings - Simulated / Posted**

Accrual Postings - With Simulation

App ID: W0183

In this app, you can display an overview of accrual postings. After you specify a Valid to Date and optional filters, the system returns a report that shows all accrual objects with accrual item types and accrual amounts based on your search criteria. In the Accrual Amount column, you can view not only posted accruals, but also planned accruals calculated by the system but not posted yet. When a posting hasn't occurred, you see a simulated amount instead. You can view all accrual postings for purchase order accruals and service entry sheet accruals.

Key Features

This app provides the following key features:

- Run a report with accrual postings, including actual postings and planned postings.
- Use visual filters to investigate your accrual postings.
- Drill down in each accrual object for additional details.
- Navigate directly to other apps.

ℹ Note

- You can view accrual postings for purchase order accruals and service entry sheet accruals.
- To view reports with the latest data, schedule again to run the **Simulate Accrual Postings** job in the **Schedule Accruals Jobs** app.

Prerequisite

You've run a **Simulate Accrual Postings** job in the **Schedule Accruals Jobs** app.

This app uses the `C_AccrEngnRptgSmlteFutrPostgQ` CDS view.

Supported Device Types

- Desktop
- Tablet

More Information

For more information about Job Scheduling apps, see Application Jobs.

Related Information

Purchase Order Accruals
Service Entry Sheet Accruals
Simulate Accrual Postings

Accrual Postings - Simulated / Posted

App ID: W0184

In this app, you can display an overview of accrual postings. After you specify a Valid to Date and optional filters, the system returns a report that shows all accrual objects with accrual item types and posted accrual amounts based on your search criteria. You can compare the simulated accrual amounts calculated by the system and the actual posted accrual amounts. You can view all accrual postings for purchase order accruals and service entry sheet accruals.

Key Features

This app provides the following key features:

- Run a report that shows actual postings within a period of time.
- Provide a comparison between simulated postings and actual postings.
- Use visual filters to investigate your accrual postings.
- Drill down in each accrual object to see additional details.
- Navigate directly to other apps.

Note

You can view accrual postings for purchase order accruals and service entry sheet accruals.

This app uses the `C_AccrEngnRptgSimlnActlCostQry` CDS view.

Prerequisite

You've run a **Simulate Accrual Postings** job in the **Schedule Accruals Jobs** app.

Supported Device Types

- Desktop
- Tablet

More Information

For more information about Job Scheduling apps, see Application Jobs.

Related Information

Purchase Order Accruals
Service Entry Sheet Accruals

Simulate Accrual Postings

Use

You can schedule a job to simulate accrual postings with this job template in the **Schedule Accruals Jobs** app. Choose the respective templates for purchase order accruals and service entry sheet accruals. In the Parameter step, if you select the Fast Mode checkbox, the system simulates only the accruals postings that are new or changed since the last simulation run. If you don't select the fast mode, the system always simulates postings for all accrual objects, regardless of whether they've been changed since the last run. Normally it's time efficient to finish a simulation job with the fast mode.

> **Note**
> To display updated data in a report, we recommend you simulate accrual postings before you run a report using the **Accrual Postings - With Simulation** app or the **Accrual Postings - Simulated / Posted** app.

Related Information

Accrual Postings - With Simulation
Accrual Postings - Simulated / Posted

BAdIs for Accruals Management

Use

You edit certain fields of accrual objects and line items of journal entries by creating custom logic for BAdIs. The BAdIs are available for accruals management in the **Custom Logic** app under the **Accrual Engine** business context.

The available BAdIs include the following:

- **BADI_ACE_ARCHIVING_CHECK** - Change result of check if archiving is possible

  You can use this BAdI to change the result of the check evaluating if it is possible to set status To Be Archived for an accrual object.

- **BADI_ACE_ARCHIVING_CHNG_DATE** - Change the business completion date of an accrual object

  You can use this BAdI to change the business completion date.

- **BADI_ACE_DOCUMENT_SCHEMA_CLD** - Accrual Engine: Modify Journal Entry Line Items （Cloud）

  You can use this BAdI to modify the line items of these journal entries before they are posted.

- **BADI_ACE_DOC_FIELDS_MAPPING** - Accrual Engine: document fields mapping

  You can use this BAdI to enhance the line items of journal entries before posting.

- **FACRA_ADJMT_TOLERANCE_CHECK**- Adjustment tolerance check

  You can use this BAdI to check whether the revised amount is accepted.

For more information about how to implement the BAdI, read the comments in the sample coding. Also, read the system documentation on the **BAdI Documentation** tab.

Procedure

1. Implement your custom logic using the **Custom Logic** app.
2. Filter by the **Accrual Engine** business context.
3. Use the pre-delivered sample coding, message classes and messages.

Related Information

Custom Fields App and Custom Logic App
Custom Fields for Journal Entries Used in G/L Accounting
Creating Implementations

Advanced Valuation in Financial Accounting

Advanced Valuation in Financial Accounting allows for streamlined month-end closing processes and adherence to accounting standards. It is best activated at the end of the fiscal year. Deactivation is possible as long as no postings of advanced valuation processes exist in the system.

With Advanced Valuation in Financial Accounting you can carry out steps in your month-end closing processes with jobs that are set up in a similar way. Advanced Valuation support you in following accounting standards, such as IFRS9. The following processes are part of advanced valuation and are available as job templates in the **Schedule General Ledger Jobs** app:

- Advanced Foreign Currency Valuation
- Post B/S Reclassification - Maturity
- Post Credit-Risk Based Impairment
- Post Discounting of Long-Term Assets and Liabilities

Advanced Foreign Currency Valuation, Post Discounting of Long-Term Assets and Liabilities, Post Credit-Risk Based Impairment use the delta posting logic.

Post B/S Reclassification - Maturity uses reversal posting logic.

The posting logic is preset by SAP, you cannot change it.

Classic Valuations such as Foreign Currency Valuation use reversal posting logic.

ℹ Note

The job templates in the **Schedule General Ledger Jobs** app are displayed in alphabetical order. This does not indicate the order in which they are supposed to be run.

If you use advanced valuation jobs, ensure that you carry the jobs in the following sequence:

1. Post Discounting of Long-Term Assets and Liabilities
2. Advanced Foreign Currency Valuation
3. Post Credit-Risk Based Impairment
4. Post B/S Reclassification - Maturity

→ Tip

The best point in time to activate advanced valuation in financial accounting is when your fiscal year has ended. You can activate advanced valuation at any point in time in your fiscal year but this requires additional effort.

⚠ Caution

Once you´ve activated **Advanced Valuation** you can no longer use the following apps:

- Perform Foreign Currency Valuation (FAGL_FCV)
- Regroup Receivables / Payables (FAGLF101)
- Perform Further Valuations (F107)

You can also no longer use the following job templates:

- Foreign Currency Valuation
- Regroup Receivables/Payables
- Provisions for Doubtful Receivables

If there are no postings of advanced valuation processes in the production system, you can deactivate Advanced Valuation in the **Activate Advanced Valuation** configuration activity.

⚠ Caution

If you are an existing customer and you´ve already added or are planning to add a new country/region version to your system using the Central Business Configuration environment, please consider that Advanced Valuation is automatically activated for this new country/region.

This is the case even if other already countries already exist in your system, and if you use classic valuation apps and jobs or advanced valuation jobs for those countries.

If you want to use classic valuation apps or jobs in the newly created country/region, the system notifies you that **Advanced Valuation** is active by issuing an error message.

If you don´t have any postings for a newly added country/region in your production system from advanced valuation processes, you can always deactivate advanced valuation in the **Activate Advanced Valuation** configuration activity.

Related Information

Advanced Foreign Currency Valuation
Post B/S Reclassification by Maturity
Post Credit-Risk-Based Impairment
Post Discounting of Long-Term Assets and Liabilities

Switching to Advanced Valuation in Financial Accounting

SAP provides the functionality to switch if you want to use any of the listed Advanced Valuation in Financial Accounting jobs:

- Post Discounting of Long-Term Assets and Liabilities

- Advanced Foreign Currency Valuation
- Post Credit-Risk-Based Impairment
- Post B/S Reclassification - Maturity

Switching is only relevant for you if you're already using any of the Classic Valuation Runs. If you're starting to use Advanced Valuation in Financial Accounting with the current release, it's activated by default.

! Restriction

You cannot switch to **Advanced Foreign Currency Valuation** in Advanced Valuation in Financial Accounting when you are using the the delta posting logic with the **Perform Foreign Currency Valuation** app or the **Foreign Currency Valuation** job template in the **Schedule General Ledger Jobs** app.

Process for Switching

1. Before you switch, ensure that you've made all the necessary settings and adapted your data accordingly. Please note for which scenarios switching is supported by SAP. For more information, see Prerequisites for Switching to Advanced Foreign Currency Valuation in Financial Accounting.
2. For more information on how to switch, see How to Switch to Advanced Valuation in Financial Accounting.
3. After switching, you've to carry out additional steps. For more information, see Postprocessing Tasks for Migration to Advanced Valuation.

Prerequisites for Switching to Advanced Foreign Currency Valuation in Financial Accounting

Find out what is necessary to start using processes in Advanced Valuation in Financial Accounting.

Introduction

You must configure the processes for Advanced Valuation in Financial Accounting before you can use them. Ensure that you make all necessary settings.

¡ Note

- Once you've activated Advanced Valuation in Financial Accounting for a ledger and company code in an accounting principle, and after you've made postings, you can no longer deactivate Advanced Valuation in Financial Accounting for this ledger and company code.
- There's no one-to-one relationship between processes in Advanced Valuation in Financial Accounting and the processes in predecessor apps and job templates.

The following table provides an overview of the processes that Advanced Valuation in Financial Accounting offers. It also lists apps and templates for which it's the successor as well as the related configuration requirements.

Processes in Advanced Valuation in Financial Accounting	Predecessor App or Job Template	What to do for Transfer
Post Discounting of Long-Term Assets and Liabilities job template in **Schedule**	**Perform Further Valuations** app.	Make all settings required for **Post Discounting of Long-Term Assets and**

Processes in Advanced Valuation in Financial Accounting	Predecessor App or Job Template	What to do for Transfer
General Ledger Jobs app		**Liabilities**. For more information, see Configuration Requirements Checklist for Discounting Long-Term Assets and Liabilities.
Advanced Foreign Currency Valuation job template in **Schedule General Ledger Jobs**	• **Foreign Currency Valuation** job template • **Perform Foreign Currency Valuation** app.	Make all settings required for **Advanced Foreign Currency Valuation**. For more information, see Configuration Requirements Checklist for Advanced Foreign Currency Valuation.
Post Credit Risk Based Impairment job template in **Schedule General Ledger Jobs**	**Provisions for Doubtful Receivables** job template	Make all settings required for **Post Credit Risk Based Impairment**. For more information, see Configuration Requirements Checklist for Credit-Risk Based-Impairment.
Post B/S Reclassification job template in **Schedule General Ledger Jobs**	**Regroup Receivables Payables** job template.	Make the settings required for **Post B/S Reclassification**. For more information, see Configuration Requirements Checklist for B/S Reclassification by Maturity.

How to Switch to Advanced Valuation in Financial Accounting

Find the necessary information for switching to Advanced Valuation in Financial Accounting.

Preparations

As a configuration expert, you must do the following in the system:

1. Activate Advanced Valuation in Financial Accounting for an accounting principle by selecting it and then, for the **Ledger** and **Company Code**, maintaining the **Fiscal Year** and the **Activation Period** (ID: **103315**).
2. Configure the processes in Advanced Valuation in Financial Accounting that you want to use:
    - **Post Discounting of Long-Term Assets and Liabilities**. For more information, see Configuration Requirements Checklist for Discounting Long-Term Assets and Liabilities
    - **Advanced Foreign Currency Valuation**. For more information, see Configuration Requirements Checklist for Advanced Foreign Currency Valuation
    - **Post Credit Risk Based Impairment**. For more information, see Configuration Requirements Checklist for Credit-Risk Based-Impairment
    - **Post B/S Reclassification - Maturity**. For more information, see Configuration Requirements Checklist for B/S Reclassification by Maturity
3. For **Advanced Foreign Currency Valuation**, the following applies and you must maintain your configuration settings accordingly:
    - You can only have one valuation area for each company code and ledger combination in an accounting principle. You maintain valuation areas in the **Assign Valuation Areas and Accounting Principles** (ID: **101627**) configuration activity.

- You cannot switch to Advanced Foreign Currency Valuation if you use the Delta Logic.

4. Test your configuration settings and the results of the processes thoroughly in your test system before activating them in the production system.

5. Transfer your settings to the production system.

Postprocessing Tasks for Migration to Advanced Valuation

Find out what you need to after migration.

You can use all Advanced Valuation in Financial Accounting jobs once you've activated these jobs for an accounting principle, and a ledger and company code combination, and after you've completed the configuration.

ℹ Note

Consider the following details in the result lists for Advanced Foreign Currency Valuation jobs after migration and activation:

- The results lists for Advanced Foreign Currency Valuation contain an additional column named Migration Difference. It's displayed if you've run the Advanced Foreign Currency Valuation job after the migration for the first time and if you're using valuation methods Strictly Lowest Value Principle or BilMoG to valuate long-term open items.
- The column Migration Difference displays the foreign currency difference from the last posting created by the Post Foreign Currency Valuation job or the Foreign Currency Valuation app.

FAQ for Advanced Valuation in Financial Accounting

Read on to find answers to some frequently asked questions about Advanced Valuation in Financial Accounting, consisting of the following functions: Foreign Currency Valuation, Reclassification, Impairment, and Discounting.

Which job templates belong to advanced valuation in financial accounting and where can I find them ?

Advanced valuation in financial accounting is realized as the following job templates in the Schedule General Ledger Jobs app :

- Post Discounting of Long-Term Assets and Liabilities
- Post Credit-Risk-Based Impairment
- Advanced Foreign Currency Valuation
- Post B/S Reclassification - Master Data Change
- Post B/S Reclassification - Maturity

Which apps and job templates are referred to as classic valuations?

Apps:

- Perform Foreign Currency Valuation
- Perform Further Valuations

Job templates in the Schedule General Ledger Job:

- Foreign Currency Valuation
- Regroup Receivables/Payables.
- Provisions for Doubtful Receivables

Can I use classic valuations and advanced valuations side-by-side?

No, this isn't possible. SAP recommends using advanced valuations.

Why does advanced valuation use semantic tags, what is it about, and what are the benefits?

By using semantic tags to tag accounts and account ranges, you don´t have to select accounts manually. When you've assigned a tag to a valuation rule, the tagged accounts are considered by the respective advanced valuation job. If new accounts are created within a range that you've already tagged, these new accounts are automatically tagged and thus selected. Additional advantages of using semantic tags are:

- You can assign semantic tags in the**Manage Global Hierarchies** app.
- You can configure the semantic tags according to your needs. They're not hardcoded, you can configure and assign them according to your needs..
- The usage of tagging accounts results in a simple selections screen. You don´t have to manually select or exclude accounts or account ranges since you've already identified the relevant accounts for your process by defining the rules in configuration.

Which posting logics are used in advanced valuation in financial accounting?

The delta posting logic is used by the following jobs:

- **Post Discounting of Long-Term Assets and Liabilities**
- **Post Credit-Risk-Based Impairment**
- **Advanced Foreign Currency Valuation**

If you are a new customer and starting to use advanced valuation with SAP S/4HANA Cloud Public Edition 2608, advanced valuation is set up to use the reversal posting logic.

If you are an existing customer you can continue to use the delta posting logic for a limited space of time for reclassification. SAP strongly recommends to migrate your reclassification postings as soon as possible to reversal posting logic.

What does delta logic, also called delta posting logic or delta logic, mean?

This means that the valuation isn't reset in the next period and the next valuation is determined based on the former valuation(s).

What does an example for Delta Logic, also called Delta Logic or Delta Posting Logic look like?

1. On 12/15/2005, an item is posted in a foreign currency:
    - USD 100 (FC), EUR 85 (local currency)
2. On 12/30/2006, the item is valuated with the rate 0.80.
    - There's a posting of EUR -5 (EUR 80, EUR 85) and no reversal posting in the following period.
3. On 01/31/2006, the item is still open and valuated with a rate of 0.78.
    - This valuation results in a posting of EUR -2 (EUR 78, EUR 80).

4. On 12/15/2005, an item is posted in a foreign currency:
    - USD 100 (FC), EUR 85 (local currency)
5. On 12/30/2006, the item is valuated with the rate 0.80.
    - There's a posting of EUR -5 (EUR 80, EUR 85) and no reversal posting in the following period.
6. On 01/31/2006, the item is still open and valuated with a rate of 0.78.
    - This valuation results in a posting of EUR -2 (EUR 78, EUR 80).

Does advanced valuation in financial accounting post on the line item level ?

Yes, advanced valuation in financial accounting posts on line item level.

What is a remeasurement posting?

For a detailed explanation of remeasurement postings, please see Explaining Remeasurement Postings in Advanced Foreign Currency Valuation.

Can I use advanced valuation jobs with the bank account ledger?

Yes, you can use the bank account ledger with advanced valuation runs.

What do I've to do and pay attention to when it comes to testing and activating/deactivating advanced valuation in customer systems?

In Q systems, you can activate/deactivate advanced valuation in financial accounting as often as you want, even though postings have been created using the advanced valuation in financial accounting Jobs. In P systems, you can't deactivate advanced valuation once postings have been created.

When it's recommended to activate and start using advanced valuation in financial accounting?

SAP recommends to activate and start using the jobs of advanced valuation in financial accounting at the start of the fiscal year.

Is advanced valuation in financial accounting part of the standard delivery?

Yes, advanced valuation Runs in financial accounting are part of the standard delivery. To use the advanced valuation jobs, you only need to activate scope item J58.

What are the main prerequisites to use advanced valuation jobs?

- You've only one currency type assigned to one valuation area
- You've only one valuation area assigned to one accounting principle
- You're currently using the reversal posting logic with the classic valuation runs or you're a new customer

What is the main difference between the Classic Valuation Runs and the Advanced Valuation Runs?

- The configuration was remodeled.
- The selection screen of the jobs is smaller and easier to use.
- Advanced valuation jobs are using the delta posting logic only. You can no longer choose between reversal posting logic and delta posting logic.

What is the test strategy in a 2SL system landscape? What do I've to pay attention to?

You can use the quality system for testing purposes. You must ensure that you don´t transport the activation of advanced valuation in financial accounting to the production system by mistake.

SAP recommends planning sufficient time for testing before you activate advanced valuation in financial accounting in the production system. Use this time to get familiar with the new configuration activities, the new job selection screen, the delta posting logic, and the result list.

If there are restriction notes in place, where can I find them?

Knowledge-Based Articles (KBA):

- 3290794 -Restrictions for Advanced Valuation in Financial Accounting Jobs in SAP S/4HANA Cloud Public Edition
- 3290742 - Restrictions for Classic Valuation Runs in SAP S/4HANA Cloud Public Edition

When will the classic valuation runs be deprecated?

The classic valuations will be deprecated with a future release of SAP S/4HANA Cloud Public Edition.

In which sequence must I carry out advanced valuation jobs during period-end closing?

To ensure correct numbers for your period-end-closing activities you **must** always carry out advanced valuation jobs in the following sequence:

1. Post Discounting of Long-Term Assets and Liabilities
2. Advanced Foreign Currency Valuation
3. Post Credit-Risk-Based Impairment
4. Post B/S Reclassification - Master Data Change
5. Post B/S Reclassification - Maturity

Can I assign different exchange rate types for different accounting principles?

Yes, you can. In the configuration activity Define Rules for Advanced Foreign Currency Valuation, you can assign a different exchange rate type to a valuation rule.

What is the effect of the Only manage balances in local currency flag on the result of advanced foreign currency valuation?

In the Manage G/L Account Master Data (ID: F0731A) app, you can set the indicator for Only manage balances in local currency for an account. When this indicator is set, balances are updated only in local currency when users post items to this account. If the account currency is the local currency, advanced valuation does not recognize the foreign currency. No valuation is carried out.

When you remove the indicator in the Manage G/L Account Master Data app, the system recognizes the foreign currency for all new postings that are created. And the system considers the balances in the foreign currency in the advanced foreign currency valuation.

ℹ Note

Please note the following:

If you have set the **Only manage balances in local currency** indicator in for an account in the **Manage G/L Account Master**, the Balance Transaction Currency (RTCUR) (Amount in Balance Transaction Currency (TSL)) is equal to the company code currency in the **Display Line Items in General Ledger** app (ID: F2217).

If you have not set **Only manage balances in local currency** indicator, the **Balance Transaction Currency** (RTCUR) (Amount in Balance Transaction Currency (TSL)) is equal to the transaction currency (RWCUR) in the **Display Line Items in General Ledger** app (ID: F2217).

What are agings and aging increments and where are they used?

Agings and aging increments are used in discounting, impairment, and reclassification.

In an aging increments you specify a period of time. This period of time is used for the calculation of time-dependent valuations.

How does Advanced Valuation deal with Segments?

For **Post Credit-Risk-Based Impairment**, **Post Discounting of Long-Term Assets and Liabilities**, and **Advanced Foreign Currency Valuation**, the system derives the segment to which the postings are done from the profit center for a cost element.

Advanced Foreign Currency Valuation

Use

This functionality is available in the following app:

Schedule General Ledger Jobs: Select the **Advanced Foreign Currency Valuation** template.

ℹ Note

If you use the **Advanced Foreign Currency Valuation** job template to carry out foreign currency valuation, you must no longer use the **Foreign Currency Valuation** job template.

You use this job template to carry out the advanced foreign currency valuation for the creation of your financial statements. By using different valuation rules, foreign currency valuation can be performed in the functional currency. It is performed in the local currency, if you haven't set up the functional currency for your company code.

You only have to set up profit and loss (P&L) accounts. You don't need any reconciliation accounts for your balance sheet accounts. Postings are always made to the account to be valuated. Postings are made directly to the reconciliation accounts.

Advanced foreign currency valuation includes the following functions:

- Selection of the items relevant for valuation
- Determination of open items and balances
- Valuation of open items and balances
- Posting of valuation differences with the following details:
    - Advanced foreign currency valuation uses the delta posting logic only. This means that the valuation isn't reset in the next period. And the valuation in the next period is determined based on the former valuation.
    - You can't choose between either the reversal posting logic or the delta posting logic as you can do for classic valuations.

- You don´t need any reconciliation accounts.

Prerequisites

ℹ Note

A configuration environment in SAP S/4HANA Cloud Public Edition can be **SAP Central Business Configuration** or **Configure Your Solution**. Configuration objects are either configuration steps in **Configure Your Solution** or configuration activities in **SAP Central Business Configuration**. Configuration items only exist in **Configure Your Solution**.

Customers on a 3-system landscape can also access configuration activities in the **Implementation Activities** app in addition to **SAP Central Business Configuration**.

For more information, see Configuration Environment of SAP S/4HANA Cloud Public Edition.

If you use the **Configure Your Solution** environment, you have done the following:

As a configuration expert you have made the necessary settings under **Finance** > **General Ledger** > **Chart of Accounts** and **Ledgers and Valuation**. Proceed as follows:

- You have assigned the chart of accounts to the financial statement version under **Chart of Accounts** > **Define Financial Statement Versions.**.
- You have assigned a semantic tag to the financial statement version under **Chart of Accounts** > **Assign Semantic Tags for Financial Statement Versions**. With this configuration step you've defined the accounts or account nodes that are to be valuated by advanced foreign currency valuation.
- You have activated advanced foreign currency valuation under **Ledgers and Valuation** > **Activate Advanced Valuation.**

ℹ Note

If you are an existing customer and you have already added or are about to add a new country version to your system using the Central Business Configuration environment, please be aware that Advanced Valuation is automatically activated for this new country.

This happens independently of other already existing countries in your system, and whether you use classic valuations or advanced valuations for those countries.

If you want to use classic valuations in the newly created country, the system notifies you that **Advanced Valuation** is active via an error message.

You can always deactivate advanced valuation in the **Activate Advanced Valuation** configuration item, as long as you don´t have any postings for that newly added country in your productive system yet.

- You have defined a rule that controls how you run advanced foreign currency valuation in your system under **Ledgers and Valuation** > > **Define Rules for Advanced Foreign Currency Valuation**. There you define to which P&L accounts the foreign currency effects are to be posted.
- You have assigned your rule to and accounting principle under **Ledgers and Valuation** > **Assign Rules for Foreign Currency Valuation to Accounting Principles**.

If you use Central Business Configuration, use the search function to find the configuration steps.

Dependencies

- **Only manage balances in local currency** indicator

  In the **Manage G/L Account Master Data** (ID: F0731A) app, you can set the indicator for **Only manage balances in local currency** for an account. When this indicator is set, balances are updated only in local currency when users post items to this account. If the account currency is the local currency, advanced valuation does not recognize the foreign currency. No valuation is carried out.

  When you remove the indicator in the **Manage G/L Account Master Data** app, the system recognizes the foreign currency for all new postings that are created. And the system considers the balances in the foreign currency in the advanced foreign currency valuation.

  > **Note**
  >
  > Please note the following:
  >
  > If you have set the **Only manage balances in local currency** indicator in for an account in the **Manage G/L Account Master**, the Balance Transaction Currency (RTCUR) (Amount in Balance Transaction Currency (TSL)) is equal to the company code currency in the **Display Line Items in General Ledger** app (ID: F2217).
  >
  > If you have not set **Only manage balances in local currency** indicator, the **Balance Transaction Currency** (RTCUR) (Amount in Balance Transaction Currency (TSL)) is equal to the transaction currency (RWCUR) in the **Display Line Items in General Ledger** app (ID: F2217).

Selection and Output

To schedule and run advanced foreign currency valuation, proceed as follows:

1. In the **Schedule General Ledger Jobs** app, choose **Create** and select the **Advanced Foreign Currrency Valuation** job template.
2. In the **Scheduling Options** section, decide in the recurrence pattern, if you want to the job to be run just once or regularly.
3. In the **Parameters** section, specify a company code, a valuation key date, and a ledger. Decide if the job posts the data or if it's a test run.
4. Decide wether you want to run the job just once or if it is recurring job.
   - If you want to execute the job just once with a fixed valuation key date, select **Valuation Key Date** and choose the one of the following options:
     - **Today**

     or

     - **Single Dates** and specify how many days or weeks in the past or in the future the valuation key date is.
   - If you want the valuation key date to be dynamically set by the system in a recurring job, you define the pattern for the recurring job in the **Scheduling Options** section, in the **Define Recurrence Pattern** option.

     To specify how the system sets the valuation key date, you have the following options:

     - In the **Parameters** section, you choose **Key Date** and in the options of the **Valuation Key Date** field under **Dynamic Dates**, you specify how many days or weeks in the past or in the future the balance key date is.

       > **Note**
       >
       > If you choose the option **Start Date**, the valuation key date is always the current date.

     - In the **Parameters** section, select **Dynamic Key Date** and from the options in the list in the **Dynamic Valuation Key Date** field, specify how the key date is to be determined by the system.

For more information about how to create a recurring job that automatically calculates the valuation key date, please see Schedule a Recurring Job with a Dynamic Valuation Key Date.

The output of the job creates the following documents:

- **Header Information**

  Contains administrative data and the information, and if the run was a test run.

- **Result of Foreign Currency Valuation Functional Currency**

  Contains the result list with valuated line items or G/L account balances with postings or posting proposals in the functional currency.

- **Result of Foreign Currency Valuation Company Code Currency**

  Contains the result list with valuated line items or G/L account balances with postings or posting proposals in the company code currency .

- **Result of Foreign Currency Valuation Group Currency**

  Contains the result list with valuated line items or G/L account balances with postings or posting proposals in the group currency.

- **Job Log**

  Contains the information that identifies the run, and states if it was completed.

- **Application Log**

  Contains all messages that were created during the run.

- **Application Log Summary**

  Contains a summary of the messages.

Valuation Rules and Examples of Valuations

This document describes how the different valuation rules in the advanced foreign currency valuation work.

Valuation Rule	Use	Example
`LOWEST_VALUE` Lowest Value Principle	If you select this rule, the valuation is only posted when the difference between the initial functional currency or local currency amount, if functional currency is not maintained, and the revaluation amount is negative, that is an exchange rate loss has taken place. The valuation is calculated for each group of items in total. Items with invoice reference are viewed together.	The initial amount of an invoice in functional currency is 1000. • The revaluation amount on 03/31/2020: 800, which results in an exchange rate loss of -200. • The revaluation amount on 04/30/2020: is 700, which results in an exchange rate loss of -100. • The revaluation amount on 05/31/2020: 850, which results in an exchange rate gain of +150. The revaluation amount is lower than the initial amount of the invoice, and therefore, the gain is posted.

Valuation Rule	Use	Example
		• The revaluation amount on 06/30/2020: 1050, which results in an exchange rate gain of +200. The revaluation amount is higher than the initial amount of the invoice and therefore, the gain isn't posted when you use this valuation rule.
`STRICT_LOWEST_VALUE` Strictly Lowest Value Principle	If you select this rule, the valuation is only posted if the new valuation has a greater devaluation than the lowest value of valuations in previous periods. The valuation is calculated for each group of items in total. Items with the same invoice reference are viewed together.	The initial amount of invoice in functional currency is 1000 • The revaluation amount on 03/31/2020: 800, which results in an exchange rate loss of -200.00. • The revaluation amount on 04/30/2020: 700, which results in an exchange rate loss of -100.00. • The revaluation amount on 05/31/2020: 850, which results in an exchange rate gain of +150. The revaluation amount is higher than the lowest value in the previous periods and therefore, nothing is posted. • The revaluation amount on 06/30/2020: 1050, which results in an exchange rate gain of 350. The revaluation amount is higher than the lowest value in the previous periods and therefore, nothing is posted.
`ALWAYS_VALUATE` Always Valuate	If you select this rule, a revaluation always occurs. In contrast to the strictly lowest value principle, you can show gains as well as losses from exchange rate fluctuations	The initial amount of invoice in functional currency is: 1000 • The revaluation amount on 03/31/2020: 800, which results in an exchange rate loss of -200. • The revaluation amount on 04/30/2020: 700, which results in an exchange rate loss of -100.00. • The revaluation amount on 05/31/2020: 850, which results in an exchange rate gain of +150.00. • The revaluation amount on 06/30/2020: 1050, which results in an exchange rate gain of +200.

Valuation Rule	Use	Example
`GAIN_ONLY` Highest Value Principle	If you select this rule, the system posts gains only.	The initial amount of invoice in functional currency is 1000 • The revaluation amount on 03/31/2020: 800, which results in an exchange rate loss of -200.00. According this rule, losses aren't posted. • The revaluation amount on 04/30/2020: 700, which results in an exchange rate loss of -100.00. According to this rule, losses aren't posted. • The revaluation amount on 05/31/2020: 850, which results in an exchange rate gain of +150.00. According to this rule, losses aren't posted. • The revaluation amount on 06/30/2020: 1050, which results in an exchange rate gain of +50.00.
`DE_BILMOG_VALUATE` German Accounting Modernization Act	If you select this rule, the system combines the following rules: • `ALWAYS_VALUATE` • `STRICT_LOWEST_VALUE` All current open items and groups of items with a net due date less than 1 year are always valuated. For noncurrent items with the net due date greater than 1 year, the strictly lowest value principle is applied. For the group of items with and without net due date, the oldest due date is always used as the due date for the whole group.	If the invoice net due date is 4/30/2020 see example "always valuate". If the invoice net due date is 4/30/2021, see example "strictly lowest valuate".

Posting Examples of Advanced Foreign Currency Valuation According to Selected Grouping Rule

This document describes how the different different grouping rules in advanced foreign currency valuation work .

Advanced Foreign Currency Valuation - Default Grouping Rule - Accounts Managed on an open item basis

The following table contains an example for the default grouping rule and accounts managed on an open item basis:

Group ID	Journal Entry ID Booking Reference	Original Amount in USD	Original Amount in EUR	New Amount in EUR	Unrealized Valuation Gain/Loss	Gain / Loss Posted to account
XXXX1/2020/USD	XXXX1 Inovice	100	90	80	-10 (Loss)	Unrealized Valuation Loss
XXXX1/2020/USD	XXXX2 Credit Memo	-20	-18	-16	2 (Gain)	Unrealized Valuation Loss
Group Total					-8 (Loss)	Unrealized Valuation Loss
XXXX3/2020/USD	XXXX3 Invoice 2	200	180	160	-20 (Loss)	Unrealized Valuation Loss

- Each journal entry line item, in the example above invoice 1 and invoice 2, is a group of its own, which means there is no grouping. The group number is formed like this: Journal Entry ID/Business Year/Currency.
- When there is partial payment or credit memo, it inherits the group ID from the invoice, which means they belong to a same group.
- In the example, the group total resulted in an 8 Euro loss, both valuation entries will be posted to the unrealized valuation loss account, even though the valuation of credit memo results in a gain.
- The valuated gain/loss from each line item will be posted as separate line items.

Advanced Foreign Currency Valuation - Default Grouping Rule - Accounts Not Managed on an open item basis

Group ID	Journal Entry ID G/L Account	Original Amount in USD	Original Amount in EUR	New Amount in EUR	Unrealized Valuation Gain/Loss	Gain / Loss Posted to account
11001000/USD	/ 11001000 - Cash	80	72	64	-8 Loss	Unrealized Valuation Loss

- The amounts will be grouped by G/L account and currency
- Regardless of the line items posted to the valuated G/L account, only one single line item will be posted as the valuation gain/loss..

Advanced Foreign Currency Valuation - Group by valuation object, group key, deptor or vendor, and G/L account (Self-defined Grouping Rule)

The following table contains an example of a self-defined grouping rule:

Group ID Customer ID	Journal Entry ID Booking Reference	Original Amount in USD	Original Amount in EUR	New Amount in EUR	Unrealized Valuation Gain/Loss	Gain / Loss Posted to account
YYYY1/USD YYYY1	XXXX1 Inovice	100	90	80	-10 Loss	Unrealized Valuation Loss
YYYY1/USD YYYY1	XXXX2 Credit Memo	-20	-18	-16	2 Gain	Unrealized Valuation Loss
YYYY1/USD YYYY1	XXXX4 Invoice	150	135	120	-15 Loss	Unrealized Valuation Loss
Group Total					-23 Loss	Unrealized Valuation Loss

- When the valuation object and group key are not filled, the group ID will be constituted like DebtorID/Currency or VendorID/Currency
- The valuated gain/loss amount will be posted separately as different line items for each journal entry
- The group total gain/loss will decide to which account the gain/loss will be posted in the end
- The valuated gain/loss from each line item will be posted as separate line items.

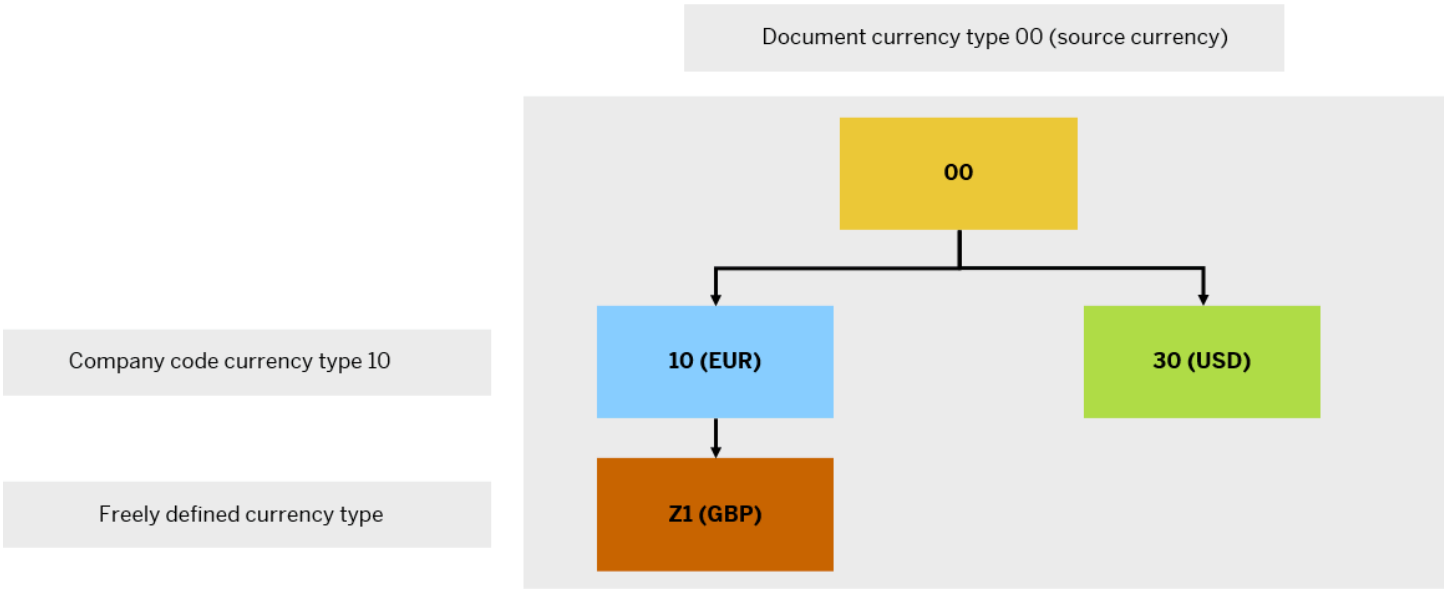
Explaining Remeasurement Postings in Advanced Foreign Currency Valuation

Remeasurement postings in advanced valuation are created when there is an additional freely defined currency that has a source currency that is different from the document currency.

Use

When there is an additional, freely defined currency that is different from the source currency, the valuation posting is not processed by another valuation but simply calculated.

In the following figure you see an example. The document currency type 00 is the source currency of company code currency type 10, and 10 is the source currency of the freely defined currency type Z1.



Example

The remeasurement amount is the difference between valuated amounts. It is not the translation of the difference between valuated amounts. The calculation is shown in the following table:

Calculation of remeasurement posting

Posting Date	Type	Amount in Currency Type 00	Exchange Rate 00/10	Amount in Currency Type 10	Exchange Rate 10/Z1	Amount in Currency Type Z1
2020.07.17	Invoice	100	1.01	101	1.03	104.03
2020.07.31	Revaluated Invoice	100	1.1	110	0.9	99
	Valuated Part	0	1.1	9	0.9	0
	Valuated + Translated	0	1.1	9	0.9	0
	Remeasurement > 0	0	1.1	0	0.9	0
	Remeasurement < 0	0	1.1	0	0.9	-5.03

The valuation difference of Z1 is the difference between the revaluated amount 99 and the original amount 104.03.

Additional Information

Remeasurement postings are always separate line items from the valuation difference, the valuation rule for remeasurement posting is `ALWAYS_VALUATE`.

You define currencies as a business configuration expert in the **Define Currency Settings for Ledger and Company Codes** configuration activity (ID: 103379).

Advanced foreign currency valuation remeasures all foreign currency transactions into the group currency and other configured currencies according to settings in the **Define Currency Settings for Ledger and Company Codes** configuration activity (ID:

103379). If you have configured 10 is the source currency for 30 then advanced foreign currency valuation remeasures also the balance from company code currency into group currency.

There is no elimination of this effects into group currency. There is no remeasurement of all the other G/L balances or P&L balances.

Configuration Requirements Checklist for Advanced Foreign Currency Valuation

Find the information for making the configuration settings that are necessary to execute the **Advanced Foreign Currency Valuation** job.

Purpose

Before you can run the **Advanced Foreign Currency Valuation** job, which is part of Advanced Valuation in Financial Accounting, you as a configuration expert, need to maintain the individual settings for Advanced Valuation in Financial Accounting. Please note that these settings need to be configured precisely so that the requirements are met. In the following, the configuration requirements for **Advanced Foreign Currency Valuation** are laid out.

Checklist

Configuration Setting to be Checked	Name of Configuration Activity and ID	Notes
Financial Statement Version	**Define Financial Statement Versions** (ID: **102669**)	You must have a financial statement version in order to be able to create financial statements. The financial statement version defines which structure of accounts and account nodes is reported for an accounting principle. You can use an existing financial statement version or create a new one. For more information, please read the documentation of the configuration activity.
Assign Financial Statement Version to Accounting Principle	**Assign Financial Statement Versions to Accounting Principles** (ID: **103215**)	You assign the financial statement version that you're using to the accounting principle. For more information, please read the documentation of the configuration activity.
Assign Semantic Tags to Financial Statement Versions	For financial statement versions that you created in the **Define Financial Statement Versions** (ID:**102669**) configuration step, logon to your system as a BPC Expert and use the **Assign Semantic Tags to Financial Statement Versions** (ID: **102659**) configuration step to assign semantic tags to financial statement versions that. For financial statement versions that you created or migrated in the **Manage Global Hierarchies** app, logon to you system as	You've assigned the semantic tag **FX** to the account node or individual accounts in the financial statement version that are valuated when you run the **Advanced Foreign Currency Valuation** job. This means that these accounts are the source accounts for the valuation. For more information see Assigning Semantic Tags to an FSV.

Configuration Setting to be Checked	Name of Configuration Activity and ID	Notes
	G/L Accountant and assign the semantic tags in the Manage Global Hierachies app.	
Assign Document Types to Business Transaction Types	Assign Document Types to Business Transaction Types(ID: 107266)	In the standard setup, the results of an Advanced Foreign Currency Valuation job are posted with the document type SAG/L Account Document. You can change this assignment of the document type to the Advanced Foreign Currency Valuation job in the configuration activity. For more information, please read the documentation of the configuration activity.
Advanced Valuation in Financial Accounting is active	Activate Advanced Valuation (ID: 103315)	You activate Advanced Valuation in Financial Accounting for an accounting principle. You then specify for a ledger and a company code the point in time when advanced valuation is active. For more information, please read the documentation of the configuration activity.
Rules for Account Determination	Define Rules for Determining Account Assignments in G/L Processes (ID: 104827)	You must specify how the accounts for advanced foreign currency valuation are determined. For more information, please read the documentation of the customizing activity.
Rules for Advanced Foreign Currency Valuation	Define Rules for Advanced Foreign Currency Valuation (ID: 105450)	You define rules that you use to carry out the advanced foreign currency valuation. A valuation rule defines which journal entry line items are valuated and how the valuation amounts are calculated by the system. A valuation rule can also define to which G/L accounts the valuation amount is posted. To create rules, please read the documentation of the configuration activity.
Assign Rules for Advanced Foreign Currency Valuation to Accounting Principles	Assign Rules for Foreign Currency Valuation to Accounting Principles (ID: 105451).	The accounting principle contains the legal regulations according to which financial statements are drawn up and rendered. Assign the rules for advanced foreign currency valuation to accounting principles. You can create individual valuation rules and use them in individual ledger for the same accounting principle. If you want to define a rule to be used in all ledger for the same accounting principle, leave the ledger field empty.

Configuration Setting to be Checked	Name of Configuration Activity and ID	Notes
		For more information, please read the documentation of the configuration activity.

Settings for Supporting Multiple Currencies in Advanced Foreign Currency Valuation

Use

For journal entries you define the rules for translation into multiple currencies in the **Define Currency Settings for Ledgers and Company Codes** configuration activity (ID: 103379) . You can find it under **Finance** > **General Ledger** > **Currencies** > **Define Currency Settings for Ledgers and Company Codes** .

You have to enter the following settings:

- For the company code currency, set the source to `00`.
- For global currency, set the source to `00` or `10`.

Settings for Foreign Currency Valuations

Advanced foreign currency valuation uses the document currency for valuations into the functional currency. If you have not defined a functional currency, then the valuation is done into company code currency.

Understanding the Result List of Advanced Foreign Currency Valuation

This document contains an explanation of the columns displayed in the result lists of an **Advanced Foreign Currency Valuation** job in the order that they appear on the screen.

Columns in the result list

Column Heading	Explanation
Status	Indicates the overall status of the line item. The status depends on the status details. • Red indicator: No posting The red indicator is set for line items with the following status details. ◦ **ERROR**: An error occurred when the system tried to post ◦ **GRPERR**: Not posted due to error in the group • Green checkmark: Posted or Skipped The green checkmark: is set for line items with the following status details: ◦ **POSTED**: Document was successfully processed

Column Heading	Explanation
	◦ ZERDEL: Skipped because there were no changes This status is set if there is nothing to be valuated or if there was a previous posting in the same period. ◦ VALMET: Skipped due to valuation method (only in results lists of Advanced Foreign Currency Valuation)
Status Detail	Some status details are only part of specific valuations. In the following list you find the status details and their meaning: • POSTED: Document was successfully processed • ERROR: An error occurred when the system tried to post • GRPERR: Not posted due to error in the group • ZERDEL: Skipped because there were no changes This status is set if there is nothing to be valuated or if there was a previous posting in the same period. • VALMET: Skipped due to valuation method (only in results lists of Advanced Foreign Currency Valuation)
FXV Journal Entry	Journal entry that was posted by the Advanced Foreign Currency Valuation job.
FXV Jrnl Entr Item	Journal entry item that was posted by the Advanced Foreign Currency Valuation job.
Group ID	ID of grouped journal entry line items. Use There are period-end closing valuation processes that group individual line items and the system then applies the valuation logic to these groups. These groups are identified by the group ID. For open items, the group ID consists of the G/L account, the business partner number and the content of the Assignment Reference field in the line item. For non-open items, the group ID consists of G/L account and business partner. If you are using in-house banking and you have activated the in-house banking grouping rule, non-open items are grouped by balance transaction currency, G/L account and trading partners. Example The advanced foreign currency valuation job posts the valuation difference to a gain or to a loss account depending on the balance of the group of line items. The valuation difference of a single journal entry line item can have a negative value, which means that it represents a loss. However, if the group to which it belongs has an overall positive balance, the valuation difference for this line item is posted to a gain account.

Column Heading	Explanation
Rule and Rule Step	Provides the technical name of the valuation rule and the rule step that were applied when this line item was valuated. The valuation rule and the rule step define how the valuation is done. The rule and the rule step also define the source and target accounts of the valuation. You define rules and rule steps in your configuration environment.
G/L Account	Account to which the source document was posted.
BP Number	Number that identifies the business partner.
Open Item Management	Indicates if the account is managed on an open item basis.
Orig. Journal Entry	Original journal entry. This is the number of the source document.
Original Fiscal Year	Year in which the source document was posted.
Orig. Journal Item	The number of the item of the source document
Net Due Date	Due date of the payment or loan.
Group Net Due Date	Due date of the payment or loan.
Reversed	Indicates whether the original journal entry has been reversed.
Clearing Jr. Ent.	Clearing Journal Entry The number of the item of the clearing journal entry.
Fiscal Year of Clearing Journal Entry	Fiscal year when the clearing journal entry is posted.
Clearing Date	Date on which the clearing will take place.
Original Amount in Document Currency	Amount in document currency on the date the original document was posted.
Original Amount in Functional Currency	Amount in functional currency on the date the original document was posted.
Historical Exchange Rate	Exchange rate between document currency and company code currency on the date the original document was posted.
Exchange Rate at Key Date	Shows the exchange rate on the date the job was executed. **Note** In the result list, this field is empty when the corresponding item was cleared before you executed the job.
Revaluated Value	Amount in company code currency on the key date of the valuation run.
Diff. Prev. Period	Valuation difference from last period. Shows the difference between the revaluation amount in company code currency and the original amount in company code currency on the last key date.
Cur. Per. Difference	Current Period Difference. Amount that was already posted in the current period

Column Heading	Explanation
Delta Difference	Difference between the foreign currency value measured at key date and foreign currency values in previous foreign currency valuation postings
Posted Difference	Difference between new difference and current period amount.
Valuation Line Type	If the valuation difference is stems from an open item or the balance sheet account that are not managed as open item, the valuation line type is **FX Unrealized Valuation Gain**. If the valuation difference is stems from a cleared item, the valuation line type is**FX Realized Valuation Gain** If the valuation difference is from remeasurement of other currencies, the valuation line type is **Remeasurement**. For a detailed explanation of remeasurement postings, please see Explaining Remeasurement Postings in Advanced Foreign Currency Valuation.
Migration Difference	You have carried out advanced foreign currency valuation in the activation period. You are using one of the following valuation methods: • **STRICTLY_LOWEST_VALUE** • **BiLMOG** for valuating long-term open items This column displays the foreign currency difference from the last posting created by foreign currency valuation. CAUTION: This column and the amount are only shown for the period for which you have activated Advanced Valuation in Financial Accounting and run advanced foreign currency valuation. In the periods after the first period, this column is no longer shown.

Post Discounting of Long-Term Assets and Liabilities

Find the necessary information for the configuration of the **Post Discounting of Long-Term Assets and Liabilities** job and how to run it.

With this job you can calculate the discounting of long-term assets and liabilities and post the net present value adjustments and the interest income or interest expense to the designated accounts.

That means that you can calculate the time-value of money. According to some accounting standards, for example IFRS, the significant benefit of financing the transfer of goods or services to a customer is a significant financing component that must be reflected in you period-end closing.

So, you use discounting long-term assets and liabilities for the scenario of treating long-term receivables as a loan.

SAP´s Discounting of Long-Term Assets and Liabilities covers contracts that include a single financing component. For revenue contracts with more than one significant financing component, please use the revenue recognition applications. For discounting of lease contracts, please use **SAP Contract and Lease Management**.

For revenue contracts with more than one significant financing component, please use the revenue recognition applications. For discounting of lease contracts, please use SAP Contract and Lease Management.

This job is available in the **Schedule General Ledger Jobs** app. Select the **Post Discounting of Long-Term Assets and Liabilities** template to schedule the job.

Prerequisites

You've maintained all of the following settings.

You find the configuration activities in your configuration environment using the search function. For more information, see Configuration Environment of SAP S/4HANA Cloud Public Edition.

- In the **Define Interest Rates** configuration activity, you've defined interest rates for all the currencies that you use in discounting. You can maintain interest rates for debit and for credit balances. Interest rates are defined in % per year.
- In the **Define Interest Indicator** configuration activity, you've ensured that the interest indicator that you have created or that already exists, and that you want to use exclusively for discounting, has the type **D**.

  > **Note**
  >
  > You can use any interest indicator that is available. But when you want to use it exclusively for discounting, it must have the type **D**.

- In the **Activate Advanced Valuation** configuration activity. you've activated advanced valuation.
- In the **Define Aging Increments for Advanced Valuation** configuration activity, you´ve defined an aging and aging increments for discounting
- In the **Define Discounting Rules** configuration activity, you´ve defined a discounting rule for your requirements.
- In the **Assign Discounting Rules to Accounting Principles** configuration activity, you have assigned the discounting rule to an accounting principle.

Selection and Output

To schedule and run discounting of long-term assets and liabilities, proceed as follows:

1. In the **Schedule General Ledger Jobs** app, choose **Create** and select the **Post Discounting of Long-Term Assets and Liabilities** job template.
2. In the **Scheduling Options** section, decide in the recurrence pattern, if you want to the job to be run just once or regularly.
3. In the **Parameters** section, specify a company code, a valuation key date, and a ledger. Decide if the job posts the data or if it's a test run.
4. Decide wether you want to run the job just once or if it is recurring job.
   - If you want to execute the job just once with a fixed valuation key date, select **Valuation Key Date** and choose the one of the following options:
     - **Today**

     or

     - **Single Dates** and specify how many days or weeks in the past or in the future the valuation key date is.
   - If you want the valuation key date to be dynamically set by the system in a recurring job, you define the pattern for the recurring job in the **Scheduling Options** section, in the **Define Recurrence Pattern** option.

To specify how the system sets the valuation key date, you have the following options:

- In the **Parameters** section, you choose **Key Date** and in the options of the **Valuation Key Date** field under **Dynamic Dates**, you specify how many days or weeks in the past or in the future the balance key date is.

  > **Note**
  >
  > If you choose the option **Start Date**, the valuation key date is always the current date.

- In the **Parameters** section, select **Dynamic Key Date** and from the options in the list in the **Dynamic Valuation Key Date** field, specify how the key date is to be determined by the system.

  For more information about how to create a recurring job that automatically calculates the valuation key date, please see Schedule a Recurring Job with a Dynamic Valuation Key Date.

The output of the job creates the following documents:

- **Header Information**

  Contains administrative data and the information, and if the run was a test run.

- **Result of Discounting Valuation - Document Currency**

  Contains the result list. The list can contain valuated line items, postings or posting proposals in the document currency.

- **Run Log**

  Contains the information that identifies the run, and states if it was completed.

- **Application Log**

  Contains all messages that were created during the run.

- **Application Log Summary**

  Contains a summary of the messages.

Configuration Requirements Checklist for Discounting Long-Term Assets and Liabilities

Find the information for making the configuration settings that are necessary to execute the **Post Discounting of Long-Term Assets and Liabilities** job.

Purpose

Before you can run the **Post Discounting of Long-Term Assets and Liabilities** job, which is part of Advanced Valuation in Financial Accounting, you as a configuration expert, need to maintain the individual settings for Advanced Valuation in Financial Accounting. Please note that these settings need to be configured precisely so that the requirements are met. In the following, the configuration requirements for **Post Discounting of Long-Term Assets and Liabilities** are laid out.

Checklist

Configuration Setting to be Checked	Name of Configuration Activity and ID	Notes
Define Interest Rates	**Define Interest Rates** (ID: **102258**)	You've defined interest rates for all the currencies that you use in discounting. You

Configuration Setting to be Checked	Name of Configuration Activity and ID	Notes
		can maintain interest rates for debit and for credit balances. Interest rates are defined in % per year.
Define Interest Indicator	Define Interest Indicator (ID: 103513)	You've ensured that the interest indicator that you've created or that already exists, and that you want to use exclusively for discounting, has the type D **Note** You can use any interest indicator that is available. But when you want to use it exclusively for discounting, it must have the type D.
Financial Statement Version	Define Financial Statement Versions (ID: 102669)	You must have a financial statement version in order to be able to create financial statements. The financial statement version defines which structure of accounts and account nodes is reported for an accounting principle. You can use an existing financial statement version or create a new one. For more information, please read the documentation of the configuration activity.
Assign Financial Statement Version to Accounting Principle	Assign Financial Statement Versions to Accounting Principles (ID: 103215)	You assign the financial statement version that you're using to the accounting principle. For more information, please read the documentation of the configuration activity.
Assign Semantic Tags to Financial Statement Versions	For financial statement versions that you created in the Define Financial Statement Versions (ID:102669) configuration step, logon to your system as a BPC Expert and use the Assign Semantic Tags to Financial Statement Versions (ID: 102659) configuration step to assign semantic tags to financial statement versions that. For financial statement versions that you created or migrated in the Manage Global Hierarchies app, logon to you system as G/L Accountant and assign the semantic tags in the Manage Global Hierachies app.	You've assigned the semantic tag ACCPAY, ACCPAY_OTH, ACCREC, ACCREC_OTH to the account node or individual accounts in the financial statement version that are valuated when you run the Post Discounting of Long-Term Assets and Liabilities job. This means that these accounts are the source accounts for the valuation. For more information see Assigning Semantic Tags to an FSV.
Assign Document Types to Business Transaction Types	Assign Document Types to Business Transaction Types(ID: 107266) Entry: Business Transaction Category RFDI Discounting, Business Transaction Type RFDI Discounting, Document Type SA	In the standard setup, the results of a Post Discounting of Long-Term Assets and Liabilities job are posted with the document typeSA G/L Account Document. You can change this assignment of the document type to the Post Discounting of

Configuration Setting to be Checked	Name of Configuration Activity and ID	Notes
	,	Long-Term Assets and Liabilities job in the configuration activity. For more information, please read the documentation of the configuration activity.
Advanced Valuation in Financial Accounting is active	Activate Advanced Valuation (ID: 103315)	You activate Advanced Valuation in Financial Accounting for an accounting principle. You then specify for a ledger and a company code the point in time when advanced valuation is active. For more information, please read the documentation of the configuration activity.
Aging and Aging Increment	Define Aging Increments for Advanced Valuation (ID: 103049)	An aging comprises one or more aging increments. An increment is used to rate for how long a receivable is overdue. Aging increments are the differences between the invoice due date and the key valuation date. SAP delivers the following aging with increments: • SDISCOUNT: Aging for Discounting You can modify the predelivered aging and aging increments if necessary. You can also create new agings. For more information, please read the documentation of the configuration activity.
Rules for Discounting	Define Discounting Rules (ID:104799)	You define rules that you use for discounting. A valuation rule defines which journal entry line items are valuated and how the valuation amounts are calculated by the system. A valuation rule can also define to which G/L accounts the valuation amount is posted. You can create rules if necessary. For more information, please read the documentation of the configuration activity.
Assign Discounting Rules to Accounting Principles	Assign Discounting Rules to Accounting Principles (ID: 104800).	The accounting principle contains the legal regulations according to which financial statements are drawn up and rendered. Assign the rules for discounting to accounting principles. You can create individual valuation rules and use them in individual ledger for the

Configuration Setting to be Checked	Name of Configuration Activity and ID	Notes
		same accounting principle. If you want to define a rule to be used in all ledger for the same accounting principle, leave the ledger field empty. For more information, please read the documentation of the configuration activity.

Discounting of Long-Term Assets and Liabilities

With this function you can calculate the discounting of long-term assets and liabilities in accordance with International Financial Reporting Standards (IFRS) 9, 15, 16. Basically you are enabled to treat long-term assets and liabilities as a loan.

The system uses the following formula for calcuating discounting: $$Net\ Present\ Value = FV * \frac{1}{(1+r)^{T}}$$

Understanding the Result List of Post Discounting of Long-Term Assets and Liabilities

Here, you'll find an explanation of the columns displayed in the result lists of a Post Discounting of Long-Term Assets and Liabilities job in the order that they appear on the screen.

Columns in the result list

Column Heading	Explanation
Status	Indicates the overall status of the line item. The status depends on the status details. • Red indicator: No posting The red indicator is set for line items with the following status details: ◦ ERROR: An error occurred when the system tried to post ◦ GRPERR: Not posted due to error in the group • Information indicator: The system skipped the line items because it didn't find information required to run the job or to perform the valuation. Depending on your configuration and on the journal entry, this could be the desired behaviour. The information indicator is set for line items with the following status details: ◦ MISSBP: Skipped due to missing business partner (only in results lists for Post Credit-Risk Based Impairment and Post Discounting of Long-Term Assets and Liabilities)

Column Heading	Explanation
	• Green checkmark: Posted or Skipped The green checkmark is set for line items with the following status details: ◦ POSTED: Document was successfully processed ◦ ZERDEL: Skipped because there were no changes This status is set if there is nothing to be valuated or if there was a previous posting in the same period. ◦ NOINT: Skipped because the interest indicator wasn't found (only in results lists for Post Discounting of Long-Term Assets and Liabilities)
Status Detail	Some status details are only part of specific valuations. In the following list you'll find the status details and their meaning: • POSTED: Document was successfully processed • ERROR: An error occurred when the system tried to post • GRPERR: Not posted due to error in the group • ZERDEL: Skipped because there were no changes This status is set if there is nothing to be valuated or if there was a previous posting in the same period. • MISSBP: Skipped due to missing business partner (only in results lists for Post Credit-Risk Based Impairment and Post Discounting of Long-Term Assets and Liabilities) • NOINT: Skipped because interest indicator wasn't found (only in results lists for Post Discounting of Long-Term Assets and Liabilities)
DIS Journal Entry	Journal entry that was posted by the Post Discounting of Long-Term Assets and Liabilities job.
Rule and Rule Step	Rule and Rule step that were applied.
G/L Account	Account to which the source document was posted.
BP Number	Number that identifies the business partner.
Business Partner Name	Description of the business partner.
BP Risk Class	Risk class of the business partner
Int.Indic.	Interest indicator that was used
Indicator Name	Description of the interest indicator.
Rate p.a.	Interest rate per year.
Rate p.p.	Interest rate per period. A period can be, for example, a month or three months depending how you configured your periods.
Orig. Journal Entry	Original journal entry. This is the number of the source document.

Column Heading	Explanation
Original Fiscal Year	Year in which the source document was posted.
Orig. Journal Item	The number of the item of the source document
Net Due Date	Due date of the payment or loan.
Reversed	Indicates whether the original journal entry has been reversed.
Document Currency	Currency of the source document.
Nominal Value	The original amount of the invoice including credit memos.
Acc. Prev. Payments	Accumulated Previous Payments. The sum of all payments from previous periods. The current period is not taken into account.
Payment Received	The sum of payments received in the current period.
Accumulated NPV Adjustments	Accumulated initial net present value adjustment to original amount including all subsequent and current period NPV adjustments.
Current Period NPV Adjustment	Net present value adjustment (NPV) to original amount or cumulative catch up of the current period.
Accumulated Interest	Sum of accumulated interest considering the previous periods and the current period.
Current per. Interest	Current Period Interest. Interest in the current period.
Closing Balance	Represents the current net present value of the asset or liability. The closing balance is the sum of the following columns: • Nominal Value • Acc. Prev. Payments • Payment Received • Accumulated NPV Adjustments • Accumulated Interest
Valuation Line Type	Describes the respective phase the contract is in. The valuation line types are as follows: • Initial NPV Adjustment: The initial NPV adjustment posting takes place in the first period of the run time of the contract. • Unwinding of the Discount: If there are no changes to the contract, Unwinding of the Discount is shown in each period the run is processed for this contract. • Cumulative Catch up: If there are changes to the contract, such as a change of the net due date or change of the interest rate, Cumulative Catch up is displayed.

Post Credit-Risk-Based Impairment

Find the necessary information for the configuration of the Post Credit-Risk-Based Impairment job and how to run it.

Use

This job calculates a loss allowance for expected credit losses on trade receivables and G/L account balances, for which there have been increases in the credit risk of the business partner on the key date. For balance sheet items, the net-due date field should be filled. It posts the results as impairment losses or creates posting proposals for impairment for the creation of your financial statements.

For each country individually you can define if the calculation of the impairment is based on the net or gross amount of the receivable

This job is available in the Schedule General Ledger Jobs app. Select the Post Credit-Risk-Based Impairment template to schedule the job.

Prerequisites

You've maintained the following settings in in the Manage Your Solution app, under Configure Your Solution > Finance > General Ledger > Chart of Accounts:

Note

If you use Central Business Configuration, use the search function to find the configuration steps.

- In the Assign Financial Statement Version to Accounting Principles step, you've assigned the chart of accounts that you want to use to the financial statement version.
- In the Assign Semantic Tags to Financial Statement Versions step, you've assigned the semantic tag IMPAIRMENT to the financial statement version, and you've defined the accounts or account nodes that are valuated when you run the Post Credit-Risk-Based Impairment job.

You've maintained the following settings in the Manage Your Solution app, under Configure Your Solution > Finance > General Ledger > Ledgers and Valuation:

- In the Activate Advanced Valuation step, you've activated advanced valuation.
- In the Define Rules for Impairment step, you've defined the P&L accounts to which you want to post the data that results from the post credit-risk impairment job.
- In the Assign Rules for Impairment to Accounting Principles step, you have assigned the rule to an accounting principle.
- In the Country-Specific Settings for Impairment: Net or Gross step, you have defined if the calculation of the impairment is based on the net or gross amount of the receivable.

Note

Simple Example for calculation of impairment based on the net or gross amount of the receivable:

Line Item No	Account	Amount in Functional Currency	Tax Code
1	Debtor	120 USD	A1
2	Revenue	100 USD	A1
3	Tax	20 USD	A1

The Post Credit-Risk-Based Impairment job calculates a loss allowance of 10%.

Gross: Loss allowance = 10% of 120 USD = 12 USD.

Net: Loss allowance = 10% of 100 USD = 10 USD.

Simple example for calculation of impairment based on the net or gross amount of the receivable:

Line Item No	Account	Amount in Functional Currency	Tax Code
1	Debtor	120 USD	**
2	Revenue	40 USD	A1
2	Revenue	60 USD	A2
3	Tax	8	A1
3	Tax	12	A1

The Post Credit-Risk-Based Impairment job calculates a loss allowance of 10%.

Gross: Loss allowance = 10% of 120 USD = 12 USD.

Net: Loss allowance = 10% of 40 USD + 10% of 60 USD = 10 USD.

Key Features

- You only have to set up profit and loss (P&L) accounts. You don't need any reconciliation accounts for your balance sheet accounts. Postings are always made to the account to be valuated. Postings are made directly to the reconciliation accounts.
- Post Credit-Risk-Based Impairment integrates the data of the Write Off Receivables app. When you've used the Write Off Receivables app, to write off receivables, you carry out Post Credit-Risk-Based Impairment as the next step. Credit-risk-based impairment recognizes, and corrects the write-off postings and thus avoids wrong P&L and balance sheet results.

  That means that you always have to carry out Post Credit-Risk-Based Impairment **after** you've done the last write-off in the Write Off Receivables app.

  Please be aware that you can't do any partial write-off in the Write Off Receivables app.

Dependencies

- The job is performed in the functional currency.
- If you haven't set up the functional currency for your company code, it's performed in the company code currency.
- If you use the Post Credit-Risk-Based Impairment job template to perform impairment, you must no longer use the Perform Further Valuations app.
- If you reset a write-off posting that has already been processed by Post Credit-Risk-Based Impairment, an realized/utilized posting exists in the system and is displayed in the result list. Even though you reset the write-off posting the, corresponding realized/utilized posting is not automatically reversed by the system. You have to manually reverse the document in the Manage Journal Entries app.

- The results of **Post Credit-Risk-Based Impairment** are processed in the **Analyze Expected Credit Loss Allowances** app, for more information, see Analyze Expected Credit Loss Allowances .

Selection and Output

To schedule and run post credit-risk-based impairment, proceed as follows:

1. In the **Schedule General Ledger Jobs** app, choose **Create** and select the **Post Credit-Risk-Based Impairment** job template.
2. In the **Scheduling Options** section, decide in the recurrence pattern, if you want to the job to be run just once or regularly.
3. In the **Parameters** section, specify a company code, a valuation key date, and a ledger. Decide if the job posts the data or if it's a test run.
4. Decide wether you want to run the job just once or if it is recurring job.
    - If you want to execute the job just once with a fixed valuation key date, select **Valuation Key Date** and choose the one of the following options:
        - **Today**

      or
        - **Single Dates** and specify how many days or weeks in the past or in the future the valuation key date is.
    - If you want the valuation key date to be dynamically set by the system in a recurring job, you define the pattern for the recurring job in the **Scheduling Options** section, in the **Define Recurrence Pattern** option.

      To specify how the system sets the valuation key date, you have the following options:
        - In the **Parameters** section, you choose **Key Date** and in the options of the **Valuation Key Date** field under **Dynamic Dates**, you specify how many days or weeks in the past or in the future the balance key date is.

          > **Note**
          >
          > If you choose the option **Start Date**, the valuation key date is always the current date.

        - In the **Parameters** section, select **Dynamic Key Date** and from the options in the list in the **Dynamic Valuation Key Date** field, specify how the key date is to be determined by the system.

          For more information about how to create a recurring job that automatically calculates the valuation key date, please see Schedule a Recurring Job with a Dynamic Valuation Key Date.

The output of the job creates the following documents:

- **Header Information**

  Contains administrative data and the information, and if the run was a test run.

- **Result of Impairment Valuation Functional Currency**

  Contains the result list with valuated line items or G/L account balances with postings or posting proposals in the functional currency.

- **Result of Impairment Valuation Company Code Currency**

  Contains the result list with valuated line items or G/L account balances with postings or posting proposals in the company code currency .

- **Job Log**

Contains the information that identifies the run, and states if it was completed.

- **Application Log**

  Contains all messages that were created during the run.

- **Application Log Summary**

  Contains a summary of the messages.

Related Information

Analyze Expected Credit Loss Allowances

Configuration Requirements Checklist for Credit-Risk Based-Impairment

Find the information for making the configuration settings that are necessary to execute the **Post Credit-Risk-Based Impairment** job.

Purpose

Before you can run the **Post Credit-Risk-Based Impairment** job, which is part of Advanced Valuation in Financial Accounting, you as a configuration expert, need to maintain the individual settings for Advanced Valuation in Financial Accounting. Please note that these settings need to be configured precisely so that the requirements are met. In the following, the configuration requirements for**Post Credit-Risk-Based Impairment** are laid out.

Checklist

Configuration Setting to be Checked	Name of Configuration Activity and ID	Notes
Financial Statement Version	**Define Financial Statement Versions** (ID: **102669**)	You must have a financial statement version in order to be able to create financial statements. The financial statement version defines which structure of accounts and account nodes is reported for an accounting principle. You can use an existing financial statement version or create a new one. For more information, please read the documentation of the configuration activity.
Assign Financial Statement Version to Accounting Principle	**Assign Financial Statement Versions to Accounting Principles** (ID: **103215**)	You assign the financial statement version that you're using to the accounting principle. For more information, please read the documentation of the configuration activity.
Assign Semantic Tags to Financial Statement Versions	For financial statement versions that you created in the **Define Financial Statement Versions** (ID:**102669**) configuration step, logon to your system as a BPC Expert and use the **Assign Semantic Tags to Financial**	You've assigned the semantic tag **ACCREC** or **ACCREC_OTH** to the account node or individual accounts in the financial statement version that are valuated when you run the **Post Credit-Risk-Based**

Configuration Setting to be Checked	Name of Configuration Activity and ID	Notes
	Statement Versions (ID: 102659) configuration step to assign semantic tags to financial statement versions that. For financial statement versions that you created or migrated in the Manage Global Hierarchies app, logon to you system as G/L Accountant and assign the semantic tags in the Manage Global Hierachies app.	Impairment job. This means that these accounts are the source accounts for the valuation. For more information see Assigning Semantic Tags to an FSV.
Assign Document Types to Business Transaction Types	Assign Document Types to Business Transaction Types(ID: 107266) Entry: Business Transaction Category RFIM Credit Risk-Based Impairment, Business Transaction Type RFIM Credit Risk-Based Impairment, Document Type SA	In the standard setup, the results of a Post Credit Risk-Based Impairment job are posted with the document type SA G/L Account Document. You can change this assignment of the document type to the Post Credit Risk-Based Impairment job in the configuration activity. For more information, please read the documentation of the configuration activity.
Advanced Valuation in Financial Accounting is active	Activate Advanced Valuation (ID: 103315)	You activate Advanced Valuation in Financial Accounting for an accounting principle. You then specify for a ledger and a company code the point in time when advanced valuation is active. For more information, please read the documentation of the configuration activity.
Country/Region-Specific Settings for Impairment: Net or Gross	Country/Region-Specific Settings for Impairment: Net or Gross(ID: 103741)	The system calculates the provisions that are posted for an overdue invoice either based on the net amount or the gross amount of the open invoice amount. • Net: The tax authority pays back taxes when a receivable has to be written off, when the customer didn't pay the invoice. • Gross: The tax authority doesn't pay back taxes when a receivable has to be written off, when the customer didn't pay the invoice.
Aging and Aging Increment	Define Aging Increments for Advanced Valuation (ID: 103049)	An aging comprises one or more aging increments. An increment is used to rate for how long a receivable is overdue. Aging increments are the differences between the invoice due date and the key valuation date.

Configuration Setting to be Checked	Name of Configuration Activity and ID	Notes
		SAP delivers the following aging with increments: • IMPAIRMENT: Aging for Impairment You can modify the predelivered aging and aging increments if necessary. You can also create new agings. Use the Aging Category `IMP Impairment` for new agings. For more information, please read the documentation of the configuration activity.
Rules for Credit-Risk Based Impairment	Define Rules for Impairment (ID: 105452)	You define rules for impairment that contain the expected credit loss (ECL) rates for the calculation of loss allowances. These rules are used when you run the Post Credit-Risk-Based Impairment report. The rule defines which journal entry line items are valuated and how the valuation amounts are calculated by the system. SAP delivers the following rule that you can use for impairment : • IMPAIR: Aging for Impairment You can create additional rules if necessary. Use the Aging Category `IMP Impairment` for new agings. For more information, please read the documentation of the configuration activity.
Assign Rules for Impairment to Accounting Principle	Assign Rules for Impairment to Accounting Principles (ID: 105453).	The accounting principle contains the legal regulations according to which financial statements are drawn up and rendered. Assign the rules for impairment to accounting Principles. You can create individual valuation rules and use them in individual ledger for the same accounting principle. If you want to define a rule to be used in all ledger for the same accounting principle, leave the ledger field empty. For more information, please read the documentation of the configuration activity.

ℹ Note

Simple example for calculation of impairment based on the net or gross amount of the receivable:

Line Item No	Account	Amount in Functional Currency	Tax Code
1	Debtor	120 USD	A1
2	Revenue	100 USD	A1
3	Tax	20 USD	A1

The Post Credit-Risk-Based Impairment job calculates a loss allowance of 10%.

Gross: Loss allowance = 10% of 120 USD = 12 USD.

Net: Loss allowance = 10% of 100 USD = 10 USD.

Simple example for calculation of impairment based on the net or gross amount of the receivable:

Line Item No	Account	Amount in Functional Currency	Tax Code
1	Debtor	120 USD	**
2	Revenue	40 USD	A1
2	Revenue	60 USD	A2
3	Tax	8	A1
3	Tax	12	A1

The Post Credit-Risk-Based Impairment job calculates a loss allowance of 10%.

Gross: Loss allowance = 10% of 120 USD = 12 USD.

Net: Loss allowance = 10% of 40 USD + 10% of 60 USD = 10 USD.

Understanding the Result List of Post Credit-Risk-Based Impairment

Here, you'll find an explanation of the columns displayed in the result lists of a Post Credit-Risk-Based Impairment job.

Columns in the result list

Column Heading	Explanation
Status	Indicates the overall status of the line item. The status depends on the status details. • Red indicator: No posting The red indicator is set for line items with the following status details: ◦ ERROR: An error occurred when the system tried to post

Column Heading	Explanation
	◦ GRPERR: Not posted due to error in the group • Information indicator: The system skipped the line items because it didn't find information required to run the reclassification or to perform the valuation. Depending on your configuration and on the journal entry, this could be the desired behavior. The information indicator is set for line items with the following status details: ◦ MISSBP: Skipped due to missing business partner (only in results lists for Post Credit-Risk Based Impairment and Post Discounting of Long-Term Assets and Liabilities) ◦ MISSRK: Skipped due to missing credit risk class (only in results lists for Post Credit-Risk Based Impairment) • Green checkmark: Posted or Skipped The green checkmark is set for line items with the following status details: ◦ POSTED: Document was successfully processed ◦ ZERDEL: Skipped because there were no changes This status is set if there is nothing to be valuated or if there was a previous posting in the same period.
Status Detail	Some status details are only part of specific valuations. In the following list, you'll find the status details and their meaning: • POSTED: Document was successfully processed • ERROR: An error occurred when the system tried to post • GRPERR: Not posted due to error in the group • ZERDEL: Skipped because there were no changes This status is set if there is nothing to be valuated or if there was a previous posting in the same period. • MISSBP: Skipped due to missing business partner (only in results lists for Post Credit-Risk Based Impairment and Post Discounting of Long-Term Assets and Liabilities) • MISSRK: Skipped due to missing credit risk class (only in results lists for Post Credit-Risk Based Impairment)
IMP Journal Entry	Journal entry that was posted by the Post Credit-Risk-Based Impairment job.
IMP Journal Entry Item	Journal entry item that was posted by the Post Credit-Risk-Based Impairment job.
Rule and Rule Step	Rule and Rule step that were applied.
G/L Account	Account to which the source document was posted.

Column Heading	Explanation
BP Number	Number that identifies the business partner.
Business Partner Name	Description of the business partner.
BP Risk Class	Risk class of the business partner
Increment	Name of the increment that was used in the run. An increment is the degree that is used to rate how long a receivable was overdue.
Prob. of Deflt (%)	States the probability of default in %.
Orig. Journal Entry	Original journal entry. This is the number of the source document.
Original Fiscal Year	Year in which the source document was posted.
Orig. Journal Item	The number of the item in the source document
Net Due Date	Due date of the payment or loan.
Reversed	Indicates whether the original journal entry has been reversed.
Functional Currency	Currency in which the business transactions are normally denominated.
Nominal Value	The original amount of the invoice including credit memos.
Calc Allowance	Calculated Allowance. Calculated loss allowance based on the open amount of the line item.
Acc. Loss Allowance	Accumulated Loss Allowance. Sum of the allowances calculated from the first posting period up to the period before the period for which you run the job. Example: You run the job in period 4. In the column Accumulated Loss Allowance, the system displays the loss allowance of periods 1, 2, and 3.
Delta Allowance	Net present value adjustment (NPV) to original amount or cumulative catch up of the current period.
Valuation Line Type	Describes the phase of the contract, such as initial NPV or changes, such as contract modifications.

Posting Examples of Credit-Risk-Based Impairment According to Selected Grouping Rule

This document describes how the different different grouping rules work in when postings for credit-risk-based impairment ared done.

Post Credit-Risk-Based Impairment - Group by valuation object, group key, debtor or vendor, and G/L account (Self-defined Grouping Rule)

The following table contains an example of a self-defined grouping rule:

Group ID Customer ID	Journal Entry ID Booking Reference	ECL Rate %	Original Amount in EUR	Impairment Amount in EUR	Loss Allowance Type
YYYY1/EUR YYYY1	XXXX1 Inovice 1	4	200	-8	Impairment New/Change
YYYY1/EUR YYYY1	XXXX2 Invoice 2	4	100	-4	Impairment New/Change
YYYY1/EUR YYYY1	XXXX3 Invoice 3	4	80	-3,2	Impairment New/Change

- At key date 1, three open invoices are posted
- In the next period at key date 2, an overpayment with 300€ is made to invoice 1, the residual of payment 100€ will be allocated to the open positions: invoice 2 and 3, proportionally, thus the original amounts for invoice 2 and 3 are reduced, impairment result will be the following

Group ID Customer ID	Journal Entry ID Booking Reference	ECL Rate %	Original Amount in EUR	Impairment Amount in EUR	Loss Allowance Type
YYYY1/EUR YYYY1	XXXX1 Inovice 1	8	0	8	Impairment Release
YYYY1/EUR YYYY1	XXXX1 Invoice 1	8	0	0	Impairment New/Change
YYYY1/EUR YYYY1	XXXX2 Invoice 2	8	44,44	2,22 (=55,56*0,04)	Impairment Release
YYYY1/EUR YYYY1	XXXX2 Invoice 2	8	44,44 (=100-100/180*100)	-5,78 (=100*0,08-2,22)	Impairment New/Change
YYYY1/EUR YYYY1	XXXX3 Invoice 3	8	35,56	1,78 (=44,44*0,08)	Impairment Release
YYYY1/EUR YYYY1	XXXX3 Invoice 3	8	35,56 (=80-80/180*80)	-4,62 (=80*0,08-1,78)	Impairment New/Change

Post B/S Reclassification by Maturity

Find the necessary information for the configuration of the **Post B/S Reclassification - Maturity** job and how to run it.

Use

You use the **Post B/S Reclassification - Maturity** job in the area of your month-end closing activities.

You use the **Post B/S Reclassification - Maturity** job to sort your assets and liabilities according to their remaining term and their balance so that they can be reported correctly in your financial statements. You need to perform adjustment postings to do this.

You find the **Post B/S Reclassification - Maturity** job in the **Schedule General Ledger Jobs** app.

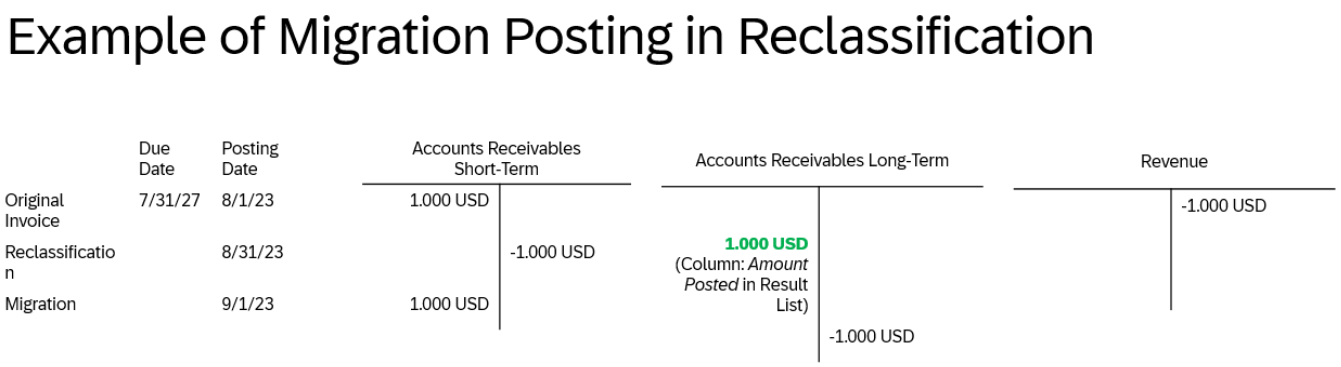
It is the last step in the sequence of advanced valuation processes.

Capabilities

The Post B/S Reclassification - Maturity job offers the following features:

- Adjustment postings to trade receivables and payables according to maturity.
- Adjustment postings for receivables with debit balances and payables with credit balances.
- Consumption of not cleared payments to determine the amount to be reclassified.
- It enables reporting capabilities of impairment effects separated from other valuations and balances.
- It is integrated with the other processes of advanced valuations represented by the following jobs:
    - **Advanced Foreign Currency Valuation**
    - **Post Discounting of Long-Term Assets and Liabilities**
    - **Post Credit-Risk Based Impairment**
    - **Post B/S Reclassification - Master Data Change**
- **Post B/S Reclassification - Maturity** is running with reversal logic. For more information see Migrate B/S Reclassification by Maturity Postings to Reversal Posting Logic

  See the following graphic for an explanation of migration postings.



- The following use cases aren't supported by the **Post B/S Reclassification - Maturity** job:
    - Changed reconciliation accounts or partners (VBUND).
    - In order to reclassify to changed reconciliation accounts or partners, use **Post B/S Reclassification - Master Data Change**.
    - Investment reporting

Preconditions

In order to use the **Post B/S Reclassification - Maturity** job, you have maintained all necessary settings. For more information, see Configuration Requirements Checklist for B/S Reclassification by Maturity:

You find the configuration activities in your configuration environment using the search function. For more information, see Configuration Environment of SAP S/4HANA Cloud Public Edition.

Selection and Output

To schedule and run **Post B/S Reclassification - Maturity**, proceed as follows:

1. In the **Schedule General Ledger Jobs** app, choose **Create** and select the **Post B/S Reclassification - Maturity** job template.
2. Choose **Step 2**.
3. In the **Scheduling Options** section, decide the following:
    - To start the run immediately, select the **Start Immediately** checkbox.
    - To schedule a single run, deselect the **Start Immediately** checkbox and enter the data that fit your requirements.
    - To schedule and run **Post B/S Reclassification - Maturity** regularly, select **Define Recurrence Pattern** and in the **Scheduling Information** dialog window enter the time intervalls in which you want execute the job.
4. Choose **Step 3**.
5. In the **Parameters** section proceed as follows:
    - **Selection Parameters**

      Enter a a company code and a ledger.
    - **Key Date Parameters**

      The **Key Date** option is automatically selected and the **Balance Key Date** is set to the last day of the previous month. You can change this if necessary

      Select **Dynamic Calendar Year/Period** and choose an option in **Dynamic Balance Key Date**, to use this data in combination with the recurrence pattern.
    - **Reversal Data Parameters**

      The option **Reversal Date for Valuation Run** is automatically selected and the **Reversal Date** is set to the first day of the current month.

      Select **Dynamic Date** and choose an option in **Dynamic Reversal Date for Reclassification**, to use this data in combination with the Recurrence Pattern.
    - **Processing Option**

      Decide if the job posts the data or if it's a test run.
6. Select **Schedule**.

The output of the job creates the following documents:

- **Header Information**

  Contains administrative data and the information, and if the run was a test run.
- **Result of Reclassification**

  The system displays the result of the reclassification job. In update runs, it shows the postings that are created during reclassification run. In test runs, it shows the postings that will be created in an update run. The postings are aggregated based on group ID, account assignment, and currency.
-
    - **Result of Reclassification - Functional Currency**

Contains the result list with valuated line items or G/L account balances with postings or posting proposals in the functional currency that were calculated by the run.

- **Result of Reclassification - Company Code Currency**

  Contains the result list of valuated line items or G/L account balances with postings or posting proposals in the company code currency that were calculated by the run.

- **Result of Reclassification - Group Currency**

  Contains the result list with valuated line items or G/L account balances with postings or posting proposals in the group currency that were calculated by the run.

- **Run Log**

  Contains the information that identifies the run, and states if it was completed.

- **Application Log**

  Contains all messages that were created during the run.

- **Application Log Summary**

  Contains a summary of the messages.

- **Document List of Reclassification**

  The system provides the result of the reclassification job in a detailed form. For open items, all individual journal entries that were considered in the report are listed. For non-open items, only preaggregated journal entries, based on group ID field, account assignment and currencies are listed.

  - **Document List of Reclassification - Functional Currency**

    In the lists all individual processed journal entries in functional currency are listed.

  - **Document List of Reclassification - Company Code Currency**

    In the lists all processed journal entries in company code currency listed.

  - **Document List of Reclassification - Group Currency**

    In the lists all processed journal entries in group currency are listed.

ℹ Note

You can use the information contained in the column **Group ID** of the **Result of Reclassification** list, to identify original journal entries that were processed in the job, in the **Document list of Reclassification**.

Example:

In the **Result of Reclassification** list, you have the following line.

REC Journal Entry: 100000536

Group ID: 0012100000/0010100088/RecIWithFXDis

In the **Document list of Reclassification** search for `0012100000/0010100088/ReclWithFXDis`.

The system marks the line with the Group ID and the original journal entry that was processed in the reclassification.

Related Information

Configuration Requirements Checklist for B/S Reclassification by Maturity
Understanding the Result List of Post B/S Reclassification - Maturity
Migrate B/S Reclassification by Maturity Postings to Reversal Posting Logic
Understanding the Result of Migrate B/S Reclassification by Maturity Postings to Reversal Posting Logic

Configuration Requirements Checklist for B/S Reclassification by Maturity

Find the information for making the configuration settings that are necessary to execute the **Post B/S Reclassification - Maturity** job.

Purpose

Before you can run the **Post B/S Reclassification - Maturity** job, which is part of Advanced Valuation in Financial Accountingyou as a configuration expert, need to maintain the individual settings for Advanced Valuation in Financial Accounting. Please note that these settings need to be configured precisely so that the requirements are met. In the following, the configuration requirements for **Post B/S Reclassification - Maturity** are laid out.

Checklist

Configuration Setting to be Checked	Name of Configuration Activity and ID	Notes
Feature **Use Reversal Posting Logic for B/S Reclassification** `FINS_FI_CLS_REC_REVERSAL`	**Activate Features** (ID: **106573**)	If you are already using **Post B/S Reclassification - Maturity**, SAP strongly recommends to use it with reversal logic. To activate the reversal logic, in the **Activate Features106573** app, you must activate the **Use Reversal Posting Logic for B/S Reclassification** `FINS_FI_CLS_REC_REVERSAL` feature.
Financial Statement Version	**Define Financial Statement Versions** (ID: **102669**)	You must have a financial statement version in order to be able to create financial statements. The financial statement version defines which structure of accounts and account nodes is reported for an accounting principle. You can use an existing financial statement version or create a new one. For more information, please read the documentation of the configuration activity.
Assign Document Types to Business Transaction Types	**Assign Document Types to Business Transaction Types**(ID: **107266**) Entry: Business Transaction Category **RFRC Reclassification**, Business Transaction Type **RFRC Reclassification**, Document Type **SA** ,	In the standard setup, the results of a **Post Reclassification - Maturity** job are posted with the document type**SA G/L Account Document**. You can change this assignment of the document type to the **Post Reclassification - Maturity** job in the configuration activity. For more information, please read the documentation of the configuration activity.

Configuration Setting to be Checked	Name of Configuration Activity and ID	Notes
Assign Financial Statement Version to Accounting Principle	Assign Financial Statement Versions to Accounting Principles (ID: 103215)	You assign the financial statement version that you're using to the accounting principle. For more information, please read the documentation of the configuration activity.
Advanced Valuation in Financial Accounting is active	Activate Advanced Valuation (ID: 103315)	You activate Advanced Valuation in Financial Accounting for an accounting principle. You then specify for a ledger and a company code the point in time when advanced valuation is active. For more information, please read the documentation of the configuration activity.
Aging and Aging Increment	Define Aging Increments for Advanced Valuation (ID: 103049)	An aging comprises one or more aging increments. An increment is used to rate for how long a receivable is overdue. Aging increments are the differences between the invoice due date and the key valuation date. SAP delivers the following agings with increments for B/S reclassification by maturity: • SGLOBRCL: Aging for global AP reclassification (IFRS, USGAAP) • S3IRCL: Aging for reclassification You can modify the predelivered agings and aging increments if necessary. You can also create new agings. Use the Aging Category `REC Reclassification` for new agings. For more information, please read the documentation of the configuration activity.
Rules for B/S Reclassification by Maturity	Define Rules for B/S Reclassification by Maturity (ID: 105454).	You define rules that you use to reclassify credit and debit balances in your balance sheet. A valuation rule defines which journal entry line items are valuated and how the valuation amounts are calculated by the system. A valuation rule can also define to which G/L accounts the valuation amount is posted. SAP delivers the following rules that you can use for reclassification : • SBSR:

Configuration Setting to be Checked	Name of Configuration Activity and ID	Notes
		B/S Reclassification (Global AP) • SLBS: B/S Reclassification (3 increments) You can create additional rules if necessary. For more information, please read the documentation of the configuration activity.
Assign Rules for B/S Reclassification Rules by Maturity to Accounting Principles	Assign B/S Reclassification Rules by Maturity to Accounting Principles (ID: 105449).	The accounting principle contains the legal regulations according to which financial statements are drawn up and rendered. Assign the rules for B/S reclassification by maturity to accounting principles. You can create individual valuation rules and use them in individual ledger for the same accounting principle. If you want to define a rule to be used in all ledger for the same accounting principle, leave the ledger field empty. For more information, please read the documentation of the configuration activity.

Understanding the Result List of Post B/S Reclassification - Maturity

This document contains an explanation of the columns displayed in the result lists of a Post B/S Reclassification - Maturity job in the order that they appear on the screen.

Column Heading	Explanation
Status	Indicates the overall status of the line item. The status depends on the status details. • Red indicator: No posting The red indicator is set for line items with the following status details. ◦ ERROR: An error occurred when the system tried to post ◦ GRPERR: Not posted due to error in the group • Green checkmark: Posted or Skipped The green checkmark: is set for line items with the following status details: ◦ POSTED: Document was successfully processed ◦ ZERDEL: Skipped because there were no changes

Column Heading	Explanation
	This status is set if there is nothing to be valuated or if there was a previous posting in the same period. ◦ NOACCT: Skipped because account couldn't be determined (only in results lists of Post B/S Reclassification - Maturity)
Status Detail	Some status details are only part of specific valuations. In the following list you'll find the status details and their meaning: • POSTED: Document was successfully processed • ERROR: An error occurred when the system tried to post • GRPERR: Not posted due to error in the group • ZERDEL: Skipped because there were no changes This status is set if there is nothing to be valuated or if there was a previous posting in the same period. • NOACCT: Skipped because no account could be determined (only in results lists of Post B/S Reclassification - Maturity).
REC Journal Entry	Journal entry posted by the Post B/S Reclassification - Maturity job.
Posting Date	Daten when reclassification postings and their reversal postings are posted. This column is only relevant when you are performing Post B/S Reclassification - Maturity with reversal logic.
Group ID	ID of grouped journal entry line items. Use There are period-end closing valuation processes that group individual line items and the system then applies the valuation logic to these groups. These groups are identified by the group ID. For open items, the group ID consists of the G/L account, the business partner number and the content of the Assignment Reference field in the line item. For non-open items, the group ID consists of G/L account and business partner. If you are using in-house banking and you have activated the in-house banking grouping rule, non-open items are grouped by balance transaction currency, G/L account and trading partners. Example The advanced foreign currency valuation job posts the valuation difference to a gain or to a loss account depending on the balance of the group of line items. The valuation difference of a single journal entry line item can have a negative value, which means that it represents a loss. However, if the group to which it belongs has an overall positive balance, the valuation difference for this line item is posted to a gain account.

Column Heading	Explanation
Valuation Rule and Rule Step	Provides the technical name of the valuation rule and the rule step that were applied when this line item was valuated. The valuation rule and the rule step define how the valuation is done. The rule and the rule step also define the source and target accounts of the valuation. You define rules and rule steps in your configuration environment.
BP Number	Number that identifies the business partner.
Business Partner Name	Description of the business partner.
Source G/L Account	Number of the account that was defined in ustomizing as the account where the balance originates.
Target G/L Account	Number of the account to which the job posts the balance.
Target Aging	Represents the maturity information together with target aging increment. You have defined this data in you configuration environment under Define Aging Increments for Advanced Valuation.
Target Increment	Represents the maturity information together with target aging. You have defined this data in you configuration environment under Define Aging Increments for Advanced Valuation.
Functional Currency	The currency of an entity's primary economic environment. The functional currency should be the currency in which the business transactions are normally denominated.
Nominal Value	The original amount of the invoice including credit memos.
Cumulative Payments	Amount of payments that clears the nominal value.
Impairment	Impairment amount of the invoices that were reclassified.
Other Valuations	Valuation amounts of the invoices that were reclassified, also including amounts from the Post Discounting Long-Term Assets and Liabilities and Advanced Foreign Currency Valuation job.
Curr.Per.Reclass.	Current Period Reclassification. Amount that has already been reclassified in the current period
Delta Reclass.	Delta of Reclassification. Amount that has been posted in the current run of Post B/S Reclassification - Maturity. This column is only relevant when you are still performing Post B/S Reclassification - Maturity in delta logic.
Reclassification Posted	Amount that hast bee posted in the current run of Post B/S Reclassification - Maturity. This column is only relevant when you are performing Post B/S Reclassification - Maturity with reversal logic.
Valuation Line Type	Represents the line type of the posted valuation. Since the posting can come from several documents based on the Valuation Line Type, it can be seen if the overall balance is positive (Target Assets) or negative (Target Liabilities). When you are

Column Heading	Explanation
	carrying out Post B/S Reclassification - Maturity with reversal logic, the reversal postings have the description **reversal**.

Analyze Closing Run Results

This app allows for detailed analysis, reporting, and reconciliation of Advanced Foreign Currency Valuation jobs.

App ID: F3753

With this app, you can display, filter, and analyze the results of Advanced Foreign Currency Valuation jobs in detail. You can also use it for analysis, reporting, and reconciliation purposes.

Key Features

You use the Analyze Closing Run Results app to:

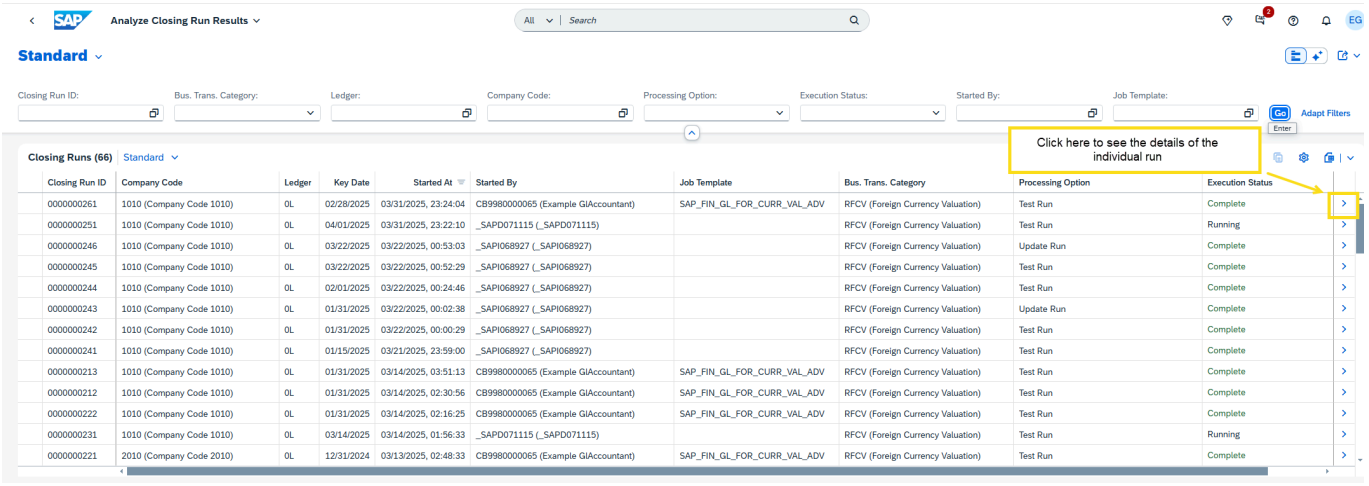
- Get a detailed view of the results of individual Advanced Foreign Currency Valuation jobs. This information is in addition to the result list that you can display in the Schedule General Ledger Jobs app.
- Use the detailed information in the result list for analysis, reporting, and reconciliation purposes.
- Filter for specific data that you're interested in, for example, postings with errors.
- Download all entries from the result list, or only those that you've filtered, into a spreadsheet for further analysis.

Note

- You can only display results of Advanced Foreign Currency Valuation.
- You can't schedule and run jobs in this app.

Additional Information

- By choosing Go on the entry screen, you get a list of all advanced foreign currency valuation runs in the system. The most recent run is displayed at the top of the list.
- You can also search for specific runs on the entry screen by entering data in one of the following fields:
    - Closing Run ID: Enter the ID of the run, from the Schedule General Ledger Jobs app, to directly find an individual run.
    - Bus. Trans. Category: This field is preset by SAP to RFCV (Foreign Currency Valuation) and can't be changed
    - Ledger, Company Code, Processing Option, Job Template, and Execution Status: You can use these fields to search, for example, for all result lists for ledger 0L, in company code 4711, that were carried out as update runs, and that were completed.
- Choose Details to display information for an individual run as shown in the screenshot below (available in English only).



- In the header data of each individual run, you can see the ID of the run and the parameters that were entered when the job was scheduled, such as company code, ledger, processing option, fiscal year period, and the execution status.
- Below the header section, you can see the following tabs:
  - **Result**

    Here, you see the result list of the run. The columns and the order in which they're shown are preset by SAP. You can add or remove columns from the display by using the **Settings** button and adjusting the settings.

    In addition, you can select which postings you want to see:

    - **All**: All postings are displayed in the list
    - **Failed**: Only postings that failed are displayed
    - **Successful**: Only those are displayed, which the system is/was able to post

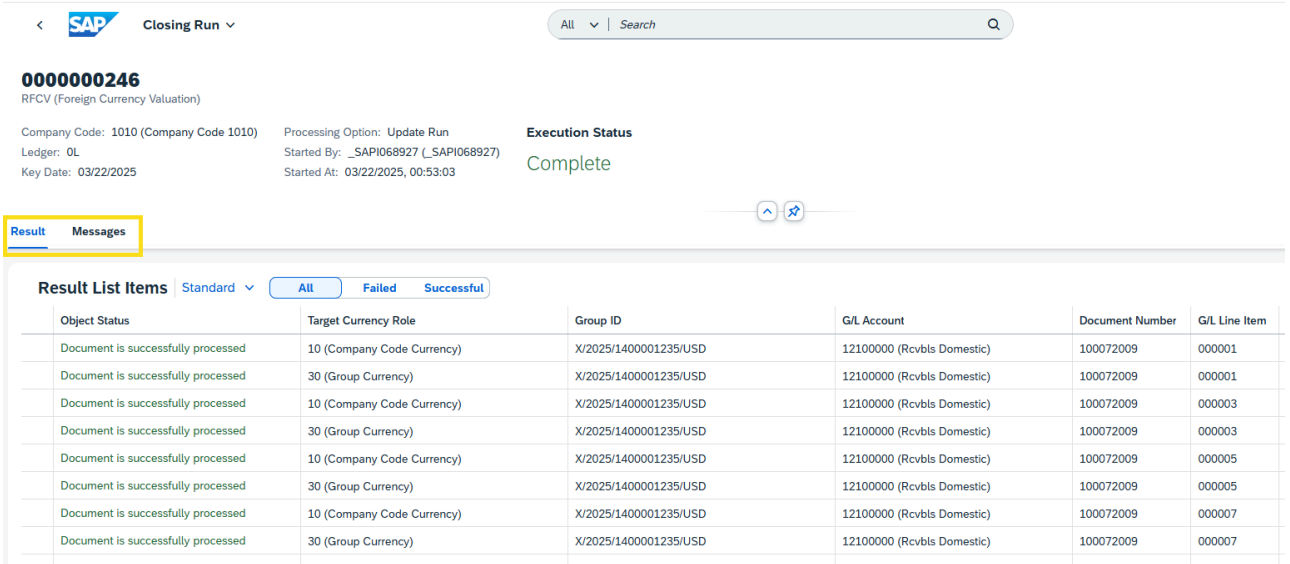
  - **Messages**

    On this tab, all messages are listed, which you can also see in the result list of the **Schedule General Ledger Jobs** app when you choose the following in the **Results** column:

    Preview > **Output #:6 - Application Log, Output #:7 - Application Log Summary** >.

    For **Advanced Foreign Currency Valuation**, these are all messages that were created during the run.

    Refer to the screenshot below (available in English only) with the header section and the highlighted **Result** and **Messages** tabs



- You can download all entries from the result list, or only those that you've filtered, into a spreadsheet for further analysis.

Supported Device Types

- Desktop
- Tablet

Classic Valuation

Post Currency Adjustments

App ID: F1606

You use this app to make adjustments to account balances in one or more currencies. The app is useful for example in environments with volatile exchange rates. You adjust the account balances by entering amounts for specific currencies directly. This app is available for the General Ledger Accountant role.

ℹ Note

If you want to activate negative posting for automatically created items for posting, you can select **Negative Posting** in the **Edit Options for Journal Entries** app. For more information about the option, see Edit Options for Journal Entries.

Key Features

- Save a draft before posting your changes
- Adjust account balances in foreign currencies
- Add attachments and enter notes to explain the reason for the posting

ℹ Note

- No exchange rates are involved. You enter the amounts directly in the foreign currencies.
- No entry view is written for valuation postings.
- If you want to activate negative posting for automatically created items for posting, you can select **Negative Posting** in the **Edit Options for Journal Entries** app. For more information about the option, see Edit Options for Journal Entries.

ℹ Note

This app contains in-app help for key fields and concepts. To display the help while working in the app, press F1 or choose the question mark displayed in the app header.

Supported Device Types

- Desktop
- Tablet

Information for Key Users

The SAP Fiori apps reference library has details about the content necessary for giving users access to an app on the **SAP Fiori launchpad**. To see this app's Fiori content, go to the SAP Fiori apps reference library and search for the app. Then select the product. On the **Implementation Information** tab, select the correct release. The details are in the **Configuration** section.

Verify Currency Adjustments - For Requester

App ID: F4670A

ℹ Note

App deprecation and replacement:

The **Verify Currency Adjustments - For Requester** app (F4670A) is newly available with SAP S/4HANA Cloud 2308. Compared with the deprecated **Verify Currency Adjustments - For Requester** app (F4670) , the successor app brings better user experience and system performance, and meanwhile keeps all the existing app features. The deprecated app will be deleted from the SAP Fiori launchpad in an upcoming release.

If you want the currency adjustments you make to be reviewed before posting them, you can use this **Verify Currency Adjustments - For Requester** app to submit a request. The authorized processor can then go to the **Verify Journal Entries in General Ledger - For Processor (Inbox)** app to review the details of currency adjustments. If your request is rejected, you can edit the adjustments and submit the request again. If approved, the currency adjustments are posted to the General Ledger directly.

The **Verify Journal Entries in General Ledger - For Processor (Inbox)** app can be used to verify general journal entries and currency adjustments. The workflows of verification are similar to each other, but with minor differences in configuration. For more information about enabling the verification workflow for currency adjustments, see Enabling Workflows for Currency Adjustments Verification.

Key Features

Depending on the role to which you're assigned, you can perform the following tasks:

- Create a currency adjustment after being directed to the **Post Currency Adjustments** app.

  ### ℹ Note

  To create a currency adjustment for verification, choose **Create** after you open this app. You're then directed to the **Post Currency Adjustments** app, but without the posting function.

- Submit currency adjustments for verification
- View the workflow status of currency adjustments
- Edit a rejected currency adjustment and resubmit it for verification.
- Withdraw a journal entry for editing before it is approved and resubmit it.
- View the history of the currency adjustment workflow
- Receive notifications when the currency adjustment status is changed.

ℹ Note

This app contains in-app help for key fields and concepts. To display the help while working in the app, press F1 or choose the question mark displayed in the app header.

Currency Adjustment Status in Requester's Worklist

Status	Description
Rejected	The currency adjustment has been rejected by the processor.
Deleted	The currency adjustment has been deleted by the requester.
Submitted	The currency adjustment has been submitted but not approved yet.
Workflow Pending	The verification workflow can be one of the following cases: • The workflow isn't configured or applied. • It takes some time to activate the workflow.
Failed	Errors occurred when the system tried to post the approved currency adjustment.
Approved	The processor has approved the currency adjustment. It is a temporary status before the currency adjustment is posted.
Posted	The currency adjustment has been posted by the processor.
Withdrawn	The currency adjustment has been taken back by the requester before it is verified. It happens when the requester wants to edit the currency adjustment and resubmit it for verification.

Supported Device Type

- Desktop
- Tablet

Related Information

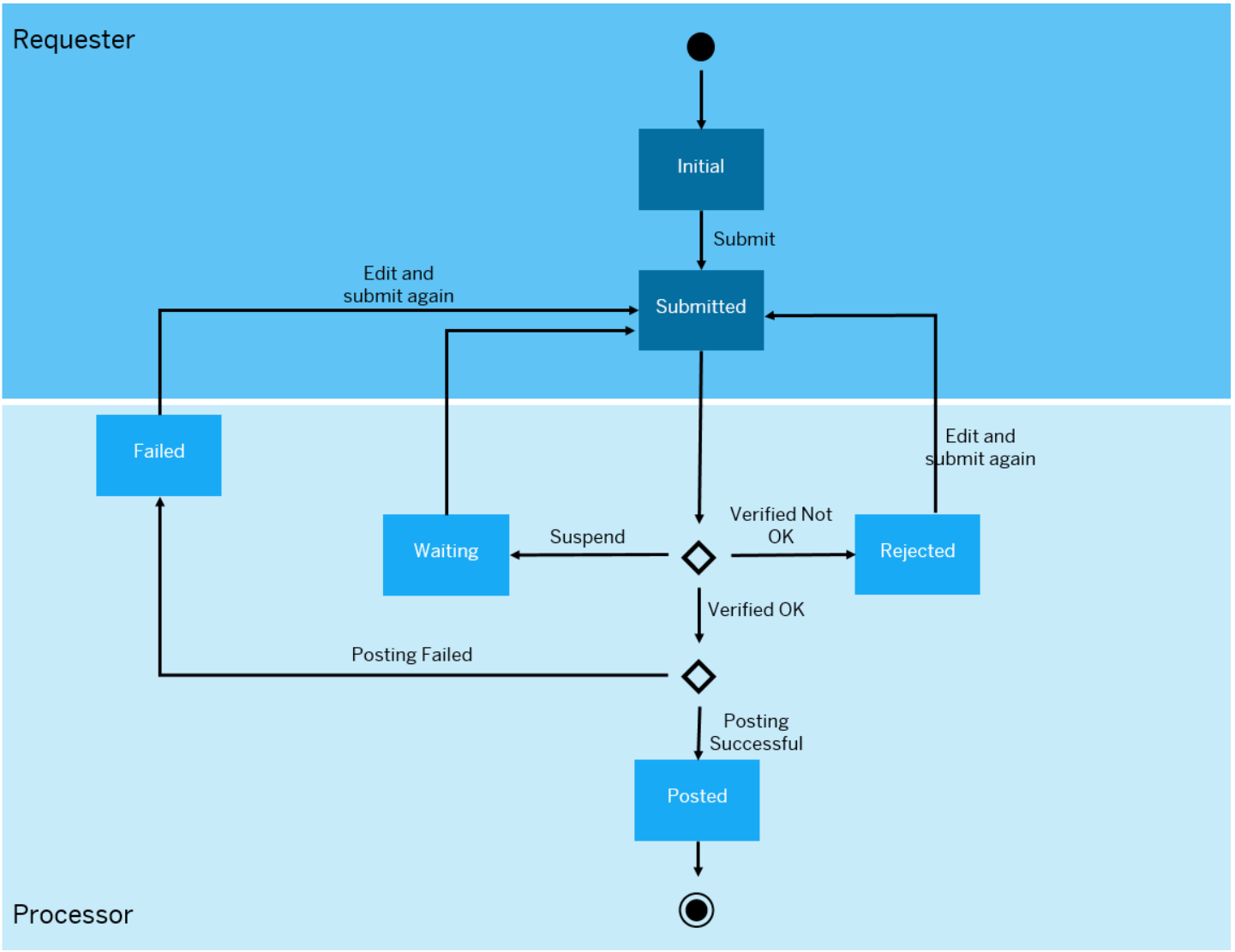
Post Currency Adjustments
Verification Workflow for Currency Adjustments

Verification Workflow for Currency Adjustments

The verification workflow for currency adjustments involves the following apps:

- Verify Currency Adjustments - For Requester
- Verify Journal Entries in General Ledger - For Processor (Inbox)
- Verify Journal Entries in General Ledger - For Processor (Outbox)
- Manage Workflows for Journal Entry Verification - In General Ledger
- Manage Teams and Responsibilities for Journal Entry Verification - In General Ledger

The workflow for verifying currency adjustments is illustrated below:



1. When a requester creates a currency adjustment for verification, the currency adjustment has Initial status.
2. If the requester submits the currency adjustment for approval, the currency adjustment has Submitted status.
3. When the processor sees the submitted currency adjustment in the inbox, the currency adjustment status can vary depending on the processor's actions:
    - If the processor rejects the currency adjustment, its status is Rejected and the requester has to edit and submit it again.
    - If the processor suspends the currency adjustment, it's given Waiting status until a certain time that is scheduled by the processor, and then the currency adjustment is given Submitted status again for approval.
    - If the processor verifies and approves the currency adjustment, it's given Posted status. It could be that the posting action fails when some errors occur. In this case, the currency adjustment is given Failed status and the requester has to edit and submit it again.

Verify Journal Entries in General Ledger - For Processor (Inbox) and (Outbox)

As a processor who is authorized to verify currency adjustments in the **Verify General Journal Entries in General Ledger - For Processor (Inbox) and (Outbox)** apps, you can view currency adjustments that are assigned to you and are waiting for approval. You can choose to approve, reject, or suspend a currency adjustment, and then the system changes the status accordingly in the requester's worklist. You can receive notifications on the SAP Fiori launchpad when currency adjustments are submitted.

If you want to see the **Verify General Journal Entries in General Ledger - For Processor (Inbox) and (Outbox)** apps on the SAP Fiori launchpad, your key user must configure the workflow for verification and define responsibilities to determine who is authorized to process the submitted currency adjustments. For more information about workflow configuration and defining authorization, see Enabling Workflows for Currency Adjustments Verification.

Key Features

Depending on the role to which you're assigned, you can perform the following tasks:

- Approve and reject currency adjustments.

  > **Note**
  >
  > The system enables you to check whether the approver's authorized to do a posting. To activate the check, go to the **Activate Authorization Check for Approval** configuration activity.

- Suspend currency adjustments.
- View the status of currency adjustments.
- Forward journal entries to others for verification (authorization check by the system before forwarding).
- Claim journal entries to become the processor of the task.
- Navigate to the **My Inbox - All Items** app via notifications (with the SAP_BR_MANAGER role ID assigned).
- Receive notifications when currency adjustments are submitted for verification.
- Receive system notifications to know whether journal entries are posted to the ledger.

> **Note**
>
> - In addition to currency adjustments, general journal entries can be verified in this app too.
> - You can't review currency adjustments that are submitted by yourself.

Currency Adjustment Status in Processor's Inbox and Outbox

Status	Description	Where to Display Status
Submitted	The currency adjustment was submitted by the requester but hasn't been approved yet.	Processor's inbox
Deleted	The currency adjustment has been deleted.	Processor's outbox
Failed	Errors occurred when the system tried to post the approved currency adjustment.	Processor's outbox
Rejected	The currency adjustment has been rejected.	Processor's outbox
Posted	The currency adjustment has been posted to the ledger.	Processor's outbox

> **Note**
>
> This app contains in-app help for key fields and concepts. To display the help while working in the app, press F1 or choose the question mark displayed in the app header.

Related Apps

App Name
Verify Journal Entries in General Ledger - For Processor (Inbox)
Verify Journal Entries in General Ledger - For Processor (Outbox)
Manage Workflows for Journal Entry Verification - In General Ledger
Manage Teams and Responsibilities For Journal Entry Verification - In General Ledger

Supported Device Types

- Desktop

Information for Key Users

The SAP Fiori apps reference library has details about the content necessary for giving users access to an app on the **SAP Fiori launchpad**. To see this app's Fiori content, go to the SAP Fiori apps reference library and search for the app. Then select the product. On the **Implementation Information** tab, select the correct release. The details are in the **Configuration** section.

Enabling Workflows for Currency Adjustments Verification

SAP delivers a predefined, one-step approval workflow for verifying currency adjustments. To meet your company's business requirements, you can extend the workflow with the **Manage Workflows for Journal Entry Verification - In General Ledger** app. For more information about the general steps of extending the workflow, see Managing Workflows for Currency Adjustment Verification.

To enable the workflow, you must also determine processors who are required to verify submitted currency adjustments. You can also use the **Manage Teams and Responsibilities For Journal Entry Verification - In General Ledger** app to define proper processors. For more information, see Managing Teams and Responsibilities for Currency Adjustment Verification.

Assigning Business Catalogs to Requesters and Processors

To display the **Verify Journal Entries in General Ledger - For Processor (Inbox)** and **Verify Journal Entries in General Ledger - For Processor (Outbox)** apps on the **SAP Fiori launchpad**, you must assign the following business catalogs to the corresponding roles:

- SAP_FIN_BC_GL_PARKDCPRE_PC (for Requester)

  Enables users to enter, store, and manage incomplete currency adjustments without performing extensive entry checks.

- SAP_FIN_BC_GL_PARKDCPST_PC (for Processor)

  Enables users to post or reject submitted currency adjustments.

- SAP_FIN_BC_GL_CONTROL_PC (for Configuration Expert)

  Controls access to apps used to define the responsibilities regarding the approval of posting requests in the verification process for currency adjustments. A user who has a business role with this business catalog can determine which users in your company can approve postings in a specific company code over a certain amount.

Prerequisites

To make business catalog assignments, you need to log on with a role that has the same authorizations as those delivered with the `SAP_BR_ADMINISTRATOR` business template role.

Managing Workflows for Currency Adjustment Verification

To allow your business users to verify currency adjustments using the **Verify Journal Entries in General Ledger - For Processor (Inbox)** and **Verify Journal Entries in General Ledger - For Processor (Outbox)** apps, enable the workflows by following these steps:

1. On the SAP Fiori launchpad, open the **Manage Workflows for Journal Entry Verification - In General Ledger** app.
2. Choose **Currency Adjustment Verification** from the drop-down list.
3. Choose **Create**.
4. In the Header section, enter a workflow name that you want to use.
5. In the Start Conditions section, select an option from the drop-down list to trigger the workflow.

   > **Note**
   >
   > If you want to add multiple options, for example, company codes, repeat this step.

6. In the Steps section, choose **Create** for Workflow Steps.
7. In the Header section, fill the following fields for the new step:
   - **Step Name**: `Verify`
   - **Step Type**: choose **Verify Currency Adjustment**
8. In the Recipient section, fill the following fields:
   - **Assignment By**: choose **Role**
   - **Role**: choose **Group 1 for Verifying Currency Adjustment**
   - **Step to be completed by**: Choose **One of the recipients**
9. (Optional) In the Step Conditions section, you can choose an option to trigger the verify step.
10. (Optional) In the Deadlines section, set a deadline for verifying currency adjustments.

    > **Note**
    >
    > To nominate another processor, you must implement BAdI **Workflow: get agents for forwarding by customer**. For more information about how to implement the BAdI, see Implementing BAdI to Assign Processors.

11. In the Exception Handling section, fill the following fields:
    - **Processing obsolete**:
      - **Required Action**: **Do nothing**
      - **Action Result**: **Cancel workflow**
    - **Reject**:
      - **Required Action**: **Resubmit Currency Adjustment**
      - **Action Result**: **Restart workflow**

12. Choose **Create**. You finish creating the first step sequence.

13. Create another step sequence with the name `Post`.

> **Note**
>
> See step 6 to step 12 for step sequence details.

14. (Optional) In the Steps section, create a review step:

    a. Choose **Create** for Review Steps.

    b. Fill the following fields:

    - **Step Name**: `Review`
    - **Step Type**: choose **Review Currency Adjustment**
    - **Assignment By**: choose **Team**
    - **Team**: choose a team of reviewers you've created in the **Manage Teams and Responsibilities For Journal Entry Verification - In General Ledger** app.
    - **Step Conditions**: choose a condition or more to trigger the review step.

> **Note**
>
> It's optional to configure the review steps. The purpose of the review steps is to monitor workflows for reviewers who may not be a requester or verifier. But they can still watch how the verification process goes and receive system notification.

15. Save all the changes you make to this workflow.

Managing Teams and Responsibilities for Currency Adjustment Verification

You can use the **Manage Teams and Responsibilities For Journal Entry Verification - In General Ledger** app to assign functions to employees who are verifiers. A function can be used in multiple teams and an employee can be assigned multiple functions. To do so, you must be assigned with the same authorizations as the Business Process Specialist template role (SAP_BR_BUSINESS_PROCESS_SPEC), and then you proceed as follows:

1. In the **Manage Teams and Responsibilities For Journal Entry Verification - In General Ledger** app, create a new team.
2. Specify the following information for the team:
    - Team name
    - Team description
    - Team status: Select **Ready to Use** when you want to use the team.
    - Team type: Select **FGCAV**.
3. (Optional) You can restrict company codes, G/L account groups and cost centers in the Responsibility Definitions section so that the team members can only receive and approve the requests with specific company codes, G/L account groups and cost centers.

> **Note**

If you specify any cost center, you must also specify company codes that are assigned to the cost center.

4. In the Team Members section, create a team and assign one or more functions to the users. The predefined functions are available to choose: **FGCAV_L1**, **FGCAV_L2**, and **FGCAVV_L3**.

> **Note**
>
> Depending on your business requirement, you can create more teams in the Team Members section.

5. Save your changes.

Defining Functions

(Optional) A function controls whether an employee has the authorization to approve currency adjustments to be posted for a certain step. If you want to use a self-defined function other than predefined functions, you can define functions for currency adjustment verification workflows.

In your configuration environment, use the search function to open the configuration activities. For more information, see Configuration Environment of SAP S/4HANA Cloud Public Edition:

1. In the **Define Functions** configuration activity, create a function by specifying a technical name and a short description.
2. In the **Define Function Profiles** configuration activity, do the following:
    a. Select the **FGJEV** function profile (FI General Journal Entry Verification).
    b. Double-click **Function Profile to Function Mapping**.
    c. Select a function for currency adjustments, for example, **FGCAV_L1**.
    d. Choose **Save**.

> **Note**
>
> You can assign a function to only one function profile.

Regroup Receivables / Payables

App ID: FAGLF101

With this app, before creating your financial statements, you can order your receivables and payables according to their remaining term so that they can be displayed correctly. You need to enter adjustment postings to do this.

> **Note**
>
> This functionality is also available in the **Schedule General Ledger Jobs** app.

> **Note**
>
> Bear in mind that this functionality also processes the settings you have made in the configuration activity **Activate Additional Fields for Valuations** (ID: 103254). You can find this configuration activity under **Finance** > **General Ledger** > **Ledgers and Valuation** > **Activate Additional Fields for Valuations** .

Key Features

- Sort receivables and payables according to remaining term and carry out the required transfer postings.
- Carry out the required adjustment postings. They are necessary in the following cases:
    - If you have customer accounts that are in credit. You cannot display this balance as a receivable; it must be displayed as a payable.
    - If you have vendor accounts which are in debit. You cannot display this balance as a payable; it must be displayed as a receivable.
    - If you have changed the reconciliation account for a customer or vendor, and the payables and receivables posted to the old reconciliation account are to be assigned to the new account before they are displayed in the financial statements.
    - In certain countries (France, for example), investments must be displayed separately.

Additional Information

All accounts that are managed on an open item basis are analyzed. Foreign currency items are always included in this, local currency items only if they contain a due date.

First, the transfer postings required due to the change of reconciliation account are carried out. After that, the payables and receivables are sorted. Depending on the results, the adjustments required are determined and carried out.

Supported Device Types

Desktop

Information for Key Users

The SAP Fiori apps reference library has details about the content necessary for giving users access to an app on the **SAP Fiori launchpad**. To see this app's Fiori content, go to the SAP Fiori apps reference library and search for the app. Then select the product. On the **Implementation Information** tab, select the correct release. The details are in the **Configuration** section.

See Also

For more information, read the system documentation or application help. In the app, choose **More** > **Program Documentation** or **Help** > **Application Help**.

Foreign Currency Valuation

You use **Foreign Currency Valuation** to perform foreign currency valuation for financial statements, covering balance sheet accounts, open items, and different valuation methods. It also includes key features such as saving exchange rate differences and performing required adjustment postings.

Use

If your company manages amounts in foreign currencies, you have to perform a foreign currency valuation in order to create your financial statements. Foreign currency valuation covers the following accounts and items:

- Foreign currency balance sheet accounts, that is, the G/L accounts that you manage in foreign currency.

  The **balances** of the G/L accounts that are **not** managed on an open item basis are valuated in foreign currency.

- Open items that were posted in foreign currency.

  Open items that are open on the key date are valuated in foreign currency.

In foreign currency valuation, you have the following options:

- You can perform the valuation in the company code currency or a parallel currency (for example, the group currency).
- You can also use different valuation methods (for example, lowest value principle).
- If you translate an additional currency from the company code currency, foreign currency valuation automatically performs a currency translation in accordance with the set of books assigned (such as US GAAP or IFRS).

  ⚠ **Caution**

  You can only perform a valuation run once for each valuation area for a specific key date.

Prerequisites

- You have defined exchange rates.

  You find the configuration activities in your configuration environment using the search function. For more information, see Configuration Environment of SAP S/4HANA Cloud Public Edition.

You have made the required configuration settings for foreign currency valuation using the following configuration activities:

- **Define Valuation Method**

  You have defined a valuation method here.

- **Define Valuation Area**

  Here, you have defined a valuation area and assigned a valuation method to it.

- **Assign Valuation Area to Accounting Principles**

  You have assigned to the valuation area an accounting principle that is also assigned to a ledger group.

  The exchange rate differences from the parallel valuation are posted in this valuation area. If you perform parallel valuation with a different valuation method to the first valuation, you do **not** have to reverse the postings of the first valuation. This information is then available for subsequent closing operations, such as for transferring and sorting receivables and payables.

Key Features

Foreign currency valution is available as follows:

- As **Foreign Currency Valuation** job in the **Schedule General Ledger Jobs** app.
- As **Perform Foreign Currency Valuation** app.

Foreign currency valuation comprises the following functions:

- Valuation of Foreign Currency Balance Sheet Accounts
- Valuation of Open Items in Foreign Currencies
- Saving the exchange rate differences determined from the valuation per document

- Posting account assignments in valuation documents:
    - If you use Document Splitting, the valuation documents are posted with the account assignments that you have defined as document splitting characteristics in Customizing.
- Performing the required adjustment postings
- For most countries/regions, postings are done in delta mode. This means that the valuation is not reset in the next period and the next valuation is determined based on the old valuation(s).

  Example: Explaing the delta mode.

  1. On 12/15/2005, an item is posted in a foreign currency:
     - USD 100 (FC), EUR 85 (local currency)
  2. On 12/30/2006, the item is valuated with the rate 0.80.
     - There's a posting of EUR -5 (EUR 80, EUR 85) and no reversal posting in the following period.
  3. On 01/31/2006, the item is still open and valuated with a rate of 0.78.
     - This valuation results in a posting of EUR -2 (EUR 78, EUR 80).

Dependencies

If you have executed foreign currency valuation, the result list can display entries for postings that resulted in an error. This can happen, for example, in the following cases:

- the cost center is missing
- the posting period was closed and the system tried to post a reversal posting in the closed period

In cases like this, you can correct the cause of the error and then process the entry again. For example, reopen the closed posting period in the **Manage Posting Period** app. To process entries again that caused an error you have the following options:

- Use the **Verify Data Flow** app. For more information see Verify Data Flow.
- Before you carry out a foreign currency valuation job, on the **Postings** tab, mark the checkbox for **Use Bach Input Instead of ECS**. If you choose this option, the documents that could not be posted due to errors, are stored within a batch input session. After correcting the errors, open the **My Batch Input Sessions** app to process the documents again.

Activities

For foreign currency valuation, use the **Perform Foreign Currency Valuation** app or the **Foreign Currency Valuation** job in the **Schedule General Ledger Jobs** app.

For more information about the individual functions and their usage, choose **Help** > **Product Assistance** from within the app.

Valuation Method

Definition

Cross-chart of accounts specification that contains the valuation approach to be used for performing a foreign currency valuation as part of the closing operations, for example, according to the lowest value principle.

Use

To perform a foreign currency valuation, you need to have specified in the configuration which valuation method is applied.

Use the search in your configuration environment to open the following activity: **Define Valuation Methods** For more information, see: Configuration Environment of SAP S/4HANA Cloud Public Edition

Structure

In a valuation method, you make the following specifications for the foreign currency valuation:

- The valuation procedure to be used, for example, lowest value principle
- How the exchange rate differences determined are posted, for example, which document type is used
- The basis on which the exchange rate is determined, for example, which exchange rate type is used

> **Note**
>
> You can enter values directly for the **Exchange Rate Type Debit Balance** and **Exchange Rate Type Credit Balance** fields for the valuation method `BILM` (**BilMoG Valuation Method Germany**) in the **Time-Dependent Attributes** section under **Exchange Rate Determination**.
>
> Values that you maintain for valuation method `BILM` in the **Time-Dependent Attributes** section override the values that you entered directly for a valuation method. This means that the system uses only the values from the **Time-Dependent Attributes** section.
>
> Unless you maintain any values in the **Time-Dependent Attributes** section, the system uses the values that you have specified directly in the valuation method.
>
> Note that the **Exchange Rate Type Debit Balance** and **Exchange Rate Type Credit Balance** fields are delivered without default settings in the **Time-Dependent Attributes** section.

For more information, see Foreign Currency Valuation.

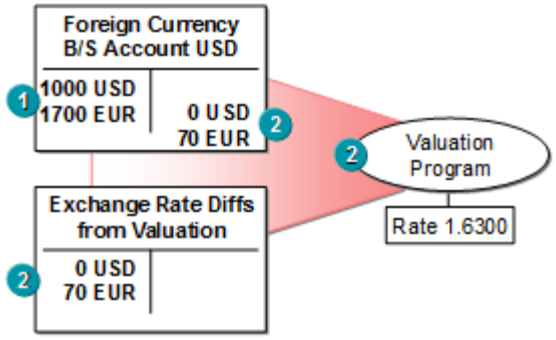
Valuation of Foreign Currency Balance Sheet Accounts

Use

Your foreign currency balance sheet accounts are valuated as part of the foreign currency valuation:

- The balance, that is, the foreign currency balance of the G/L account managed in the foreign currency, forms the basis of the valuation for each foreign currency and foreign currency balance sheet account.
- The result of the valuation is posted to the valuated account or to an adjustment account.
- The exchange rate profit or loss from the valuation is posted as an offsetting posting to a separate expense or revenue account for exchange rate differences.

> **Example**
>
> The balance of your fixed term deposit account (foreign currency balance sheet account) has a balance of 1,000 USD and 1,700 EUR (see the following figure, **1**). An exchange rate devaluation occurs at the time of the valuation. The account balance is now valuated with an exchange rate of 1.6300. The valuation programs posts the exchange rate difference to the fixed term deposit account and to the account for exchange rate differences (see following figure, **2**).



Note

As a result of the valuation, a difference arises in your company code currency. However, only postings in the foreign currency specified in the master record (account currency) can be made to foreign currency balance sheet accounts. The exchange rate difference is therefore posted with a foreign currency amount of zero and a company code currency amount equal to the exchange rate difference.

Prerequisites

To valuate your foreign currency balance sheet accounts, you need to define your expense and revenue accounts for exchange rate differences. You can group your foreign currency balance sheet accounts and define for each group expense and revenue accounts for exchange rate differences.

You group the accounts using an exchange rate key in the master record of the foreign currency balance sheet accounts. In the configuration, assign the expense and revenue accounts for exchange rate differences to this exchange rate difference key.

Note

For more information on all configuration settings, see Foreign Currency Valuation.

Key Features

You have the following options when defining the expense and revenue accounts for exchange rate differences:

- If you perform parallel valuations with different valuation methods, you can also use your account determination from the valuation of open items in foreign currency for a specific G/L account. To do this, enter the G/L account in the account determination for the valuation of open items in foreign currency. If you have implemented parallel ledgers, the balance of the account is read from the ledger in question and valuated.
- You can reset the valuations. By doing so, you recreate the status before the valuation run, that is, all valuations posted are set to zero by an inverse posting. To reset the valuations, enter the same selection criteria for the valuation run to be reset and set the **Reset Valuations** indicator.

  ### Note

  However, the valuations are only reset when a valuation is performed for the same key date and with the same valuation area. If an item is not valuated for that key date, it is **not** possible to reset the valuation for the item.

- You can subsequently reverse the valuation of the balances. For this, set the **Reverse Postings** indicator.

Activities

To perform foreign currency valuation and to post the valuation difference, call the **Foreign Currency Valuation** app.

- To subsequently **reverse** the postings generated during foreign currency valuation, select the same report.

  In the area **For G/L Account Balance Valuation** on the **Foreign Currency Valuation** selection screen, set the **Reverse Postings** indicator. (This indicator does not affect how open items are valuated).

- For more information, see Foreign Currency Valuation.

Valuation of Open Items in Foreign Currencies

Use

All open items in foreign currency are valuated during foreign currency valuation:

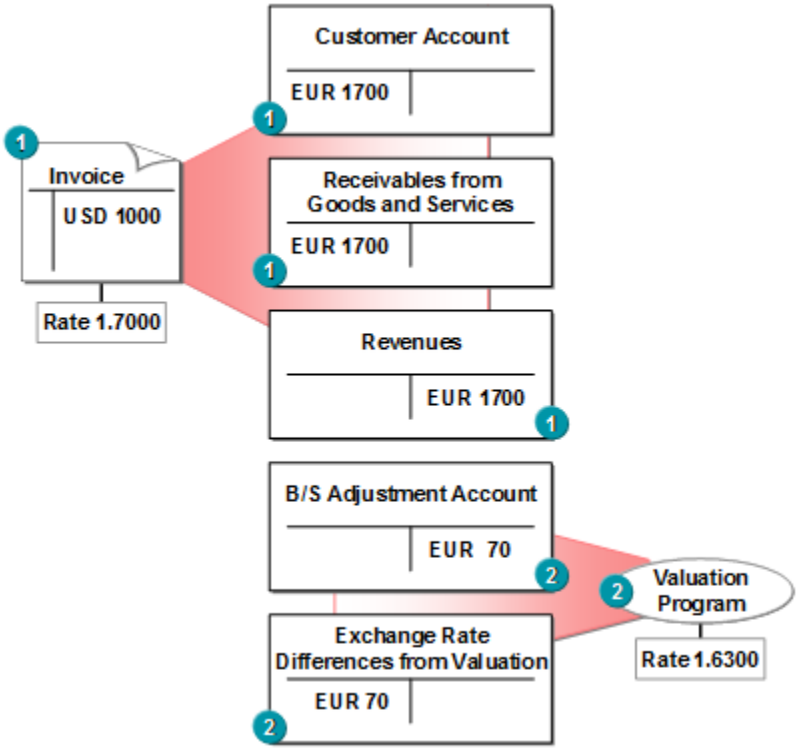
- The individual open items of an account in foreign currency form the basis of the valuation, that is, every open item of an account in foreign currency is valuated individually.
- The total difference from all the open items in an account is posted to a financial statement adjustment account. The account therefore retains its original balance.
- The exchange rate profit or loss from the valuation is posted as an offsetting posting to a separate expense or revenue account for exchange rate differences.

Example

You have posted a receivable in the amount of 1000 USD, at an exchange rate of 1.7000. The company code currency is EUR. The system saves the receivable in company code currency in the customer and receivables accounts (1,700 EUR) (see following figure, **1**).

An exchange rate devaluation occurs at the time of the valuation, and the exchange rate is now 1.6300. The receivable of EUR 1,700 remains on the receivables account. The program posts the reduction to the receivable (70 EUR) to a financial statement adjustment account and the exchange rate difference to the account for exchange rate differences from the valuation as an offsetting posting (see following figure, **2**).

The receivables account and the relevant financial statement adjustment account are reported in one item in the financial statements. This means that the amount of the receivable in the financial statements is the valuated amount (1,630 EUR).



Prerequisites

To valuate your foreign currency balances, you must define certain accounts. You define these accounts per reconciliation account:

- **Expense and revenue accounts** to which the exchange rate differences from the valuation are posted
- A **financial statement adjustment account**, reported in one financial statement item with the valuated account. The valuation is therefore not performed in the account itself but posted instead to a separate account. This is necessary because the accounts for receivables and payables, for example, are only updated by postings to the customer and vendor accounts. However, valuation must be performed in the G/L account area for the relevant reconciliation accounts.

ⓘ Note

When valuating open items, you can configure account determination according to the currency type. In this way, currency gains in company code currency and in group currency are posted to separate accounts, for example.

Features

You have the following options for valuating open items in foreign currency:

- **Saving the exchange rate difference per valuation area**

  In addition to the posting, the exchange rate differences are saved per document. This information is then available for subsequent evaluations, for example for transferring and sorting receivables and payables.

  - **Unrealized exchange rate differences**

    When you valuate open items in foreign currency, the exchange rate difference determined is posted as an unrealized exchange rate difference.

  - **Realized exchange rate differences**

    For an incoming payment, that is, when you are clearing open items, the current exchange rate is determined. Since the exchange differences that were not realized are reversed, the full exchange rate difference is posted as realized.

- **Resetting exchange rate difference postings**

  You can reset the valuations. By doing so, you recreate the status before the valuation run, that is, all valuations posted are set to zero by an inverse posting. To reset the valuations, enter the same selection criteria for the valuation run to be reset and set the **Reset Valuations** indicator.

  > **Note**
  > However, the valuations are only reset when a valuation is performed for the same key date and with the same valuation area. If an item is not valuated for that key date, it is **not** possible to reset the valuation for the item.

- **Reversing exchange rate difference postings**

  The posted exchange rate differences are automatically reset on the specified reversal date or reversal period by an inverse posting after the valuation run.

Activities

To perform a foreign currency valuation, choose the **Perform Foreign Currency Valuation** app. For more information, see Foreign Currency Valuation.

Perform Further Valuations

This app allows you to measure and recognize expected credit losses (ECL) as required by IFRS 9.

App ID: F107

With this app, you can measure and recognize expected credit losses (ECL) as required by the International Financial Reporting Standard (IFRS) 9. Expected credit losses on trade receivables are calculated based on value adjustment keys that you define for different customers in the **Define Value Adjustment Key** activity in your Customizing environment.

Key Features

You can use this app to:

- Calculate flat-rate individual value adjustments for unsecured or overdue receivables

  > **Note**
  > Valuations are only possible for customer items. Supplier and G/L accounts cannot be valuated.

Flat-Rate Individual Value Adjustments

During financial statement preparation, open customer items are valuated. Valuations are created in a run. You can then display the values before transferring them to G/L accounting. During the transfer, the system creates the posting in G/L accounting and saves the valuations for each line item.

Supported Device Types

- Desktop

Related Information

How To Calculate Flat-Rate Individual Value Adjustments

Context

If you want to calculate a flat-rate individual value adjustment, proceed as follows:

Procedure

1. Open the Perform Further Valuations app.
2. Enter the run date and an identification for the valuation run.
3. Choose **Maintain** to access the **Valuation: Parameters** screen.
4. Enter a key date.

   Receivables that have not been cleared by this due date are valuated.
5. Note that valuation method 03 for an individual value adjustment is preselected.
6. Enter a currency type and a valuation area.

   The valuation area determines which value adjustment keys are used.

   To define your own value adjustment keys, go to your configuration environment and search for the **Define Value Adjustment Key** activity.
7. Select **Use Group Definition** if you want to make the valuation using a customer group rather than individual customer accounts. In this case, the group balance is used for the valuation.
8. If you want to carry out line item-based posting, select **Valuation for Each Line Item**.
9. Note that by default offsetting payables/receivables is not allowed. If you want to allow offsetting, deselect **Deactivate Item Clearing**.
10. Choose the **Selection options** tab and enter the selection criteria you require, such as, the affected company codes, affected customer accounts, and so on.
11. Choose **Execute** to return to the **Valuation: Parameters** screen and save your entries.
12. Choose **Dispatch** to open the dialog box in which you can enter the start date and time of the valuation run.
13. Choose **Dispatch** to schedule the run.

What to Do with the Valuation Result

Procedure

The following table shows what you can do when the valuation run is finished:

If you want to	You need to
Display the valuations	Choose **Display**. Various functions such as summation and sorting are available in the valuation list for your use.
Display the valuation run log	Choose **More** and then **Edit** > **Valuation run** > **Display log**.

If you want to	You need to
Discard the valuations by deleting the valuation run **Note that this is only possible as long as you haven't transferred the values to general ledger (G/L) accounting yet.**	Choose Delete run.
Transfer the valuation differences to G/L accounting	a. Choose Forward to open the dialog box in which you can enter the start date and time of the transfer run. b. Choose Dispatch to schedule the run.

Allocation in General Ledger

Use

You can periodically allocate amounts and quantities from sender objects to receiver objects. **Distribution** and **assessment** are the two main ways of doing this. You perform the allocation based on allocation cycles. Allocation rules determine how amounts and quantities should be allocated. It is possible to allocate amounts and quantities according to the following criteria, for example:

- Sales costs
- Sales for a particular period

→ Recommendation

You should use allocation in General Ledger for assessments and distributions for the characteristics Segment and Profit Center.

Features

You can choose between the allocation types **distribution** and **assessment**.

You use allocation rules to determine how amounts and quantities should be allocated from sender object to receiver object. You can choose between various sender rules and receiver rules.

Processing of the data is effected using the allocation cycle. Within an allocation cycle, you can define allocation segments. You determine allocation rules in an allocation segment.

The header data of the allocation cycle contains information valid for all allocation segments contained in the cycle.

You can use the following functions for the allocation cycle:

- You can process allocation cycles iteratively and/or cumulatively.
- You can allocate/distribute quantities and amounts in transaction currency.
- You can define selection criteria and rules for selection.
- You determine the processing of the allocation cycle using dimensions.
- You can lock individual segments in an allocation cycle so that they are not included in processing.
- You can choose whether to execute allocation cycles online or in the background.

- You can reverse an allocation cycle and reverse allocation line items.
- You can display allocation results and print detail lists.

The following apps are available for working with allocations:

Type of Allocation	App	Functionality
Distribution	Create Actual Distribution Cycle G/L	Create distribution cycles for actual data.
	Change Actual Distribution Cycle G/L	Change distribution cycles for actual data.
	Display Actual Distribution Cycle G/L	Display distribution cycles for actual data.
	Delete Actual Distribution Cycle G/L	Delete distribution cycles for actual data.
	Execute Actual Distribution G/L	Execute distribution for actual data.
	Overview Actual Distribution G/L	See an overview of the distribution cycles.
Assessment	Create Actual Assessment Cycle G/L	Create assessment cycles for actual data.
	Change Actual Assessment Cycle G/L	Change assessment cycles for actual data.
	Display Actual Assessment Cycle G/L	Display assessment cycles for actual data.
	Delete Actual Assessment Cycle G/L	Delete assessment cycles for actual data.
	Execute Actual Assessment G/L	Execute assessment for actual data.
	Overview Actual Assessment G/L	See an overview of the assessment cycles.

Balance Validation

Balance validation is required to ensure data quality during period-end close of a business entity. It validates data completeness, correctness, and compliance of balance sheet and P&L accounts based on user-defined rules.

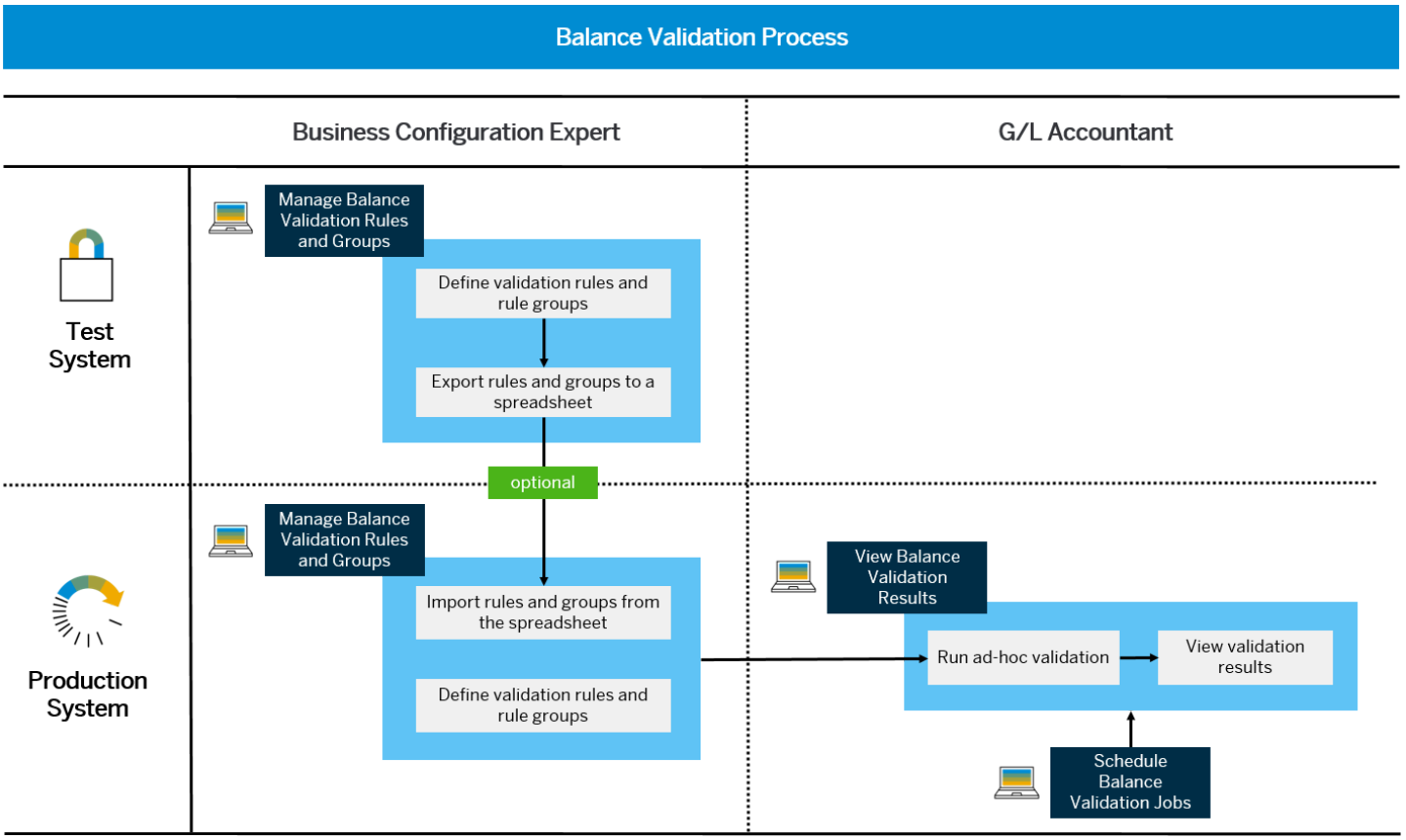
Overall Process

You can create validation rules according to legislation, best practices, or company regulations. For example, the rules can verify the following:

- G/L account balances don't deviate from the comparison period by a certain amount or percentage.
- Depreciation is less than the original cost of an asset.
- Open-item-managed G/L accounts have a zero balance once all items are cleared.

The rules can be bundled into a rule group. At certain milestones of the period close, you can run data validation based on the group of rules. Or you can schedule recurring validation jobs. In the validation results, you can then identify any violating data and follow up on these violations.

The following graphic illustrates the process:



ℹ Note

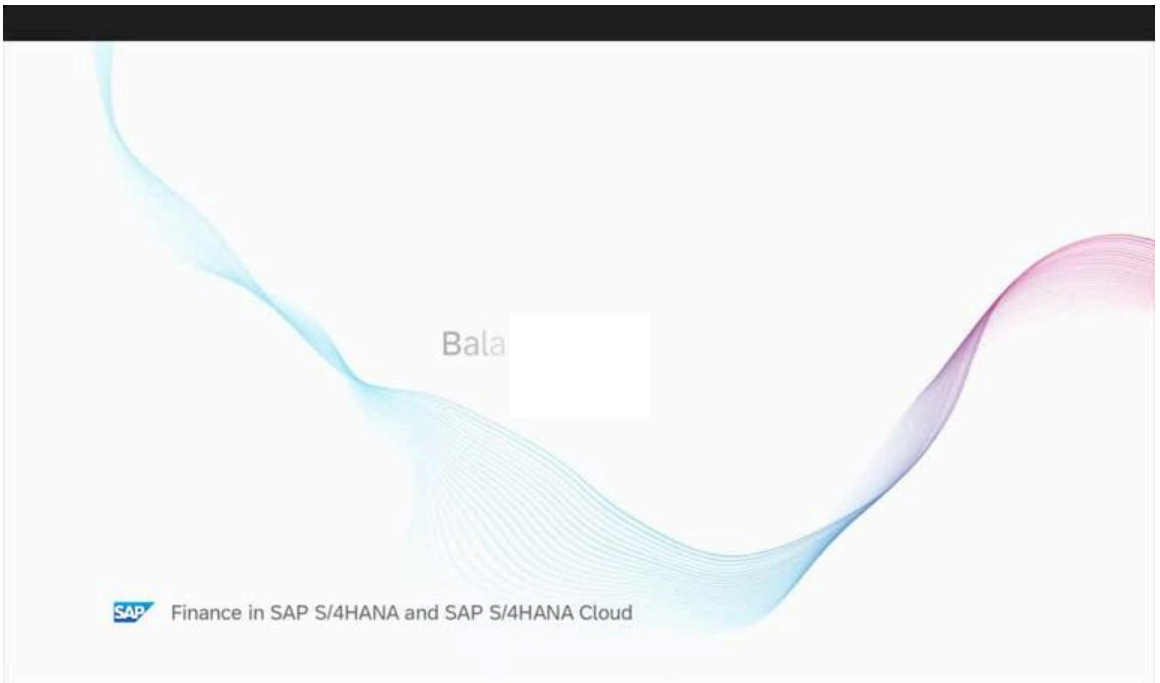
The export and import steps are optional. You can also create rules and groups directly in the production system.

Video: Balance Validation Process

This is a video explaining the process steps of creating rules, assigning rules to a rule group, running validation, and viewing results in **Balance Validation**:

ℹ Note

The following multimedia content displays screens and interfaces in English only.





Open this video in a new window

Note

Captions are available for **multiple languages**. Use the **CC** (Closed Captions) button in the video player to check which languages are supported.

You can also use the **Search within video** field to search for specific text in the English or German captions.

Related Information

Manage Balance Validation Rules and Groups
Run Validation
View Balance Validation Results

Manage Balance Validation Rules and Groups

App ID: F6386

With this app, you can display, change, and create validation rules and rule groups, which can be activated for balance validation.

Prerequisite

To have write access to the app, you must have a business role that contains the **General Ledger - Validation Configuration** (`SAP_FIN_BC_GL_VAL_CONF_PC`) business catalog. SAP delivers the **Configuration Expert - Business Process Configuration** (`SAP_BR_BPC_EXPERT`) business role template for your reference.

Note

Users assigned with the **General Ledger - Validation Results** (`SAP_FIN_BC_GL_VAL_RESULT_PC`) business catalog have read access to the app so that they can navigate from the View Balance Validation Results app to view rule or group details.

Key Features

This app provides the following key features:

- Create Basic Rules
- Simulate Validation
- Create Compound Rules
- Assign Validation Rules to Groups
- Activate/Deactivate Rules and Groups

Note

This app contains in-app documentation for key fields and concepts. To display the documentation while working in the app, press F1 or click the question mark displayed in the app header.

Supported Device Types

- Desktop
- Tablet

Related Information

Run Validation
View Balance Validation Results

Create Basic Rules

When creating a validation rule, you can choose the rule type, basic rule or compound rule. **Basic rule** is an expression that compares left-hand and right-hand formulas. Each formula is composed of various user-defined operands that represent the data sets to be validated.

To create a basic rule, access the **Manage Balance Validation Rules and Groups** app, go to the **Rules** tab, and choose **Create** > **Basic Rule**. Then follow the procedure below:

Enter General Information

In the **General Information** tab, specify the following information:

1. Specify a rule ID and a meaningful description, and optionally, a long description.

   > **Note**
   >
   > You can also copy any sample rules delivered with SAP Note 3322100 to create your rules. Note that your created rules must be in the customer namespace, that is, IDs not starting with the prefix S.
   >
   > Descriptions are language-dependent. If necessary, please save rule definition and switch your logon languages to maintain the descriptions in different languages.

2. **Group-By Fields**: If necessary, specify up to 6 grouping criteria for the data to be validated by the rule. For example, you can specify cost center, account type, and G/L account as the group-by fields. They are applied sequentially in the validation result display. However, the rule only validates data on the lowest grouping level, that is, the sixth level if other levels of group-by fields are specified.

3. **Tolerance**: You can specify a tolerance **value** or tolerance **percentage**, or both, so that the calculated values of left and right formulas are considered **equal** if their absolute difference does not exceed the tolerance.

   > **Note**
   >
   > If multiple group-by fields are specified, the tolerance is applied down to the lowest grouping level.

   You can also specify a tolerance **currency** so that later, in validation results, you can convert all displayed values to this currency.

4. **Control level**: Specify whether failure in passing the rule is acceptable in the validation result. Depending on the control level, failure leads to the following validation results:

Control Level of Rule	Rule-Level Result When Data Fails the Rule	Group-Level Result When Data Fails the Rule
Error	Failed	Failed
Warning	Warning	Success with Warnings
Information	Information	Success

5. Process No Data As: Specify what the validation result is when no data exists for any operands in a rule formula. Select one of the following:
    - Success with Warning (or leave the field empty): The rule is passed with a Warning result regardless of the control level of the rule. In addition, a "No data" exception shows under the Warning result.
    - Failed: The rule is not passed and the validation result is Failed, Warning, or Information depending on the control level.
    - Zero: All the no-data operands are treated as having the value **zero**. The system then applies the rule formula to evaluate the data and return a validation result based on the control level.

    Note

    The no-data setting works when **all** sum-type operands of the rule have no data. If only some operands of the rule lack data, these operands are treated as having a zero value.

6. Comments required: Select the checkbox if comments are needed to provide further explanation for the validation result in the View Balance Validation Results app. The existence of a comment is reflected by the Commenting Status in the validation result. However, it has no effect on the validation result.

    Note

    For successful validations, comments are not mandatory even if the checkbox has been selected.

Build Rule Expression

In the Rule Expression tab, compose a rule expression to validate data. The expression includes **left formula**, **comparison operator**, and **right formula**. Each formula is typically composed of **operands** and **mathematical operators** (+, -, *, or /) and each operand represents a set of data you select by using filters.

Take the following steps to build a rule expression:

1. Create the left formula, starting by adding an operand. For a sum-type operand, do the following:
    a. Specify an operand name in the Alias field.
    b. Optionally, select one of the following functions from the f(x) list to perform a mathematical calculation for the operand value:
        - ABS: Returns an absolute value with 2 decimal places.
        - Sign: Returns 1 if the operand value is positive, zero (0) if the value is 0, and -1 if the value is negative.
        - Round (0): Rounds the operand value to the nearest single digit.
        - Round (1): Rounds the operand value to one decimal place.
        - Round (2): Rounds the operand value to two decimal places.

ℹ Note

These functions are also available to the calculated values of the left or right formula.

c. In the **Operand** row, select **Sum** and one of the following YTD or periodic amount (or quantity) measures:

Period Mode	Measure	Data to Be Validated at Run Time
Period	▪ Amount ▪ Amount in Balance Transaction Currency **ℹ Note** If you select **Amount**, the currency type of the operand data to be validated is the one you specified when running the validation, for example, company code currency, group currency, functional currency, and freely defined currencies. The available currency types are configured in **Define Currency Settings for Ledgers and Company Codes**. If you select **Amount in Balance Transaction Currency**, this particular currency type is used for the operand data in the validation regardless of the currency type you specify when running the validation. Periods are determined based on the fiscal year variants assigned to the respective entities and ledgers.	Amount of the specified period.
Previous Period		Amount of the prior period.
Period of Previous Year		Amount of the specified period of prior year.
QTD		Cumulative amount from quarter beginning to the specified period.
QTD for Previous Quarter		Cumulative amount from quarter beginning to the corresponding period of prior quarter based on the specified period. **Example** In a validation run, your input period is `2024/005`, then periods from `2024/001` to `2024/002` are included. In cross-year cases, special periods are included. For example, for a company code with fiscal year variant K4, you input period `2024/003` in a validation run, **QTD for Previous Quarter** refers to periods from `2023/010` to `2023/016` with special periods included.
QTD for Previous Year		Cumulative amount from quarter beginning to the specified period of prior year.
YTD		Cumulative amount from year beginning to the specified period.
YTD for Previous Period		Cumulative amount from year beginning to prior period.
YTD for Previous Year		Cumulative amount from year beginning to the specified period of prior year.
Opening Balance		Opening balance of the specified period.
Closing Balance for Previous Year		Cumulative amount of all fiscal periods of previous year. It usually

Period Mode	Measure	Data to Be Validated at Run Time
		represents the balance at prior year end.

d. In the `Where` row, use **Include** and **Exclude** filters to define the data scope for the sum operation. For example, an operand can aggregate the amounts posted to a range of your filtered G/L accounts.

When defining multiple `Where` conditions, be aware of the `AND` or `OR` logic between filters:

- **Using multiple filters for a same field**: Multiple filters for a same field have an `OR` logic. However, if both `Include` and `Exclude` operators are used in different filters for the same field, the `AND` logic is applied.
- **Using filters for different fields**: Filters for different fields have an `AND` logic between each other.

You can also use the following to define the filters:

- **Hierarchy node**: For the master data types that have hierarchies maintained in **Manage Global Hierarchies**, for example, G/L account, profit center, and cost center, you can use **Hierarchy Node** to restrict their values.

  For time-dependent hierarchy types, you need to additionally specify a **Valid From/To** timeframe so that the system retrieves the corresponding hierarchy nodes.

  ### ⓘ Note

  When executing validation at run time, the hierarchy node selects master data in the hierarchy that is valid for the execution period/year. The conversion of period/year into calendar date is done using the fiscal year variant (FYV) assigned to the relevant company codes.

  ### ! Restriction

  When defining a filter based on G/L accounts, don't use the FSV (financial statement version) nodes that contains the following:

  - Special nodes such as **Net Result: Loss**, **Net Result: Profit**, and **P&L Result** as described in Special Nodes
  - Nodes that are set to contra nodes of other FSV nodes. See Create and Edit FSV Nodes for more information.
  - Duplicate G/L accounts due to settings such as contra node, bank account grouping, and reclassification increment
  - Functional areas.

  This is because these nodes contain special calculation logic that is not yet supported in the validation run. You can use other FSV nodes or the **nodes from G/L account hierarchies** (the hierarchies with prefix `H109` in the IDs).

- **Custom fields**: You can also include custom fields that are created by using the **Custom Fields and Logic** app. For more information, see Extensibility.

→ Tip

Here are some **tips on system performance**:

- **Use Include over Exclude filters**: In general, prefer **Include** filters for better performance.
- **Be specific with filters**: Opt for more specific filters like **Equal to** or **Not equal to** where possible. Using broad filter pairs such as **Like**, **Not like**, **Between** and **Not between** can cause delays in system performance.

- **Choose** Value **over** Hierarchy Node: The system runs more smoothly when Value is used as the field type. The system takes longer to validate rules when the Hierarchy Node field type is used, especially if there are many leaves assigned to the specified node.

For **non-sum-type** operands, such as Amount and Number, the steps above are not applicable. These operands are constant values. Unless explicitly specified, the amount currency is inherited from the data being validated at run time.

2. If necessary, add an operator and create more operands by choosing Add Operand and repeating the procedure above.

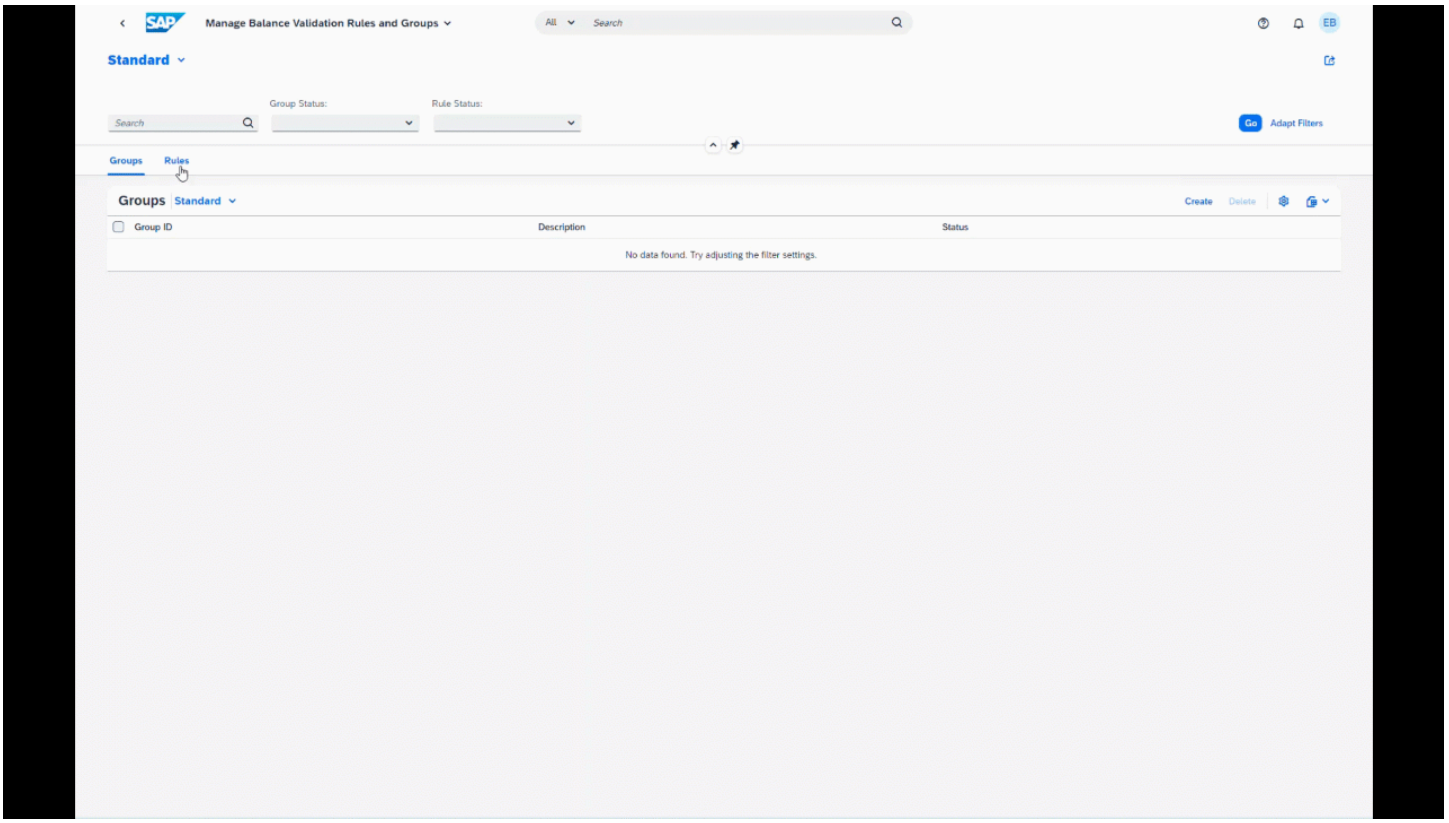
   The left formula is created.

3. Select a comparison operator, such as =, >=, or <=.

4. Repeat the procedure for the right formula.

   The rule expression is created.

The following animated GIF shows how to create a basic rule (English only):



Set Up Reference Links (Optional)

In the Reference Links tab, you can add web links that provide more contextual information of the rule. The links display on the validation result page in the View Balance Validation Results app for users to navigate to the web pages for more details, especially when validation fails for the rule.

Related Information

Run Validation
View Balance Validation Results
Create Additional Currency Types
Manage Global Hierarchies

Simulate Validation

After editing and saving a basic rule, you can simulate a validation run by choosing **Simulate** and specifying the entities, currency type, and fiscal year/period of the data to be validated.

The available selection criteria are the following:

- Entity fields such as **Company Code**, **Cost Center**, and **Profit Center**
- **Ledger**
- **Currency**: The available currency types are those assigned to the entity in the **Define Currency Settings for Ledgers and Company Codes** configuration activity.

  > **Note**
  >
  > If you select a **profit center** or **cost center** as the entity to run simulation, the available currency types are determined based on its assigned company code.

  If you have selected **Amount in Balance Transaction Currency** for any operands when defining the rule, this particular currency type is used for the operand data in the validation regardless of the currency type you select here.
- **Fiscal Year** and **Fiscal Period**

The simulation result shows whether your selected data passes or fails the current rule. For detailed explanations of a validation result, see View Balance Validation Results.

Related Information

Create Basic Rules

Create Compound Rules

Compound rules are composed of basic rules connected by logical operators (`AND`, `OR`, and `NOT`).

To create a compound rule, access the **Manage Balance Validation Rules and Groups** app, go to the **Rules** tab, and choose **Create** > **Compound Rule**. Then follow the procedure below:

Enter General Information

In the **General Information** tab, specify the following information:

1. Specify a rule ID and a meaningful description, and optionally, a long description.

   > **Note**
   >
   > You can also copy any sample rules delivered with SAP Note 3322100 to create your rules. Note that your created rules must be in the customer namespace, that is, IDs not starting with the prefix `S`.
   >
   > Descriptions are language-dependent. If necessary, please save rule definition and switch your logon languages to maintain the descriptions in different languages.

2. **Control level**: Specify whether failure in passing the rule is acceptable in the validation result. Depending on the control level, the failure leads to the following validation results:

Control level of Rule	Rule-Level Result When Data Fails the Rule	Group-Level Result When Data Fails the Rule
Error	Failed	Failed
Warning	Warning	Success with Warnings
Information	Information	Success

3. Comments required: Select the checkbox if comments are needed to provide further explanation for the validation result in the View Balance Validation Results app. Note that the existence of a comment is reflected by the Commenting Status in the validation result. However, it has no effect on the validation result.

ℹ Note

For successful validations, comments are not mandatory even if this checkbox has been selected.

Build Rule Expression

In the Rule Expression tab, compose a logical expression, which is comprised of left formula, comparison operator, and right formula:

- Left Formula: A string expression that consists of multiple basic rules connected with logical operators (`AND`, `OR`, and `NOT`).

  The logical operators work as follows:

  - `AND`: Returns `TRUE` if both basic rules connected by the operator evaluate to `TRUE`.
  - `OR`: Returns `TRUE` if any of the two basic rules connected by the operator evaluates to `TRUE`.
  - `NOT`: Reverses evaluation result of the basic rule that follows the operator, for example, if the rule evaluates to `TRUE`, then `FALSE` is returned and vice versa.

ℹ Note

In the formula evaluation, `AND` and `OR` have the same priority and are therefore evaluated from left to right. `NOT` has a higher priority. If you want to change the order of evaluation, use brackets.

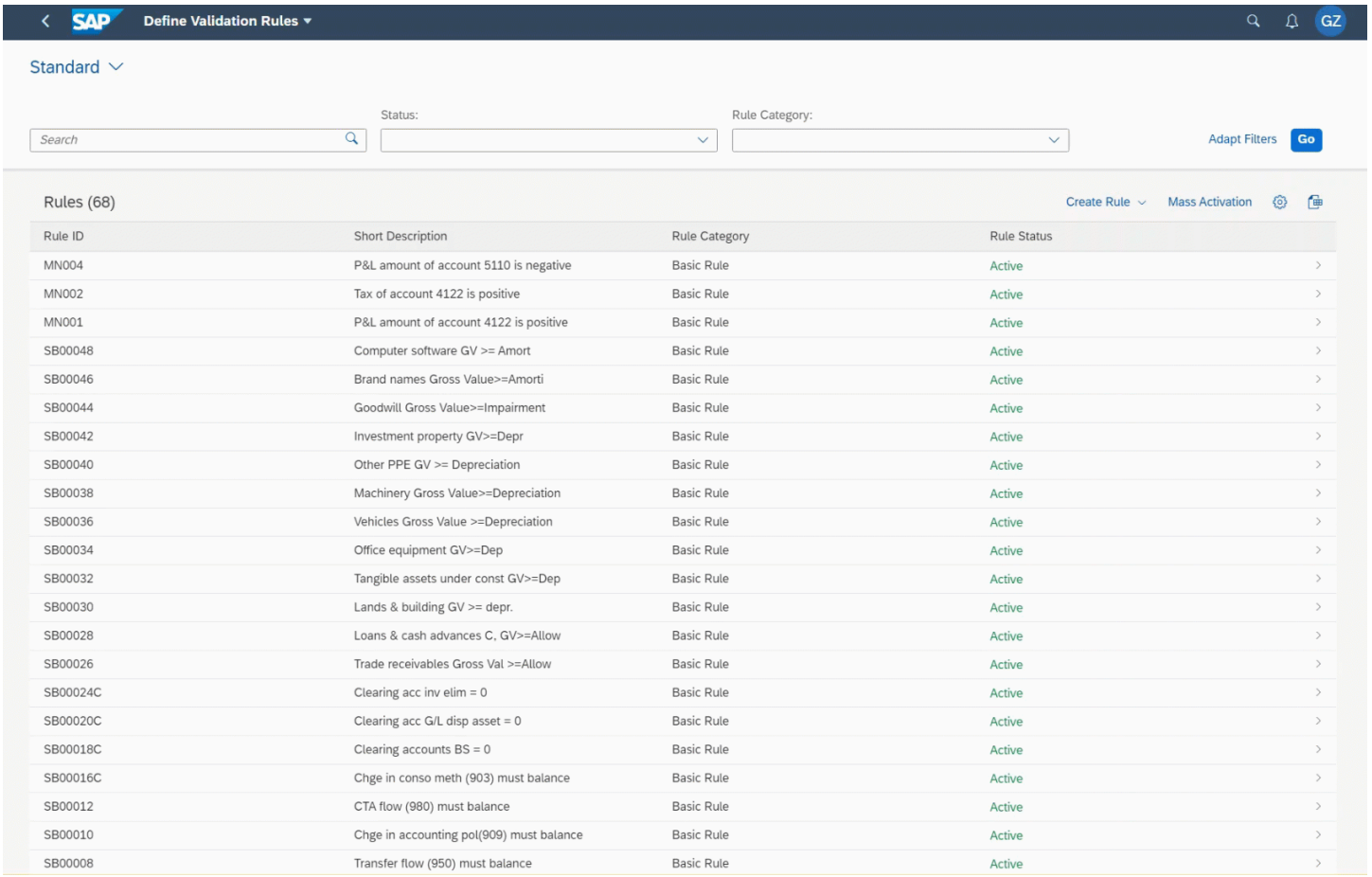
- Comparison operator: Choose either **equal to** or **not equal to**.
- Right Formula: Value `TRUE` is auto-filled. You can't change the value to "false". Instead, you reverse the comparison operator.

The expression forms a compound condition that the relevant data is to fulfill in validation runs.

Example

If you require the data to meet both basic rules `MN001` and `MN004` or meet the basic rule `MN003`, you can create a compound rule that has the rule expression `(MN001 AND MN004)OR MN003 = TRUE`.

The following animated GIF (English only) shows how to create the compound rule in the example above:



Rule ID	Short Description	Rule Category	Rule Status
MN004	P&L amount of account 5110 is negative	Basic Rule	Active
MN002	Tax of account 4122 is positive	Basic Rule	Active
MN001	P&L amount of account 4122 is positive	Basic Rule	Active
SB00048	Computer software GV >= Amort	Basic Rule	Active
SB00046	Brand names Gross Value>=Amorti	Basic Rule	Active
SB00044	Goodwill Gross Value>=Impairment	Basic Rule	Active
SB00042	Investment property GV>=Depr	Basic Rule	Active
SB00040	Other PPE GV >= Depreciation	Basic Rule	Active
SB00038	Machinery Gross Value>=Depreciation	Basic Rule	Active
SB00036	Vehicles Gross Value >=Depreciation	Basic Rule	Active
SB00034	Office equipment GV>=Dep	Basic Rule	Active
SB00032	Tangible assets under const GV>=Dep	Basic Rule	Active
SB00030	Lands & building GV >= depr.	Basic Rule	Active
SB00028	Loans & cash advances C, GV>=Allow	Basic Rule	Active
SB00026	Trade receivables Gross Val >=Allow	Basic Rule	Active
SB00024C	Clearing acc inv elim = 0	Basic Rule	Active
SB00020C	Clearing acc G/L disp asset = 0	Basic Rule	Active
SB00018C	Clearing accounts BS = 0	Basic Rule	Active
SB00016C	Chge in conso meth (903) must balance	Basic Rule	Active
SB00012	CTA flow (980) must balance	Basic Rule	Active
SB00010	Chge in accounting pol(909) must balance	Basic Rule	Active
SB00008	Transfer flow (950) must balance	Basic Rule	Active

Set Up Reference Links (Optional)

This part is the same as described in Create Basic Rules.

Related Information

Run Validation
View Balance Validation Results

Assign Validation Rules to Groups

You can bundle multiple validation rules into a rule group, which has a hierarchical structure, so that in validation runs, data can be validated against a group of rules all at once.

To assign rules to a group, access the **Manage Balance Validation Rules and Groups** app, choose an existing group or create a new group to assign the rules. The following procedure starts with group creation, followed by rule assignment:

1. On the **Groups** tab, choose **Create**.
2. Specify a group ID and a meaningful description. Choose **Create**.

> **Note**
>
> Description is language-dependent. If necessary, please save the defined group and switch your logon languages to maintain the descriptions in different languages.

3. On the detail page of the new group, choose **Edit**.
4. Edit the group by organizing subnodes and rules into the hierarchy. In doing so, you can use the following features:

- Edit group description on the **Basic Information** tab.
- Add or delete subnodes or rules by choosing **Add** (+) or **Delete** (⊗).
- **Import Nodes**: You can import nodes from other rule groups by choosing **Import Nodes** (📋).

  On the import dialog, you can select **Auto Update from Source** to have the imported nodes automatically updated when the source rule group nodes (referenced nodes) are changed. You can also disable the auto update anytime.
- **Edit in Spreadsheet**: You can export a group to a spreadsheet, edit, and import the edited spreadsheet into the system. To do so, choose **Export to Spreadsheet/Import from Spreadsheet**.

  > **ℹ Note**
  >
  > When editing in the spreadsheet, keep the **header** information and **table layout** unchanged.
- **Drag and Drop**: You can move a subnode or a rule by dragging and dropping it to your desired position.
- **Cut and Paste**: You can also move a subnode or a rule to your desired position by choosing **Cut** (✂) and **Paste** (📋).
- **Sort**: You can select any node and choose **Sort** (↓↑) to arrange its contained subnodes and rules by ID in alphabetical order. You can alternate between ascending and descending orders by choosing the button again.

> **ℹ Note**
>
> You can only add active rules to the group. For more information, see Activate/Deactivate Rules and Groups.

5. Save the group.

To use the created the rule group in validation, you need to activate the group. For more information, see Activate/Deactivate Rules and Groups.

Related Information

Manage Balance Validation Rules and Groups

Activate/Deactivate Rules and Groups

In the **Manage Balance Validation Rules and Groups** app, after a rule or a rule group is created, you can choose to save it as a **draft** (**Save**) or an **active** version (**Save and Activate**). Only active rules and rule groups can be used in data validation. You can also deactivate any active rules or rule groups by choosing **Set to Inactive** (or **Deactivate**) or activate them again by choosing **Set to Active**.

Rule Status

A rule can have one of the following statuses:

- **Draft**: The rule is saved as a draft version. It cannot be used in validation yet, and can be deleted.
- **Active**: The rule is saved as an active version. It can be assigned to a rule group for data validation. Active rules cannot be deleted.

> **ℹ Note**
>
> After activation, when you choose **Edit** for the rule for the first time, a draft is generated. After editing the draft:

- If you choose **Save**, the changes are only saved to the draft. In the rule list, the rule displays as the **Active** status with a **Draft created by: <user name>** link underneath. You can choose to edit the draft again by choosing the draft link.
- If you choose **Save and Activate**, the draft rule changes to the **Active** status and **overwrites** the original active version.

- **Inactive**: The rule was active and is now deactivated. It cannot be used in validation even if it has been assigned to a rule group.

Rule Group Status

A rule group can have one of the following statuses:

- **Draft**: The rule group is saved as a draft version. It cannot be used in validation yet, and can be deleted.
- **Active**: The rule group is saved as an active version. It can be selected and used when launching validation, for example, in the **View Balance Validation Results** app.

  Note

  An active group can't be deleted unless you revert its status from **Active** to **Draft** by choosing **Deactivate**.

- **In Revision**: When you edit an active rule group, its status is changed to **In Revision**. However, at this stage, the active version of the group still exists and can be used for re-validation (if a validation run was launched earlier with the rule group when it has the **Active** status). Only when you activate the revised version can the prior active version be replaced.

  Note

  Rule groups with status **In Revision** can't be deleted.

Related Information

Manage Balance Validation Rules and Groups

Import/Export Rules and Groups

In the **Manage Balance Validation Rules and Groups** app, you can export your defined rules and rule groups to a spreadsheet or import them from a spreadsheet. This is useful when you want to copy the rules and groups between different systems.

To **export and import** rules and rule groups between systems, follow the procedure below:

1. Open the **Manage Balance Validation Rules and Groups** app in the **source system** where the rules and groups exist.
2. On the **Groups** tab, select your desired rule groups and choose **Export and Import** (⊞) and **Export**.

   Note

   If you only want to export rules, select your desired rules on the **Rules** tab and choose **Export**.

3. In the **Export to Spreadsheet** window that appears, select **Include Details** to include all the rules that the group contains.

   If you are exporting rules on the **Rules** tab, select **Include Details** to include the complete rule definitions, such as tolerance settings and rule expressions. For compound rules, the dependent basic rules are also included.

> **Note**
>
> If you deselect **Include Details**, only the IDs and descriptions are exported. This is only useful when you want to change group or rule descriptions in the same system without importing to another system later.

4. Choose **Export**.

   A Microsoft Excel file is downloaded, containing all the group and rule details.

   > **Caution**
   >
   > To avoid any import errors later, keep the downloaded file unchanged or only change the group or rule descriptions if necessary.

5. In your import **target system**, open the **Manage Balance Validation Rules and Groups** app.
6. Choose **Export and Import** () and **Import**.
7. Select the Excel file downloaded earlier and choose **Open** to upload the file.
8. In the **Import/Export Validation Settings** page that appears, you can find the uploaded groups and rules on one of the following tabs:
   - **New for Import**: The uploaded groups or rules don't yet exist in your current system. They are ready for import.
   - **Duplicated**: The uploaded groups or rules have IDs identical to the existing ones in your current system. You need to compare the duplicates and decide if you want to skip the uploaded ones or to import them so that the existing items are overwritten.

   Select the groups and rules you want to import and choose **Import**.

The import is completed. The imported groups and rules are now available in **Manage Balance Validation Rules and Groups** in the target system.

> **Note**
>
> For the groups or rules with the **Import Failed** result, you can check the reasons in the **Check Message** column and import them again after resolving the errors.

Related Information

Manage Balance Validation Rules and Groups

Run Validation

You can launch validation runs individually or via background jobs.

In a validation run, the system selects the data based on the filter criteria (entities, ledger, currency type, and fiscal year and period) you specify and validates the data against the rules that are contained in your specified rule groups.

Related Information

Individual Run
Schedule Balance Validation Jobs

Individual Run

You can launch ad-hoc validation runs in the **View Balance Validation Results** app.

Procedure

To start a new validation, take the following steps:

1. Choose **New Validation**.
2. In the **Run Parameters** window that appears, select one or more rule groups.
3. In the **Entity** field, select the entities for which you want to validate the data, for example, a range of **company codes**, **profit centers**, or **cost centers**.
4. Select a **ledger**.
5. Select a **currency type**, for example, company code currency, group currency, functional currency, or freely defined currencies. The available currency types are those assigned to the company codes in the **Define Currency Settings for Ledgers and Company Codes** configuration activity.

   > **Note**
   >
   > If you select **profit centers** or **cost centers** as the entities to run validation, the currency types are determined based on their assigned company codes.

   If you have selected **Amount in Balance Transaction Currency** for any operands when defining a rule, this particular currency type is used for the operand data in the validation regardless of the currency type you select here.
6. Specify a **fiscal year** and **period**.
7. Choose **Run**.

   A validation run is launched.

Results

Depending on the numbers of rule groups and entities you specified in **Run Parameters**, one or more validation result rows are instantly added to the result table with an initial status **In Progress**. One row represents one entity validated with one rule group. When validation completes, specific validation results will display on the table.

Each result row shows whether the selected data of the entity passes or fails the group of rules. For detailed explanations of a validation result, see View Balance Validation Results.

Related Information

Create Additional Currency Types
Schedule Balance Validation Jobs

Schedule Balance Validation Jobs

App ID: F7470

With the **Schedule Balance Validation Jobs - G/L Accounting** app, you can launch immediate or recurring validation jobs for your selected entities.

Prerequisite

To access the app, you must have a business role that contains the General Ledger - Validation Results (SAP_FIN_BC_GL_VAL_RESULT_PC) business catalog. SAP delivers the General Ledger Accountant (SAP_BR_GL_ACCOUNTANT) business role template for your reference.

Key Features

You can use this app to do the following:

- Create a single validation job or recurring jobs using the job template.
- Check the job status and results.

Create a Validation Job

Follow the steps below to create a validation job:

1. Choose Create to open the job creation page.
2. In the Template Selection step, select the job template Balance Validation for G/L Accounting.
3. In the Scheduling Options step, select one of the following options:
    - Launch an immediate job by selecting Start Immediately.
    - Schedule a future job by specifying the job start date and time in the Start and Time Zone fields.
    - Schedule recurring jobs by choosing Define Recurrence Pattern and then specifying a recurrence pattern.
4. In the Parameters step, do the following:
    - In the Entity Selection part, select the entities for which you want to validate the data, for example, a range of **company codes**, **profit centers**, or **cost centers**.
    - In the Run Parameters part, specify the following:
        - One or more **rule groups**
        - **Ledger**
        - **Currency type**, for example, company code currency, group currency, functional currency, or freely defined currencies. The available currency types are those assigned to the company codes in the Define Currency Settings for Ledgers and Company Codes configuration activity.

          ### ℹ Note

          If you select **profit centers** or **cost centers** as the entities to run validation, the currency types are determined based on their assigned company codes.

          If you have selected Amount in Balance Transaction Currency for any operands when defining a rule, this particular currency type is used for the operand data in the validation regardless of the currency type you select here.
        - **Fiscal year** and **period**.

          ### ℹ Note

Use the year and period based on the fiscal year variant (FYV) that is specific to the ledger (and company codes) you specified earlier. For more information, see Configuring an Alternative Fiscal Year Variant.

5. Choose **Schedule**.

   The validation job is created.

Check Job Status and Log

For a scheduled job, you can monitor its status (**Finished**, **In Process**, or **Failed**) by checking the **Status** column in the job list.

When the job is finished, you can view the job log by choosing **Information** (ⓘ icon) or **Error** (⊗ icon) in the **Log** column.

ⓘ Note

If the job has errors, the possible reasons are misconfigured validation rules or rule groups to be fixed in the Manage Balance Validation Rules and Groups app. You can check the error log for more details.

Check Validation Results

When the validation job completes, you can check the validation results in the **View Balance Validation Results** app.

Depending on the number of rule groups and entities you specified when launching the job, one or more validation result rows are added to the result table. Each row represents one entity validated with one rule group and shows whether the selected data of the entity passes or fails the group of rules. For detailed explanations of a validation result, see View Balance Validation Results.

Integration with Advanced Financial Closing

The balance validation job is available as a closing task in SAP Advanced Financial Closing (AFC). To include the task into an AFC task template, create it from task model `010035000` (**Balance Validation in Company Code Currency**) or `010035001` (**Balance Validation in Group Currency**), then specify the rule group (parameter `P_GRP_ID`).

ⓘ Note

The use of SAP Advanced Financial Closing requires an additional license (SKU 8008351).

For more information, see SAP S/4HANA Cloud for advanced financial closing.

Supported Device Types

- Desktop
- Tablet

Related Information

Individual Run

View Balance Validation Results

App ID: F6387

With this app, you can check for the validation runs that were launched individually or via jobs, whether the data passed or failed the defined validation rules and the failure root causes. You can also run new validations with the entities and rule groups you specify.

Prerequisite

To access the app, you must have a business role that contains the **General Ledger - Validation Results** (`SAP_FIN_BC_GL_VAL_RESULT_PC`) business catalog. SAP delivers the **General Ledger Accountant** (`SAP_BR_GL_ACCOUNTANT`) business role template for your reference.

Key Features

You can use this app to do the following:

- Run new validations with your specified entities and rule groups
- View the results of ad-hoc validation runs and scheduled validation jobs
- Analyze the validation failure reasons by drilling down to line items of the balances
- Navigate to the validation rule and rule group details
- Select any validation results and re-run validation

Run New Validation

You can start a new validation run by choosing **New Validation** and then do the following:

1. In the **Run Parameters** window that appears, select one or more rule groups.
2. In the **Entity** field, select the entities for which you want to validate the data, for example, a range of **company codes**, **profit centers**, or **cost centers**.
3. Select a **ledger**.
4. Select a **currency type**, for example, company code currency, group currency, functional currency, or freely defined currencies. The available currency types are those assigned to the company codes in the **Define Currency Settings for Ledgers and Company Codes** configuration activity.

   > **Note**
   >
   > If you select **profit centers** or **cost centers** as the entities to run validation, the currency types are determined based on their assigned company codes.

   If you have selected **Amount in Balance Transaction Currency** for any operands when defining a rule, this particular currency type is used for the operand data in the validation regardless of the currency type you select here.
5. Specify a **fiscal year** and **period**.

   > **Note**
   >
   > Use the year and period based on the fiscal year variant (FYV) that is specific to the ledger (and company codes) you specified earlier. For more information, see Configuring an Alternative Fiscal Year Variant.

6. Choose **Run**.

A validation run is launched. Depending on the numbers of rule groups and entities you specified in **Run Parameters**, one or more validation result rows are instantly added to the result table with an initial status **In Progress**. Each row represents one entity validated with one rule group.

View Overall Results

When the validation completes, an overall result displays for each row:

- **Success**: The data passed all validation rules in the group, or only failed those with control level **Information**.
- **Success with Warnings**: The data passed all rules with control level **Error** but failed at least one rule with the **Warning** control level.
- **Failed**: The data failed at least one rule that has control level **Error**.
- **Technical Error**: The validation ran into a technical issue and couldn't be completed. You can check the error message by choosing **View Log**.

The overall result also comes with the **failed/total ratio**, **result percentage**, and a **stacked bar chart**, which provide insights into numbers of rule-specific results. Note the following:

- For basic rules, results of the lowest group-by fields are counted.
- For compound rules, only the final rule-level results are counted.

For details about how the numbers are determined, see result table explanations in the next section Check Result Details.

Check Result Details

To check detailed validation results for each row, click on the row or choose the right arrow (>).

On the header area, **commenting status** is available next to the overall result. It's based on the **Comments required** setting of the rules in the rule group:

- **Commented**: The validation result has comments for all rules that require comments.
- **Partially Commented**: The validation result has comments for part of the rules that require comments.
- **Missing**: The validation result has no comments for any of the rules that require comments.
- **Not Required**: The validation result has no rules that require comments.

ℹ Note

- The commenting status has no effect on the validation results.
- For successful validations, comments are not mandatory even if the checkbox for **Comments required** has been selected when creating rules.

The detail result table breaks down the overall result of a rule group into rule-level results, **Failed**, **Warning**, **Information**, and **Success**. A **result filter** with counts of each result is available at the top of the table for you to filter results.

ℹ Note

For **basic rules**, results of the lowest group-by fields are counted.

For a **compound rule**, only the final compound rule-level result is considered when using the result filter. Its contained basic rules, regardless of their results, are always displayed under the compound rule without being counted.

The results at rule group, group hierarchy node, and rule level are determined as follows:

<table>
<tr><th colspan="2">Level</th><th>Result</th></tr>
<tr><td colspan="2">Rule Group</td><td>The worst result of all its contained hierarchy nodes.</td></tr>
<tr><td colspan="2">Group Hierarchy Node</td><td>The worst result of all its contained rules.</td></tr>
<tr><td rowspan="2">Rule</td><td>Basic Rule</td><td>Success: The data meets the conditions defined in the rule expression.
Failed: The data doesn't meet the rule expression and the rule has control level Error.
Warning: The data doesn't meet the rule expression and the rule has control level Warning.
Information: The data doesn't meet the rule expression and the rule has control level Information.
ℹ Note
If the rule has multiple group-by fields defined, the validation logic only acts on the data aggregated on the lowest group-by level (e.g. 3rd group-by field), therefore, the result refers to that level of data. Based on that, the results of other higher group-by levels (e.g. 2nd and 1st group-by fields) and the rule itself are determined.</td></tr>
<tr><td>Compound Rule</td><td>Result is determined in two steps:
Based on results of basic rules and their relationship defined in the rule expression, an interim result Failed or Success is determined.
ℹ Note
At this stage, basic rules have either a Failed or Success result, depending on whether the data meets the rule expression and tolerance. Control levels of these basic rules are not taken into account.
Based on control level of the compound rule, the final validation result, Success, Failed, Warning, or Information is determined.</td></tr>
</table>

ℹ Note

If **balance transaction currency amount** is used when defining sum-type operands of a validation rule, data is first grouped by the currency and then by the grouping fields defined in the rule.

In the result table, the following columns provide more information for you to understand the rule-level results:

- Left Value: The value calculated using the left formula in the respective validation rule.
- Operator: The comparison operator defined in the validation rule to compare left value or right value. It can be equal to, greater than, less than, and so on.
- Right Value: The value calculated using the right formula in the respective validation rule.

- Difference: The absolute difference between the left value and right value.
- Difference (%): The absolute value of Difference/Left Value, calculated with the formula **|(**Left Value - Right Value**)/**Left Value**|**.
- Tolerance: The amount within which the difference between the left-side and right-side values is ignored and the values of both sides are considered equal. It is defined in basic rules.
- Tolerance (%): The tolerance percentage defined in basic rules. In validation execution, the system compares the calculated **difference (%)** with the specified **tolerance (%)**.

  > **Note**
  >
  > The values greater than 1 million are displayed in short number format with the units shown as an abbreviation, such as M (million) and B (billion). To view the exact values, hover your pointer over the short-form numbers.
  >
  > If in the rule definition, **tolerance value** and **tolerance (%)** have an OR relationship, and in a validation, the calculated **difference value** doesn't exceed the **tolerance value**, the system skips comparing **difference (%)** and **tolerance (%)** to avoid Divided by 0 error as the calculation of **difference (%)** involves division.

- Comments: Shows the number of existing comments. If no comments were added, the column shows the Add (+) icon or Missing. The latter indicates Comments required is selected in the rule. You can add comments, for example, to further explain the results.

  > **Note**
  >
  > - You can also add comments on rule group level on the Comments tab. It has no effect on the **commenting status**.
  > - The column will not show Missing for successful validations, even if the Comments required option is selected for the rule.

- Reference Links: The web links added in the rule definition for providing more contextual information of the rule.

By choosing Switch to Tolerance Currency, you can convert the displayed left values and right values to the currency of tolerance. This is useful if you have explicitly specified a tolerance currency when defining the validation rules.

> **Note**
>
> When converting values to tolerance currency, the system uses the exchange rate type M (Standard translation at average rate).

For each result row, at **rule level** or **group-by field level**, you can choose Details (› icon) to go to the detail page:

- For a basic rule or any of its group-by fields, the detail page displays the amounts of all **operands** in the rule formula.
- For a compound rule, the detail page additionally displays the evaluation result (TRUE or FALSE) of each of its **basic rules**.

You can also export the overall result table or any detail table to a spreadsheet.

Handle Exceptions

In a validation run, the following **exceptions** may occur and affect the validation result at rule level:

Exception	Rule-Level Result	Reason	Solution

Exception	Rule-Level Result	Reason	Solution
Rule deactivated	Failed	Rule was active when being assigned to the rule group, but got deactivated later.	Activate the rule or remove the rule from the group structure. Then revalidate.
Currency translation (C/T) failed	Failed, Warning, or Information depending on control level	A currency was specified for the **tolerance** or any **amount-type operands** when defining the rule, which requires currency translation during the validation execution. However, C/T couldn't be executed, for example, due to missing exchange rates.	Check the relevant exchange rate maintenance in Currency Exchange Rates. Note that the exchange rate type `M` is used.
Divided by 0	Failed, Warning, or Information depending on control level	In the rule definition, tolerance percentage was specified or the rule formulas involve divisions. When calculating the values of **difference percentage** or the **rule formula** in the validation, the divisor is evaluated to be zero.	Adjust the rule setting. **Note** Difference percentage is calculated with the formula **(Left Value - Right Value)/Left Value**. Therefore, left formula evaluated to be zero results in the **Divided by 0** error.
No data	Failed, Warning, or Information	No data for all sum-type operands of the rule and you've selected one of the following no-data processing option in the rule definition: • Process no data as Failed: The rule is not passed. The actual rule-level result can be Failed, Warning, or Information, depending on the **control level** of the rule. • Process no data as Success with Warning: The rule-level result is Warning (or Success when the basic rule is part of a compound rule) regardless of the control level of the rule.	Resolve the no-data issue or adjust the rule setting. **Note** If the no-data processing option is set to Zero, the exception doesn't occur and the control level is taken into account in the validation.
Technical error	Failed	A system error occurs.	Revalidate. If the error persists, please contact SAP support by reporting an incident on component `FI-FIO-VE`.

Drill Down to Source Data

From the detail page, where amounts of all rule operands are displayed, you can click on any **operand amount** to drill down to its following details:

- Account Details: The amounts aggregated by G/L account. The filter fields that were used to define the operand are also displayed as columns.
- Journal Entry Line Items: The line items of G/L journal entries that account for the amount.

Note

This option is only available if you have the access to the Display Line Items in General Ledger app.

Note that the amount of a YTD-type operand is composed of opening balance of year beginning and the movement data that represents the transactions occur during the specified year/period. The drilldown is only available for the **movement data** part because balances carried forward are not displayed in the Display Line Items in General Ledger app.

Revalidate

For a validation result, you can choose Revalidate to re-run validation on rule group level. The data is then validated based on all the rules contained in the rule group again. The new validation run overwrites the previous validation results and the Last Run timestamp.

Note that any comments added on rule group or rule level are kept in revalidations.

Supported Device Types

- Desktop
- Tablet

Related Information

Run Validation
Manage Balance Validation Rules and Groups
Create Basic Rules

Authorization

In **Balance Validation**, the following restriction types and fields are essential for setting up user access to the relevant data:

Business Catalog	App	Restriction Type	Restriction Field	Permission
SAP_FIN_BC_GL_VAL_RESULT_PC (General Ledger - Validation Results)	• View Balance Validation Results - G/L Accounting • Schedule Balance Validation Jobs	BUKRS (Company Code)	BUKRS (Company Code)	Run validation and view validation results for specific company codes.
		KOSTL (Cost Center)	KOSTL (Cost Center)	Run validation and view validation results for specific cost centers.
		PRCTR (Profit Center)	PRCTR (Profit Center)	Run validation and view validation results for specific profit centers.
		HRYTYPE_HRYID_GL (Hierarchy Type/ID for General Ledger Accounting)	• HRYTYPE_GL (Hierarchy Type) • HRYID_GL (Hierarchy ID)	Run validation and view results based specific rule groups. Note that rule groups have a hierarchy type GL05 (Validation Rule Group).

Business Catalog	App	Restriction Type	Restriction Field	Permission
SAP_FIN_BC_GL_VAL_CONF_PC (General Ledger - Validation Configuration)	Manage Balance Validation Rules and Groups	HRYTYPE_HRYID_GL (Hierarchy Type/ID for General Ledger Accounting)	• HRYTYPE_GL (Hierarchy Type) • HRYID_GL (Hierarchy ID)	View and edit specific rule groups. Note that rule groups have a hierarchy type GL05 (Validation Rule Group).

Related Information

Extensibility

When defining validation rules, in addition to the SAP standard fields delivered based on validation scenario, you can also use your own **custom fields**. These fields can also be displayed in validation result detail pages.

To create custom fields that can be used in validation rule definitions, follow the procedure below:

1. Open the Custom Fields app.

   > **Note**
   >
   > You can access the app if your user is assigned with the business catalog SAP_CORE_BC_EXT_FLD (Extensibility - Custom Fields).

2. Based on your needs, create the custom field in one of the following business contexts:

   - FINS_MARKET_SEGMENT (Accounting: Market Segment)
   - FINS_CODING_BLOCK (Accounting: Coding Block)
   - FINS_JOURNAL_ENTRY_ITEM (Accounting: Journal Entry Item)

3. Edit the custom field and enable its usage in the following three CDS views:

   - FAC_GLACCOUNTLINEITEM (Accounting Balance Validation)
   - FINAC_SELECTION (Accounting Balance Validation Selection)
   - I_GLACCOUNTLINEITEM (General Ledger Account Line Item)

   This is to ensure that the custom field is available for defining validation rules and displaying in the validation result drilldown page.

   Additionally, if you want to include the custom field in the Display Line Items in General Ledger app, to which you can navigate from the result drilldown page, enable the field usage in the FAC_GLV_GL_ACCOUNT_LINE_ITEMS_SRV OData service.

4. Publish the custom field.

   For information about the transport, see Creating Custom Fields.

After the transport, your custom field is available in your productive system for you to define validation rules in Manage Balance Validation Rules and Groups. For example, you can use the field as a filter for restricting data scope or as a group-by field for grouping the data in validation result.

Related Information

Key User Extensibility
Custom Fields
Create Basic Rules

Monitor GR/IR Account Reconciliation

App ID: F3303

With this app, you can view the status of open items on your goods receipts (GR) and invoice receipts (IR) accounts that need reconciliation. It provides key performance indicators (KPIs) for purchasing document items and open financial accounting (FI) items, helping you quickly identify discrepancies in amounts or quantities between GR and IR. You can also navigate directly to the Reconcile GR/IR Accounts app, where you can find details for further analysis and issue resolution.

Key Features

This app provides an overview of the reconciliation status using primary KPIs for purchasing document items and financial accounting (FI) items. Each KPI is displayed on dedicated cards.

- **Purchasing Document Items**
  - **Goods Receipts or Invoice Receipts Amounts**

    Group KPIs by dimensions, such as company code, supplier, purchasing organization, purchasing group, material group, and plant.

    - **IR Amount Surplus**

      View the number of purchasing document items with an IR surplus, grouped by dimensions.

    - **GR Amount Surplus**

      View the number of purchasing document items with a GR surplus, grouped by dimensions.

    - **GR Amount Equals IR Amount**

      View the total number of purchasing document items where GR and IR amounts match, grouped by dimensions.

  - **GR/IR Reconciliation Processing**

    - **GR/IR Reconciliation Processing**

      Monitor the number of purchasing document items that require reconciliation, grouped by processor, processing department, processing step (status), priority, and root cause.

    - **GR/IR Reconciliation Processing - Machine Learning Proposals**

      If machine learning is enabled, the app displays system-generated proposals for processor assignment, processing step (status), priority, and root cause, grouped by dimensions.

    - **GR/IR Reconciliation Processing - Latest Processing Change**

      This card shows when purchasing document items were last processed using the **Reconcile GR/IR Accounts** app.

      You can group the KPI by the following time-based dimensions:

- Within the last 14 days
- Within the last 15-30 days
- Within the last 31-90 days
- Within the last 91-180 days
- More than 180 days in the past (showing the 100 **oldest** change dates)
- More than 180 days in the past (showing the 100 **latest** change dates)

The chart displays a maximum of 100 data points.

For purchasing document items that were last processed more than 180 days ago, you can choose to display either the 100 oldest or 100 most recent change dates.

The chart shows the number of purchasing document items that were processed using the Reconcile GR/IR Accounts app, grouped by the selected time dimension.

- **Open FI Items**
  - **Absolute Amount, Debit Amount or Credit Amount**

    Group KPIs by dimensions such as company code, supplier, purchasing organization, purchasing group, material group, controlling area, profit center, and plant.

    - Absolute Amount of Open FI Items

      View the total balance amount (in absolute value) of open FI items in global currency, grouped by the selected dimension.

    - Open FI Items Overview (Debit & Credit Amount)

      Displays the debit amount and credit amount of open FI items in global currency, summed as total amounts and grouped by the selected dimension.

    - Open FI Items by Company Code

      Shows the absolute balance amount, credit amount, or debit amount of open FI items in global currency, sorted in descending order by company code according to the amount.

    - Open FI Items by Supplier

      Displays the absolute balance amount, credit amount, or debit amount of open FI items in global currency, sorted in descending order by supplier according to the amount.

  - Count of Open FI Items

    - Open FI Items Overview

      Display the total number of open FI items, grouped by dimensions such as company code, supplier, purchasing organizations, purchasing group, material group, controlling area, profit center, and plant.

    - Open FI Items by Posting Date

      View the total number of open FI items by posting date.

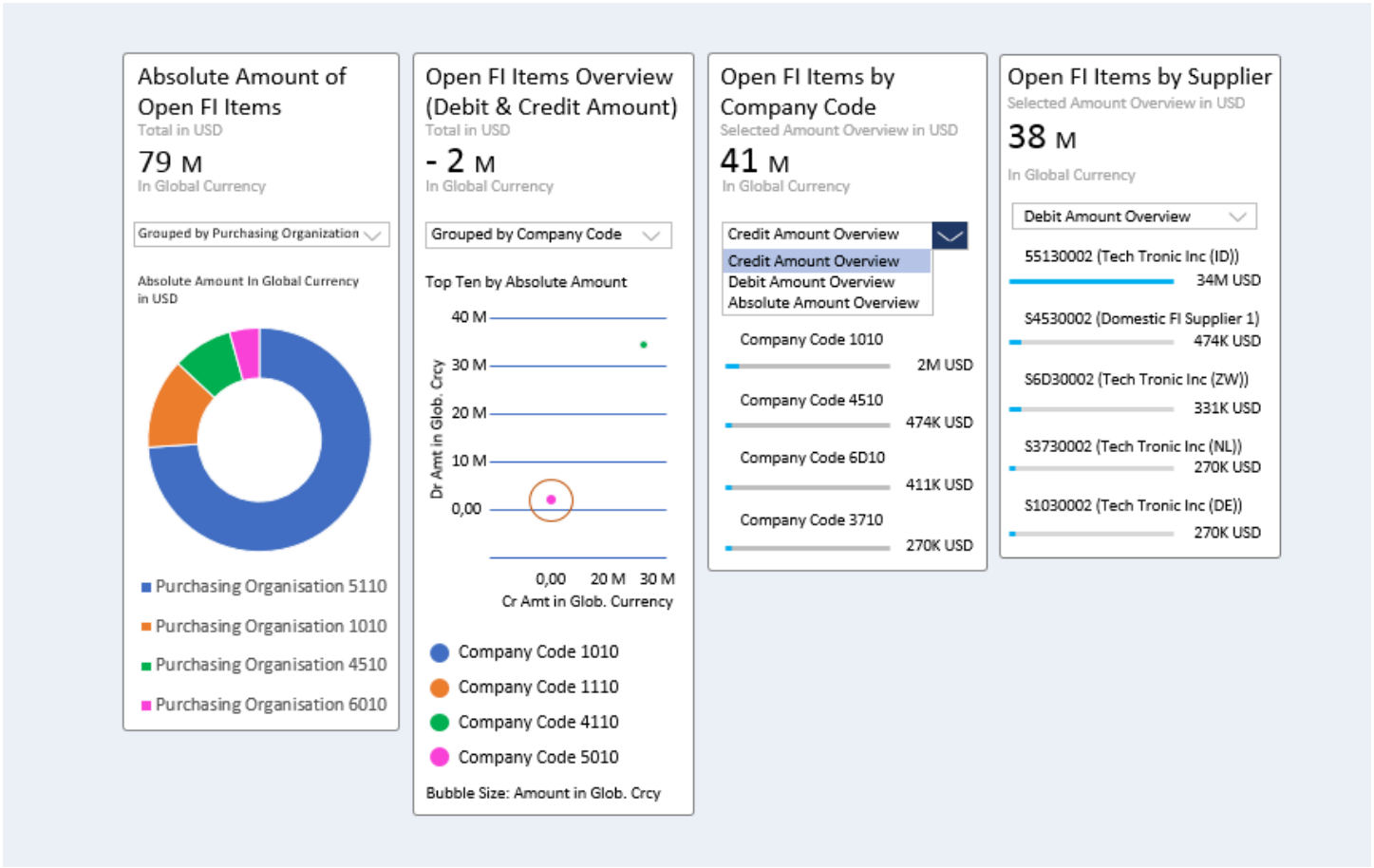
      The chart displays up to 100 data points. You can toggle between the oldest or latest posting dates.

ℹ Note

This app provides in-app help for each KPI. To access it while using the app, press F1 or choose the question mark icon in the app header.

For detailed information and calculation examples for each KPI, refer to the in-app help.

The following graphic offers an impression of the app interface. It shows four of the available KPI cards:



Use this app to:

- Gain a clear overview of reconciliation issues caused by unmatched amounts or quantities between GR and IR. Quickly identify:
    - The number of purchasing document items currently being processed with discrepancies in amounts or quantities
    - The current workload for processors
    - Company codes with the highest IR surplus or most open items in FI
    - Plants with the largest GR surplus
    - Suppliers linked to the most open FI items
    - Posting dates with the highest volume of open FI items
    - Purchasing document items for which machine learning proposes a high priority
    - Purchasing document items with no processing changes in over 180 days
- Navigate directly from this app to the **Reconcile GR/IR Accounts** app.

  You can access the **Reconcile GR/IR Accounts** app from the following cards:
    - **GR/IR Reconciliation Processing**
    - **GR/IR Reconciliation Processing - Machine Learning Proposals**
    - **GR/IR Reconciliation Processing - Latest Processing Change**

    - **GR Amount Surplus**
    - **IR Amount Surplus**
    - **GR Amount Equals IR Amount**

- Explore totals by selecting the card header or to drill down into a specific dimension by selecting the relevant segment in the pie chart.

  From the current card - for example, purchasing document items by purchasing group with an amount surplus in invoice receipts - you can select a segment in the pie chart to directly navigate to the Reconcile GR/IR Accounts app. There you can view and process the list of purchasing document items for the selected purchasing group.

- Navigate directly from this app to the **Display Line Items in General Ledger** app.

  From the **Open FI Items by Posting Date** card you can navigate to the **Display Line Items in General Ledger** app to analyze open FI items in more detail.

    - To view totals, select the card header.
    - To drill down into a specific time period, select the relevant bar in the time axis.

  Navigation is available only when no filters are applied in the filter bar, or when only the company code is used as a filter.

  For example, if you've selected a company code and are viewing a posting date with a high number of open items, select the corresponding bar in the time axis. This opens the Display Line Items in General Ledger app where the list of open FI items for that scenario is displayed for further analysis.

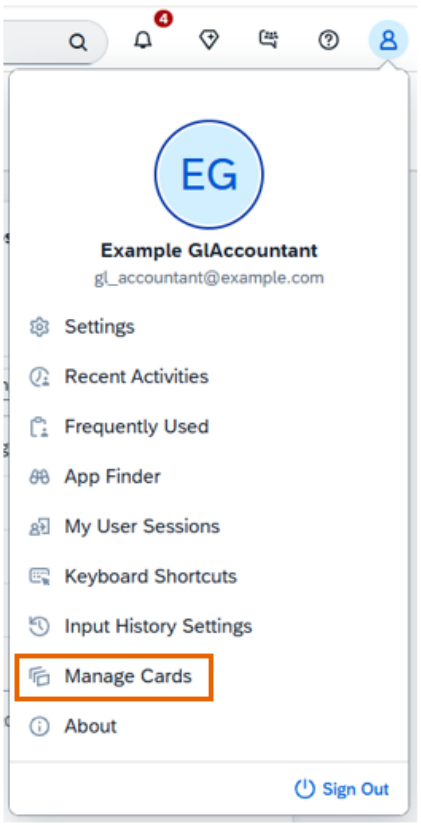
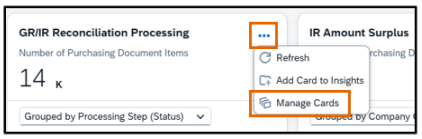
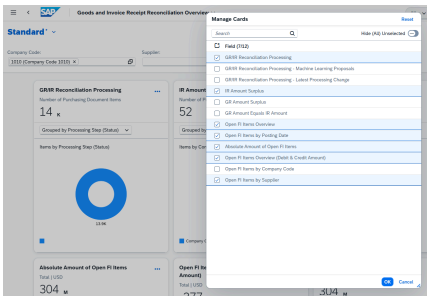
  Navigate to all open FI items for a specific company code, select the card header of the **Open FI Items by Posting Date** card.

- **Adapt the app as a business user**

  The delivered **Standard** overview contains a manageable number of cards. You can add or remove cards from the overview as needed. There are two ways to do this:

    - Open the user menu in the upper right corner and choose **Manage Cards**.
    - Select the ••• *(More)* option in the upper right corner on one of the cards. Then choose **Manage Cards**.

  On the **Manage Cards** dialog, select or deselect cards, and choose OK. The following screenshots show you where to find the features in the system:

"Manage Cards" in User Menu	"Manage Cards" on Visible Cards	"Manage Cards" Dialog
		

- **Adapt the app as a key user**

  As a key user , you can change the delivered **Standard** view for all users using UI adaptation at runtime. To do this, you must be assigned a role that includes at least the minimum authorizations of the **Administrator** business role template (`SAP_BR_ADMINISTRATOR`). Adapting SAP Fiori UIs at Runtime - Key User Adaptation generates app variants as custom cards that your users can access and use.

  You can personalize the app by creating a variant that fits your specific needs. For example, you can show or hide KPIs or cards as required. Cards not included in your variant remain available to users and can be activated at any time using **Manage Cards** from the User Menu. This flexibility lets you tailor the app to better support your business processes and improve efficiency.

  For example, you can do the following:

  - Choose which dimensions are available for grouping.
  - Set a default grouping dimension, shown in the drop-down menu by default.
  - Show or hide the header KPI (such as total amount or count).
  - Adapt card settings and card texts as needed.

This app also supports the following technical features and options:

- Microsoft Teams integration
- Sending emails

Supported Device Types

- Desktop

- Tablet
- Smartphone

Information for Key Users

The SAP Fiori apps reference library has details about the content necessary for giving users access to an app on the **SAP Fiori launchpad**. To see this app's Fiori content, go to the SAP Fiori apps reference library and search for the app. Then select the product. On the **Implementation Information** tab, select the correct release. The details are in the **Configuration** section.

Related Information

Reconcile GR/IR Accounts
Adapting SAP Fiori UIs at Runtime - Key User Adaptation

GR/IR Process Insights

App ID: F5796

Use this app to gain valuable insights into the GR/IR (goods receipt/invoice receipt) account reconciliation process, which you perform using the **Process Items** function in the **Reconcile GR/IR Accounts** app. It helps you identify inefficiencies such as bottlenecks, redundant tasks, or causes of delays.

This app provides a graphical overview of reconciliation activities, with drill-down to purchasing document item level, including full access to the purchasing document history. This helps process owners assess process efficiency and define targeted improvement actions.

Key Features

To use this app, users need at least the authorizations of the **G/L Accountant** role (`SAP_BR_GL_ACCOUNTANT`).

ℹ Note

If you restrict access using the **Status** filter, this restriction is not applied by the app.

This app provides the following key features:

- Analyze completed GR/IR account reconciliation processes in detail
- Filter by organizational units, such as company code, supplier, plant, material group, or purchasing organization
- Graphical visualization of process flows, with the option to switch to a table view
- Graphical visualization using dimensions, such as processing step (status), processing department, processor, priority, and root cause

  ### ℹ Note

  Example: After you assign a processor using the **Process Items** function in the Reconcile GR/IR Accounts app, you can analyze this assingment process flow in the **GR/IR Process Insights** app.

- Track all actions at the purchasing document item level, including purchasing document history and processing log
- Monitor key performance indicators, such as:

- Number of changes
- Average processing time (in days)

Supported Device Types

- Desktop
- Tablet

Information for Key Users

The SAP Fiori apps reference library has details about the content necessary for giving users access to an app on the **SAP Fiori launchpad**. To see this app's Fiori content, go to the SAP Fiori apps reference library and search for the app. Then select the product. On the **Implementation Information** tab, select the correct release. The details are in the **Configuration** section.

Related Information

Reconcile GR/IR Accounts
Monitor GR/IR Account Reconciliation

Execute Closing

Schedule a Recurring Job with a Dynamic Valuation Key Date

If you want the system to dynamically calculate the valuation key date in recurring jobs you have to specify this using the recurrence pattern and the dynamic valuation key date.

Proceed as follows:

1. In the **Scheduling Options** section, choose **Define Recurrence Pattern**.
2. In the **Recurrence Pattern** field, choose how often you want the job to run.
3. Decide what happens if the day on which you run the job is a non-working day.
4. Decide which calendar you use.
5. In the **Parameter Section**, choose **Dynamic Key Date**.
6. In the **Dynamic Valuation Key Date** field, enter which day is used as Valuation Key Date.

Example

ℹ Note

You want to run your job on a bi-weekly basis, always on a Monday, and the valuation key date is always the first day of the month. If the Monday happens to be a non-working day, the job is to run on the next working day.

In order to run the job as described you have to make the following settings:

- In the **Scheduling Options** section, choose **Recurrence Pattern**.

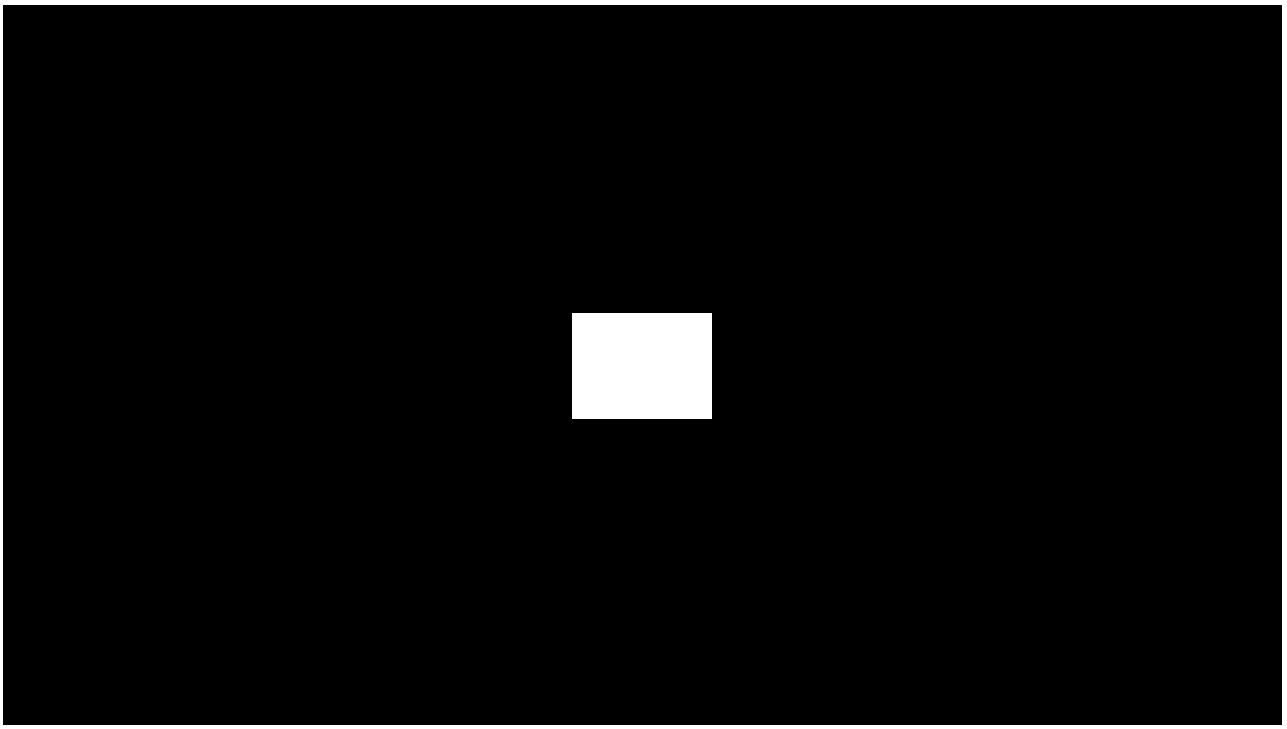
  The system opens the **Scheduling Information** window.

In this window you make the following settings:

- **Recurrence Pattern**: Weekly
- **Every**: 2 Weeks
- **On**: Monday
- **On Non-Working Day**: Run on Next Working Day

In the **Parameter** section enter the following::

- The selection parameters for your run, for example, a company code and a ledger.
- Decide if the job posts the data or if it's a test run.
- Choose **Dynamic Key Date**
- **Dynamic Valuation Key Date**: FIRSTDAYOFCURRENTMONTH



Open this video in a new window

Restrictions

This feature is only available for the following jobs:

- Advanced Foreign Currency Valuation
- Foreign Currency Valuation
- Post Credit-Risk-Based Impairment
- Post B/S Reclassification - Maturity

Schedule General Ledger Jobs

App ID: F1927

Use this app to schedule General Ledger jobs using the templates provided, for example, **Foreign Currency Valuation**. Additional job templates for G/L accountants are available in the Schedule Accruals Jobs and Schedule Tax Jobs apps.

Key Features

You can use the scheduling options to carry out the following periodic activities:

- Advanced Foreign Currency Valuation
- Analyze GR/IR Clearing Accounts and Display Acquisition Tax
- Automatic Clearing
- Balance Carryforward
- Financial Statement Data According to XBRL Taxonomy
- Foreign Currency Valuation
- GR/IR Automatic Clearing With Extended Open Item Management
- Post B/S Reclassification by Maturity
- Post B/S Reclassification by Master Data Change
- Post Credit-Risk Impairment
- Post Discounting of Long-Term Assets and Liabilities
- Post General Journal Entries with Auto-Reverse
- Post Recurring Journal Entries
- Prepare GR/IR Status Predictions (DAR ML Model)
- Provisions for Doubtful Receivables
- Regroup Receivables / Payables
- Transfer Posting for Doubtful Receivables

In addition, the app supports the following technical features and options:

- Scheduling Options
  - Define the start date and the recurrence pattern for the job.
  - Define if the system dynamically sets the valuation key date each time the job runs.
- Output Control

  Define settings for output control, for example, increase the base amount by non-deductible input tax, Bolle Doganali, or read receipt data.
- Posting Parameters

  Define settings for posting parameters, for example, posting date, due date of the tax payable, alternative tax payable account, or create DME file.
- Output Lists

Define settings for your output lists, for example, VAT line item display or input tax line item display.

ℹ Note

This app contains in-app help for key fields and concepts. To display the help while working in the app, press F1 or choose the question mark displayed in the app header.

Supported Device Types

- Desktop
- Tablet

More Information

For more information about Job Scheduling apps, see Application Jobs.

Information for Key Users

The SAP Fiori apps reference library has details about the content necessary for giving users access to an app on the **SAP Fiori launchpad**. To see this app's Fiori content, go to the SAP Fiori apps reference library and search for the app. Then select the product. On the **Implementation Information** tab, select the correct release. The details are in the **Configuration** section.

Advanced Foreign Currency Valuation

Use

This functionality is available in the following app:

Schedule General Ledger Jobs: Select the **Advanced Foreign Currency Valuation** template.

ℹ Note

If you use the **Advanced Foreign Currency Valuation** job template to carry out foreign currency valuation, you must no longer use the **Foreign Currency Valuation** job template.

You use this job template to carry out the advanced foreign currency valuation for the creation of your financial statements. By using different valuation rules, foreign currency valuation can be performed in the functional currency. It is performed in the local currency, if you haven't set up the functional currency for your company code.

You only have to set up profit and loss (P&L) accounts. You don't need any reconciliation accounts for your balance sheet accounts. Postings are always made to the account to be valuated. Postings are made directly to the reconciliation accounts.

Advanced foreign currency valuation includes the following functions:

- Selection of the items relevant for valuation
- Determination of open items and balances
- Valuation of open items and balances
- Posting of valuation differences with the following details:

- Advanced foreign currency valuation uses the delta posting logic only. This means that the valuation isn't reset in the next period. And the valuation in the next period is determined based on the former valuation.
- You can't choose between either the reversal posting logic or the delta posting logic as you can do for classic valuations.
- You don´t need any reconciliation accounts.

Prerequisites

Note

A configuration environment in SAP S/4HANA Cloud Public Edition can be **SAP Central Business Configuration** or **Configure Your Solution**. Configuration objects are either configuration steps in **Configure Your Solution** or configuration activities in **SAP Central Business Configuration**. Configuration items only exist in **Configure Your Solution**.

Customers on a 3-system landscape can also access configuration activities in the **Implementation Activities** app in addition to **SAP Central Business Configuration**.

For more information, see Configuration Environment of SAP S/4HANA Cloud Public Edition.

If you use the **Configure Your Solution** environment, you have done the following:

As a configuration expert you have made the necessary settings under **Finance** > **General Ledger** > **Chart of Accounts** and **Ledgers and Valuation**. Proceed as follows:

- You have assigned the chart of accounts to the financial statement version under **Chart of Accounts** > **Define Financial Statement Versions.**.
- You have assigned a semantic tag to the financial statement version under **Chart of Accounts** > **Assign Semantic Tags for Financial Statement Versions**. With this configuration step you've defined the accounts or account nodes that are to be valuated by advanced foreign currency valuation.
- You have activated advanced foreign currency valuation under **Ledgers and Valuation** > **Activate Advanced Valuation.**

Note

If you are an existing customer and you have already added or are about to add a new country version to your system using the Central Business Configuration environment, please be aware that Advanced Valuation is automatically activated for this new country.

This happens independently of other already existing countries in your system, and whether you use classic valuations or advanced valuations for those countries.

If you want to use classic valuations in the newly created country, the system notifies you that **Advanced Valuation** is active via an error message.

You can always deactivate advanced valuation in the **Activate Advanced Valuation** configuration item, as long as you don´t have any postings for that newly added country in your productive system yet.

- You have defined a rule that controls how you run advanced foreign currency valuation in your system under **Ledgers and Valuation** > > **Define Rules for Advanced Foreign Currency Valuation**. There you define to which P&L accounts the foreign currency effects are to be posted.

- You have assigned your rule to and accounting principle under Ledgers and Valuation > Assign Rules for Foreign Currency Valuation to Accounting Principles.

If you use Central Business Configuration, use the search function to find the configuration steps.

Dependencies

- Only manage balances in local currency indicator

  In the Manage G/L Account Master Data (ID: F0731A) app, you can set the indicator for Only manage balances in local currency for an account. When this indicator is set, balances are updated only in local currency when users post items to this account. If the account currency is the local currency, advanced valuation does not recognize the foreign currency. No valuation is carried out.

  When you remove the indicator in the Manage G/L Account Master Data app, the system recognizes the foreign currency for all new postings that are created. And the system considers the balances in the foreign currency in the advanced foreign currency valuation.

  ### ℹ Note

  Please note the following:

  If you have set the Only manage balances in local currency indicator in for an account in the Manage G/L Account Master, the Balance Transaction Currency (RTCUR) (Amount in Balance Transaction Currency (TSL)) is equal to the company code currency in the Display Line Items in General Ledger app (ID: F2217).

  If you have not set Only manage balances in local currency indicator, the Balance Transaction Currency (RTCUR) (Amount in Balance Transaction Currency (TSL)) is equal to the transaction currency (RWCUR) in the Display Line Items in General Ledger app (ID: F2217).

Selection and Output

To schedule and run advanced foreign currency valuation, proceed as follows:

1. In the Schedule General Ledger Jobs app, choose Create and select the Advanced Foreign Currrency Valuation job template.
2. In the Scheduling Options section, decide in the recurrence pattern, if you want to the job to be run just once or regularly.
3. In the Parameters section, specify a company code, a valuation key date, and a ledger. Decide if the job posts the data or if it's a test run.
4. Decide wether you want to run the job just once or if it is recurring job.
   - If you want to execute the job just once with a fixed valuation key date, select Valuation Key Date and choose the one of the following options:
     - Today

     or

     - Single Dates and specify how many days or weeks in the past or in the future the valuation key date is.
   - If you want the valuation key date to be dynamically set by the system in a recurring job, you define the pattern for the recurring job in the Scheduling Options section, in the Define Recurrence Pattern option.

     To specify how the system sets the valuation key date, you have the following options:

- In the **Parameters** section, you choose **Key Date** and in the options of the **Valuation Key Date** field under **Dynamic Dates**, you specify how many days or weeks in the past or in the future the balance key date is.

  > **Note**
  >
  > If you choose the option **Start Date**, the valuation key date is always the current date.

- In the **Parameters** section, select **Dynamic Key Date** and from the options in the list in the **Dynamic Valuation Key Date** field, specify how the key date is to be determined by the system.

  For more information about how to create a recurring job that automatically calculates the valuation key date, please see Schedule a Recurring Job with a Dynamic Valuation Key Date.

The output of the job creates the following documents:

- **Header Information**

  Contains administrative data and the information, and if the run was a test run.

- **Result of Foreign Currency Valuation Functional Currency**

  Contains the result list with valuated line items or G/L account balances with postings or posting proposals in the functional currency.

- **Result of Foreign Currency Valuation Company Code Currency**

  Contains the result list with valuated line items or G/L account balances with postings or posting proposals in the company code currency .

- **Result of Foreign Currency Valuation Group Currency**

  Contains the result list with valuated line items or G/L account balances with postings or posting proposals in the group currency.

- **Job Log**

  Contains the information that identifies the run, and states if it was completed.

- **Application Log**

  Contains all messages that were created during the run.

- **Application Log Summary**

  Contains a summary of the messages.

Configuration Requirements Checklist for Advanced Foreign Currency Valuation

Find the information for making the configuration settings that are necessary to execute the **Advanced Foreign Currency Valuation** job.

Purpose

Before you can run the **Advanced Foreign Currency Valuation** job, which is part of Advanced Valuation in Financial Accounting, you as a configuration expert, need to maintain the individual settings for Advanced Valuation in Financial Accounting. Please note that these settings need to be configured precisely so that the requirements are met. In the following, the configuration requirements for **Advanced Foreign Currency Valuation** are laid out.

Checklist

Configuration Setting to be Checked	Name of Configuration Activity and ID	Notes
Financial Statement Version	Define Financial Statement Versions (ID: 102669)	You must have a financial statement version in order to be able to create financial statements. The financial statement version defines which structure of accounts and account nodes is reported for an accounting principle. You can use an existing financial statement version or create a new one. For more information, please read the documentation of the configuration activity.
Assign Financial Statement Version to Accounting Principle	Assign Financial Statement Versions to Accounting Principles (ID: 103215)	You assign the financial statement version that you're using to the accounting principle. For more information, please read the documentation of the configuration activity.
Assign Semantic Tags to Financial Statement Versions	For financial statement versions that you created in the Define Financial Statement Versions (ID:102669) configuration step, logon to your system as a BPC Expert and use the Assign Semantic Tags to Financial Statement Versions (ID: 102659) configuration step to assign semantic tags to financial statement versions that. For financial statement versions that you created or migrated in the Manage Global Hierarchies app, logon to you system as G/L Accountant and assign the semantic tags in the Manage Global Hierachies app.	You've assigned the semantic tag FX to the account node or individual accounts in the financial statement version that are valuated when you run the Advanced Foreign Currency Valuation job. This means that these accounts are the source accounts for the valuation. For more information see Assigning Semantic Tags to an FSV.
Assign Document Types to Business Transaction Types	Assign Document Types to Business Transaction Types(ID: 107266)	In the standard setup, the results of an Advanced Foreign Currency Valuation job are posted with the document type SAG/L Account Document. You can change this assignment of the document type to the Advanced Foreign Currency Valuation job in the configuration activity. For more information, please read the documentation of the configuration activity.
Advanced Valuation in Financial Accounting is active	Activate Advanced Valuation (ID: 103315)	You activate Advanced Valuation in Financial Accounting for an accounting principle. You then specify for a ledger and a company code the point in time when advanced valuation is active. For more information, please read the documentation of the configuration activity.

Configuration Setting to be Checked	Name of Configuration Activity and ID	Notes
Rules for Account Determination	Define Rules for Determining Account Assignments in G/L Processes (ID: 104827)	You must specify how the accounts for advanced foreign currency valuation are determined. For more information, please read the documentation of the customizing activity.
Rules for Advanced Foreign Currency Valuation	Define Rules for Advanced Foreign Currency Valuation (ID: 105450)	You define rules that you use to carry out the advanced foreign currency valuation. A valuation rule defines which journal entry line items are valuated and how the valuation amounts are calculated by the system. A valuation rule can also define to which G/L accounts the valuation amount is posted. To create rules, please read the documentation of the configuration activity.
Assign Rules for Advanced Foreign Currency Valuation to Accounting Principles	Assign Rules for Foreign Currency Valuation to Accounting Principles (ID: 105451).	The accounting principle contains the legal regulations according to which financial statements are drawn up and rendered. Assign the rules for advanced foreign currency valuation to accounting principles. You can create individual valuation rules and use them in individual ledger for the same accounting principle. If you want to define a rule to be used in all ledger for the same accounting principle, leave the ledger field empty. For more information, please read the documentation of the configuration activity.

Settings for Supporting Multiple Currencies in Advanced Foreign Currency Valuation

Use

For journal entries you define the rules for translation into multiple currencies in the Define Currency Settings for Ledgers and Company Codes configuration activity (ID: 103379) . You can find it under Finance > General Ledger > Currencies > Define Currency Settings for Ledgers and Company Codes.

You have to enter the following settings:

- For the company code currency, set the source to `00`.
- For global currency, set the source to `00` or `10`.

Settings for Foreign Currency Valuations

Advanced foreign currency valuation uses the document currency for valuations into the functional currency. If you have not defined a functional currency, then the valuation is done into company code currency.

Valuation Rules and Examples of Valuations

This document describes how the different valuation rules in the advanced foreign currency valuation work.

Valuation Rule	Use	Example
`LOWEST_VALUE` Lowest Value Principle	If you select this rule, the valuation is only posted when the difference between the initial functional currency or local currency amount, if functional currency is not maintained, and the revaluation amount is negative, that is an exchange rate loss has taken place. The valuation is calculated for each group of items in total. Items with invoice reference are viewed together.	The initial amount of an invoice in functional currency is 1000. • The revaluation amount on 03/31/2020: 800, which results in an exchange rate loss of -200. • The revaluation amount on 04/30/2020: is 700, which results in an exchange rate loss of -100. • The revaluation amount on 05/31/2020: 850, which results in an exchange rate gain of +150. The revaluation amount is lower than the initial amount of the invoice, and therefore, the gain is posted. • The revaluation amount on 06/30/2020: 1050, which results in an exchange rate gain of +200. The revaluation amount is higher than the initial amount of the invoice and therefore, the gain isn't posted when you use this valuation rule.
`STRICT_LOWEST_VALUE` Strictly Lowest Value Principle	If you select this rule, the valuation is only posted if the new valuation has a greater devaluation than the lowest value of valuations in previous periods. The valuation is calculated for each group of items in total. Items with the same invoice reference are viewed together.	The initial amount of invoice in functional currency is 1000 • The revaluation amount on 03/31/2020: 800, which results in an exchange rate loss of -200.00. • The revaluation amount on 04/30/2020: 700, which results in an exchange rate loss of -100.00. • The revaluation amount on 05/31/2020: 850, which results in an exchange rate gain of +150. The revaluation amount is higher than the lowest value in the previous periods and therefore, nothing is posted.

Valuation Rule	Use	Example
		• The revaluation amount on 06/30/2020: 1050, which results in an exchange rate gain of 350. The revaluation amount is higher than the lowest value in the previous periods and therefore, nothing is posted.
`ALWAYS_VALUATE` Always Valuate	If you select this rule, a revaluation always occurs. In contrast to the strictly lowest value principle, you can show gains as well as losses from exchange rate fluctuations	The initial amount of invoice in functional currency is: 1000 • The revaluation amount on 03/31/2020: 800, which results in an exchange rate loss of -200. • The revaluation amount on 04/30/2020: 700, which results in an exchange rate loss of -100.00. • The revaluation amount on 05/31/2020: 850, which results in an exchange rate gain of +150.00. • The revaluation amount on 06/30/2020: 1050, which results in an exchange rate gain of +200.
`GAIN_ONLY` Highest Value Principle	If you select this rule, the system posts gains only.	The initial amount of invoice in functional currency is 1000 • The revaluation amount on 03/31/2020: 800, which results in an exchange rate loss of -200.00. According this rule, losses aren't posted. • The revaluation amount on 04/30/2020: 700, which results in an exchange rate loss of -100.00. According to this rule, losses aren't posted. • The revaluation amount on 05/31/2020: 850, which results in an exchange rate gain of +150.00. According to this rule, losses aren't posted. • The revaluation amount on 06/30/2020: 1050, which results in an exchange rate gain of +50.00.

Valuation Rule	Use	Example
`DE_BILMOG_VALUATE` German Accounting Modernization Act	If you select this rule, the system combines the following rules: • `ALWAYS_VALUATE` • `STRICT_LOWEST_VALUE` All current open items and groups of items with a net due date less than 1 year are always valuated. For noncurrent items with the net due date greater than 1 year, the strictly lowest value principle is applied. For the group of items with and without net due date, the oldest due date is always used as the due date for the whole group.	If the invoice net due date is 4/30/2020 see example "always valuate". If the invoice net due date is 4/30/2021, see example "strictly lowest valuate".

Posting Examples of Advanced Foreign Currency Valuation According to Selected Grouping Rule

This document describes how the different different grouping rules in advanced foreign currency valuation work .

Advanced Foreign Currency Valuation - Default Grouping Rule - Accounts Managed on an open item basis

The following table contains an example for the default grouping rule and accounts managed on an open item basis:

Group ID	Journal Entry ID Booking Reference	Original Amount in USD	Original Amount in EUR	New Amount in EUR	Unrealized Valuation Gain/Loss	Gain / Loss Posted to account
XXXX1/2020/USD	XXXX1 Inovice	100	90	80	-10 (Loss)	Unrealized Valuation Loss
XXXX1/2020/USD	XXXX2 Credit Memo	-20	-18	-16	2 (Gain)	Unrealized Valuation Loss
Group Total					-8 (Loss)	Unrealized Valuation Loss
XXXX3/2020/USD	XXXX3 Invoice 2	200	180	160	-20 (Loss)	Unrealized Valuation Loss

- Each journal entry line item, in the example above invoice 1 and invoice 2, is a group of its own, which means there is no grouping. The group number is formed like this: Journal Entry ID/Business Year/Currency.
- When there is partial payment or credit memo, it inherits the group ID from the invoice, which means they belong to a same group.
- In the example, the group total resulted in an 8 Euro loss, both valuation entries will be posted to the unrealized valuation loss account, even though the valuation of credit memo results in a gain.

- The valuated gain/loss from each line item will be posted as separate line items.

Advanced Foreign Currency Valuation - Default Grouping Rule - Accounts Not Managed on an open item basis

Group ID	Journal Entry ID G/L Account	Original Amount in USD	Original Amount in EUR	New Amount in EUR	Unrealized Valuation Gain/Loss	Gain / Loss Posted to account
11001000/USD	/ 11001000 - Cash	80	72	64	-8 Loss	Unrealized Valuation Loss

- The amounts will be grouped by G/L account and currency
- Regardless of the line items posted to the valuated G/L account, only one single line item will be posted as the valuation gain/loss..

Advanced Foreign Currency Valuation - Group by valuation object, group key, deptor or vendor, and G/L account (Self-defined Grouping Rule)

The following table contains an example of a self-defined grouping rule:

Group ID Customer ID	Journal Entry ID Booking Reference	Original Amount in USD	Original Amount in EUR	New Amount in EUR	Unrealized Valuation Gain/Loss	Gain / Loss Posted to account
YYYY1/USD YYYY1	XXXX1 Inovice	100	90	80	-10 Loss	Unrealized Valuation Loss
YYYY1/USD YYYY1	XXXX2 Credit Memo	-20	-18	-16	2 Gain	Unrealized Valuation Loss
YYYY1/USD YYYY1	XXXX4 Invoice	150	135	120	-15 Loss	Unrealized Valuation Loss
Group Total					-23 Loss	Unrealized Valuation Loss

- When the valuation object and group key are not filled, the group ID will be constituted like DebtorID/Currency or VendorID/Currency
- The valuated gain/loss amount will be posted separately as different line items for each journal entry
- The group total gain/loss will decide to which account the gain/loss will be posted in the end
- The valuated gain/loss from each line item will be posted as separate line items.

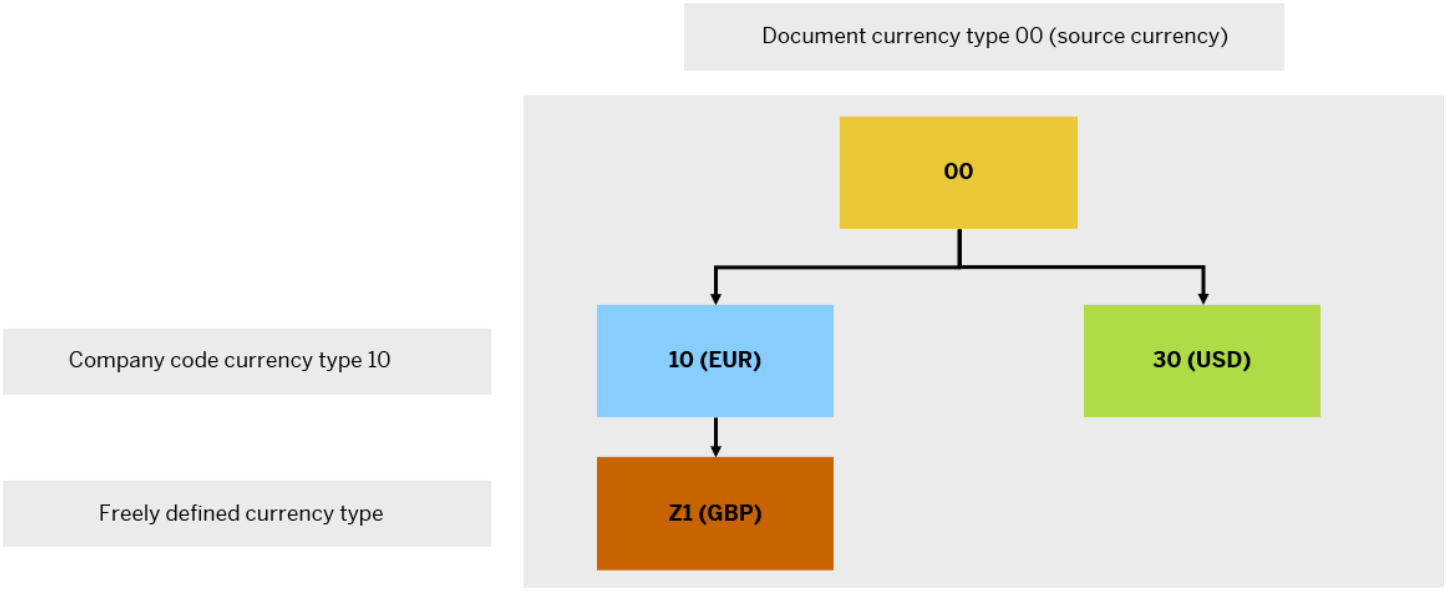
Explaining Remeasurement Postings in Advanced Foreign Currency Valuation

Remeasurement postings in advanced valuation are created when there is an additional freely defined currency that has a source currency that is different from the document currency.

Use

When there is an additional, freely defined currency that is different from the source currency, the valuation posting is not processed by another valuation but simply calculated.

In the following figure you see an example. The document currency type 00 is the source currency of company code currency type 10, and 10 is the source currency of the freely defined currency type Z1.



Example

The remeasurement amount is the difference between valuated amounts. It is not the translation of the difference between valuated amounts. The calculation is shown in the following table:

Calculation of remeasurement posting

Posting Date	Type	Amount in Currency Type 00	Exchange Rate 00/10	Amount in Currency Type 10	Exchange Rate 10/Z1	Amount in Currency Type Z1
2020.07.17	Invoice	100	1.01	101	1.03	104.03
2020.07.31	Revaluated Invoice	100	1.1	110	0.9	99
	Valuated Part	0	1.1	9	0.9	0
	Valuated + Translated	0	1.1	9	0.9	0
	Remeasurement > 0	0	1.1	0	0.9	0
	Remeasurement < 0	0	1.1	0	0.9	-5.03

The valuation difference of Z1 is the difference between the revaluated amount 99 and the original amount 104.03.

Additional Information

Remeasurement postings are always separate line items from the valuation difference, the valuation rule for remeasurement posting is ALWAYS_VALUATE.

You define currencies as a business configuration expert in the **Define Currency Settings for Ledger and Company Codes** configuration activity (ID: 103379).

Advanced foreign currency valuation remeasures all foreign currency transactions into the group currency and other configured currencies according to settings in the **Define Currency Settings for Ledger and Company Codes** configuration activity (ID: 103379). If you have configured 10 is the source currency for 30 then advanced foreign currency valuation remeasures also the balance from company code currency into group currency.

There is no elimination of this effects into group currency. There is no remeasurement of all the other G/L balances or P&L balances.

Understanding the Result List of Advanced Foreign Currency Valuation

This document contains an explanation of the columns displayed in the result lists of an **Advanced Foreign Currency Valuation** job in the order that they appear on the screen.

Columns in the result list

Column Heading	Explanation
Status	Indicates the overall status of the line item. The status depends on the status details. • Red indicator: No posting The red indicator is set for line items with the following status details. ◦ **ERROR**: An error occurred when the system tried to post ◦ **GRPERR**: Not posted due to error in the group • Green checkmark: Posted or Skipped The green checkmark: is set for line items with the following status details: ◦ **POSTED**: Document was successfully processed ◦ **ZERDEL**: Skipped because there were no changes This status is set if there is nothing to be valuated or if there was a previous posting in the same period. ◦ **VALMET**: Skipped due to valuation method (only in results lists of **Advanced Foreign Currency Valuation**)
Status Detail	Some status details are only part of specific valuations. In the following list you find the status details and their meaning:

Column Heading	Explanation
	• POSTED: Document was successfully processed • ERROR: An error occurred when the system tried to post • GRPERR: Not posted due to error in the group • ZERDEL: Skipped because there were no changes This status is set if there is nothing to be valuated or if there was a previous posting in the same period. • VALMET: Skipped due to valuation method (only in results lists of Advanced Foreign Currency Valuation)
FXV Journal Entry	Journal entry that was posted by the Advanced Foreign Currency Valuation job.
FXV Jrnl Entr Item	Journal entry item that was posted by the Advanced Foreign Currency Valuation job.
Group ID	ID of grouped journal entry line items. Use There are period-end closing valuation processes that group individual line items and the system then applies the valuation logic to these groups. These groups are identified by the group ID. For open items, the group ID consists of the G/L account, the business partner number and the content of the Assignment Reference field in the line item. For non-open items, the group ID consists of G/L account and business partner. If you are using in-house banking and you have activated the in-house banking grouping rule, non-open items are grouped by balance transaction currency, G/L account and trading partners. Example The advanced foreign currency valuation job posts the valuation difference to a gain or to a loss account depending on the balance of the group of line items. The valuation difference of a single journal entry line item can have a negative value, which means that it represents a loss. However, if the group to which it belongs has an overall positive balance, the valuation difference for this line item is posted to a gain account.
Rule and Rule Step	Provides the technical name of the valuation rule and the rule step that were applied when this line item was valuated. The valuation rule and the rule step define how the valuation is done. The rule and the rule step also define the source and target accounts of the valuation. You define rules and rule steps in your configuration environment.
G/L Account	Account to which the source document was posted.
BP Number	Number that identifies the business partner.

Column Heading	Explanation
Open Item Management	Indicates if the account is managed on an open item basis.
Orig. Journal Entry	Original journal entry. This is the number of the source document.
Original Fiscal Year	Year in which the source document was posted.
Orig. Journal Item	The number of the item of the source document
Net Due Date	Due date of the payment or loan.
Group Net Due Date	Due date of the payment or loan.
Reversed	Indicates whether the original journal entry has been reversed.
Clearing Jr. Ent.	Clearing Journal Entry The number of the item of the clearing journal entry.
Fiscal Year of Clearing Journal Entry	Fiscal year when the clearing journal entry is posted.
Clearing Date	Date on which the clearing will take place.
Original Amount in Document Currency	Amount in document currency on the date the original document was posted.
Original Amount in Functional Currency	Amount in functional currency on the date the original document was posted.
Historical Exchange Rate	Exchange rate between document currency and company code currency on the date the original document was posted.
Exchange Rate at Key Date	Shows the exchange rate on the date the job was executed. **Note** In the result list, this field is empty when the corresponding item was cleared before you executed the job.
Revaluated Value	Amount in company code currency on the key date of the valuation run.
Diff. Prev. Period	Valuation difference from last period. Shows the difference between the revaluation amount in company code currency and the original amount in company code currency on the last key date.
Cur. Per. Difference	Current Period Difference. Amount that was already posted in the current period
Delta Difference	Difference between the foreign currency value measured at key date and foreign currency values in previous foreign currency valuation postings
Posted Difference	Difference between new difference and current period amount.
Valuation Line Type	If the valuation difference is stems from an open item or the balance sheet account that are not managed as open item, the valuation line type is FX Unrealized Valuation Gain. If the valuation difference is stems from a cleared item, the valuation line type isFX Realized Valuation Gain

Column Heading	Explanation
	If the valuation difference is from remeasurement of other currencies, the valuation line type is **Remeasurement**. For a detailed explanation of remeasurement postings, please see Explaining Remeasurement Postings in Advanced Foreign Currency Valuation.
Migration Difference	You have carried out advanced foreign currency valuation in the activation period. You are using one of the following valuation methods: • **STRICTLY_LOWEST_VALUE** • **BiLMOG** for valuating long-term open items This column displays the foreign currency difference from the last posting created by foreign currency valuation. CAUTION: This column and the amount are only shown for the period for which you have activated Advanced Valuation in Financial Accounting and run advanced foreign currency valuation. In the periods after the first period, this column is no longer shown.

Schedule a Recurring Job with a Dynamic Valuation Key Date

If you want the system to dynamically calculate the valuation key date in recurring jobs you have to specify this using the recurrence pattern and the dynamic valuation key date.

Proceed as follows:

1. In the **Scheduling Options** section, choose **Define Recurrence Pattern**.
2. In the **Recurrence Pattern** field, choose how often you want the job to run.
3. Decide what happens if the day on which you run the job is a non-working day.
4. Decide which calendar you use.
5. In the **Parameter Section**, choose **Dynamic Key Date**.
6. In the **Dynamic Valuation Key Date** field, enter which day is used as Valuation Key Date.

Example

ⓘ Note

You want to run your job on a bi-weekly basis, always on a Monday, and the valuation key date is always the first day of the month. If the Monday happens to be a non-working day, the job is to run on the next working day.

In order to run the job as described you have to make the following settings:

- In the **Scheduling Options** section, choose **Recurrence Pattern**.

  The system opens the **Scheduling Information** window.

In this window you make the following settings:

- **Recurrence Pattern**: Weekly
- **Every**: 2 Weeks
- **On**: Monday
- **On Non-Working Day**: Run on Next Working Day

In the **Parameter** section enter the following::

- The selection parameters for your run, for example, a company code and a ledger.
- Decide if the job posts the data or if it's a test run.
- Choose **Dynamic Key Date**
- **Dynamic Valuation Key Date**: FIRSTDAYOFCURRENTMONTH

Open this video in a new window

Restrictions

This feature is only available for the following jobs:

- Advanced Foreign Currency Valuation
- Foreign Currency Valuation
- Post Credit-Risk-Based Impairment
- Post B/S Reclassification - Maturity

Analyze GR/IR Clearing Accounts and Display Acquisition Tax

App ID: F . 19

Use

This functionality is available in the following apps:

- **Repost GR/IR Clearing**
- **Schedule General Ledger Jobs**: Select the **Analyze GR/IR Clearing Accounts and Display Acquisition Tax** template.

The job analyzes goods receipt/invoice receipt (GR/IR) clearing accounts at a specified key date, and generates adjustment postings if necessary. These are needed to display the following business transactions correctly in the balance sheet:

- Goods delivered, but not invoiced
- Goods invoiced, but not delivered

The job selects all items in GR/IR clearing accounts that are open at the specified key date. If the open items per purchase order number and item in the relevant FI currencies or freely-defined currencies do not balance out to zero, adjustment postings are created in a batch input session for these items. You can access and process the created batch input session using the **My Batch Input Sessions** app. From this app, you can run the batch input session to create postings. With a credit balance, the transaction is seen as "delivered, but not invoiced". With a debit balance, the transaction is seen as "invoiced, but not delivered".

Adjustment postings are created per company code, GR/IR clearing account, reconciliation account, and business area. All postings are reversed at the specified reverse posting date. If no date is entered, the job reverses the postings on the day after the key date. If you are using parallel FI currencies or freely-defined currencies, the balance in the company-code currency also determines the transaction. If the balance in the company-code currency is zero, the transaction key is determined from the parallel currency.

In some countries/regions, the input tax on goods delivered but not paid for can also be deducted (for example, France). If this input tax is to be displayed and posted, the adjustment account (for example 191199) in the master must permit an input tax posting. The tax is calculated for each GR document, and the posting is carried out with a collective tax code given in the job. The tax displayed can thus be posted to a separate account. If no input tax code can be determined, the tax is posted using "Input tax code with 0% rate".

You can also display and post acquisition tax for goods delivered, but not invoiced. Here, only the goods receipts posted for acquisition tax up until the key date are taken into consideration. These goods receipts are balanced with the invoice receipts up until the key date for evaluating the GR/IR clearing account. For balancing, only the amount in the company-code currency is used. If, for example, a goods receipt from January 2025 has not been or has only partially been cleared up until the key date for evaluating the GR/IR clearing account in February 2025, the acquisition tax is posted for the remaining balance. By using two different key dates, the amount of the acquisition tax to be reported is limited. In the example, this is why the goods receipts from February are not used as it is assumed that a part of the invoices is about to come in.

For the run, you must specify the tax codes that represent acquisition tax.

For the acquisition tax, a line item with an acquisition tax code and an item with a tax code of 0% is generated in an adjustment account. Therefore, the amounts in the account balance out to zero. The debit posting is generated using the tax code from the GR/IR item. The credit posting is generated using the input tax code (tax rate 0 %). These postings produce the correct tax postings for acquisition tax. The acquistion tax is posted for each company code and business area. The postings are reversed on the reversal posting date.

Prerequisites

For adjustment postings, you need an account to be able to transfer the GR/IR clearing accounts. This account is displayed together with the GR/IR clearing account in a balance sheet item. You need two additional accounts to display the transactions

"delivered but not invoiced" and "invoiced but not delivered" in the balance sheet. The account numbers must be stored in the system. Check whether these accounts have been entered. If necessary, enter them. For the acquisition tax posting, the adjustment account must permit an acquisition tax code. If you want to display the input tax on goods delivered, but not yet paid for, the adjustment account must permit the entry of an input tax key.

Output

The line item display lists all the documents from the GR/IR account for which transfer postings would be carried out.

The list of postings displays the postings that would be generated.

The list of messages provides information about the errors that would arise.

Next Mandatory Step

After you have created a batch input session for the GR/IR clearing accounts in the **Repost GR/IR Clearing** app, go to the **My Batch Input Sessions** app. From there, run the relevant batch input session to create postings by choosing **Process**.

> ⚠ **Caution**
>
> This step is mandatory. If you want to complete the process of creating postings, you must do this using the **My Batch Input Sessions** app. If you don't run the relevant batch input session, no postings are created.

Automatic Clearing

Use

This functionality is available in the following apps:

- **Clear Open Items Automatically**
- **Schedule General Ledger Jobs**: Select the **Automatic Clearing** template.

This job clears open items from customer,supplier and G/L accounts (in particular, GR/IR clearing accounts) automatically. It selects all accounts that are specified in the value sets and that have debit and credit postings.

The following items are **not** cleared:

- Noted items
- Statistical postings and special G/L transactions of the type bill of exchange
- Items with withholding tax postings
- Down payments, unless down payment clearing for the same amount has been posted

The remaining open items are grouped according to fixed system criteria:

- Company code
- Account type
- Account number
- Reconciliation account number

- Currency key
    - BSID-WAERS for customers
    - BSIK-WAERS for suppliers
    - BSIS-PSWSL for G/L accounts
- Special G/L indicator

The program also groups items according to a maximum of five user criteria. You can define these criteria using the **Prepare Automatic Clearing** configuration activity. In your configuration environment, use the search function to find and open this activity. For more information, see Configuration Environment of SAP S/4HANA Cloud Public Edition.

Clearing only takes place when the balance in document currency (for customers and vendors) or in update currency (for G/L accounts) is zero for the group of line items selected according to the above criteria. The date for clearing is the clearing date according to your selection specifications. If the clearing transaction is successful, the clearing document number is specified in an update run. During the program run, all accounts in which clearing can be performed are blocked. They are unblocked again after the clearing transaction. Accounts that are blocked by other transactions or that are intended for the automatic payment run are not considered in automatic clearing.

GR/IR Accounts

For GR/IR accounts, the program tries to create a group of documents that can be cleared by successively omitting documents in a summarized group of documents that cannot be cleared.

If, despite this action, the assignment of goods receipts to the corresponding invoice receipts on the basis of the purchase order number and purchase order item is insufficient (such as for delivery schedules), you can set the **Special Processing of GR/IR Accounts** indicator. This indicator has the effect that documents are assigned to GR/IR accounts not only by means of the purchase order number and the purchase order item, but also using the material document if a goods receipt-related invoice verification is defined in the purchase order item. The program automatically uses the fields EBELN and EBELP and the reference field XREF3 as grouping criteria. In such cases, the reference field is only used to display the material document, which means that this field is not changed in the database.

Please note that when you use extended open item management, you must use the **GR/IR Automatic Clearing** job. The **Automatic Clearing** job cannot be used with extended open item management. For more information, see GR/IR Automatic Clearing With Extended Open Item Management.

Output

If you have selected in output control that the system outputs documents that can be cleared or documents that cannot be cleared, you receive a detailed list. If you have not set either of the indicators, the program outputs a short list.

Balance Carryforward

Use

This job is available in the **Schedule General Ledger Jobs** app. Select the **Balance Carryforward** template to manually schedule the balance carryforward.

You use this job to carry forward balances to the new fiscal year for:

- One or more ledgers

- One or more company codes

You can run this job as often as you wish. If there are subsequent postings to the previous fiscal year, the balance carryforward is automatically corrected and it generally isn't necessary to repeat the balance carryforward.

Output

In the **Balance Carryforward Status** app, you can view details about the balance carryforward, such as the status, when it was run, and more.

Related Information

Balance Carryforward
Schedule General Ledger Jobs
Balance Carryforward Status

Financial Statement Data According to XBRL Taxonomy

App ID: FSE0_XBRL

Use

This functionality is available in the following apps:

- **Display FS in Accordance with XBRL Taxonomy**
- **Schedule General Ledger Jobs**: Select the **Financial Statement Data According to XBRL Taxonomy** template.

This job allows you to check the data provided for an electronic financial statement. The report displays all financial statement data and the related taxonomy tags in a hierarchy.

For more information on the purpose of this report, see the information about electronic financial statements in E-Bilanz.

You can use this report only for structures that you have created in the **Define Financial Statement Versions (Electronic Financial Statement)** app and only for reporting in Germany.

Foreign Currency Valuation

Use

You use this program to perform foreign currency valuation for the creation of your financial statements. By using different valuation methods, foreign currency valuation can be performed in the local currency or in a parallel local currency (such as the group currency).

The program comprises the following functions:

- Selection of the items relevant for valuation
- Determination of open items and balances
- Valuation of the open items and balances

- Posting valuation differences

Selection and Output

For foreign currency valuation, specify a company code, a valuation key date, and a valuation area. You can make additional settings, depending on the items and accounts for which you want to perform foreign currency valuation. As output, the job creates the following overviews:

- Valuated line items or G/L account balances
- Postings or posting proposals
- Messages created

Foreign Currency valuation can be processed using batch input.

Dependencies

If you have executed foreign currency valuation, the result list can display entries for postings that resulted in an error. This can happen, for example, in the following cases:

- the cost center is missing
- the posting period was closed and the system tried to post a reversal posting in the closed period

In cases like this, you can correct the cause of the error and then process the entry again. For example, reopen the closed posting period in the **Manage Posting Period** app.

To process entries again that caused an error you use the **Verify Data Flow** app. For more information see Verify Data Flow.

- Foreign currency valuation is connected to the error correction and suspense accounting (ECS) system. Journal entries with errors can be postprocessed with the ECS tools.

GR/IR Automatic Clearing With Extended Open Item Management

Use the **GR/IR Automatic Clearing With Extended OIM** job to clear open items from goods receipt/invoice receipt (GR/IR) clearing G/L accounts automatically.

How this job works

You can run this clearing in the following ways:

- **Clearing based on the sort key (default setting)**:

  The job creates a group of open items that can be cleared based on the sort key of the GR/IR clearing account, for example, grouped by purchase order and purchase order item.

  Open items are grouped only according to the sort key specified in the G/L account master data. The recommended sort key for GR/IR accounts is `Purchase Order (014)`. You can find reference information using the **Display Line Items in General Ledger** app in the **Purchasing Document** and **Purchasing Document Item** fields.

  However, if you select specific purchase orders and purchase order items, the clearing will be based on these specific purchase orders and purchase order items even if your GR/IR clearing account has a different sort key.

- **Clearing based on clearing criteria**:

  > ⚠ **Caution**
  >
  > Please use this option in exceptional cases only. It may lead to inter-purchase-order clearings that do not follow the standard GR/IR business process.

  Instead of the sort key for GR/IR accounts, the system clears open items using clearing criteria defined for the group identifier required for clearing.

  To check and modify the clearing criteria so that this checkbox can take effect, go to the following configuration activity: **Prepare Automatic Clearing** (ID: `101971`).

  We recommend that you use at least the purchase order (field name: `EBELN`) and the purchase order item (field name: `EBELP`) as the first two criteria. Alternatively, use the default with the assignment number (field name: `ZUONR`) as the first field. You can then freely choose other suitable additional fields, such as the reference key for line item (field name: `XREF3`).

  To choose this option for the clearing run, select **Use Clearing Criteria**.

You can allow tolerances, for example, rounding differences, to be considered in the clearing run for each group of documents within the permitted limits of differences. To do this, select the **Include Tolerances** option.

You can define tolerance groups using the following configuration activities:

- **Define Tolerance Groups for Employees** (ID: `102832`)
- **Define Tolerance Groups for G/L Accounts** (ID: `102323`)

For the **Include Tolerances** option to take effect, you need to make sure that transaction key for differences (`DSA`) is maintained in the automatic account determination settings.

To do this, go to the **Automatic Account Determination** (ID: `100297`) configuration activity. For the **Financial Accounting** area and **General Ledger Accounting** subarea, select the **Clear Differences on Open Items** process. This way, you enable the following required objects:

- `Transaction Group: DSA (G/L account clearing)`
- `Transaction Key: DSA (differences arising on G/L acct clearing)`

> ⚠ **Caution**
>
> You cannot use open-item managed accounts (neither in standard open item management nor in extended open item management) in the tolerances settings.

You can run the job in the following modes: You can either only display grouped open items for a GR/IR clearing account, you can simulate the clearing run, or you can start the clearing as a real update run.

Before you start

For the job to successfully clear open items from your GR/IR clearing accounts, you must have activated extended open item management, which allows journal entries to have more than 999 line items. For more information, see Activate Extended Open Item Management for GR/IR Accounts.

Please note that when you use extended open item management, you must use this job. The **Automatic Clearing** job cannot be used with extended open item management.

ℹ Note

Only use extended open item management for GR/IR accounts if you don't use foreign currency valuation. Once extended open item management is active for GR/IR accounts, you can no longer perform foreign currency valuation for GR/IR accounts.

However, the information from the source document may also be needed for other customer-specific scenarios, in which journal entries can have only 999 line items, even if extended open item management has been activated. These are, for example:

- Tax
- Inventory management
- Blocked invoice postings
- Parked incoming invoices (sometimes also referred to as parked supplier invoices)

How to run this job

1. Open the **Schedule General Ledger Jobs** app.
2. Create a job for the **GR/IR Automatic Clearing With Extended OIM** template.
3. Go to the **Scheduling Options** step and choose whether you want to run this job immediately or set a later start date.
4. Go to the **Parameters** step and select the GR/IR clearings account from which you want to clear open items, the relevant company codes and posting dates as well as the clearing date. You can also restrict the clearing to individual journal entries, purchase orders, and purchase order items.

   Decide in which mode you want to run the job by selecting the respective radio button:

   - **Select Open Items Only**: Check the open items for a GR/IR clearing account.
   - **Simulate Run**: Start the automatic clearing as a test run.
   - **Update Run**: Start the automatic clearing as an actual update run.

   If you want the results list to only display the open items that were cleared, set the **Show Cleared Items Only** indicator.

   If you want the results list to only display the open items that cannot be cleared, set the **Show Uncleared Items Only** indicator.
5. Click **Schedule**.

Result

Depending on the mode that you selected, the job produces a results list with open items or it clears the open items from the selected GR/IR clearing account, either in a test run or in an update run.

If you have selected the test or update run, the results list can also include messages resulting from postings if problems occurred.

You can check the log details by choosing the status symbol in the **Log** column.

Post B/S Reclassification by Maturity

Find the necessary information for the configuration of the **Post B/S Reclassification - Maturity** job and how to run it.

Use

You use the **Post B/S Reclassification - Maturity** job in the area of your month-end closing activities.

You use the **Post B/S Reclassification - Maturity** job to sort your assets and liabilities according to their remaining term and their balance so that they can be reported correctly in your financial statements. You need to perform adjustment postings to do this. You find the **Post B/S Reclassification - Maturity** job in the **Schedule General Ledger Jobs** app.

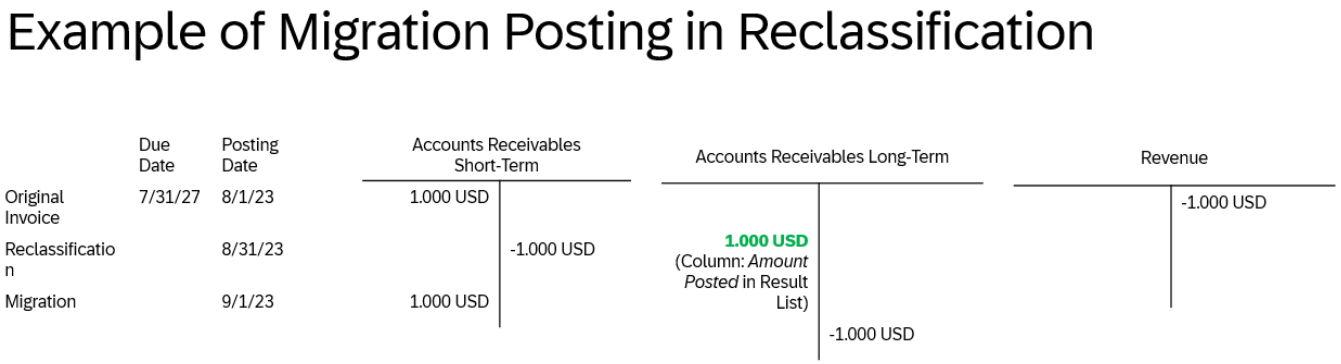
It is the last step in the sequence of advanced valuation processes.

Capabilities

The Post B/S Reclassification - Maturity job offers the following features:

- Adjustment postings to trade receivables and payables according to maturity.
- Adjustment postings for receivables with debit balances and payables with credit balances.
- Consumption of not cleared payments to determine the amount to be reclassified.
- It enables reporting capabilities of impairment effects separated from other valuations and balances.
- It is integrated with the other processes of advanced valuations represented by the following jobs:
    - **Advanced Foreign Currency Valuation**
    - **Post Discounting of Long-Term Assets and Liabilities**
    - **Post Credit-Risk Based Impairment**
    - **Post B/S Reclassification - Master Data Change**
- **Post B/S Reclassification - Maturity** is running with reversal logic. For more information see Migrate B/S Reclassification by Maturity Postings to Reversal Posting Logic

  See the following graphic for an explanation of migration postings.



- The following use cases aren't supported by the **Post B/S Reclassification - Maturity** job:
    - Changed reconciliation accounts or partners (VBUND).
    - In order to reclassify to changed reconciliation accounts or partners, use **Post B/S Reclassification - Master Data Change**.
    - Investment reporting

Preconditions

In order to use the **Post B/S Reclassification - Maturity** job, you have maintained all necessary settings. For more information, see Configuration Requirements Checklist for B/S Reclassification by Maturity:

You find the configuration activities in your configuration environment using the search function. For more information, see Configuration Environment of SAP S/4HANA Cloud Public Edition.

Selection and Output

To schedule and run **Post B/S Reclassification - Maturity**, proceed as follows:

1. In the **Schedule General Ledger Jobs** app, choose **Create** and select the **Post B/S Reclassification - Maturity** job template.
2. Choose **Step 2**.
3. In the **Scheduling Options** section, decide the following:
    - To start the run immediately, select the **Start Immediately** checkbox.
    - To schedule a single run, deselect the **Start Immediately** checkbox and enter the data that fit your requirements.
    - To schedule and run **Post B/S Reclassification - Maturity** regularly, select **Define Recurrence Pattern** and in the **Scheduling Information** dialog window enter the time intervalls in which you want execute the job.
4. Choose **Step 3**.
5. In the **Parameters** section proceed as follows:
    - **Selection Parameters**

      Enter a a company code and a ledger.
    - **Key Date Parameters**

      The **Key Date** option is automatically selected and the **Balance Key Date** is set to the last day of the previous month. You can change this if necessary

      Select **Dynamic Calendar Year/Period** and choose an option in **Dynamic Balance Key Date**, to use this data in combination with the recurrence pattern.
    - **Reversal Data Parameters**

      The option **Reversal Date for Valuation Run** is automatically selected and the **Reversal Date** is set to the first day of the current month.

      Select **Dynamic Date** and choose an option in **Dynamic Reversal Date for Reclassification**, to use this data in combination with the Recurrence Pattern.
    - **Processing Option**

      Decide if the job posts the data or if it's a test run.
6. Select **Schedule**.

The output of the job creates the following documents:

- **Header Information**

  Contains administrative data and the information, and if the run was a test run.
- **Result of Reclassification**

The system displays the result of the reclassification job. In update runs, it shows the postings that are created during reclassification run. In test runs, it shows the postings that will be created in an update run. The postings are aggregated based on group ID, account assignment, and currency.

-
  - **Result of Reclassification - Functional Currency**

    Contains the result list with valuated line items or G/L account balances with postings or posting proposals in the functional currency that were calculated by the run.

  - **Result of Reclassification - Company Code Currency**

    Contains the result list of valuated line items or G/L account balances with postings or posting proposals in the company code currency that were calculated by the run.

  - **Result of Reclassification - Group Currency**

    Contains the result list with valuated line items or G/L account balances with postings or posting proposals in the group currency that were calculated by the run.

- **Run Log**

  Contains the information that identifies the run, and states if it was completed.

- **Application Log**

  Contains all messages that were created during the run.

- **Application Log Summary**

  Contains a summary of the messages.

- **Document List of Reclassification**

  The system provides the result of the reclassification job in a detailed form. For open items, all individual journal entries that were considered in the report are listed. For non-open items, only preaggregated journal entries, based on group ID field, account assignment and currencies are listed.

  - **Document List of Reclassification - Functional Currency**

    In the lists all individual processed journal entries in functional currency are listed.

  - **Document List of Reclassification - Company Code Currency**

    In the lists all processed journal entries in company code currency listed.

  - **Document List of Reclassification - Group Currency**

    In the lists all processed journal entries in group currency are listed.

ℹ Note

You can use the information contained in the column **Group ID** of the **Result of Reclassification** list, to identify original journal entries that were processed in the job, in the **Document list of Reclassification**.

Example:

In the **Result of Reclassification** list, you have the following line.

REC Journal Entry: 100000536

Group ID: 0012100000/0010100088/RecIWithFXDis

In the **Document list of Reclassification** search for `0012100000/0010100088/ReclWithFXDis`.

The system marks the line with the Group ID and the original journal entry that was processed in the reclassification.

Related Information

Configuration Requirements Checklist for B/S Reclassification by Maturity
Understanding the Result List of Post B/S Reclassification - Maturity
Migrate B/S Reclassification by Maturity Postings to Reversal Posting Logic
Understanding the Result of Migrate B/S Reclassification by Maturity Postings to Reversal Posting Logic

Configuration Requirements Checklist for B/S Reclassification by Maturity

Find the information for making the configuration settings that are necessary to execute the **Post B/S Reclassification - Maturity** job.

Purpose

Before you can run the **Post B/S Reclassification - Maturity** job, which is part of Advanced Valuation in Financial Accountingyou as a configuration expert, need to maintain the individual settings for Advanced Valuation in Financial Accounting. Please note that these settings need to be configured precisely so that the requirements are met. In the following, the configuration requirements for **Post B/S Reclassification - Maturity** are laid out.

Checklist

Configuration Setting to be Checked	Name of Configuration Activity and ID	Notes
Feature **Use Reversal Posting Logic for B/S Reclassification** `FINS_FI_CLS_REC_REVERSAL`	**Activate Features** (ID: 106573)	If you are already using **Post B/S Reclassification - Maturity**, SAP strongly recommends to use it with reversal logic. To activate the reversal logic, in the **Activate Features106573** app, you must activate the **Use Reversal Posting Logic for B/S Reclassification** `FINS_FI_CLS_REC_REVERSAL` feature.
Financial Statement Version	**Define Financial Statement Versions** (ID: 102669)	You must have a financial statement version in order to be able to create financial statements. The financial statement version defines which structure of accounts and account nodes is reported for an accounting principle. You can use an existing financial statement version or create a new one. For more information, please read the documentation of the configuration activity.
Assign Document Types to Business Transaction Types	**Assign Document Types to Business Transaction Types**(ID: 107266)	In the standard setup, the results of a **Post Reclassification - Maturity** job are posted with the document type**SA G/L Account**

Configuration Setting to be Checked	Name of Configuration Activity and ID	Notes
	Entry: Business Transaction Category RFRC Reclassification, Business Transaction Type RFRC Reclassification, Document Type SA ,	Document. You can change this assignment of the document type to the Post Reclassification - Maturity job in the configuration activity. For more information, please read the documentation of the configuration activity.
Assign Financial Statement Version to Accounting Principle	Assign Financial Statement Versions to Accounting Principles (ID: 103215)	You assign the financial statement version that you're using to the accounting principle. For more information, please read the documentation of the configuration activity.
Advanced Valuation in Financial Accounting is active	Activate Advanced Valuation (ID: 103315)	You activate Advanced Valuation in Financial Accounting for an accounting principle. You then specify for a ledger and a company code the point in time when advanced valuation is active. For more information, please read the documentation of the configuration activity.
Aging and Aging Increment	Define Aging Increments for Advanced Valuation (ID: 103049)	An aging comprises one or more aging increments. An increment is used to rate for how long a receivable is overdue. Aging increments are the differences between the invoice due date and the key valuation date. SAP delivers the following agings with increments for B/S reclassification by maturity: • SGLOBRCL: Aging for global AP reclassification (IFRS, USGAAP) • S3IRCL: Aging for reclassification You can modify the predelivered agings and aging increments if necessary. You can also create new agings. Use the Aging Category `REC Reclassification` for new agings. For more information, please read the documentation of the configuration activity.
Rules for B/S Reclassification by Maturity	Define Rules for B/S Reclassification by Maturity (ID: 105454).	You define rules that you use to reclassify credit and debit balances in your balance sheet. A valuation rule defines which journal entry line items are valuated and how the valuation amounts are calculated by the

Configuration Setting to be Checked	Name of Configuration Activity and ID	Notes
		system. A valuation rule can also define to which G/L accounts the valuation amount is posted. SAP delivers the following rules that you can use for reclassification : • SBSR: B/S Reclassification (Global AP) • SLBS: B/S Reclassification (3 increments) You can create additional rules if necessary. For more information, please read the documentation of the configuration activity.
Assign Rules for B/S Reclassification Rules by Maturity to Accounting Principles	**Assign B/S Reclassification Rules by Maturity to Accounting Principles** (ID: **105449**).	The accounting principle contains the legal regulations according to which financial statements are drawn up and rendered. Assign the rules for B/S reclassification by maturity to accounting principles. You can create individual valuation rules and use them in individual ledger for the same accounting principle. If you want to define a rule to be used in all ledger for the same accounting principle, leave the ledger field empty. For more information, please read the documentation of the configuration activity.

Understanding the Result List of Post B/S Reclassification - Maturity

This document contains an explanation of the columns displayed in the result lists of a **Post B/S Reclassification - Maturity** job in the order that they appear on the screen.

Column Heading	Explanation
Status	Indicates the overall status of the line item. The status depends on the status details. • Red indicator: No posting The red indicator is set for line items with the following status details. ◦ **ERROR**: An error occurred when the system tried to post ◦ **GRPERR**: Not posted due to error in the group • Green checkmark: Posted or Skipped

Column Heading	Explanation
	The green checkmark: is set for line items with the following status details: ◦ POSTED: Document was successfully processed ◦ ZERDEL: Skipped because there were no changes This status is set if there is nothing to be valuated or if there was a previous posting in the same period. ◦ NOACCT: Skipped because account couldn't be determined (only in results lists of Post B/S Reclassification - Maturity)
Status Detail	Some status details are only part of specific valuations. In the following list you'll find the status details and their meaning: • POSTED: Document was successfully processed • ERROR: An error occurred when the system tried to post • GRPERR: Not posted due to error in the group • ZERDEL: Skipped because there were no changes This status is set if there is nothing to be valuated or if there was a previous posting in the same period. • NOACCT: Skipped because no account could be determined (only in results lists of Post B/S Reclassification - Maturity).
REC Journal Entry	Journal entry posted by the Post B/S Reclassification - Maturity job.
Posting Date	Daten when reclassification postings and their reversal postings are posted. This column is only relevant when you are performing Post B/S Reclassification - Maturity with reversal logic.
Group ID	ID of grouped journal entry line items. Use There are period-end closing valuation processes that group individual line items and the system then applies the valuation logic to these groups. These groups are identified by the group ID. For open items, the group ID consists of the G/L account, the business partner number and the content of the Assignment Reference field in the line item. For non-open items, the group ID consists of G/L account and business partner. If you are using in-house banking and you have activated the in-house banking grouping rule, non-open items are grouped by balance transaction currency, G/L account and trading partners. Example

Column Heading	Explanation
	The advanced foreign currency valuation job posts the valuation difference to a gain or to a loss account depending on the balance of the group of line items. The valuation difference of a single journal entry line item can have a negative value, which means that it represents a loss. However, if the group to which it belongs has an overall positive balance, the valuation difference for this line item is posted to a gain account.
Valuation Rule and Rule Step	Provides the technical name of the valuation rule and the rule step that were applied when this line item was valuated. The valuation rule and the rule step define how the valuation is done. The rule and the rule step also define the source and target accounts of the valuation. You define rules and rule steps in your configuration environment.
BP Number	Number that identifies the business partner.
Business Partner Name	Description of the business partner.
Source G/L Account	Number of the account that was defined in ustomizing as the account where the balance originates.
Target G/L Account	Number of the account to which the job posts the balance.
Target Aging	Represents the maturity information together with target aging increment. You have defined this data in you configuration environment under Define Aging Increments for Advanced Valuation.
Target Increment	Represents the maturity information together with target aging. You have defined this data in you configuration environment under Define Aging Increments for Advanced Valuation.
Functional Currency	The currency of an entity's primary economic environment. The functional currency should be the currency in which the business transactions are normally denominated.
Nominal Value	The original amount of the invoice including credit memos.
Cumulative Payments	Amount of payments that clears the nominal value.
Impairment	Impairment amount of the invoices that were reclassified.
Other Valuations	Valuation amounts of the invoices that were reclassified, also including amounts from the Post Discounting Long-Term Assets and Liabilities and Advanced Foreign Currency Valuation job.
Curr.Per.Reclass.	Current Period Reclassification. Amount that has already been reclassified in the current period
Delta Reclass.	Delta of Reclassification. Amount that has been posted in the current run of Post B/S Reclassification - Maturity. This column is only relevant when you are still performing Post B/S Reclassification - Maturity in delta logic.
Reclassification Posted	Amount that hast bee posted in the current run of Post B/S Reclassification - Maturity. This column is only relevant when you

Column Heading	Explanation
	are performing Post B/S Reclassification - Maturity with reversal logic.
Valuation Line Type	Represents the line type of the posted valuation. Since the posting can come from several documents based on the Valuation Line Type, it can be seen if the overall balance is positive (Target Assets) or negative (Target Liabilities). When you are carrying out Post B/S Reclassification - Maturity with reversal logic, the reversal postings have the description **reversal**.

Post B/S Reclassification by Master Data Change

When the trading partner, the reconciliation account for a business partner, the alternative reconciliation account, or all three data have been changed you use Reclassification by Master Data Change to reclassify payables and receivables from the old account to the new account.

Use

You use this job when the following master data or all of them have changed and you want to reclassify the amounts according to the changed data:

- The reconciliation account of a business partner, defined in business partner master data
- The trading partner of a business partner, defined in business partner master data
- The alternative reconciliation accounts for special G/L transactions

In advanced valuation in financial accounting, you use the Post B/S Reclassification - Master Data Change job template in the Schedule General Ledger Jobs app, to carry out this reclassification.

If you use Post B/S Reclassification - Maturity and Post B/S Reclassification - Master Data Change you must always carry out Post B/S Reclassification - Maturity as the last step.

Capabilities

The Post B/S Reclassification - Master Data Change job offers the following features:

- The Post B/S Reclassification - Master Data Change reclassifies the amounts according to the changed master data.
- You can use Post B/S Reclassification - Master Data Change and Post B/S Reclassification - Maturity independently of each other.
- If you use both Post B/S Reclassification - Master Data Change and Post B/S Reclassification - Maturity, you must always carry out Post B/S Reclassification - Maturity as a last step.
- Post B/S Reclassification - Master Data Change is integrated with the other processes of advanced valuations represented by the following jobs:
    - Advanced Foreign Currency Valuation
    - Post Discounting of Long-Term Assets and Liabilities
    - Post Credit-Risk Based Impairment

- Post B/S Reclassification - Maturity

- Post B/S Reclassification - Maturity is running with reversal logic. For more information, see Migrate B/S Reclassification by Maturity Postings to Reversal Posting Logic

Preconditions

To use the Post B/S Reclassification - Master Data Change job, you must configure it. For more information see, Configuration Requirements Checklist for B/S Reclassification by Master Data Change

You find the configuration activities in your configuration environment using the search function. For more information, see Configuration Requirements Checklist for B/S Reclassification by Master Data Change.

Selection and Output

To schedule and run Post B/S Reclassification - Master Data Change, proceed as follows:

1. In the Schedule General Ledger Jobs app, choose Create and select the Post B/S Reclassification - Master Data Change job template.
2. Choose Step 2.
3. In the Scheduling Options section, decide the following:
    - To start the run immediately, select the Start Immediately checkbox.
    - To schedule a single run, deselect the Start Immediately checkbox and enter the data that fit your requirements.
    - To schedule and run Post B/S Reclassification - Master Data Change regularly, select Define Recurrence Pattern and in the Scheduling Information dialog window enter the time intervals in which you want to carry out the job.
4. Choose Step 3.
5. In the Parameters section, proceed as follows:
    - Selection Parameters

      Enter a company code and a ledger.
    - Key Date Parameters

      The Key Date option is automatically selected and the Balance Key Date is set to the last day of the previous month. You can change this if necessary

      Select Dynamic Calendar Year/Period and choose an option in Dynamic Balance Key Date, to use this data in combination with the recurrence pattern.
    - Reversal Data Parameters

      The option Reversal Date for Valuation Run is automatically selected and the Reversal Date for Reclassification is set to the first day of the current month.

      Select Dynamic Date and choose an option in Dynamic Reversal Date for Reclassification, to use this data in combination with the Recurrence Pattern.
    - Processing Option

      Decide if the job posts the data in an update run or if it's a test run.
6. Select Schedule.

The output of the job creates the following documents:

- **Header Information**

  Contains administrative data and the information, and if the run was a test run.

- **Result of Reclassification**

  The system displays the result of the reclassification job. In update runs, it shows the postings that are created during the reclassification run. In test runs, it shows the postings that will be created in an update run. The postings are aggregated based on group ID, account assignment, and currency.

-
  - **Result of Valuation - Functional Currency**

    Contains the result list with valuated line items or G/L account balances with postings or posting proposals in the functional currency that were calculated by the run.

  - **Result of Valuation - Company Code Currency**

    Contains the result list of valuated line items or G/L account balances with postings or posting proposals in the company code currency that were calculated by the run.

  - **Result of Valuation - Group Currency**

    Contains the result list with valuated line items or G/L account balances with postings or posting proposals in the group currency that were calculated by the run.

- **Run Log**

  Contains the information that identifies the run, and states if it was completed.

- **Application Log**

  Contains all messages that were created during the run.

- **Application Log Summary**

  Contains a summary of the messages.

Related Information

Configuration Requirements Checklist for B/S Reclassification by Master Data Change
Understanding the Result List of B/S Reclassification by Master Data Change

Configuration Requirements Checklist for B/S Reclassification by Master Data Change

Find the information for making the configuration settings that are necessary to execute the **Post B/S Reclassification - Master Data Change** job.

Purpose

Before you can run the **Post B/S Reclassification - Master Data Change** job, which is part of Advanced Valuation in Financial Accounting, you as a configuration expert, need to maintain the individual settings for Advanced Valuation in Financial Accounting. Please note that these settings need to be configured precisely so that the requirements are met. In the following, the configuration requirements for **Post B/S Reclassification - Master Data Change** are laid out.

Checklist

Configuration Setting to be Checked	Name of Configuration Activity and ID	Notes
Feature Use Reversal Posting Logic for B/S Reclassification FINS_FI_CLS_REC_REVERSAL	Activate Features (ID: 106573)	If you are already using Post B/S Reclassification - Maturity and you want to use Post B/S Reclassification - Master Data Change, you must use the reversal posting logic. To activate the reversal posting logic, in the Activate Features (ID: 106573) app, you must activate the feature Use Reversal Posting Logic for B/S Reclassification FINS_FI_CLS_REC_REVERSAL.
Feature Consider Master Data Changes for B/S Reclassification (FINS_FI_CLS_MDC)	Activate Features (ID: 106573)	Activate the feature Consider Master Data Changes for B/S Reclassification (FINS_FI_CLS_MDC).
Financial Statement Version	Define Financial Statement Versions (ID: 102669)	You must have a financial statement version in order to be able to create financial statements. The financial statement version defines which structure of accounts and account nodes is reported for an accounting principle. You can use an existing financial statement version or create a new one. For more information, please read the documentation of the configuration activity.
Assign Document Types to Business Transaction Types	Assign Document Types to Business Transaction Types(ID: 107266) Entry: Business Transaction Category RFMC Recl. for Master Data Change, Business Transaction Type RFMC Recl. for Master Data Change, Document Type SU ,	In the standard setup, the results of a Post Reclassification - Master Data Change job are posted with the document typeSU Intercomp./Clearing. You can change this assignment of the document type to the Post Reclassification - Master Data Change job in the configuration activity. For more information, please read the documentation of the configuration activity.
Assign Financial Statement Version to Accounting Principle	Assign Financial Statement Versions to Accounting Principles (ID: 103215)	You assign the financial statement version that you're using to the accounting principle. For more information, please read the documentation of the configuration activity.
Advanced Valuation in Financial Accounting is active	Activate Advanced Valuation (ID: 103315)	You activate Advanced Valuation in Financial Accounting for an accounting principle. You then specify for a ledger and a company code the point in time when advanced valuation is active. For more information, please read the documentation of the configuration activity.

Configuration Setting to be Checked	Name of Configuration Activity and ID	Notes
Aging and Aging Increment	Define Aging Increments for Advanced Valuation (ID: 103049)	An aging comprises one or more aging increments. An increment is used to rate for how long a receivable is overdue. Aging increments are the differences between the invoice due date and the key valuation date. SAP delivers the following agings with increments for B/S reclassification by maturity: • SGLOBRCL: Aging for global AP reclassification (IFRS, USGAAP) • S3IRCL: Aging for reclassification You can modify the predelivered agings and aging increments if necessary. You can also create new agings. Use the Aging Category `REC Reclassification` for new agings. For more information, please read the documentation of the configuration activity.
B/S Reclassification - Maturity recognizes changed master data and posts accordingly	Define Rules for B/S Reclassification by Master Data Change (ID: 105454).	For the rule, activate the Master Data Changed check box. When you have activated the checkbox, and you run Post B/S Reclassification - Maturity after you have run Post B/S Reclassification - Master Data Change, the system recognizes the postings that were done based on the changed master data and uses them in Post B/S Reclassification - Maturity
Account Assignment Rules	Define Rules for Determining Account Assignments in G/L Processes (ID: 104827)	For a rule that you use for reclassification by master data change you must do the following: Under Define Assignment Rule > Adjust Inheritance Option for Assignment Field for the field RASSC (Trading Partner No.), you must set the Inheritance Option to Always from Original Object.
Rules for B/S Reclassification by Master Data Change	Define Rules for B/S Reclassification by Master Data Change (ID: 105454).	You define rules that you use to reclassify credit and debit balances in your balance sheet. A valuation rule defines which journal entry line items are valuated and how the valuation amounts are calculated by the system. A valuation rule can also define to which G/L accounts the valuation amount is posted.

Configuration Setting to be Checked	Name of Configuration Activity and ID	Notes
		SAP delivers the following rules that you can use for reclassification : • SBSR: B/S Reclassification (Global AP) • SLBS: B/S Reclassification (3 increments) You can create additional rules if necessary. For more information, please read the documentation of the configuration activity.
Assign Rules for B/S Reclassification by Master Data Change to Accounting Principles	Assign Rules for B/S Reclassifctn by Master Data Change to Acctg Principle (ID: 105449).	The accounting principle contains the legal regulations according to which financial statements are drawn up and rendered. Assign the rules for B/S reclassification by master data change to accounting principles. You can create individual valuation rules and use them in individual ledger for the same accounting principle. If you want to define a rule to be used in all ledger for the same accounting principle, leave the ledger field empty. For more information, please read the documentation of the configuration activity.

Understanding the Result List of B/S Reclassification by Master Data Change

The document explains the column headings and their meaning in the result list of a **Post B/S Reclassification - Master Data Change** job.

Column Heading	Explanation
Status	Indicates the overall status of the line item. The status depends on the status details. • Red indicator: No posting The red indicator is set for line items with the following status details. ◦ ERROR: An error occurred when the system tried to post ◦ GRPERR: Not posted due to error in the group • Green checkmark: Posted or Skipped The green checkmark: is set for line items with the following status details:

Column Heading	Explanation
	○ POSTED: Document was successfully processed ○ ZERDEL: Skipped because there were no changes This status is set if there's nothing to be valuated or if there was a previous posting in the same period. ○ NOACCT: Skipped because account couldn't be determined (only in results lists of Post B/S Reclassification - Maturity)
Status Detail	Some status details are only part of specific valuations. In the following list, you find the status details and their meaning: • POSTED: Document was successfully processed • ERROR: An error occurred when the system tried to post • GRPERR: Not posted due to error in the group • ZERDEL: Skipped because there were no changes This status is set if there's nothing to be valuated or if there was a previous posting in the same period. • NOACCT: Skipped because no account could be determined (only in results lists of Post B/S Reclassification - Maturity).
MDC Journal Entry	Journal entry that was posted by the Post B/S Reclassification - Master Data Change job.
Posting Date	Date when the reclassification postings are posted. This date is the date that you selected as Balance Key Date
Group ID	ID of grouped journal entry line items. Use There are period-end closing valuation processes that group individual line items and the system then applies the valuation logic to these groups. These groups are identified by the group ID. For open items, the group ID consists of the G/L account, the business partner number, and the content of the Assignment Reference field in the line item. For non-open items, the group ID consists of G/L account and business partner. If you're using in-house banking and you've activated the in-house banking grouping rule, non-open items are grouped by balance transaction currency, G/L account, and trading partners. Example The advanced foreign currency valuation job posts the valuation difference to a gain or to a loss account depending on the balance of the group of line items. The valuation difference of a single journal entry line item can have a negative value, which means that it represents a loss. However, if the group to which it belongs has an

Column Heading	Explanation
	overall positive balance, the valuation difference for this line item is posted to a gain account.
Valuation Rule and Valuation Rule Step	Provides the technical name of the valuation rule and the rule step that were applied when this line item was valuated. The valuation rule and the rule step define how the valuation is done. The rule and the rule step also define the source and target accounts of the valuation. You define rules and rule steps in your configuration environment.
BP Number	Number that identifies the business partner.
Business Partner Name	Description of the business partner.
Special G/L	Displays the special G/L indicator when you're using alternative reconciliation accounts for special G/L. Please note, the Post B/S Reclassification - Master Data Change job only processes the Special G/L: B and Account Types K (Vendors) or D (Customers).
Old Reconciliation Account	Number of the reconciliation account before you ran Post B/S Reclassification - Master Data Change. This account is the account to which the balance was originally posted.
New Reconciliation Account	Number of the new reconciliation account after you've run Post B/S Reclassification - Master Data Change This is the account to which the job reclassified the balance.
Old Trading Partner ID	Trading partner of the business partner to which the balance was originally posted.
New Trading Partner ID	New trading partner of the business partner to which the job Post B/S Reclassification - Master Data Change reclassified the balance.
Functional Currency	The currency of an entity's primary economic environment. The functional currency should be the currency in which the business transactions are normally denominated.
Amt. to Be Adjd.	The original amount that was posted to the Old Reconciliation Account or Old Trading Partner ID.
Posted Master Data Change	Amount which has been posted in the current period.
Master Data Change to Be Posted	Difference of Amt. to Be Adjd. and Posted Master Data Change. The amount that still needs to be posted.
Valuation Line Type	Represents the line type of the posted valuation. Since the posting can come from several documents based on the Valuation Line Type, it can be seen if the overall balance is positive (Target Assets) or negative (Target Liabilities). When you're carrying out Post B/S Reclassification - Master Data Change with reversal logic, the reversal postings have the description **reversal**.

Post Credit-Risk-Based Impairment

Find the necessary information for the configuration of the Post Credit-Risk-Based Impairment job and how to run it.

Use

This job calculates a loss allowance for expected credit losses on trade receivables and G/L account balances, for which there have been increases in the credit risk of the business partner on the key date. For balance sheet items, the net-due date field should be filled. It posts the results as impairment losses or creates posting proposals for impairment for the creation of your financial statements.

For each country individually you can define if the calculation of the impairment is based on the net or gross amount of the receivable

This job is available in the Schedule General Ledger Jobs app. Select the Post Credit-Risk-Based Impairment template to schedule the job.

Prerequisites

You've maintained the following settings in in the Manage Your Solution app, under Configure Your Solution > Finance > General Ledger > Chart of Accounts:

Note

If you use Central Business Configuration, use the search function to find the configuration steps.

- In the Assign Financial Statement Version to Accounting Principles step, you've assigned the chart of accounts that you want to use to the financial statement version.
- In the Assign Semantic Tags to Financial Statement Versions step, you've assigned the semantic tag IMPAIRMENT to the financial statement version, and you've defined the accounts or account nodes that are valuated when you run the Post Credit-Risk-Based Impairment job.

You've maintained the following settings in the Manage Your Solution app, under Configure Your Solution > Finance > General Ledger > Ledgers and Valuation:

- In the Activate Advanced Valuation step, you've activated advanced valuation.
- In the Define Rules for Impairment step, you've defined the P&L accounts to which you want to post the data that results from the post credit-risk impairment job.
- In the Assign Rules for Impairment to Accounting Principles step, you have assigned the rule to an accounting principle.
- In the Country-Specific Settings for Impairment: Net or Gross step, you have defined if the calculation of the impairment is based on the net or gross amount of the receivable.

Note

Simple Example for calculation of impairment based on the net or gross amount of the receivable:

Line Item No	Account	Amount in Functional Currency	Tax Code
1	Debtor	120 USD	A1
2	Revenue	100 USD	A1
3	Tax	20 USD	A1

The Post Credit-Risk-Based Impairment job calculates a loss allowance of 10%.

Gross: Loss allowance = 10% of 120 USD = 12 USD.

Net: Loss allowance = 10% of 100 USD = 10 USD.

Simple example for calculation of impairment based on the net or gross amount of the receivable:

Line Item No	Account	Amount in Functional Currency	Tax Code
1	Debtor	120 USD	**
2	Revenue	40 USD	A1
2	Revenue	60 USD	A2
3	Tax	8	A1
3	Tax	12	A1

The Post Credit-Risk-Based Impairment job calculates a loss allowance of 10%.

Gross: Loss allowance = 10% of 120 USD = 12 USD.

Net: Loss allowance = 10% of 40 USD + 10% of 60 USD = 10 USD.

Key Features

- You only have to set up profit and loss (P&L) accounts. You don't need any reconciliation accounts for your balance sheet accounts. Postings are always made to the account to be valuated. Postings are made directly to the reconciliation accounts.
- Post Credit-Risk-Based Impairment integrates the data of the Write Off Receivables app. When you've used the Write Off Receivables app, to write off receivables, you carry out Post Credit-Risk-Based Impairment as the next step. Credit-risk-based impairment recognizes, and corrects the write-off postings and thus avoids wrong P&L and balance sheet results.

  That means that you always have to carry out Post Credit-Risk-Based Impairment **after** you've done the last write-off in the Write Off Receivables app.

  Please be aware that you can't do any partial write-off in the Write Off Receivables app.

Dependencies

- The job is performed in the functional currency.
- If you haven't set up the functional currency for your company code, it's performed in the company code currency.
- If you use the Post Credit-Risk-Based Impairment job template to perform impairment, you must no longer use the Perform Further Valuations app.
- If you reset a write-off posting that has already been processed by Post Credit-Risk-Based Impairment, an realized/utilized posting exists in the system and is displayed in the result list. Even though you reset the write-off posting the, corresponding realized/utilized posting is not automatically reversed by the system. You have to manually reverse the document in the Manage Journal Entries app.

- The results of **Post Credit-Risk-Based Impairment** are processed in the **Analyze Expected Credit Loss Allowances** app, for more information, see Analyze Expected Credit Loss Allowances .

Selection and Output

To schedule and run post credit-risk-based impairment, proceed as follows:

1. In the **Schedule General Ledger Jobs** app, choose **Create** and select the **Post Credit-Risk-Based Impairment** job template.
2. In the **Scheduling Options** section, decide in the recurrence pattern, if you want to the job to be run just once or regularly.
3. In the **Parameters** section, specify a company code, a valuation key date, and a ledger. Decide if the job posts the data or if it's a test run.
4. Decide wether you want to run the job just once or if it is recurring job.
    - If you want to execute the job just once with a fixed valuation key date, select **Valuation Key Date** and choose the one of the following options:
        - **Today**

      or
        - **Single Dates** and specify how many days or weeks in the past or in the future the valuation key date is.
    - If you want the valuation key date to be dynamically set by the system in a recurring job, you define the pattern for the recurring job in the **Scheduling Options** section, in the **Define Recurrence Pattern** option.

      To specify how the system sets the valuation key date, you have the following options:
        - In the **Parameters** section, you choose **Key Date** and in the options of the **Valuation Key Date** field under **Dynamic Dates**, you specify how many days or weeks in the past or in the future the balance key date is.

          > **Note**
          >
          > If you choose the option **Start Date**, the valuation key date is always the current date.

        - In the **Parameters** section, select **Dynamic Key Date** and from the options in the list in the **Dynamic Valuation Key Date** field, specify how the key date is to be determined by the system.

          For more information about how to create a recurring job that automatically calculates the valuation key date, please see Schedule a Recurring Job with a Dynamic Valuation Key Date.

The output of the job creates the following documents:

- **Header Information**

  Contains administrative data and the information, and if the run was a test run.

- **Result of Impairment Valuation Functional Currency**

  Contains the result list with valuated line items or G/L account balances with postings or posting proposals in the functional currency.

- **Result of Impairment Valuation Company Code Currency**

  Contains the result list with valuated line items or G/L account balances with postings or posting proposals in the company code currency .

- **Job Log**

Contains the information that identifies the run, and states if it was completed.

- **Application Log**

  Contains all messages that were created during the run.

- **Application Log Summary**

  Contains a summary of the messages.

Related Information

Analyze Expected Credit Loss Allowances

Configuration Requirements Checklist for Credit-Risk Based-Impairment

Find the information for making the configuration settings that are necessary to execute the **Post Credit-Risk-Based Impairment** job.

Purpose

Before you can run the **Post Credit-Risk-Based Impairment** job, which is part of Advanced Valuation in Financial Accounting, you as a configuration expert, need to maintain the individual settings for Advanced Valuation in Financial Accounting. Please note that these settings need to be configured precisely so that the requirements are met. In the following, the configuration requirements for**Post Credit-Risk-Based Impairment** are laid out.

Checklist

Configuration Setting to be Checked	Name of Configuration Activity and ID	Notes
Financial Statement Version	**Define Financial Statement Versions** (ID: **102669**)	You must have a financial statement version in order to be able to create financial statements. The financial statement version defines which structure of accounts and account nodes is reported for an accounting principle. You can use an existing financial statement version or create a new one. For more information, please read the documentation of the configuration activity.
Assign Financial Statement Version to Accounting Principle	**Assign Financial Statement Versions to Accounting Principles** (ID: **103215**)	You assign the financial statement version that you're using to the accounting principle. For more information, please read the documentation of the configuration activity.
Assign Semantic Tags to Financial Statement Versions	For financial statement versions that you created in the **Define Financial Statement Versions** (ID:**102669**) configuration step, logon to your system as a BPC Expert and use the **Assign Semantic Tags to Financial**	You've assigned the semantic tag **ACCREC** or **ACCREC_OTH** to the account node or individual accounts in the financial statement version that are valuated when you run the **Post Credit-Risk-Based**

Configuration Setting to be Checked	Name of Configuration Activity and ID	Notes
	Statement Versions (ID: 102659) configuration step to assign semantic tags to financial statement versions that. For financial statement versions that you created or migrated in the Manage Global Hierarchies app, logon to you system as G/L Accountant and assign the semantic tags in the Manage Global Hierachies app.	Impairment job. This means that these accounts are the source accounts for the valuation. For more information see Assigning Semantic Tags to an FSV.
Assign Document Types to Business Transaction Types	Assign Document Types to Business Transaction Types(ID: 107266) Entry: Business Transaction Category RFIM Credit Risk-Based Impairment, Business Transaction Type RFIM Credit Risk-Based Impairment, Document Type SA	In the standard setup, the results of a Post Credit Risk-Based Impairment job are posted with the document type SA G/L Account Document. You can change this assignment of the document type to the Post Credit Risk-Based Impairment job in the configuration activity. For more information, please read the documentation of the configuration activity.
Advanced Valuation in Financial Accounting is active	Activate Advanced Valuation (ID: 103315)	You activate Advanced Valuation in Financial Accounting for an accounting principle. You then specify for a ledger and a company code the point in time when advanced valuation is active. For more information, please read the documentation of the configuration activity.
Country/Region-Specific Settings for Impairment: Net or Gross	Country/Region-Specific Settings for Impairment: Net or Gross(ID: 103741)	The system calculates the provisions that are posted for an overdue invoice either based on the net amount or the gross amount of the open invoice amount. • Net: The tax authority pays back taxes when a receivable has to be written off, when the customer didn't pay the invoice. • Gross: The tax authority doesn't pay back taxes when a receivable has to be written off, when the customer didn't pay the invoice.
Aging and Aging Increment	Define Aging Increments for Advanced Valuation (ID: 103049)	An aging comprises one or more aging increments. An increment is used to rate for how long a receivable is overdue. Aging increments are the differences between the invoice due date and the key valuation date.

Configuration Setting to be Checked	Name of Configuration Activity and ID	Notes
		SAP delivers the following aging with increments: • IMPAIRMENT: Aging for Impairment You can modify the predelivered aging and aging increments if necessary. You can also create new agings. Use the Aging Category `IMP Impairment` for new agings. For more information, please read the documentation of the configuration activity.
Rules for Credit-Risk Based Impairment	Define Rules for Impairment (ID: 105452)	You define rules for impairment that contain the expected credit loss (ECL) rates for the calculation of loss allowances. These rules are used when you run the Post Credit-Risk-Based Impairment report. The rule defines which journal entry line items are valuated and how the valuation amounts are calculated by the system. SAP delivers the following rule that you can use for impairment : • IMPAIR: Aging for Impairment You can create additional rules if necessary. Use the Aging Category `IMP Impairment` for new agings. For more information, please read the documentation of the configuration activity.
Assign Rules for Impairment to Accounting Principle	Assign Rules for Impairment to Accounting Principles (ID: 105453).	The accounting principle contains the legal regulations according to which financial statements are drawn up and rendered. Assign the rules for impairment to accounting Principles. You can create individual valuation rules and use them in individual ledger for the same accounting principle. If you want to define a rule to be used in all ledger for the same accounting principle, leave the ledger field empty. For more information, please read the documentation of the configuration activity.

ℹ Note

Simple example for calculation of impairment based on the net or gross amount of the receivable:

Line Item No	Account	Amount in Functional Currency	Tax Code
1	Debtor	120 USD	A1
2	Revenue	100 USD	A1
3	Tax	20 USD	A1

The Post Credit-Risk-Based Impairment job calculates a loss allowance of 10%.

Gross: Loss allowance = 10% of 120 USD = 12 USD.

Net: Loss allowance = 10% of 100 USD = 10 USD.

Simple example for calculation of impairment based on the net or gross amount of the receivable:

Line Item No	Account	Amount in Functional Currency	Tax Code
1	Debtor	120 USD	**
2	Revenue	40 USD	A1
2	Revenue	60 USD	A2
3	Tax	8	A1
3	Tax	12	A1

The Post Credit-Risk-Based Impairment job calculates a loss allowance of 10%.

Gross: Loss allowance = 10% of 120 USD = 12 USD.

Net: Loss allowance = 10% of 40 USD + 10% of 60 USD = 10 USD.

Understanding the Result List of Post Credit-Risk-Based Impairment

Here, you'll find an explanation of the columns displayed in the result lists of a Post Credit-Risk-Based Impairment job.

Columns in the result list

Column Heading	Explanation
Status	Indicates the overall status of the line item. The status depends on the status details. • Red indicator: No posting The red indicator is set for line items with the following status details: ◦ ERROR: An error occurred when the system tried to post

Column Heading	Explanation
	◦ GRPERR: Not posted due to error in the group • Information indicator: The system skipped the line items because it didn't find information required to run the reclassification or to perform the valuation. Depending on your configuration and on the journal entry, this could be the desired behavior. The information indicator is set for line items with the following status details: ◦ MISSBP: Skipped due to missing business partner (only in results lists for Post Credit-Risk Based Impairment and Post Discounting of Long-Term Assets and Liabilities) ◦ MISSRK: Skipped due to missing credit risk class (only in results lists for Post Credit-Risk Based Impairment) • Green checkmark: Posted or Skipped The green checkmark is set for line items with the following status details: ◦ POSTED: Document was successfully processed ◦ ZERDEL: Skipped because there were no changes This status is set if there is nothing to be valuated or if there was a previous posting in the same period.
Status Detail	Some status details are only part of specific valuations. In the following list, you'll find the status details and their meaning: • POSTED: Document was successfully processed • ERROR: An error occurred when the system tried to post • GRPERR: Not posted due to error in the group • ZERDEL: Skipped because there were no changes This status is set if there is nothing to be valuated or if there was a previous posting in the same period. • MISSBP: Skipped due to missing business partner (only in results lists for Post Credit-Risk Based Impairment and Post Discounting of Long-Term Assets and Liabilities) • MISSRK: Skipped due to missing credit risk class (only in results lists for Post Credit-Risk Based Impairment)
IMP Journal Entry	Journal entry that was posted by the Post Credit-Risk-Based Impairment job.
IMP Journal Entry Item	Journal entry item that was posted by the Post Credit-Risk-Based Impairment job.
Rule and Rule Step	Rule and Rule step that were applied.
G/L Account	Account to which the source document was posted.

Column Heading	Explanation
BP Number	Number that identifies the business partner.
Business Partner Name	Description of the business partner.
BP Risk Class	Risk class of the business partner
Increment	Name of the increment that was used in the run. An increment is the degree that is used to rate how long a receivable was overdue.
Prob. of Deflt (%)	States the probability of default in %.
Orig. Journal Entry	Original journal entry. This is the number of the source document.
Original Fiscal Year	Year in which the source document was posted.
Orig. Journal Item	The number of the item in the source document
Net Due Date	Due date of the payment or loan.
Reversed	Indicates whether the original journal entry has been reversed.
Functional Currency	Currency in which the business transactions are normally denominated.
Nominal Value	The original amount of the invoice including credit memos.
Calc Allowance	Calculated Allowance. Calculated loss allowance based on the open amount of the line item.
Acc. Loss Allowance	Accumulated Loss Allowance. Sum of the allowances calculated from the first posting period up to the period before the period for which you run the job. Example: You run the job in period 4. In the column Accumulated Loss Allowance, the system displays the loss allowance of periods 1, 2, and 3.
Delta Allowance	Net present value adjustment (NPV) to original amount or cumulative catch up of the current period.
Valuation Line Type	Describes the phase of the contract, such as initial NPV or changes, such as contract modifications.

Posting Examples of Credit-Risk-Based Impairment According to Selected Grouping Rule

This document describes how the different different grouping rules work in when postings for credit-risk-based impairment ared done.

Post Credit-Risk-Based Impairment - Group by valuation object, group key, debtor or vendor, and G/L account (Self-defined Grouping Rule)

The following table contains an example of a self-defined grouping rule:

Group ID Customer ID	Journal Entry ID Booking Reference	ECL Rate %	Original Amount in EUR	Impairment Amount in EUR	Loss Allowance Type
YYYY1/EUR YYYY1	XXXX1 Inovice 1	4	200	-8	Impairment New/Change
YYYY1/EUR YYYY1	XXXX2 Invoice 2	4	100	-4	Impairment New/Change
YYYY1/EUR YYYY1	XXXX3 Invoice 3	4	80	-3,2	Impairment New/Change

- At key date 1, three open invoices are posted
- In the next period at key date 2, an overpayment with 300€ is made to invoice 1, the residual of payment 100€ will be allocated to the open positions: invoice 2 and 3, proportionally, thus the original amounts for invoice 2 and 3 are reduced, impairment result will be the following

Group ID Customer ID	Journal Entry ID Booking Reference	ECL Rate %	Original Amount in EUR	Impairment Amount in EUR	Loss Allowance Type
YYYY1/EUR YYYY1	XXXX1 Inovice 1	8	0	8	Impairment Release
YYYY1/EUR YYYY1	XXXX1 Invoice 1	8	0	0	Impairment New/Change
YYYY1/EUR YYYY1	XXXX2 Invoice 2	8	44,44	2,22 (=55,56*0,04)	Impairment Release
YYYY1/EUR YYYY1	XXXX2 Invoice 2	8	44,44 (=100-100/180*100)	-5,78 (=100*0,08-2,22)	Impairment New/Change
YYYY1/EUR YYYY1	XXXX3 Invoice 3	8	35,56	1,78 (=44,44*0,08)	Impairment Release
YYYY1/EUR YYYY1	XXXX3 Invoice 3	8	35,56 (=80-80/180*80)	-4,62 (=80*0,08-1,78)	Impairment New/Change

Post Discounting of Long-Term Assets and Liabilities

Find the necessary information for the configuration of the **Post Discounting of Long-Term Assets and Liabilities** job and how to run it.

With this job you can calculate the discounting of long-term assets and liabilities and post the net present value adjustments and the interest income or interest expense to the designated accounts.

That means that you can calculate the time-value of money. According to some accounting standards, for example IFRS, the significant benefit of financing the transfer of goods or services to a customer is a significant financing component that must be

reflected in you period-end closing.

So, you use discounting long-term assets and liabilities for the scenario of treating long-term receivables as a loan.

SAP´s Discounting of Long-Term Assets and Liabilities covers contracts that include a single financing component. For revenue contracts with more than one significant financing component, please use the revenue recognition applications. For discounting of lease contracts, please use **SAP Contract and Lease Management**.

For revenue contracts with more than one significant financing component, please use the revenue recognition applications. For discounting of lease contracts, please use SAP Contract and Lease Management.

This job is available in the **Schedule General Ledger Jobs** app. Select the **Post Discounting of Long-Term Assets and Liabilities** template to schedule the job.

Prerequisites

You've maintained all of the following settings.

You find the configuration activities in your configuration environment using the search function. For more information, see Configuration Environment of SAP S/4HANA Cloud Public Edition.

- In the **Define Interest Rates** configuration activity, you've defined interest rates for all the currencies that you use in discounting. You can maintain interest rates for debit and for credit balances. Interest rates are defined in % per year.
- In the **Define Interest Indicator** configuration activity, you've ensured that the interest indicator that you have created or that already exists, and that you want to use exclusively for discounting, has the type **D**.

  Note

  You can use any interest indicator that is available. But when you want to use it exclusively for discounting, it must have the type **D**.

- In the **Activate Advanced Valuation** configuration activity. you've activated advanced valuation.
- In the **Define Aging Increments for Advanced Valuation** configuration activity, you´ve defined an aging and aging increments for discounting
- In the **Define Discounting Rules** configuration activity, you´ve defined a discounting rule for your requirements.
- In the **Assign Discounting Rules to Accounting Principles** configuration activity, you have assigned the discounting rule to an accounting principle.

Selection and Output

To schedule and run discounting of long-term assets and liabilities, proceed as follows:

1. In the **Schedule General Ledger Jobs** app, choose **Create** and select the **Post Discounting of Long-Term Assets and Liabilities** job template.
2. In the **Scheduling Options** section, decide in the recurrence pattern, if you want to the job to be run just once or regularly.
3. In the **Parameters** section, specify a company code, a valuation key date, and a ledger. Decide if the job posts the data or if it's a test run.
4. Decide wether you want to run the job just once or if it is recurring job.

- If you want to execute the job just once with a fixed valuation key date, select **Valuation Key Date** and choose the one of the following options:

  - **Today**

  or

  - **Single Dates** and specify how many days or weeks in the past or in the future the valuation key date is.

- If you want the valuation key date to be dynamically set by the system in a recurring job, you define the pattern for the recurring job in the **Scheduling Options** section, in the **Define Recurrence Pattern** option.

  To specify how the system sets the valuation key date, you have the following options:

  - In the **Parameters** section, you choose **Key Date** and in the options of the **Valuation Key Date** field under **Dynamic Dates**, you specify how many days or weeks in the past or in the future the balance key date is.

    > **Note**
    >
    > If you choose the option **Start Date**, the valuation key date is always the current date.

  - In the **Parameters** section, select **Dynamic Key Date** and from the options in the list in the **Dynamic Valuation Key Date** field, specify how the key date is to be determined by the system.

    For more information about how to create a recurring job that automatically calculates the valuation key date, please see Schedule a Recurring Job with a Dynamic Valuation Key Date.

The output of the job creates the following documents:

- **Header Information**

  Contains administrative data and the information, and if the run was a test run.

- **Result of Discounting Valuation - Document Currency**

  Contains the result list. The list can contain valuated line items, postings or posting proposals in the document currency.

- **Run Log**

  Contains the information that identifies the run, and states if it was completed.

- **Application Log**

  Contains all messages that were created during the run.

- **Application Log Summary**

  Contains a summary of the messages.

Configuration Requirements Checklist for Discounting Long-Term Assets and Liabilities

Find the information for making the configuration settings that are necessary to execute the **Post Discounting of Long-Term Assets and Liabilities** job.

Purpose

Before you can run the **Post Discounting of Long-Term Assets and Liabilities** job, which is part of Advanced Valuation in Financial Accounting, you as a configuration expert, need to maintain the individual settings for Advanced Valuation in Financial Accounting.

Please note that these settings need to be configured precisely so that the requirements are met. In the following, the configuration requirements for **Post Discounting of Long-Term Assets and Liabilities** are laid out.

Checklist

Configuration Setting to be Checked	Name of Configuration Activity and ID	Notes
Define Interest Rates	**Define Interest Rates** (ID: **102258**)	You've defined interest rates for all the currencies that you use in discounting. You can maintain interest rates for debit and for credit balances. Interest rates are defined in % per year.
Define Interest Indicator	**Define Interest Indicator** (ID: **103513**)	You've ensured that the interest indicator that you've created or that already exists, and that you want to use exclusively for discounting, has the type **D** **i Note** You can use any interest indicator that is available. But when you want to use it exclusively for discounting, it must have the type **D**.
Financial Statement Version	**Define Financial Statement Versions** (ID: **102669**)	You must have a financial statement version in order to be able to create financial statements. The financial statement version defines which structure of accounts and account nodes is reported for an accounting principle. You can use an existing financial statement version or create a new one. For more information, please read the documentation of the configuration activity.
Assign Financial Statement Version to Accounting Principle	**Assign Financial Statement Versions to Accounting Principles** (ID: **103215**)	You assign the financial statement version that you're using to the accounting principle. For more information, please read the documentation of the configuration activity.
Assign Semantic Tags to Financial Statement Versions	For financial statement versions that you created in the **Define Financial Statement Versions** (ID:**102669**) configuration step, logon to your system as a BPC Expert and use the **Assign Semantic Tags to Financial Statement Versions** (ID: **102659**) configuration step to assign semantic tags to financial statement versions that. For financial statement versions that you created or migrated in the **Manage Global Hierarchies** app, logon to you system as G/L Accountant and assign the semantic	You've assigned the semantic tag **ACCPAY**, **ACCPAY_OTH**, **ACCREC**, **ACCREC_OTH** to the account node or individual accounts in the financial statement version that are valuated when you run the **Post Discounting of Long-Term Assets and Liabilities** job. This means that these accounts are the source accounts for the valuation. For more information see Assigning Semantic Tags to an FSV.

Configuration Setting to be Checked	Name of Configuration Activity and ID	Notes
	tags in the Manage Global Hierachies app.	
Assign Document Types to Business Transaction Types	Assign Document Types to Business Transaction Types(ID: 107266) Entry: Business Transaction Category RFDI Discounting, Business Transaction Type RFDI Discounting, Document Type SA ,	In the standard setup, the results of a Post Discounting of Long-Term Assets and Liabilities job are posted with the document typeSA G/L Account Document. You can change this assignment of the document type to the Post Discounting of Long-Term Assets and Liabilities job in the configuration activity. For more information, please read the documentation of the configuration activity.
Advanced Valuation in Financial Accounting is active	Activate Advanced Valuation (ID: 103315)	You activate Advanced Valuation in Financial Accounting for an accounting principle. You then specify for a ledger and a company code the point in time when advanced valuation is active. For more information, please read the documentation of the configuration activity.
Aging and Aging Increment	Define Aging Increments for Advanced Valuation (ID: 103049)	An aging comprises one or more aging increments. An increment is used to rate for how long a receivable is overdue. Aging increments are the differences between the invoice due date and the key valuation date. SAP delivers the following aging with increments: • SDISCOUNT: Aging for Discounting You can modify the predelivered aging and aging increments if necessary. You can also create new agings. For more information, please read the documentation of the configuration activity.

Configuration Setting to be Checked	Name of Configuration Activity and ID	Notes
Rules for Discounting	Define Discounting Rules (ID:104799)	You define rules that you use for discounting. A valuation rule defines which journal entry line items are valuated and how the valuation amounts are calculated by the system. A valuation rule can also define to which G/L accounts the valuation amount is posted. You can create rules if necessary. For more information, please read the documentation of the configuration activity.
Assign Discounting Rules to Accounting Principles	Assign Discounting Rules to Accounting Principles (ID: 104800).	The accounting principle contains the legal regulations according to which financial statements are drawn up and rendered. Assign the rules for discounting to accounting principles. You can create individual valuation rules and use them in individual ledger for the same accounting principle. If you want to define a rule to be used in all ledger for the same accounting principle, leave the ledger field empty. For more information, please read the documentation of the configuration activity.

Discounting of Long-Term Assets and Liabilities

With this function you can calculate the discounting of long-term assets and liabilities in accordance with International Financial Reporting Standards (IFRS) 9, 15, 16. Basically you are enabled to treat long-term assets and liabilities as a loan.

The system uses the following formula for calcuating discounting: $$Net\ Present\ Value = FV * \frac{1}{(1+r)^{T}}$$

Understanding the Result List of Post Discounting of Long-Term Assets and Liabilities

Here, you'll find an explanation of the columns displayed in the result lists of a Post Discounting of Long-Term Assets and Liabilities job in the order that they appear on the screen.

Columns in the result list

Column Heading	Explanation
Status	Indicates the overall status of the line item. The status depends on the status details.

Column Heading	Explanation
	• Red indicator: No posting The red indicator is set for line items with the following status details: ◦ ERROR: An error occurred when the system tried to post ◦ GRPERR: Not posted due to error in the group • Information indicator: The system skipped the line items because it didn't find information required to run the job or to perform the valuation. Depending on your configuration and on the journal entry, this could be the desired behaviour. The information indicator is set for line items with the following status details: ◦ MISSBP: Skipped due to missing business partner (only in results lists for Post Credit-Risk Based Impairment and Post Discounting of Long-Term Assets and Liabilities) • Green checkmark: Posted or Skipped The green checkmark is set for line items with the following status details: ◦ POSTED: Document was successfully processed ◦ ZERDEL: Skipped because there were no changes This status is set if there is nothing to be valuated or if there was a previous posting in the same period. ◦ NOINT: Skipped because the interest indicator wasn't found (only in results lists for Post Discounting of Long-Term Assets and Liabilities)
Status Detail	Some status details are only part of specific valuations. In the following list you'll find the status details and their meaning: • POSTED: Document was successfully processed • ERROR: An error occurred when the system tried to post • GRPERR: Not posted due to error in the group • ZERDEL: Skipped because there were no changes This status is set if there is nothing to be valuated or if there was a previous posting in the same period. • MISSBP: Skipped due to missing business partner (only in results lists for Post Credit-Risk Based Impairment and Post Discounting of Long-Term Assets and Liabilities) • NOINT: Skipped because interest indicator wasn't found (only in results lists for Post Discounting of Long-Term Assets and Liabilities)

Column Heading	Explanation
DIS Journal Entry	Journal entry that was posted by the Post Discounting of Long-Term Assets and Liabilities job.
Rule and Rule Step	Rule and Rule step that were applied.
G/L Account	Account to which the source document was posted.
BP Number	Number that identifies the business partner.
Business Partner Name	Description of the business partner.
BP Risk Class	Risk class of the business partner
Int.Indic.	Interest indicator that was used
Indicator Name	Description of the interest indicator.
Rate p.a.	Interest rate per year.
Rate p.p.	Interest rate per period. A period can be, for example, a month or three months depending how you configured your periods.
Orig. Journal Entry	Original journal entry. This is the number of the source document.
Original Fiscal Year	Year in which the source document was posted.
Orig. Journal Item	The number of the item of the source document
Net Due Date	Due date of the payment or loan.
Reversed	Indicates whether the original journal entry has been reversed.
Document Currency	Currency of the source document.
Nominal Value	The original amount of the invoice including credit memos.
Acc. Prev. Payments	Accumulated Previous Payments. The sum of all payments from previous periods. The current period is not taken into account.
Payment Received	The sum of payments received in the current period.
Accumulated NPV Adjustments	Accumulated initial net present value adjustment to original amount including all subsequent and current period NPV adjustments.
Current Period NPV Adjustment	Net present value adjustment (NPV) to original amount or cumulative catch up of the current period.
Accumulated Interest	Sum of accumulated interest considering the previous periods and the current period.
Current per. Interest	Current Period Interest. Interest in the current period.
Closing Balance	Represents the current net present value of the asset or liability. The closing balance is the sum of the following columns: • Nominal Value • Acc. Prev. Payments • Payment Received

Column Heading	Explanation
	• Accumulated NPV Adjustments • Accumulated Interest
Valuation Line Type	Describes the respective phase the contract is in. The valuation line types are as follows: • Initial NPV Adjustment: The initial NPV adjustment posting takes place in the first period of the run time of the contract. • Unwinding of the Discount: If there are no changes to the contract, Unwinding of the Discount is shown in each period the run is processed for this contract. • Cumulative Catch up: If there are changes to the contract, such as a change of the net due date or change of the interest rate, Cumulative Catch up is displayed.

Post General Journal Entries with Auto-Reverse

Use

This job automatically reverses journal entries that are scheduled for auto-reverse and posted through the **Post General Journal Entries** app and the **Upload General Journal Entries** apps. When the job is run, it selects general journal entries with the same planned reversal date and reverses the postings of these journal entries based on the planned reversal date.

For local currencies such as company code currency and group currency, you can choose to reverse with the exchange rate on the planned reversal date or on the posting date of the reversed journal entry. To reverse journal entries with amount recalculation, select the **Recalculate Local Crcy Amounts** check box in the Parameters step.

For more information, see Posting Journal Entries with Auto-Reverse.

Output

In the **Manage Journal Entries** app, you can view the reversed and reversal journal entries. The planned reversal date is cleared after a journal entry is reversed.

Related Information

Upload General Journal Entries
Post General Journal Entries
Schedule General Ledger Jobs

Post Recurring Journal Entries

Use

This job manages the recurring original journal entries created online. It selects the recurring entry documents for which the next run date is the same as the date of the settlement period or falls within the interval specified for the settlement period, and then generates accounting journal entries. It does not include recurring original journal entries that are marked for deletion.

You do not have to make a data backup in case a restart is necessary. The program does not make any changes to the database and can be restarted.

Note

If you enter only part of the total run period in the run schedule, you need to enter the additional run dates in the run plan before or once the last date specified in the schedule is reached.

The system automatically derives date details from the automatically updated date details in the recurring original journal entry. This is the case for the value date, for example. If you want to change the dates that are updated automatically for just one recurring entry program run, you need to remember to change the dates back after running the program. If you postpone the next run date, this may cause one or more run dates to be skipped. However, you can also correct this manually.

Output

You can check the log details by choosing the status symbol in the **Log** column.

Prepare GR/IR Status Predictions (DAR ML Model)

Use

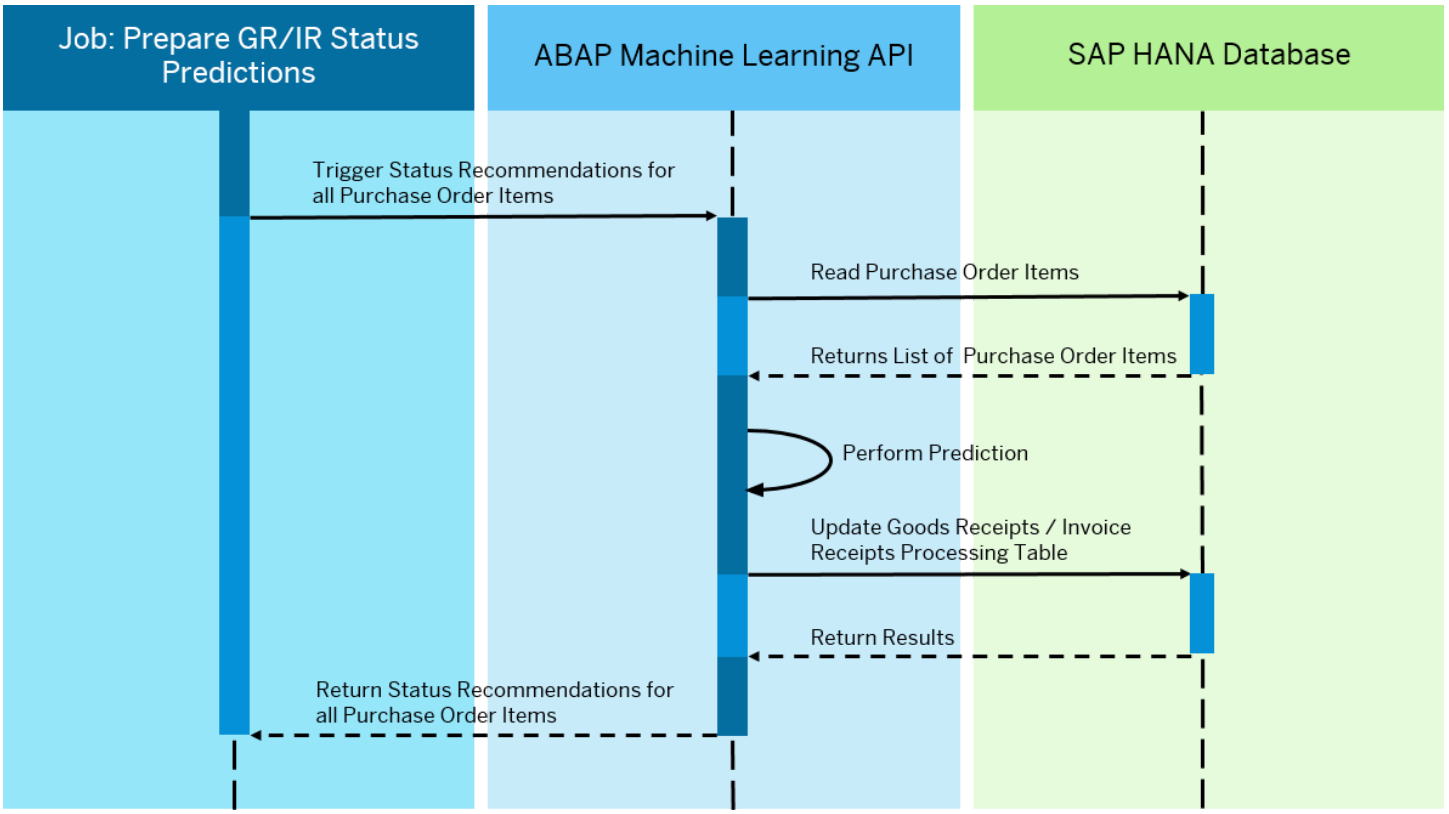
With the Reconcile GR/IR Accounts app general ledger accountants can process purchase order items where goods receipts and invoice receipts do **not** balance after some time, because amounts or quantities differ and the system cannot clear them automatically. The general ledger accountants set statuses for those purchase order items to indicate the next actions that must be taken in the business context for a certain purchase order item to allow for matching goods and invoice receipts.

A machine learning service which is a feature of the **Reconcile GR/IR Accounts** app predicts the next status based on the history of processing these purchase order items and displays it on the user interface as a recommended status.

This job is providing the recommended status for those purchase order items that have **not** been processed yet. You run this job best outside of business hours.

> **Note**
> Please note that for some of the job templates you might need a separate license. For further information, please contact your SAP Account Executive.

Architecture and Process



Related Information

Schedule Inference Job

Provisions for Doubtful Receivables

Use

With this job, you can create provisions for customer receivables that might not be paid. In such cases, you first need to transfer such customer receivables as doubtful receivables to a special G/L account. You later use a different job to make ledger group-specific postings for the relevant provisions. For more information, see Transfer Posting for Doubtful Receivables.

ℹ Note

You use this job to automatically transfer open customer receivables as doubtful receivables to the special G/L account once a specified length of time has elapsed. Only use this function if this procedure is compatible with the accounting principles that you are legally required to apply in your country.

Prerequisites

The following prerequisites must be met:

- A provision method is available in the system.
- A valuation area is assigned to the provision method.
- Your configuration expert has assigned an accounting principle to the valuation area.

  For more information, see the documentation in the **Assign Valuation Areas and Accounting Principles** configuration activity.

- The system contains special G/L accounts to which the doubtful receivables first need to be transferred.

Features

Transferring Doubtful Receivables

The job reads all open items in a customer account. In the case of items for which the balance per invoice reference number is greater than zero and for which the transfer posting deadline specified in the provision method has been reached, the job clears the items with a posting to the specified special G/L account. The job also makes transfer postings for any credit memos without an invoice reference, provided their amount is not greater than the amount of the doubtful receivables already posted and of those yet to be posted.

Each item is transferred in an individual transfer posting.

The job outputs a list of all documents considered in the transfer posting, sorted by company code, customer number, currency, and due date. It also prints a totals table for each company code.

Posting Provisions

For each customer, the job selects all items with the special G/L indicator selected and that correspond to the criteria specified. From the combination of valuation area and provision method, the job determines the following:

- Due date
- Percentage of the provision (for each sort level)
- Setting specifying whether credit memos are charged
- Setting specifying whether tax on sales/purchases is considered
- Account assignment for the posting

The system sorts the selected items on the basis of the due date. The amount that is actually posted is the difference between the amount already on the account for the allocation of funds and the new provision amount determined using the percentage of the provision. From the valuation area, the system derives the ledger group to which the posting is made.

To create provision postings, select **Carry Out Postings** and run the job.

> **Note**
> With the standard settings, the job posts the provisions in the company code currency. If you want to post the provisions in the transaction currency, select **In Transaction Currency**.

In the case of cleared items that contain a provision that is smaller than 100 percent, the system reverses the provision. In such cases, it is assumed that the original item has already been paid.

The job returns a list of all items with the selected special G/L indicator, sorted by business area and due date. For each item, the list also shows the local currency amount, the previous provision amount, and the new amount to be posted, as well as the clearing date in the case of cleared items.

Transfer Postings for Doubtful Receivables

To make transfer postings for doubtful customer receivables to a special G/L account, use the **Transfer Posting for Doubtful Receivables** job. For more information, see Transfer Posting for Doubtful Receivables.

Regroup Receivables / Payables

App ID: FAGLF101

With this app, before creating your financial statements, you can order your receivables and payables according to their remaining term so that they can be displayed correctly. You need to enter adjustment postings to do this.

ℹ Note

This functionality is also available in the **Schedule General Ledger Jobs** app.

ℹ Note

Bear in mind that this functionality also processes the settings you have made in the configuration activity **Activate Additional Fields for Valuations** (ID: 103254). You can find this configuration activity under **Finance** > **General Ledger** > **Ledgers and Valuation** > **Activate Additional Fields for Valuations** .

Key Features

- Sort receivables and payables according to remaining term and carry out the required transfer postings.
- Carry out the required adjustment postings. They are necessary in the following cases:
    - If you have customer accounts that are in credit. You cannot display this balance as a receivable; it must be displayed as a payable.
    - If you have vendor accounts which are in debit. You cannot display this balance as a payable; it must be displayed as a receivable.
    - If you have changed the reconciliation account for a customer or vendor, and the payables and receivables posted to the old reconciliation account are to be assigned to the new account before they are displayed in the financial statements.
    - In certain countries (France, for example), investments must be displayed separately.

Additional Information

All accounts that are managed on an open item basis are analyzed. Foreign currency items are always included in this, local currency items only if they contain a due date.

First, the transfer postings required due to the change of reconciliation account are carried out. After that, the payables and receivables are sorted. Depending on the results, the adjustments required are determined and carried out.

Supported Device Types

Desktop

Information for Key Users

The SAP Fiori apps reference library has details about the content necessary for giving users access to an app on the **SAP Fiori launchpad**. To see this app's Fiori content, go to the SAP Fiori apps reference library and search for the app. Then select the product. On the **Implementation Information** tab, select the correct release. The details are in the **Configuration** section.

See Also

For more information, read the system documentation or application help. In the app, choose More > Program Documentation or Help > Application Help.

Transfer Posting for Doubtful Receivables

Use

With this job, you can transfer doubtful customer receivables to a special G/L account. Using the **Provisions for Doubtful Receivables** job, you can create provisions for these doubtful receivables. For more information, see Provisions for Doubtful Receivables.

The system reads all open items in a customer account. If the balance per invoice reference number is greater than zero and the transfer posting deadline is reached, the program clears the item and posts a new item with the specified special G/L indicator. If credit memos were posted without invoice reference to the account, the system also makes a transfer posting for them to reduce the provisions already made. This transfer posting, however, does not exceed the amount of the doubtful receivables already posted and to be posted.

The key date is derived from the deadline for transfer postings.

Each item is transferred in an individual transfer posting. The postings are put into a batch input session.

Note

This job was developed in accordance with Spanish legal requirements. In many countries, companies are not permitted to create doubtful receivables solely because receivables are overdue. In Germany, for example, a receivable can only be designated as doubtful if the default risk is known (such as legal decision or bankruptcy).

Prerequisites

The following prerequisites must be met. To make the settings, your user needs to have the same minimum authorizations as those delivered with the following business role template:

Process Configuration Expert (`SAP_BR_BPC_Expert`)

- A provision method is available in the system.

  If you want to create and use your own provision method, you can request a provision method via **Request Expert Configuration**. For for more information, see Request Expert Configuration.

- You need a special G/L account to carry out the transfer postings and a special G/L indicator.

Output

Relevant documents are output sorted by company code, customer number, currency, and due date.

A totals table is output for each company code.

Example

Example 1

A receivable for 100 USD (88 EUR) is due on 3 March. The report is run for 10 March. The chosen provision method specifies the deadline for transfer postings within a period of six months.

For the transfer posting, the method prescribes special ledger indicator E and posting key 09. The number of the reconciliation account for the receivable is 140000, the special ledger account number is 140050.

The system transfers the item because the transfer posting deadline has been met and the amount is greater than zero.

The system clears the source document and posts the new receivable on the supplier side with the selected special ledger indicator.

100 USD (88 EUR) is debited to account 140050 and credited to account 140000.

Example 2

A credit memo for 80 EUR is posted without invoice reference to the customer account.

You run this job again, and it finds that a transfer posting must be made for another invoice for 50 EUR.

Since the total amount of doubtful receivables that have been posted and that still need to be posted is greater than the credit memo amount (88 EUR from example 1 and 50 EUR from example 2), the credit memo for 80 EUR is also transferred.

The transfer of the credit memo reduces the amount of doubtful receivables.

New balance of doubtful receivables: 138 - 80 = 58 EUR.